

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, based upon an analysis of existing laws, regulations, rulings and court decisions and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences relating to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. See “TAX MATTERS” herein.



\$43,780,000		
CALIFORNIA MUNICIPAL FINANCE AUTHORITY		
SENIOR LIVING REVENUE BONDS		
(MT. SAN ANTONIO GARDENS PROJECT)		
\$29,030,000	\$6,000,000	\$8,750,000
SERIES 2022A	SERIES 2022B-1	SERIES 2022B-2
	TAX EXEMPT MANDATORY	TAX EXEMPT MANDATORY
	PAYDOWN SECURITIES (TEMPS-85SM)	PAYDOWN SECURITIES (TEMPS-50SM)

Dated: Date of Delivery**Due: As shown on inside cover**

The \$29,030,000 California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022A (the “*Series 2022A Bonds*”), the \$6,000,000 California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-1 Tax Exempt Mandatory Paydown Securities (TEMPS-85SM) (the “*Series 2022B-1 Bonds*”), and the \$8,750,000 California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-2 Tax Exempt Mandatory Paydown Securities (TEMPS-50SM) (the “*Series 2022B-2 Bonds*” and, together with the Series 2022B-1 Bonds, the “*Series 2022B Bonds*”) will be issued as fully registered bonds in denominations of \$5,000 or any integral multiple thereof and, when delivered, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York (“DTC”). The Series 2022A Bonds and the Series 2022B Bonds are collectively referred to herein as the “*Bonds*.” Beneficial owners of Bonds will not receive physical certificates representing the Bonds purchased but will receive a credit balance on the books of the nominees of such purchasers. So long as Cede & Co. is the registered owner of the Bonds, principal of and premium, if any, and interest on the Bonds will be paid by The Bank of New York Mellon Trust Company, N.A., as bond trustee, to DTC, which, in turn, will remit such principal, premium, if any, and interest to its participants for subsequent disbursement to the beneficial owners of the Bonds, as described herein. See APPENDIX G — “BOOK-ENTRY SYSTEM” hereto.

Principal of and interest on the Bonds will be paid from Revenues pledged under the Bond Indenture, including payments made by Congregational Homes, Inc. d/b/a Mt. San Antonio Gardens, a California nonprofit public benefit corporation (the “*Corporation*”), under the Loan Agreement. The obligation of the Corporation to make such payments under the Loan Agreement is evidenced and secured by the Series 2022 Obligations, issued pursuant to the Master Indenture (each as defined herein), whereunder Members of an obligated group are jointly and severally obligated to make payments on the Series 2022 Obligations in an amount sufficient to pay principal (or Redemption Price) of, and interest on the Bonds when due. The Corporation is currently the only Member of the Obligated Group. The Corporation has also executed and delivered a Deed of Trust (as defined herein) naming the Master Trustee as beneficiary to secure the performance of its obligations under the Master Indenture. The sources of payment of, and security for, the Bonds are more fully described in this Official Statement. Interest on the Bonds is payable on each May 15 and November 15, commencing May 15, 2022.

The Bonds are subject to optional, mandatory and extraordinary redemption, and purchase in lieu of redemption, prior to maturity as described herein under “THE BONDS—Redemption of the Bonds.”

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF REVENUES AND OTHER ASSETS UNDER THE BOND INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

This cover page contains certain information for general reference only. It is not intended to be a summary of the security or terms of the Bonds. Investors should read the entire Official Statement to obtain information essential to the making of an informed investment decision.

SEE MATURITY SCHEDULE ON INSIDE FRONT COVER.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale, to withdrawal or modification of the offer without notice, and to the approval of the validity of the Bonds and certain other legal matters by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, the approval of certain matters for the Authority by its counsel, Jones Hall, a Professional Law Corporation, and the approval of certain matters for the Corporation by its counsel, Dentons US LLP. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. It is expected that the Bonds in book-entry form will be available for delivery through the facilities of DTC on or about February 16, 2022.



Date: February 2, 2022

[†] For an explanation of the rating, see “Rating” herein.

SM TEMPS-85 and TEMPS-50 are service marks of B.C. Ziegler and Company.

\$29,030,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
SENIOR LIVING REVENUE BONDS
(MT. SAN ANTONIO GARDENS PROJECT), SERIES 2022A

MATURITY DATE (NOVEMBER 15)	PRINCIPAL AMOUNT	INTEREST RATE (%)	YIELD (%)	PRICE (%)	CUSIP [†]
2026	\$210,000	5.000	2.360	111.786	13049RBH8
2027	220,000	5.000	2.470	113.474	13049RBJ4
2028	230,000	5.000	2.570	114.961	13049RBK1
2029	240,000	5.000	2.670	116.205	13049RBL9
2030	255,000	4.000	2.800	109.249	13049RBM7
2031	265,000	4.000	2.890	109.367	13049RBN5
2032	280,000	4.000	2.940	109.669 ^C	13049RBP0

\$3,445,000 4.000% Term Bonds due November 15, 2042; Priced 107.979%^{CC} to yield 3.120%

CUSIP[†]: 13049RBQ8

\$11,480,000 4.000% Term Bonds due November 15, 2052; Priced 106.472%^{CC} to yield 3.280%

CUSIP[†]: 13049RBR6

\$12,405,000 4.000% Term Bonds due November 15, 2056; Priced 105.544%^{CC} to yield 3.380%

CUSIP[†]: 13049RBS4

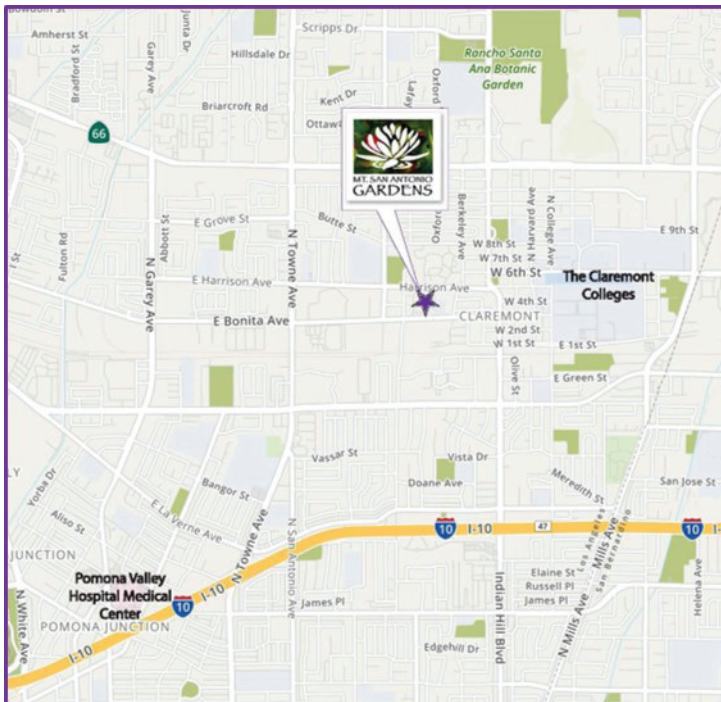
\$14,750,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
SENIOR LIVING REVENUE BONDS
(MT. SAN ANTONIO GARDENS PROJECT), SERIES 2022B
TAX EXEMPT MANDATORY PAYDOWN SECURITIES

	MATURITY DATE (NOVEMBER 15)	PRINCIPAL AMOUNT	INTEREST RATE (%)	YIELD (%)	PRICE (%)	CUSIP [†]
Series 2022B-1	2027	\$6,000,000	2.750	2.750	100.000	13049RBT2
Series 2022B-2	2026	\$8,750,000	2.125	2.125	100.000	13049RBU9

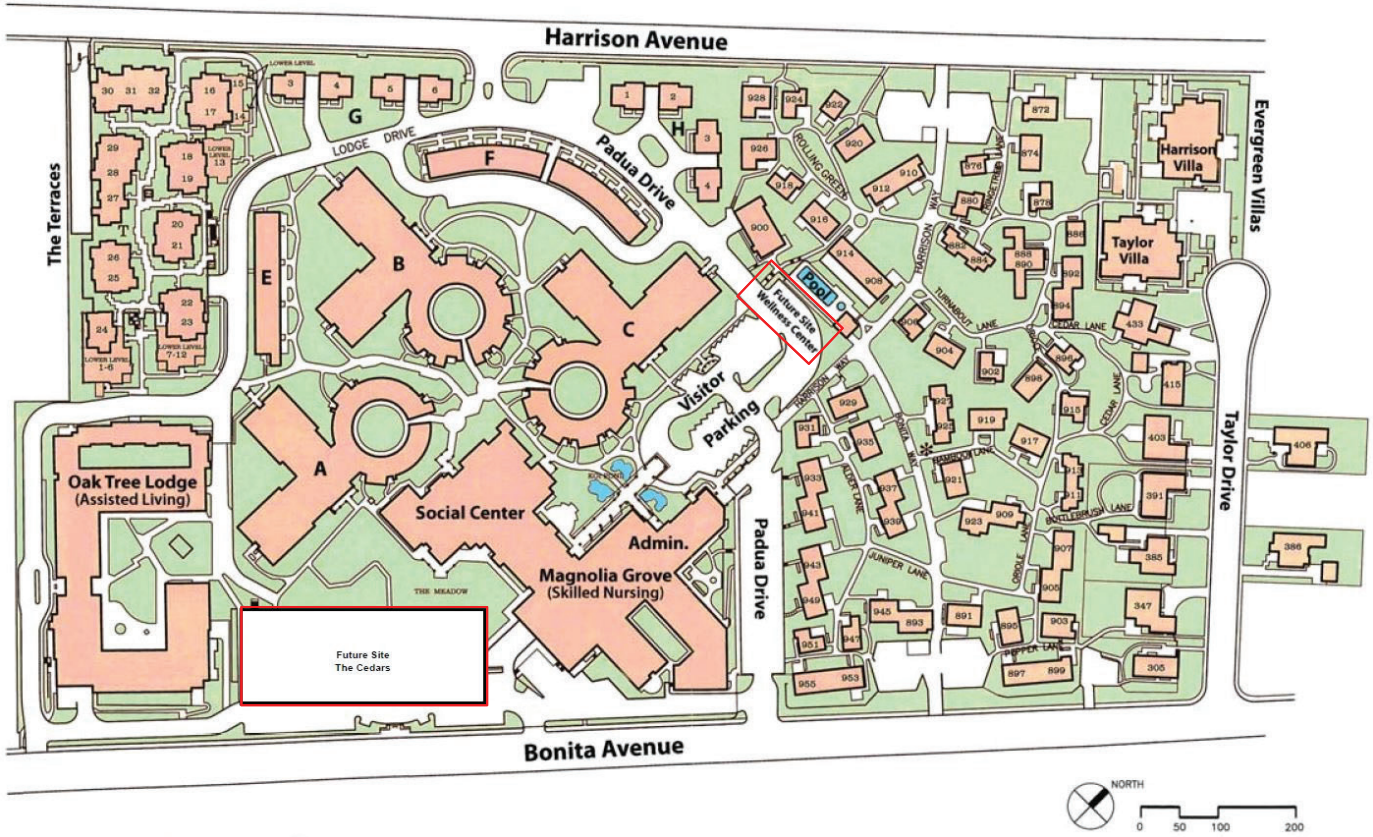
[†] A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services ("CGS") managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.

^C Priced to the optional redemption date of November 15, 2030.

^{CC} Priced to par call date of November 15, 2032.



Campus Map



Entryway



Community Koi Pond



Independent Living Interior



Independent Living Interior

Renderings of The Cedars



Aerial View



Meadow View



Street View

Wellness Center Rendering (Under Construction)



This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon.

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “LITIGATION—The Authority” has been furnished by the Authority. The Authority does not warrant the accuracy of the statements contained herein relating to the Corporation nor does it directly or indirectly guarantee, endorse or warrant (1) the creditworthiness or credit standing of the Corporation, (2) the sufficiency of the security for the Bonds or (3) the value or investment quality of the Bonds. The Authority makes no representations or warranties whatsoever with respect to any information contained therein except for the information under the sections entitled “THE AUTHORITY” and “LITIGATION—The Authority.” The information relating to DTC and the book-entry system set forth herein under the captions “THE BONDS—Description of the Bonds” and in APPENDIX G hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Corporation. All other information set forth herein has been obtained from the Corporation and other sources that are believed to be reliable, but the information herein, other than that described as being provided by the Authority in the first sentence of this paragraph, is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Authority. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall create under any circumstances any indication that there has been no change in the affairs of the Authority, the Corporation or DTC since the date hereof. The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. This Official Statement is submitted in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose.

THE BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, AND NEITHER THE BOND INDENTURE NOR THE MASTER INDENTURE HAS NOT BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS. THE REGISTRATION OR QUALIFICATION OF THE BONDS IN ACCORDANCE WITH APPLICABLE PROVISIONS OF LAWS OF THE STATES IN WHICH BONDS HAVE BEEN REGISTERED OR QUALIFIED AND THE EXEMPTION FROM REGISTRATION OR QUALIFICATION IN OTHER STATES CANNOT BE REGARDED AS A RECOMMENDATION THEREOF. NEITHER THE AUTHORITY, THE STATE OF CALIFORNIA, NOR ANY POLITICAL SUBDIVISION THEREOF PASSED UPON THE MERITS OF THE BONDS OR THE ACCURACY OR COMPLETENESS OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THAT WHICH OTHERWISE MIGHT PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CAUTIONARY STATEMENTS REGARDING
FORWARD-LOOKING STATEMENTS IN
THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF FINANCING” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and the statements contained under the caption “MANAGEMENT’S DISCUSSION AND ANALYSIS OF OPERATIONS” in APPENDIX A — “INFORMATION CONCERNING CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS” and APPENDIX G — “BOOK-ENTRY SYSTEM” to this Official Statement. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Corporation does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based occur or do not occur.

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OFFICIAL STATEMENT

\$29,030,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
SENIOR LIVING REVENUE BONDS
(MT. SAN ANTONIO GARDENS PROJECT), SERIES 2022A**

\$6,000,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
SENIOR LIVING REVENUE BONDS
(MT. SAN ANTONIO GARDENS PROJECT), SERIES 2022B-1
TAX EXEMPT MANDATORY
PAYDOWN SECURITIES (TEMPS-85SM)**

\$8,750,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
SENIOR LIVING REVENUE BONDS
(MT. SAN ANTONIO GARDENS PROJECT), SERIES 2022B-2
TAX EXEMPT MANDATORY
PAYDOWN SECURITIES (TEMPS-50SM)**

INTRODUCTORY STATEMENT

The following introductory statement is subject in all respects to the more complete information set forth in this Official Statement. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive and are qualified in their entirety by reference to each document. All capitalized terms used in this Official Statement and not otherwise defined herein have the same meaning as in the Bond Indenture or the Master Indenture (each as defined herein), as applicable. See APPENDIX C and APPENDIX D hereto. This Official Statement speaks only as of its date, and the information contained herein is subject to change.

PURPOSE OF THIS OFFICIAL STATEMENT

This Official Statement, including the cover page and the appendices hereto, is provided to furnish information in connection with the sale and delivery of (a) \$29,030,000 aggregate principal amount of California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022A (the “*Series 2022A Bonds*”), (b) \$6,000,000 aggregate principal amount of California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-1 Tax Exempt Mandatory Paydown Securities (TEMPS-85SM) (the “*Series 2022B-1 Bonds*”), and (c) \$8,750,000 aggregate principal amount of California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-2 Tax Exempt Mandatory Paydown Securities (TEMPS-50SM) (the “*Series 2022B-2 Bonds*” and, together with the Series 2022B-1 Bonds, the “*Series 2022B Bonds*”). The Series 2022A Bonds and the Series 2022B Bonds are collectively referred to herein as the “*Bonds*.” The Bonds will be issued under the JPA Act (as defined herein), and pursuant to and secured by a Bond Indenture, dated as of February 1, 2022 (the

SM TEMPS-85 and TEMPS-50 are service marks of B.C. Ziegler and Company.

“Indenture”), between the California Municipal Finance Authority (the *“Authority”*) and The Bank of New York Mellon Trust Company, N.A., as bond trustee (the *“Bond Trustee”*). The Authority will loan the proceeds of the Bonds to Congregational Homes, Inc. d/b/a Mt. San Antonio Gardens, a California nonprofit public benefit corporation (the *“Corporation”*), which loan will be evidenced by a Loan Agreement, dated as of February 1, 2022 (the *“Loan Agreement”*), between the Authority and the Corporation.

The Corporation will use the proceeds of the Bonds, together with other available funds, to (i) finance the construction, improvement, renovation and equipping of new independent living units and related facilities and amenities (the *“Project”*) at the continuing care retirement community owned and operated by the Corporation; (ii) pay a portion of the interest on the Bonds during the construction of the Project; and (iii) pay certain costs incurred in connection with the issuance of the Bonds. See “PLAN OF FINANCING” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

THE AUTHORITY

For a description of the Authority, see “THE AUTHORITY” herein.

THE CORPORATION

The Corporation is a California nonprofit public benefit corporation that owns and operates a continuing care retirement community known as Mt. San Antonio Gardens (the *“Gardens”*), located in Claremont and Pomona, California. The Gardens consists of independent living homes, cottages and apartments, assisted living facilities, skilled nursing facilities, a memory care facility and various wellness amenities. The Corporation is exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986, as amended (the *“Code”*), as an organization described in Section 501(c)(3) of the Code. For additional information regarding the Corporation, see APPENDIX A — “INFORMATION CONCERNING CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS” and APPENDIX B — “AUDITED FINANCIAL STATEMENTS OF CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS AS OF AND FOR THE FISCAL YEARS ENDED SEPTEMBER 30, 2019, 2020 AND 2021.”

SECURITY FOR THE BONDS

The Bonds are limited obligations of the Authority payable solely from Revenues received by the Bond Trustee and amounts held by the Bond Trustee under the Bond Indenture (other than the Rebate Fund). Revenues generally consist of Loan Repayments to be made by the Corporation under the Loan Agreement. In the Loan Agreement, the Corporation agrees to make the Loan Repayments to the Bond Trustee, which payments, in the aggregate, are required to be in an amount sufficient for the payment in full of all amounts payable with respect to the Bonds, including the total interest payable on the Bonds to the respective dates of maturity of the Bonds or earlier redemption, the principal (or Redemption Price) of the Bonds, less any amounts available for such payment as provided in the Bond Indenture. The Bonds are otherwise payable from investment earnings and proceeds of insurance or condemnation awards, each in the manner and to the extent set forth in the Bond Indenture. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

The Corporation’s obligations under the Loan Agreement with respect to the Series 2022A Bonds will be secured by Direct Note Obligation No. 2 (the *“Series 2022A Obligation”*) in the original principal amount of \$29,030,000, issued pursuant to the Master Trust Indenture dated as of July 1, 2019, as previously supplemented and amended (the *“Original Master Indenture”*) and as supplemented and amended by the Second Supplemental Master Trust Indenture dated as of February 1, 2022 (the *“Second Supplemental Master Indenture”*) and, together with the Original Master Indenture, the *“Master*

Indenture”), each between the Corporation, as the sole member of the Obligated Group created thereunder, and The Bank of New York Mellon Trust Company, N.A., as master trustee (the “*Master Trustee*”). The Corporation’s obligations under the Loan Agreement with respect to the Series 2022B Bonds will be secured by Direct Note Obligation No. 3 (the “*Series 2022B Obligation*” and, together with the Series 2022A Obligation, the “*Series 2022 Obligations*”) in the original principal amount of \$14,750,000 issued pursuant to the Master Indenture. The Authority will pledge and assign certain of its rights under the Loan Agreement and the Series 2022 Obligations to the Bond Trustee as security for the Bonds.

The Authority previously issued its \$31,610,000 aggregate original principal amount Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2019, \$30,550,000 of which are currently outstanding (the “*Series 2019 Bonds*”), to, among other things, refinance indebtedness of the Corporation and finance the costs of renovating the continuing care retirement community owned and operated by the Corporation. In connection with the issuance of the Series 2019 Bonds, the Corporation previously issued its Direct Note Obligation No. 1 (the “*Series 2019 Obligation*”) pursuant to the Master Indenture as security for the Series 2019 Bonds.

Upon the issuance of the Bonds, the Series 2019 Obligation and the Series 2022 Obligations will be the only Obligations outstanding under the Master Indenture.

Pursuant to the Master Indenture, the Obligations of the Members of the Obligated Group issued under the Master Indenture will be secured by a pledge of the Gross Revenues of the Obligated Group. “*Gross Revenues*” means all receipts, revenues, income and other money received by or on behalf of any Member of the Obligated Group from any source whatsoever, including, but not limited to, (a) revenues derived from the operation and possession of each Member’s Facilities, including without limitation, all accounts, Entrance Fees (earned and unearned), if any, monthly service fees and all other operating and non-operating revenues, (b) gifts, bequests, grants, donations and contributions, exclusive of any gifts, bequests, grants, donations or contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Required Payments or for the payment of operating expenses, and (c) revenues derived from (1) condemnation proceeds, (2) any gain on the sale or other disposition of property by a Member, (3) inventory and other tangible and intangible property, (4) private and governmental health care reimbursement programs and agreements, (5) insurance proceeds, (6) contract rights and other rights now or hereafter owned by each Member, and (7) realized investment earnings; and all of the foregoing, whether now existing or hereafter coming into existence and whether now owned or hereafter acquired by a Member.

The Corporation is currently the only Member of the Obligated Group, and the Corporation does not currently have plans to add Members to the Obligated Group.

To secure the performance of its obligations under the Master Indenture, the Corporation has also executed and delivered that certain Deed of Trust, With Assignment of Leases and Rents, Fixture Filing and Security Agreement, dated as of July 1, 2019 (the “*Deed of Trust*”), naming the Master Trustee as beneficiary. The Deed of Trust creates a first mortgage lien on the Corporation’s campus, all subject to Permitted Encumbrances. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — The Master Indenture and the Deed of Trust.” See also “SUMMARY OF MASTER INDENTURE AND DEED OF TRUST” in APPENDIX C hereto.

ADDITIONAL OBLIGATIONS AND ADDITIONAL INDEBTEDNESS

In certain circumstances, the Corporation or any future Member of the Obligated Group may issue Additional Indebtedness (including Guaranties), which may, but need not, be evidenced or secured

by an additional Obligation issued under the Master Indenture that will be equally and ratably secured with the Series 2022 Obligations, or that may be entitled to the benefit of security in addition to that securing the Series 2022 Obligations, which security need not be extended to any other Obligations. The Master Indenture requires that the Obligated Group meet certain operating and financial tests prior to issuing new indebtedness or entering in certain other transactions. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Certain Covenants of the Obligated Group” below and “SUMMARY OF MASTER INDENTURE AND DEED OF TRUST — Limitations on Additional Indebtedness” in APPENDIX C hereto.

DEBT SERVICE COVERAGE RATIO; LIQUIDITY COVENANT

Pursuant to the Master Indenture, the Members of the Obligated Group have covenanted to maintain a Debt Service Coverage Ratio of at least 1.20:1. In addition, the Obligated Group has covenanted in the Master Indenture to maintain 150 Days Cash on Hand, which will be tested as of March 31 and September 30 of each year. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Certain Covenants of the Obligated Group” below and “SUMMARY OF MASTER INDENTURE AND DEED OF TRUST — Rate Covenant” and “— Liquidity Covenant” in APPENDIX C hereto.

PROPOSED AMENDMENTS TO THE MASTER INDENTURE

The Master Indenture permits amendments to be made thereto with the consent of not less than a majority in aggregate principal amount of the Outstanding Obligations under the Master Indenture. The Second Supplemental Master Indenture contains amendments to the Master Indenture that will become effective upon receipt by the Master Trustee of the consent of not less than a majority in aggregate principal amount of the Outstanding Obligations under the Master Indenture. **By purchasing the Bonds, the owners of the Bonds and the Bond Trustee, as the holder of the Series 2022 Obligations, will be deemed to have consented to such proposed amendments. Such consent of the holders of the Series 2022 Obligations will constitute the consent of not less than a majority in aggregate principal amount of the Outstanding Obligations, and the proposed amendments will become effective upon the issuance of the Bonds.** The proposed amendments to the Master Indenture are reflected throughout this Official Statement.

For a complete description of the proposed amendments, see “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Certain Covenants of the Obligated Group — Rate Covenant” and “— Liquidity Covenant” below.

CONTINUING DISCLOSURE

The Corporation will enter into an undertaking (the “*Continuing Disclosure Agreement*”) for the benefit of the Bondholders to provide certain information and to provide notice of certain events to the Municipal Securities Rulemaking Board (the “*MSRB*”) on its Electronic Municipal Market Access System (“*EMMA*”). For further information, see “CONTINUING DISCLOSURE” herein. The Authority has not made and will not make any provision to provide any annual financial statements or other credit information of the Authority or the Corporation to investors on a periodic basis.

BONDHOLDERS’ RISKS

There are risks associated with the purchase of the Bonds. For a discussion of certain of these risks, see “BONDHOLDERS’ RISKS” herein. A prospective owner is advised to read this Official Statement for a discussion of certain risks to Bondholders, which should be considered in connection with an investment in the Bonds. Among other things, careful evaluation should be made of certain factors that

may adversely affect the ability of the Corporation to generate sufficient revenues to pay expenses of operation, including the principal of, premium, if any, and interest on the Bonds. Careful consideration should be given to these risks and other risks described elsewhere in this Official Statement.

THE AUTHORITY

Under Title 1, Division 7, Chapter 5 of the California Government Code (the “*JPA Act*”), certain California cities, counties and special districts have entered into a joint exercise of powers agreement (the “*JPA Agreement*”) forming the Authority for the purpose of exercising the powers common to the members and exercising the additional powers granted to the Authority by the JPA Act and any other applicable provisions of California law. Under the JPA Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness, for any purpose or activity permitted under the JPA Act or any other applicable law.

The Authority may sell and deliver obligations other than the Bonds. These obligations will be secured by instruments separate and apart from the Bond Indenture, the Loan Agreement, the Master Indenture, and the Deed of Trust, and the holders of such other obligations of the Authority will have no claim on the security for the Bonds. Likewise, the Holders of the Bonds will have no claim on the security for such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors has furnished, reviewed, investigated or verified the information contained in this Official Statement other than the information contained in this section and the section entitled “LITIGATION — The Authority.” The Authority does not and will not in the future monitor the financial condition of the Corporation or otherwise monitor payment of the Bonds or compliance with the documents relating thereto. Any commitment or obligation for continuing disclosure with respect to the Bonds or the Corporation has been undertaken solely by the Corporation. See “CONTINUING DISCLOSURE” herein.

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof and to the Bond Indenture for all of the provisions relating to the Bonds. The discussion herein is qualified by such reference. Certain capitalized terms used herein that are taken from the Bond Indenture have the meanings set forth in APPENDIX D — “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT — DEFINITIONS OF CERTAIN TERMS.”

DESCRIPTION OF THE BONDS

The Bonds are dated their date of issuance. The Bonds will bear interest from their date of issuance, payable on May 15 and November 15 in each year (each an “*Interest Payment Date*”), commencing on May 15, 2022. The Bonds bear interest at the rate per annum and mature (subject to the redemption provisions described below) as set forth on the inside cover page hereof. Interest shall be calculated on a three hundred sixty-day year basis of twelve thirty-day months. The Bonds will be issued only as fully registered bonds without coupons in the denominations of \$5,000 or any integral multiple thereof.

For a description of the method of payment of principal of and interest on the Bonds and matters pertaining to transfers and exchanges while in the Book-Entry System, see the information in Appendix G. In the event the Book-Entry System is discontinued, the following provisions would apply. The principal of the Bonds payable upon maturity or redemption are payable at the Corporate Trust Office of the Bond Trustee upon presentation and surrender of the Bonds to be paid. Interest payments on any

Bond shall be made on each Interest Payment Date to the registered owner thereof as of the first (1st) day of the calendar month (whether or not a Business Day) in which the related Interest Payment Date falls (the "*Record Date*") (except with respect to interest in default for which a special record date shall be established) by check mailed to such owner at such owner's address as it appears on the registration books which are maintained by the Bond Trustee. In addition, any Holder of \$1,000,000 or more in aggregate principal amount of Bonds may request that any principal or interest payment be made by wire transfer in immediately available funds to an account within the United States designated by such Holder by delivering to the Bond Trustee a written request no later than one Business Day prior to the applicable Record Date.

REGISTRATION, TRANSFER AND EXCHANGE

In the event that the Book-Entry System is discontinued, the following provisions also would apply. The Bonds may be transferred upon surrender of the Bonds at the Corporate Trust Office of the Bond Trustee, accompanied by a written instrument of transfer satisfactory to the Bond Trustee that has been executed by the registered owner or such owner's legal representative duly authorized in writing. The Bonds, upon presentation thereof at the Corporate Trust Office of the Bond Trustee, may also be exchanged for other Bonds of other authorized denominations of the same maturity having the same form, terms, interest rates, maturity and aggregate principal amount as the Bonds being exchanged. The Bond Trustee shall require the payment by the Bondholder requesting such exchange or transfer of any tax or governmental charge required to be paid with respect to such exchange or transfer. The Bond Trustee shall not be required to transfer or exchange any Bond after such Bond has been called for redemption nor during the period of 15 days next preceding the giving of notice of redemption for such Bond.

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REDEMPTION OF THE BONDS

The Bonds are subject to mandatory sinking account, mandatory entrance fee, optional and extraordinary redemption, and purchase in lieu of redemption, all as described below.

Mandatory Sinking Account Redemption Without Premium. The Series 2022A Bonds maturing on November 15, 2042, the Series 2022A Bonds maturing on November 15, 2052 and the Series 2022A Bonds maturing on November 15, 2056, are subject to mandatory redemption prior to their respective stated maturities, in part, by lot, from Mandatory Sinking Account Payments and on the dates established in the Bond Indenture for the Series 2022A Bonds, as provided below, at a price equal to the principal amount of the Series 2022A Bonds to be redeemed together with interest accrued thereon to the date fixed for redemption, without premium.

Series 2022A Bonds due November 15, 2042

YEAR (NOVEMBER 15)	PRINCIPAL AMOUNT
2033	\$285,000
2034	295,000
2035	310,000
2036	320,000
2037	335,000
2038	355,000
2039	365,000
2040	380,000
2041	390,000
2042 [†]	410,000

[†] Maturity

Series 2022A Bonds due November 15, 2052

YEAR (NOVEMBER 15)	PRINCIPAL AMOUNT
2043	\$430,000
2044	445,000
2045	460,000
2046	480,000
2047	500,000
2048	520,000
2049	540,000
2050	2,595,000
2051	2,700,000
2052 [†]	2,810,000

[†] Maturity

Series 2022A Bonds due November 15, 2056

YEAR (NOVEMBER 15)	PRINCIPAL AMOUNT
2053	\$2,920,000
2054	3,040,000
2055	3,160,000
2056 [†]	3,285,000

[†] Maturity

The Series 2022B Bonds are not redeemable with sinking fund payments prior to their maturity. See “*Mandatory Entrance Fee Redemption*” below.

Optional Redemption. The Series 2022A Bonds maturing on or after November 15, 2030, are subject to optional redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised only upon request of the Corporation to the Bond Trustee given at least 35 days prior to the date fixed for redemption, unless waived by the Bond Trustee in its sole discretion), from any source of available funds, as a whole or in part (in such amounts and maturities as may be specified by the Corporation or, if the Corporation fails to designate such maturities, in inverse order of maturity and by lot within a maturity), on any date on or after November 15, 2029, at the redemption prices (expressed as percentages of principal amount being redeemed) set forth in the following table together with interest accrued thereon to the date fixed for redemption.

<u>Redemption Dates</u>	<u>Redemption Prices</u>
November 15, 2029 through November 14, 2030	103%
November 15, 2030 through November 14, 2031	102
November 15, 2031 through November 14, 2032	101
November 15, 2032 and thereafter	100

The Series 2022B-1 Bonds are subject to optional redemption prior to maturity at the option of the Authority (which option shall be exercised only upon request of the Corporation to the Bond Trustee given at least 35 days prior to the date fixed for redemption, unless waived by the Bond Trustee in its sole discretion), from any source of available funds, as a whole or in part, in such amount as may be specified by the Corporation, on any date on or after November 15, 2023, at a redemption price equal to the principal amount of such Series 2022B-1 Bonds to be redeemed, together with interest accrued thereon to the date fixed for redemption.

The Series 2022B-2 Bonds are subject to optional redemption prior to maturity at the option of the Authority (which option shall be exercised only upon request of the Corporation to the Bond Trustee given at least 35 days prior to the date fixed for redemption, unless waived by the Bond Trustee in its sole discretion), from any source of available funds, as a whole or in part, in such amount as may be specified by the Corporation, on any date on or after May 15, 2023, at a redemption price equal to the principal amount of such Series 2022B-2 Bonds to be redeemed, together with interest accrued thereon to the date fixed for redemption.

Mandatory Entrance Fee Redemption. The Series 2022B Bonds are also subject to mandatory redemption monthly (on the 25th day of each calendar month) at a redemption price equal to the principal amount thereof plus interest accrued to the date fixed for redemption, to the extent moneys are on deposit

in the Entrance Fee Redemption Fund as provided and further described in the Bond Indenture. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Entrance Fee Fund.”

The Series 2022B-2 Bonds shall be redeemed first, then if no Series 2022B-2 Bonds remain outstanding, the Series 2022B-1 Bonds shall be redeemed.

Extraordinary Redemption in the Event of Damage, Destruction or Condemnation. The Bonds are subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised only upon request of the Corporation at least 35 days prior to the date fixed for redemption unless waived by the Bond Trustee in its sole discretion) in whole or in part (in such amounts and maturities as may be specified by the Corporation, or, if the Corporation fails to designate such maturities, in inverse order of maturity, and by lot within a maturity), on any date, from hazard insurance and condemnation proceeds received with respect to the facilities of the Corporation and deposited in the Special Redemption Account. Bonds selected for redemption as described above shall be redeemed at a redemption price equal to 100% of the principal amount of the Bonds called for redemption, together with interest accrued thereon to the date fixed for redemption.

Extraordinary Redemption from Unspent Project Proceeds. The Bonds are also subject to redemption prior to their respective stated maturities at the option of the Authority (which option shall be exercised upon request of the Corporation at least 25 days prior to the date fixed for redemption unless waived by the Bond Trustee in its sole discretion), in whole or in part, on any date, from unspent proceeds of the Bonds transferred to the Optional Redemption Account from the Project Fund in accordance with the Bond Indenture, at a redemption price equal to 100% of the principal of the Bonds called for redemption plus unamortized original issue premium, if any, together with interest accrued thereon to the date fixed for redemption.

Purchase in Lieu of Redemption. Each Holder or Beneficial Owner, by purchase and acceptance of any Bond, irrevocably grants to the Corporation the option to purchase such Bond at any time such Bond is subject to optional redemption as described above. Such Bond is to be purchased at a purchase price equal to the then applicable redemption price of such Bond. The Corporation shall also deliver a Favorable Opinion of Bond Counsel to the Bond Trustee, and shall direct the Bond Trustee to provide notice of mandatory purchase, such notice to be provided, as and to the extent applicable, in accordance with the provisions of the Bond Indenture regarding notice of redemption and to select Bonds subject to mandatory purchase in the same manner as Bonds called for redemption pursuant to the Bond Indenture. On the date fixed for purchase of any Bond in lieu of redemption, the Corporation shall pay the purchase price of such Bond to the Bond Trustee in immediately available funds, and the Bond Trustee shall pay the same to the Holders of the Bonds being purchased against delivery thereof. No purchase of any Bond in lieu of redemption shall operate to extinguish the indebtedness of the Corporation evidenced by such Bond. No Holder or Beneficial Owner may elect to retain a Bond subject to mandatory purchase in lieu of redemption. The Corporation may exercise its option to purchase Bonds, in whole or in part, in accordance with the purchase in lieu of redemption provisions described in this paragraph.

SELECTION OF BONDS FOR REDEMPTION OR PURCHASE

In the event that less than all of the Bonds or portions thereof are to be redeemed, Bonds to be redeemed will be selected first from any Outstanding Series 2022B-2 Bonds, then from any Outstanding Series 2022B-1 Bonds and then from any Outstanding Series 2022A Bonds.

Whenever provision is made in the Bond Indenture for the redemption or purchase in lieu of redemption of less than all of the Bonds of any maturity or any given portion thereof, the Bond Trustee shall select the Bonds to be redeemed from all Bonds subject to redemption or purchase or such given

portion thereof not previously called for redemption or purchase, by lot within a maturity, in such manner as deemed appropriate by the Bond Trustee; *provided, however*, that in such cases as provided in the Bond Indenture where the Corporation is to specify the maturities of Bonds to be redeemed or purchased, the Bond Trustee shall redeem or purchase Bonds in accordance with any such specification.

NOTICE OF REDEMPTION OR PURCHASE

If any Bonds are to be redeemed or purchased, notice of redemption or purchase in accordance with the Bond Indenture shall be given by mailing of a notice by first-class mail at least 20 days but not more than 50 days prior to the date fixed for redemption/purchase to (i) the Authority, (ii) the Holders of each of the Bonds to be redeemed or purchased at the address shown on the registration books of Bond Trustee, and (iii) the Securities Depository and the securities information services designated by the Corporation. The notice shall state that on such redemption or purchase date there will become due and payable on each said Bond the Redemption Price thereof, or, in the case of a Bond to be redeemed in part only, the specified portion of the principal amount thereof, together with interest accrued thereon, and that from and after the redemption or purchase date specified in the notice, interest on the Bonds, or portions thereof, thus called shall cease to accrue, and that such Bonds shall be surrendered.

Any notice of optional redemption or purchase may be conditional and may be rescinded by written notice given by the Corporation to the Bond Trustee no later than five Business Days prior to the date specified for redemption or purchase. The Bond Trustee shall give notice of such rescission as soon thereafter as practicable to the same parties and in the same manner as the notice of redemption or purchase was given as described above. The Corporation may also instruct the Bond Trustee to provide conditional notice of redemption, where the Bonds may be redeemed only upon receipt of moneys or any other event. If the conditions for such redemption are not satisfied, the Bond Trustee shall revoke such notice by the same means and to the same parties as the conditional notice of redemption, and the Bonds shall remain outstanding.

Failure by the Bond Trustee to mail notice of redemption or purchase to any one or more of the respective Holders of any Bonds designated for redemption or purchase (or failure by any Bondholder to receive notice) or to the Securities Depository and the securities information services designated by the Corporation to comply with custom or the rules or any securities and exchange commission or brokerage board shall not affect the sufficiency of the proceedings for redemption or purchase with respect to the Holders to whom notice was mailed.

EFFECT OF REDEMPTION

Notice of redemption having been duly given according to the Bond Indenture, and moneys for payment of the Redemption Price of, together with interest accrued to the redemption date on, the Bonds (or portions thereof) so called for redemption being held by the Bond Trustee, on the redemption date designated in such notice, the Bonds (or portions thereof) so called for redemption shall become due and payable at the Redemption Price specified in such notice and interest accrued thereon to the redemption date, interest on the Bonds so called for redemption shall cease to accrue, said Bonds (or portions thereof) shall cease to be entitled to any benefit or security under the Bond Indenture, and the Holders of said Bonds shall have no rights in respect thereof except to receive payment of said Redemption Price and interest accrued to the date fixed for redemption from funds held by the Bond Trustee for such payment. All Bonds so redeemed shall be cancelled upon surrender thereof.

ESTIMATED ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each Bond Year ending November 15, the estimated amounts required to be made available for the payment of principal due on the Bonds at maturity or by mandatory sinking fund redemption and for the anticipated payment of principal of the Series 2022B Bonds from anticipated Entrance Fees in compliance with the requirements of the Master Indenture and for the payment of interest on the Bonds. Pursuant to the relevant provisions of the Master Indenture, the Obligated Group anticipates prepaying the Series 2022B-2 Bonds and the Series 2022B-1 Bonds (in that order) from Entrance Fees prior to their stated maturity. The actual timing of the prepayment of the Series 2022B Bonds may differ from the assumptions below because of timing differences in the actual receipt of Entrance Fees. See “THE BONDS — REDEMPTION OF THE BONDS — *Mandatory Entrance Fee Redemption*” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Entrance Fee Fund” herein. The following table also sets forth, for each Bond Year ending November 15, the amounts required to be made available for the payment of principal of and interest on the Series 2019 Bonds. All amounts shown below have been rounded to the nearest whole dollar.

BOND YEAR ENDING NOVEMBER 15,	SERIES 2022A BONDS		SERIES 2022B-1 BONDS ⁽¹⁾		SERIES 2022B-2 BONDS ⁽¹⁾		SERIES 2019 BONDS	TOTAL DEBT SERVICE
	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST		
2022	-	\$874,399	-	\$123,292	-	\$138,937	\$2,035,800	\$3,172,428
2023	-	1,170,200	-	165,000	-	185,938	2,038,400	3,559,538
2024	-	1,170,200	\$6,000,000	83,417	\$8,750,000	37,368	2,035,000	18,075,984
2025	-	1,170,200	-	-	-	-	2,035,800	3,206,000
2026	\$210,000	1,170,200	-	-	-	-	2,035,600	3,415,800
2027	220,000	1,159,700	-	-	-	-	2,039,400	3,419,100
2028	230,000	1,148,700	-	-	-	-	2,037,000	3,415,700
2029	240,000	1,137,200	-	-	-	-	2,038,600	3,415,800
2030	255,000	1,125,200	-	-	-	-	2,039,000	3,419,200
2031	265,000	1,115,000	-	-	-	-	2,035,500	3,415,500
2032	280,000	1,104,400	-	-	-	-	2,035,250	3,419,650
2033	285,000	1,093,200	-	-	-	-	2,038,000	3,416,200
2034	295,000	1,081,800	-	-	-	-	2,038,500	3,415,300
2035	310,000	1,070,000	-	-	-	-	2,036,750	3,416,750
2036	320,000	1,057,600	-	-	-	-	2,037,750	3,415,350
2037	335,000	1,044,800	-	-	-	-	2,036,250	3,416,050
2038	355,000	1,031,400	-	-	-	-	2,032,250	3,418,650
2039	365,000	1,017,200	-	-	-	-	2,035,750	3,417,950
2040	380,000	1,002,600	-	-	-	-	2,036,250	3,418,850
2041	390,000	987,400	-	-	-	-	2,038,750	3,416,150
2042	410,000	971,800	-	-	-	-	2,038,000	3,419,800
2043	430,000	955,400	-	-	-	-	2,034,000	3,419,400
2044	445,000	938,200	-	-	-	-	2,036,750	3,419,950
2045	460,000	920,400	-	-	-	-	2,035,750	3,416,150
2046	480,000	902,000	-	-	-	-	2,036,000	3,418,000

2047	500,000	882,800	-	-	-	-	2,037,250	3,420,050
2048	520,000	862,800	-	-	-	-	2,034,250	3,417,050
2049	540,000	842,000	-	-	-	-	2,037,000	3,419,000
2050	2,595,000	820,400	-	-	-	-	-	3,415,400
2051	2,700,000	716,600	-	-	-	-	-	3,416,600
2052	2,810,000	608,600	-	-	-	-	-	3,418,600
2053	2,920,000	496,200	-	-	-	-	-	3,416,200
2054	3,040,000	379,400	-	-	-	-	-	3,419,400
2055	3,160,000	257,800	-	-	-	-	-	3,417,800
2056	3,285,000	131,400	-	-	-	-	-	3,416,400
	<u>\$29,030,000</u>	<u>\$32,417,199</u>	<u>\$6,000,000</u>	<u>\$371,708</u>	<u>\$8,750,000</u>	<u>\$362,242</u>	<u>\$57,024,600</u>	<u>\$133,955,749</u>

⁽¹⁾ The Series 2022B-1 Bonds will mature on November 15, 2027, and the Series 2022B-2 Bonds will mature on November 15, 2026. The Series 2022B Bonds are not subject to mandatory sinking fund redemption; however, they are subject to mandatory entrance fee redemption, as described herein under the caption “THE BONDS — THE SERIES 2022B BONDS — Mandatory Entrance Fee Redemption.” The Corporation anticipates receipt of Entrance Fees in amounts that will result in mandatory entrance fee redemption of the Series 2022B Bonds as shown in the table above. For further information about expected presales and fill-up of the Project, see APPENDIX A — “THE PROJECT” and APPENDIX H — “FINANCIAL FEASIBILITY REPORT.” The actual timing of receipt of Entrance Fees and mandatory entrance fee redemption of the Series 2022B Bonds may differ from such expectations. Also see “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Entrance Fee Fund” below.

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

GENERAL

The Bonds are limited obligations of the Authority, payable solely from the Revenues pledged under the Bond Indenture for such payment. Revenues consist primarily of Loan Repayments required to be made by the Corporation pursuant to the Loan Agreement in amounts sufficient to pay the principal of and interest on the Bonds when such becomes due. Under the Bond Indenture, the Authority will assign its right, title and interest in the Revenues and other assets pledged pursuant to the Bond Indenture, and in the Loan Agreement and Series 2022 Obligations to the Bond Trustee (except for (i) the right to receive any Administrative Fees and Expenses and Additional Payments to the extent payable to the Authority, (ii) the right of the Authority to any indemnification and expenses under the Loan Agreement, (iii) the obligation of the Corporation to make deposits pursuant to the Tax Certificate, and (iv) any rights of the Authority to receive notices, certificates, reports or opinions, to give consents or approvals or to make inspections). See “BOND INDENTURE — Pledge and Assignment; Revenue Fund” in APPENDIX D.

THE MASTER INDENTURE AND THE DEED OF TRUST

The Master Indenture is intended to provide assurance for the repayment of Obligations entitled to its benefits by imposing financial and operating covenants that restrict the Corporation and any future Members of the Obligated Group and by the appointment of the Master Trustee to enforce such covenants for the benefit of the holders of such Obligations. Upon the issuance of the Bonds, the Series 2019 Obligation and the Series 2022 Obligations will be the only Obligations entitled to the benefits of the Master Indenture. The holders of all Obligations entitled to the benefit of the Master Indenture will be on a parity with respect to the benefits of the Master Indenture.

As of the date of issuance of the Bonds, only the Corporation and the Master Trustee will be parties to the Master Indenture, and the Corporation will be the only Obligated Group Member. The Corporation and each Obligated Group Member that may be admitted in the future will be jointly and severally liable for the payment for all Obligations entitled to the benefits of the Master Indenture and will be subject to the financial and operating covenants thereunder. See “SUMMARY OF MASTER INDENTURE AND DEED OF TRUST — The Obligated Group — Membership in the Obligated Group” and “— Withdrawal from the Obligated Group” in APPENDIX C for a description of the limitations on admission and release of Obligated Group Members.

The Series 2019 Obligation, the Series 2022 Obligations and all Obligations issued under the Master Indenture will be general obligations of the Members of the Obligated Group and will be secured by (i) a security interest in the Gross Revenues of the Obligated Group granted pursuant to the Master Indenture and (ii) a security interest in the Mortgaged Property (as described below) pursuant to the Deed of Trust.

“*Gross Revenues*” means all receipts, revenues, income and other money received by or on behalf of any Member of the Obligated Group from any source whatsoever, including, but not limited to, (a) revenues derived from the operation and possession of each Member’s Facilities, including without limitation, all accounts, Entrance Fees (earned and unearned), if any, monthly service fees and all other operating and non-operating revenues, (b) gifts, bequests, grants, donations and contributions, exclusive of any gifts, bequests, grants, donations or contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Required Payments or for the payment of operating expenses, and (c) revenues derived from (1) condemnation proceeds, (2) any gain

on the sale or other disposition of property by a Member, (3) inventory and other tangible and intangible property, (4) private and governmental health care reimbursement programs and agreements, (5) insurance proceeds, (6) contract rights and other rights now or hereafter owned by each Member, and (7) realized investment earnings; and all of the foregoing, whether now existing or hereafter coming into existence and whether now owned or hereafter acquired by a Member.

Each Member covenants and agrees in the Master Indenture that, so long as any Obligation remains Outstanding, all of the Gross Revenues of the Obligated Group shall be deposited as soon as practicable upon receipt in a fund (in one or more accounts at such banking institution or institutions as the Obligated Group Representative shall from time to time designate in writing to the Master Trustee for such purpose (the "*Depository Bank(s)*") designated as the "*Gross Revenue Fund*" which the Members shall establish and maintain, subject to the provisions of the next paragraph. Subject only to the provisions of the Master Indenture permitting the application of the Gross Revenue Fund for the purposes and on the terms and conditions set forth in the Master Indenture, each Member has pledged, and, to the extent permitted by law has granted a security interest to the Master Trustee in, the Gross Revenue Fund and all of the Gross Revenues of the Obligated Group to secure the payment of Required Payments and the performance by the Members of their other obligations under the Master Indenture; provided however that each Member may create, assume or suffer to exist Permitted Encumbrances. Each Member has covenanted to execute, and the Corporation, as the sole Obligated Group Member, will execute in connection with the issuance of the Bonds, a depository account control agreement with each Depository Bank, and shall execute and deliver such other documents as may be necessary in order to perfect or maintain as perfected such security interest or give public notice thereof.

Amounts in the Gross Revenue Fund may be used and withdrawn by any Member at any time for any lawful purpose, except as provided in this paragraph. If any Member is delinquent for more than one Business Day in the payment of any Required Payment with respect to any Obligation, the Master Trustee shall notify the Obligated Group Representative and the Depository Bank(s) of such delinquency, and, unless such Required Payment is paid, or provision for payment is duly made in a manner satisfactory to the Master Trustee in its sole discretion, within five days after receipt of such notice, the Obligated Group Representative or the appropriate Member shall cause the Depository Bank(s) to transfer the Gross Revenue Fund to the name and credit of the Master Trustee or otherwise administer the Gross Revenue Fund as provided in any deposit account control agreement or similar document. The Master Trustee shall continue to hold the Gross Revenue Fund until amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Required Payments in default and all other Events of Default actually known to a Responsible Officer of the Master Trustee shall have been made good or cured to the satisfaction of the Master Trustee in its sole discretion or provision deemed by the Master Trustee in its sole discretion to be adequate shall have been made therefor, whereupon the Gross Revenue Fund (except for the Gross Revenues required to make such payments or cure such defaults) shall be returned to the name and credit of the appropriate Members. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Master Trustee shall use and withdraw amounts in said fund from time to time to make Required Payments as such payments become due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments due on any date, then to the payment of debt service on Obligations ratably, without any discrimination or preference, and to such other payments in the order which the Master Trustee, in its discretion, shall determine to be in the best interests of the Holders, without discrimination or preference. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Members shall not be entitled to use or withdraw any of the Gross Revenues of the Obligated Group unless and to the extent that the Master Trustee at its sole discretion so directs for the payment of current or past due operating expenses of the Members; provided, however, that the Members shall be entitled to use or withdraw any amounts in the Gross Revenue Fund which do not constitute Gross Revenues of the Obligated Group.

Notwithstanding such security interest in the Obligated Group's Gross Revenues, the Members of the Obligated Group may sell or otherwise transfer Gross Revenues and create Permitted Encumbrances thereon, in accordance with the provisions of the Master Indenture. See "DEFINITIONS OF CERTAIN TERMS — Permitted Encumbrances" in APPENDIX C. Also see "BONDHOLDERS' RISKS — Certain Matters Relating to Enforceability of Security Interest in Gross Revenues."

The property mortgaged pursuant to the Deed of Trust (collectively, the "*Mortgaged Property*") consists of (a) the real property upon which the Gardens' is constructed and all buildings, structures, improvements, fixtures, equipment and appurtenances located upon such real property (collectively, the "*Facilities*"), (b) all appurtenances, improvements, easements and other rights used in connection with such real property and Facilities, (c) all machinery, equipment, goods and other personal property of the Corporation, whether movable or not, if the same is located at, or used in connection with, the Facilities or the appurtenances thereto, (d) to the extent assignable, all leases, subleases, management agreements, development agreements, construction contracts and architectural agreements with respect to such real property, the Facilities, the appurtenances thereto and equipment, (e) all rentals or other payments which may now or hereafter accrue or otherwise become payable under leases to or for the benefit of the Corporation and (f) the other property mortgaged pursuant to the Deed of Trust, all subject to Permitted Encumbrances. The total Book Value of the Mortgaged Property constitutes approximately 100 percent of the Book Value of all Property, Plant and Equipment of the Obligated Group as of September 30, 2021. There can be no assurance that the Book Value of the Mortgaged Property would be realized upon its disposition or at foreclosure. In the future, the value of the Mortgaged Property could be substantially less than the principal amount of Obligations outstanding under the Master Indenture. In connection with the issuance of the Bonds, the Corporation will deliver a lender's title insurance policy for the real property, with the Master Trustee being the named insured. The title policy will be in an amount at least equal to the initial aggregate principal amount of the Bonds. See APPENDIX C—"SUMMARY OF MASTER INDENTURE AND DEED OF TRUST." See also "BONDHOLDERS' RISKS — Title Insurance; Limitations of Remedies under the Deed of Trust."

CERTAIN COVENANTS OF THE OBLIGATED GROUP

In addition to the covenants described below, the Master Indenture contains additional covenants relating to, among others, the maintenance of the Obligated Group's property, the maintenance of the corporate existence of each Member of the Obligated Group, the maintenance of certain levels of insurance coverage, the sale or lease of certain property, the incurrence of additional indebtedness, permitted liens and the delivery of actuarial reports. For a full description of these and other covenants, see "SUMMARY OF MASTER INDENTURE AND DEED OF TRUST" in APPENDIX C hereto.

Rate Covenant. Each Obligated Group Member covenants in the Master Indenture to operate all of its Principal Property in the aggregate on a revenue-producing basis and to charge such fees and rates for its facilities and services and to exercise such skill and diligence as to provide income from its facilities, together with other available funds, so that the Obligated Group as a whole meets the standards set forth in the Master Indenture and summarized herein (the "*Rate Covenant*").

The Members covenant and agree that, within 150 days after the end of each Fiscal Year, the Obligated Group Representative shall compute the Debt Service Coverage Ratio of the Obligated Group and promptly furnish to the Required Information Recipients a Certificate setting forth the results of such computation. If the Debt Service Coverage Ratio of the Obligated Group is less than 1.20:1, the Master Trustee shall require the Obligated Group to select an Independent Consultant, within 30 days of furnishing such calculation, to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group's methods of operation and other factors affecting its financial condition in order to increase such Debt Service Coverage Ratio to at least 1.20:1 for the following Fiscal Year. See "Approval of Consultants" below.

A copy of the Independent Consultant's report and recommendations, if any, shall be filed with the Required Information Recipients within 60 days of engaging such Independent Consultant. Each Member shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Governing Body of such Member) and permitted by law. This provision of the Master Indenture shall not be construed to prohibit any Member from serving indigent patients or residents to the extent required for such Member to continue its qualification as a Tax-Exempt Organization or from serving any other class or classes of patients or residents without charge or at reduced rates so long as such service does not prevent the Obligated Group from satisfying the requirements of the Master Indenture.

Under certain circumstances described in the Master Indenture, the Master Trustee is not obligated to require the Obligated Group to engage an Independent Consultant to make recommendations.

The foregoing notwithstanding, failure of the Obligated Group to achieve the required Debt Service Coverage Ratio of at least 1.20:1 for any Fiscal Year shall not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for retaining an Independent Consultant to prepare a report and adopting a plan and follows each recommendation contained in such report or plan to the extent feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law; provided, however, that it shall be an Event of Default under the Master Indenture if (i) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for any Fiscal Year and the Days Cash on Hand of the Obligated Group as of the last day of such Fiscal Year is less than 250 days or (ii) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for two consecutive Fiscal Years.

Any other provision of the Master Indenture notwithstanding, during the 2022 Project Start-Up Period (as defined below), the calculation of the Debt Service Coverage Ratio of the Obligated Group shall exclude all principal, interest and premium requirements in respect of the Bonds, and all revenue and expense properly allocable to the Independent Living Units included in the Project in accordance with generally accepted accounting principles. The "2022 Project Start-Up Period" means the period commencing on the date of issuance of the Series 2022 Obligations and continuing until the earlier of the first full Fiscal Year after 2022 Project Stable Occupancy and the Fiscal Year ended September 30, 2026. "2022 Project Stable Occupancy" means (i) the percentage occupancy of the Independent Living Units in the Project is equal to or greater than 90%, calculated as of the last day of a fiscal quarter, and (ii) all the Series 2022B Bonds have been paid in full and are no longer outstanding.

By purchasing the Bonds, the owners of the Bonds and the Bond Trustee, as the holder of the Series 2022 Obligations, will be deemed to have consented to the addition to the Master Indenture of the preceding paragraph (the "*Rate Covenant Proposed Amendment*"). Such consent of the holders of the Series 2022 Obligations will constitute the consent of not less than a majority in aggregate principal amount of the Outstanding Obligations, and the Rate Covenant Proposed Amendment will become effective upon the issuance of the Bonds. See "SECURITY FOR THE BONDS — PROPOSED AMENDMENTS TO THE MASTER INDENTURE" for additional information.

See "SUMMARY OF MASTER INDENTURE AND DEED OF TRUST — Rate Covenant" in APPENDIX C.

Liquidity Covenant. The Obligated Group covenants that it will calculate the Days Cash on Hand of the Obligated Group (the "*Liquidity Covenant*") as of March 31 and September 30 of each Fiscal Year (each such date being a "*Liquidity Testing Date*"). The Obligated Group shall include such calculations in the Officer's Certificates delivered pursuant to the financial reporting requirements of the Master Indenture described under the heading "SUMMARY OF MASTER INDENTURE AND DEED OF TRUST — Filing of Financial Statements, Reports and Other Information" in APPENDIX C.

Each Obligated Group Member is required to conduct its business so that on each Liquidity Testing Date, the Obligated Group shall have no less than 150 Days Cash on Hand (the “*Liquidity Requirement*”).

If the amount of Days Cash on Hand as of any Liquidity Testing Date is less than the Liquidity Requirement, the Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such deficiency, deliver an Officer’s Certificate approved by a resolution of the Governing Body of the Obligated Group Representative to the Master Trustee setting forth in reasonable detail the reasons for such deficiency and adopting a specific plan setting forth steps to be taken designed to achieve the Liquidity Requirement for future periods.

If the Obligated Group has not achieved the Liquidity Requirement by the next Liquidity Testing Date following delivery of the Officer’s Certificate required in the preceding paragraph, the Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such deficiency, select an Independent Consultant to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group’s methods of operation and other factors affecting its financial condition in order to increase the Days Cash on Hand to the Liquidity Requirement for future periods. See “Approval of Consultants” below. A copy of the Independent Consultant’s report and recommendations, if any, shall be filed with each of the Required Information Recipients within 60 days of the date such Independent Consultant is engaged. Each Member of the Obligated Group shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Member) and permitted by law.

Notwithstanding any other provision of the Master Indenture, failure of the Obligated Group to achieve the Liquidity Requirement for any Liquidity Testing Date shall not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for retaining an Independent Consultant to prepare a report and adopting a plan and follows each recommendation contained in such report to the extent feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law.

Any other provision of the Master Indenture notwithstanding, (i) during the 2022 Project Start-Up Period, the calculation of the Days Cash on Hand shall exclude all interest requirements in respect of the Series 2022 Bonds to the extent funded with proceeds of the Series 2022 Bonds, and all revenue and expense properly allocable to the Independent Living Units included in the Project in accordance with generally accepted accounting principles and (ii) during any other Start-Up Period, the calculation of Days Cash on Hand of the Obligated Group shall exclude all interest requirements in respect of Additional Indebtedness issued for the purpose of any acquisition, construction, renovation or replacement project or Capital Addition to the extent that interest is funded with proceeds of such Additional Indebtedness, and all revenue and expense properly allocable to the Independent Living Units included in such project or Capital Addition in accordance with generally accepted accounting principles.

By purchasing the Bonds, the owners of the Bonds and the Bond Trustee, as the holder of the Series 2022 Obligations, will be deemed to have consented to the addition to the Master Indenture of the preceding paragraph (the “*Liquidity Covenant Proposed Amendment*”). Such consent of the holders of the Series 2022 Obligations will constitute the consent of not less than a majority in aggregate principal amount of the Outstanding Obligations, and the Liquidity Covenant Proposed Amendment will become effective upon the issuance of the Bonds. See “SECURITY FOR THE BONDS — PROPOSED AMENDMENTS TO THE MASTER INDENTURE” for additional information.

See “SUMMARY OF MASTER INDENTURE AND DEED OF TRUST — Liquidity Covenant” in APPENDIX C.

APPROVAL OF CONSULTANTS

If at any time the Obligated Group Representative is required to engage an Independent Consultant under the Master Indenture relating to the Rate Covenant or the Liquidity Covenant, the Independent Consultant shall be engaged in the manner set forth below.

Upon selecting an Independent Consultant as required under the Master Indenture, the Obligated Group Representative will notify the Master Trustee of the selection. The Master Trustee shall, as soon as practicable but in no case longer than five Business Days after receipt of notice, notify the holders of the Obligations outstanding of such selection, and the Obligated Group Representative will post a copy of such notice (or cause a copy of such notice to be posted) on the EMMA system maintained by the MSRB for purposes of the Rule (as defined herein). Such notice shall (i) include the name and a brief description of the Independent Consultant, (ii) state the reason that the Independent Consultant is to be engaged including a description of the covenant(s) of the Master Indenture that require the Independent Consultant to be engaged, and (iii) state that the holder of the Obligation will be deemed to have consented to the engagement of the Independent Consultant named in such notice unless such Obligation holder submits an objection to the selected Independent Consultant in writing (in a manner acceptable to the Master Trustee) to the Master Trustee within 30 days of the date that the notice is sent to the Obligation holders. No later than two Business Days after the end of 30-day objection period, the Master Trustee shall notify the Obligated Group of the number of objections. If two-thirds (66.6%) or more in aggregate principal amount of the holders of the Outstanding Obligations have consented or have been deemed to have consented by not objecting to the engagement of the Independent Consultant, the Obligated Group Representative shall engage the Independent Consultant within five days of receiving notice of that consent. If more than one-third (33.3%) in aggregate principal amount of the holders of the Obligations outstanding have objected to the Independent Consultant selected, the Obligated Group Representative shall select another Independent Consultant within 14 days after receiving notice of such objection, which Independent Consultant may be engaged upon compliance with the procedures of the Master Indenture.

All Independent Consultant reports required under the Master Indenture shall be prepared in accordance with then-effective industry-appropriate standards.

See “SUMMARY OF MASTER INDENTURE AND DEED OF TRUST — Approval of Consultants” in APPENDIX C.

ENTRANCE FEE FUND

The Members of the Obligated Group agree in the Master Indenture that all Initial Entrance Fees received by the Members of the Obligated Group with respect to the Independent Living Units included in the Project must be transferred to the Master Trustee within five Business Days of the receipt thereof for deposit into the Entrance Fee Fund described below.

Pursuant to the Master Indenture, the Master Trustee shall establish and maintain a separate account to be known as the “Entrance Fee Fund — Series 2022 Bonds” (the “*Entrance Fee Fund*”). All moneys received by the Master Trustee and held in the Entrance Fee Fund shall be trust funds under the terms of the Master Indenture for the benefit of the Series 2022B Obligation (except as otherwise provided) and shall not be subject to lien or attachment of any creditor of the Obligated Group. Such moneys shall be held in trust and applied in accordance with the provisions of the Master Indenture but are not Bond proceeds (within the meaning of the Code) and are not, except as specifically described below, pledged to payment of principal and interest on the Bonds.

Moneys in the Entrance Fee Fund on the first Business Day of each month shall be disbursed by the Master Trustee as follows:

FIRST: To the Obligated Group to pay refunds of Initial Entrance Fees as required by residency agreements with respect to the residential living apartments in the Project. Such disbursements shall be made upon receipt by the Master Trustee, at least two Business Days prior to the first Business Day of each month, of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group is required by a residency agreement to pay refunds within the next 15 days and the amount of such refunds.

SECOND: On the first Business Day of each month, following the disbursement made pursuant to paragraph FIRST above, if any, the Master Trustee shall review the amount on deposit in the Entrance Fee Fund and shall transfer moneys in the Entrance Fee Fund on such date to the Bond Trustee for deposit into the Entrance Fee Redemption Fund established under the Bond Indenture for the application to the payment and redemption for the Series 2022B-2 Bonds as soon as practicable following such deposit; provided, however, that if the amount remaining in the Entrance Fee Fund is equal to \$100,000 or more, the Master Trustee shall retain such amounts in the Entrance Fee Fund until the next month.

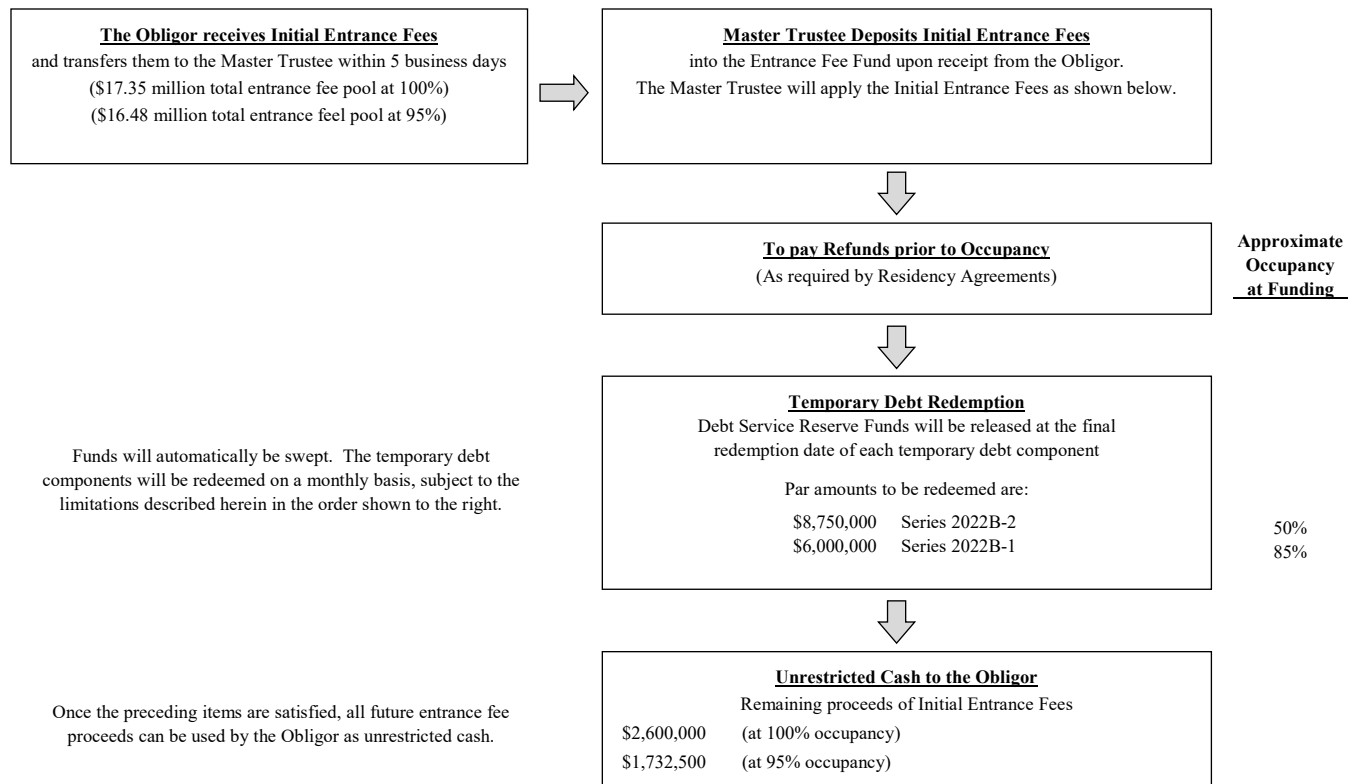
THIRD: After all the Series 2022B-2 Bonds have been redeemed, on the first Business Day of each month, following the disbursement made pursuant to paragraph FIRST above, if any, the Master Trustee shall review the amount on deposit in the Entrance Fee Fund and shall transfer moneys in the Entrance Fee Fund on such date to the Bond Trustee for deposit into the Entrance Fee Redemption Fund established under the Bond Indenture for the application to the payment and redemption of the Series 2022B-1 Bonds as soon as practicable following such deposit; provided, however, that if the amount remaining in the Entrance Fee Fund is less than \$100,000, the Master Trustee shall retain such amounts in the Entrance Fee Fund until the next month.

After the Series 2022B Bonds have been redeemed and if no Event of Default has occurred and is continuing under the Master Indenture or any Related Loan Document, the Obligated Group need not deposit any Initial Entrance Fees into the Entrance Fee Fund. Upon the satisfaction of such conditions, any amounts on deposit in the Entrance Fee Fund shall be remitted to the Obligated Group and the Entrance Fee Fund shall be closed.

Also *see* APPENDIX C — "SUMMARY OF MASTER INDENTURE — THE MASTER INDENTURE — Entrance Fee Fund."

CASH FLOW OF INITIAL ENTRANCE FEES

The diagram below demonstrates the flow of funds anticipated from the collection of Initial Entrance Fees.



LIMITED LIABILITY OF THE AUTHORITY

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF REVENUES AND OTHER ASSETS UNDER THE BOND INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

PLAN OF FINANCING

General. The Corporation will use the proceeds of the Bonds, together with other available funds, to (i) finance the construction, improvement, furnishing and equipping of the Project; (ii) pay a portion of the interest on the Bonds during the construction of the Project; and (iii) pay certain of the costs of issuance of the Bonds. See “ESTIMATED SOURCES AND USES OF FUNDS” herein.

The Project. Proceeds of the Bonds will be used to finance the costs of constructing an approximately 84,700 square foot, three-story structure to be known as “The Cedars,” which will include 53 residential living units. See “THE PROJECT” in APPENDIX A hereto for additional information.

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds related to the Bonds (with all amounts rounded to the nearest dollar).

ESTIMATED SOURCES OF FUNDS	
Par Amount of Series 2022A Bonds	\$29,030,000
Par Amount of Series 2022B Bonds	14,750,000
Original Issue Premium	1,908,772
Proceeds of Series 2019 Bonds	3,219,343
Corporation Equity	231,860
Total	\$49,139,975
ESTIMATED USES OF FUNDS	
Project Costs	\$45,002,865
Capitalized Interest ⁽¹⁾	2,991,475
Costs of Issuance ⁽²⁾	1,145,635
Total	\$49,139,975

⁽¹⁾ A portion of the proceeds of the Bonds will be used to pay capitalized interest on the Bonds for approximately 25 months from the date of issuance thereof.

⁽²⁾ Includes legal, printing, rating agency and Authority’s fees and expenses, Underwriter’s discount, and other miscellaneous issuance costs. Costs of issuance in excess of 2% of the proceeds of the Bonds will be paid from Corporation equity.

CONTINUING DISCLOSURE

THE AUTHORITY

Because the Bonds are limited obligations of the Authority, payable solely from amounts received from the Corporation, neither financial nor operating data concerning the Authority is material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell the Bonds. Accordingly, the Authority is not providing any such information. The Corporation has undertaken all responsibilities for any continuing disclosure to holders of the Bonds, as described below, and the Authority shall have no liability to the holders of the Bonds or any other person with respect to Rule 15c2-12 promulgated by the Securities and Exchange Commission (the “Rule”).

THE CORPORATION

In connection with the issuance of the Bonds, the Corporation will deliver the Continuing Disclosure Agreement in which it will covenant for the benefit of the Holders and Beneficial Owners of the Bonds, to disseminate each of the following: (i) certain financial information and operating data relating to the Corporation (each, an “*Annual Report*”) by not later than 150 days following the end of the Corporation’s fiscal year (which currently is September 30), commencing with the report for the Corporation’s fiscal year ending September 30, 2022, (ii) certain unaudited financial information and operating data relating to the Corporation by not later than 60 days following the end of each fiscal quarter (each, a “*Quarterly Report*”), commencing with the Quarterly Report for the quarter ending March 31, 2022, (iii) the Corporation’s annual budget by not later than 45 days following the end of each

fiscal year, and (iv) notices of the occurrence of certain enumerated events. The Annual Report, the Quarterly Report, the annual budget and notices of certain enumerated events will be filed by the Dissemination Agent on behalf of the Corporation with the MSRB through EMMA. These covenants have been made in order to assist the B.C. Ziegler and Company (the “*Underwriter*”) in complying with the Rule. See APPENDIX E — “FORM OF CONTINUING DISCLOSURE AGREEMENT.”

In connection with the issuance of the Series 2019 Bonds, the Corporation executed a continuing disclosure undertaking similar to the Continuing Disclosure Agreement. The Corporation failed to timely file the summary of the operating and capital budgets for the September 30, 2021 and September 30, 2022 fiscal years.

BONDHOLDERS’ RISKS

Set forth below are certain risk factors that should be considered before any investment in the Bonds is made. Certain risks are inherent in the successful operation of the Corporation’s facilities. **This section discusses some of these risks but is not intended to be, and should not be considered, a comprehensive listing of all risks associated with the operation of the Corporation’s facilities or the payment of the Bonds. These risks should be read together with the rest of the Official Statement.** All or any of the following risks could be exacerbated by the COVID-19 pandemic.

GENERAL

As described herein under the caption “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS,” the principal of and interest on the Bonds, except to the extent that the Bonds will be payable, under certain circumstances, from proceeds of insurance, sale or condemnation awards or net amounts by recourse to the Deed of Trust, are payable solely from Loan Repayments made by the Corporation under the Loan Agreement, from certain funds held under the Bond Indenture and from amounts payable by the Members of the Obligated Group on the Series 2022 Obligations. No representation or assurance is given or can be made that revenues will be realized by the Corporation or any future Members of the Obligated Group in amounts sufficient to pay debt service on the Bonds when due and other payments necessary to meet the obligations of the Corporation. The risk factors discussed below should be considered in evaluating the ability of the Obligated Group to make payments in amounts sufficient to provide for the payment of the principal of, the premium, if any, and interest on the Bonds.

The receipt of future revenues by the Corporation will be subject to, among other factors, (a) maintaining high occupancy levels by residents who are able to pay the residency costs and fees; (b) the capabilities of management of the Corporation (“*Management*”); (c) the effects of future government regulation of senior living and health care facilities; (d) the policies of third-party payors, including government payors (e.g. Medicare and Medicaid); (e) the duration, scope, and aftereffects of the COVID-19 pandemic and governmental and private responses to such pandemic; (f) future economic and other conditions; and (g) increased competition from other senior living providers; all of which are unpredictable. The extent of the ability of the Corporation to generate future revenues has a direct effect upon the payment of principal of, premium and purchase price, if any, and interest on the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Corporation.

LIMITED OBLIGATIONS

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE

SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE BOND INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

COVID-19 PANDEMIC

General. The COVID-19 outbreak was declared a global pandemic by the World Health Organization, and a national emergency by the United States federal government, in March 2020. The COVID 19 pandemic has had, and continues to have, numerous and varied medical, economic, and social impacts, any and all of which may adversely affect the Corporation's business and financial condition. It is generally expected that the overall impact of the COVID 19 pandemic on the U.S. economy will continue to be broad based and materially adverse.

National, state, and local authorities have taken, and may continue to take, various actions, including the passage of laws and regulations, on a wide array of topics, in an attempt to curtail the spread of the virus, to avoid overwhelming the health care system, and to address the health and economic consequences of the pandemic. These governmental actions have caused substantial changes to the way health care is provided and how society in general functions, and may have long-term consequences for the way health care services are provided. Although COVID-19 vaccines are being administered in the U.S., it is impossible to predict what percentage of the population will ultimately be vaccinated, the duration of vaccine protection, and whether current vaccines will protect against new COVID-19 variants, which continue to emerge. Accordingly, it is not clear how long public health safety measures will remain in place or whether any new measures will be required. The continued spread of COVID 19 and containment and mitigation efforts could have a material adverse effect on the operations of the Corporation and on state, national, and global economies.

Intermittent surges in COVID-19 cases and hospitalizations have been occurring throughout the United States. In response to the continued spread of COVID-19, President Biden announced a COVID-19 Action Plan that, among other things, requires vaccination for health care workers in hospitals, nursing facilities, and other institutions that receive Medicare and Medicaid reimbursement. Failure to comply with vaccination mandates may result in exclusion from the Medicare or Medicaid programs. CMS issued a final rule requiring health care workers to be fully vaccinated by January 4, 2022, unless workers had a medical or religious exemption. Several states challenged the rule and the issue was heard by the Supreme Court. On January 13, 2022, the Supreme Court ruled that the vaccine mandate can be enforced. Compliance with vaccination or testing mandates may increase operating costs or affect the Corporation's ability to recruit and retain employees. See "ENVIRONMENTAL, OCCUPATIONAL, AND OTHER HEALTH AND SAFETY MATTERS" below for more information regarding the current status of federal vaccination mandates.

Senior living has been among the hardest hit industries during the COVID-19 pandemic because the disease has particularly affected adults 65 years old and older according to the Centers for Disease Control and Prevention. The COVID-19 pandemic or another highly infectious disease outbreak may affect the operations and revenues of senior living facility operations in various ways, including but not limited to: (1) reputational damage, (2) a quarantine or temporary shutdown, (3) supply shortages, (4) professional or non-professional staff shortages or illness, or (5) failure to achieve and maintain occupancy or turnover due to potential residents choosing to defer or avoid senior care. Governmental

and private responses to the COVID-19 pandemic and resulting economic conditions may also directly or indirectly affect a senior living facility's operations and revenues. For example, domestic or foreign governmental responses or commercial business responses to the COVID-19 pandemic or another highly infectious disease outbreak, such as shelter-in-place orders, sick-leave mandates or remote work policies, could (1) disrupt the production or supply of medical supplies or increase the costs of such products, (2) result in third-party payor reimbursement delays, (3) increase employee sick-leave expenses or other employee costs, or (4) otherwise materially adversely impact a senior living facility's business in ways that are difficult to predict at this time. The extent to which business interruption insurance would be available in connection with any events resulting from the COVID 19 pandemic is dependent upon the specific facts of the events, and there can be no assurance that adequate business interruption insurance would be available to cover such losses.

The full impact of the COVID 19 pandemic on the operations and financial condition of the Corporation cannot be fully determined at this time due to the evolving nature of the COVID-19 pandemic, including uncertainties relating to its duration and severity, and the future actions of governmental authorities to contain or mitigate its impact, though such effect could be material and adverse. Accordingly, there can be no assurances that COVID 19 (or a future pandemic or other public health crisis) will not result in material adverse consequences to the operations or financial condition of the Corporation. See APPENDIX A — "INFORMATION CONCERNING CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS — RESPONSE TO COVID-19 AND MANAGEMENT'S DISCUSSION AND ANALYSIS OF OPERATIONS."

COVID-19 Relief Funds. A variety of federal efforts have been initiated in response to the economic disruption caused by the COVID-19 pandemic, including a series of federal relief packages to address the COVID-19 crisis, including (1) the Coronavirus Preparedness and Response Supplemental Appropriations Act of 2020, (2) the Families First Coronavirus Response Act, (3) the Coronavirus Aid, Relief, and Economic Security Act, (4) the Paycheck Protection Program and Health Care Enhancement Act, (5) the coronavirus response and relief portions of the Consolidated Appropriations Act, 2021, and (6) the American Rescue Plan Act (collectively, the "*COVID-19 Relief Acts*"). The COVID-19 Relief Acts were largely designed to help fund COVID-19 testing, tracing, and treatment and to provide economic relief and other support for individuals and businesses, including health care facilities and providers. COVID-19 Relief Act measures that may alleviate some of the financial strain caused by the COVID-19 pandemic include, among others: (1) a \$178 billion "Public Health and Social Services Emergency Fund" to reimburse eligible health care providers for "health care related expenses or lost revenues that are attributable to coronavirus" ("*Provider Relief Fund*"), (2) various policy changes that temporarily boost Medicare and Medicaid reimbursement or provide for additional flexibility in patient care during the COVID 19 emergency period, (3) increased funding for COVID-19 testing, tracing and treatment, (4) direct cash payments to most Americans, (5) increased and extended unemployment benefits, and (6) aid to state and local governments. The timing, adequacy and other ultimate effects of any current or future federal or state stimulus or relief programs on the Corporation, or on the economy generally, cannot be predicted at this time. Although the federal government may consider future COVID-19 emergency response and relief legislation, the content and passage of any such legislation is uncertain.

The acceptance of funds from certain COVID-19 Relief Act programs, such as the Provider Relief Fund, is conditioned on eligibility and the acceptance of terms and conditions and may be subject to other guidelines or requirements that may change from time to time. Additional guidance or clarifications concerning COVID-19 Relief Act programs, including reporting, recordkeeping and repayment requirements, may be announced from time to time and is subject to change. Failure to comply with COVID-19 Relief Act program guidelines or requirements could result in recoupment, liability under the federal False Claims Act, or other penalty or sanction. See APPENDIX A — "INFORMATION CONCERNING CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS —

MANAGEMENT’S DISCUSSION AND ANALYSIS OF OPERATIONS” for a discussion of COVID-19 relief obtained by the Corporation to date.

As a recipient of Provider Relief Funds, the Corporation must attest to the Provider Relief Fund terms and conditions, which among other things, require the submission of documentation to substantiate that relief funds were used for increased health care related expenses or lost revenue attributable to coronavirus. Payments received in excess of health care related expenses or lost revenue attributable to coronavirus must be repaid. The Department of Health and Human Services (“DHHS”) has reserved the right to audit Provider Relief Fund recipients to ensure that this requirement is met and collect any Provider Relief Fund amounts that were made in error or exceed lost revenue or increased expenses due to COVID-19. Failure to comply with the terms and conditions may be grounds for recoupment or other penalty or sanction. The reporting instructions related to the Provider Relief Fund (“PRF Reporting Instructions”) specify three acceptable methods for calculating a recipient’s lost revenues attributable to COVID-19: (a) lost revenue up to the amount of the difference between actual patient care revenue, (b) lost revenue up to the amount of the difference between budgeted and actual patient care revenue, using a budget that was established and approved prior to March 27, 2020, or (c) any other reasonable methodology of estimate revenue, if the recipient submits a description of the methodology, an explanation of why the methodology is reasonable, and establishes how the identified lost revenues were attributable to COVID-19 as opposed to any other source. The PRF Reporting Instructions indicate that a recipient electing to calculate lost revenue in accordance with clause (c) above will face an increased likelihood of a federal audit. DHHS may release revised or additional Provider Relief Fund requirements or guidance in the future. Any future change to the formula for calculating lost revenues set forth in the PRF Reporting Instructions could have a potentially significant impact on whether a health care provider must repay a portion of its Provider Relief Fund payments. If unable to attest to or comply with current or future terms and conditions, the Corporation’s ability to retain some or all of the distributions received may be impacted. See APPENDIX A — “INFORMATION CONCERNING CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS — MANAGEMENT’S DISCUSSION AND ANALYSIS OF OPERATIONS.”

GENERAL ECONOMIC CONDITIONS AND FINANCIAL MARKET DISRUPTION

The U.S. economy is unpredictable. Economic downturns and other unfavorable economic conditions have previously impacted the health care and senior care industries and health care and senior care providers’ business and financial condition and, as described above, the COVID-19 pandemic has, and continues to, adversely impact the U.S. economy. If general economic conditions worsen, the Obligated Group may not be able to sustain future profitability, and its liquidity and ability to repay outstanding debt, including debt service on the Bonds, may be adversely affected. Broad economic factors—such as unemployment rates or instabilities in the housing market or consumer spending—could affect the Obligated Group’s business and its ability to collect outstanding receivables. Other economic conditions that from time to time may adversely affect Obligated Group revenues and expenses, and consequently, its ability to make payments on the Series 2022 Obligations, include but are not limited to: (1) an inability to access financial markets on acceptable terms at a desired time or increased borrowing costs, (2) significant investment portfolio losses, (3) increased business failures and consumer and business bankruptcies, (4) federal and state budget challenges resulting in reduced or delayed federal health care program (e.g. Medicare) reimbursement or pension benefit cuts, (5) a reduction in the demand for health care or senior care services, (6) increased insurance expenses, (7) a shortage of professional personnel or medical supplies, (8) increased operating costs, (9) a reduction in the receipt of grants and charitable contributions, or (10) increased competition from other senior care institutions. Future financial market disruptions cannot be predicted and there can be no assurance that future financial disruptions will not materially or adversely affect the operations and financial condition of the Corporation. **The Financial Feasibility Report in APPENDIX H hereto should be read in its entirety, including Management’s notes and assumptions set forth therein.**

Additionally, federal and state budget deficits may negatively affect the health care and senior care industries and long-term care residents in a number of ways, including, but not limited to, reductions or delays in Medicare or Medicaid reimbursement or pension benefit cuts. Past federal budgets have included large cuts to the Medicare and Medicaid programs and future federal budgets may make additional cuts. It is impossible to predict what portion, if any, of these proposed federal health care spending reductions will be included in a Congressionally approved budget. Additionally, the federal government is subject to a debt “ceiling” established by Congress. In the past several years political disputes concerning authorization of a federal debt ceiling increase have led to shutdowns of substantial portions of the federal government and other federal budget authorization delays have occurred. Federal budgets delays and federal government shutdowns are unpredictable and may occur in the future. Failure by Congress to increase the federal debt ceiling, federal budget authorization delays, federal government shutdowns, or other political challenges may cause Medicare or Medicaid reimbursements to be further reduced or paid late. Management is unable to determine what impact, if any, future federal and/or state budget challenges may have on the operations and financial condition of the Corporation.

MANAGEMENT’S FORECAST

Management’s financial forecast contained in the Financial Feasibility Report included in APPENDIX H hereto is based upon assumptions made by Management. As stated in such financial forecast, there will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material. In addition, the financial forecast is only for the six years ending September 30, 2022 through 2027, and consequently does not cover the whole period during which the Bonds may be outstanding. See the Financial Feasibility Report in APPENDIX H hereto. **The Financial Feasibility Report should be read in its entirety, including Management’s notes and assumptions set forth therein.**

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTEE CAN BE MADE THAT MANAGEMENT’S FINANCIAL FORECAST IN THE FINANCIAL FEASIBILITY REPORT WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY UNCONTROLLABLE FACTORS, INCLUDING BUT NOT LIMITED TO INCREASED COSTS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE RELATIONS, TAXES, GOVERNMENTAL CONTROLS, CHANGES IN APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE RETIREMENT LIVING AND HEALTH CARE INDUSTRIES, HEALTH INSURANCE, AND GENERAL ECONOMIC CONDITIONS.

DELAY IN PAYMENT OF TEMPORARY DEBT

Management’s financial forecast contained in the Financial Feasibility Report included in APPENDIX H hereto currently anticipates that the Series 2022B-1 Bonds and Series 2022B-2 Bonds will be subject to mandatory optional redemption from funds held in the Entrance Fee Redemption Fund upon achieving occupancy of approximately 85% and 50%, respectively, of the Project. There can be no guarantee, however, that there will be sufficient funds in the Entrance Fee Redemption Fund in order to so redeem such Bonds. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Entrance Fee Fund.” The Entrance Fee Redemption Fund will be funded from the Initial Entrance Fees (as defined in the Master Indenture) in accordance with the Master Indenture as described herein.

ADDITIONS TO THE OBLIGATED GROUP

Currently, the Corporation is the only Member of the Obligated Group. Upon satisfaction of certain conditions in the Master Indenture, other entities can become Members of the Obligated Group. See “SUMMARY OF MASTER INDENTURE AND DEED OF TRUST — The Obligated Group — Membership in

the Obligated Group” in APPENDIX C. Management currently has no plans to add additional Members to the Obligated Group. However, if and when new Members are added, the Obligated Group’s financial situation and operations will likely be altered from that of the Corporation alone.

UNCERTAINTY OF REVENUES

Although the Corporation expects that revenues will be adequate to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), a number of factors could decrease revenues. Future economic and other conditions, including those summarized above under “GENERAL ECONOMIC CONDITIONS AND FINANCIAL MARKET DISRUPTION” may adversely affect revenues and, consequently, the Corporation’s ability to make payments under the Loan Agreement.

FAILURE TO ACHIEVE AND MAINTAIN OCCUPANCY AND TURNOVER

The ability of the Corporation to generate sufficient revenues depends in large part on the Corporation’s ability to attract sufficient numbers of residents to its facilities in order to maintain substantial occupancy and turnover of occupancy throughout the term of the Bonds. Because occupancy and turnover at the Corporation’s facilities depends upon factors outside the Corporation’s control, such as residents’ rights to terminate their contracts with the Corporation or residents’ financial conditions, or the duration and outcome of the COVID-19 pandemic, the Corporation must rely on various assumptions about the Corporation’s residents and the market for its services. Where such assumptions prove to be wrong, the Corporation’s revenue will be affected. For example, the Corporation’s receipt of additional entrance fees could be impaired by the survival of a substantial number of residents beyond assumed life expectancies, fewer permanent transfers to the Corporation’s assisted living or skilled nursing facilities than anticipated, or a market-induced reduction in the amount or deferral of the entrance fees payable by new residents. Revenues would also be impaired if the Corporation is unable to remarket units as they become available. If the Corporation’s operations fail to maintain occupancy levels and resell residential living units and assisted living units as they become available, or if there is a reduction in the amount of entrance fees received, the Corporation may lack sufficient funds to pay debt service on the Bonds. **The Financial Feasibility Report in APPENDIX H hereto should be read in its entirety, including Management’s notes and assumptions set forth therein.**

COMPETITION

Increased competition from a wide variety of potential sources, including but not limited to other assisted living and retirement communities, memory care communities, residential living communities, continuing care retirement communities, life care communities, life plan communities, skilled nursing facilities, nursing homes, inpatient and outpatient health care facilities, independent living communities, home health agencies and others could adversely affect the utilization and/or revenue of the Corporation. Existing and potential competitors may not be subject to various restrictions applicable to the Corporation, and competition may, in the future, arise from new sources not currently anticipated or prevalent. Such competition could inhibit the extent to which the Corporation will be able to raise charges and maintain or increase admissions. There can be no assurance that additional competing facilities will not be constructed in the future or that medical and technological advances will not reduce demand for the Corporation’s programs and services. *See APPENDIX A — “INFORMATION CONCERNING CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS — COMPETITION.”*

CHANGES IN CAPABILITIES OF HOME HEALTH CARE TECHNOLOGY

New and changing methods of care delivery, such as web-based home monitoring, telemedicine, mobile health, and smartphone technology will continue to rapidly change the way in which providers of

health services to seniors deliver home health, hospice and other community-based services. These developments will further the ability of the home health and hospice industry to care for patients in their homes. Proliferation and the availability of technological changes are expected to increase the ability of seniors to remain in their homes longer into their lives than has historically been feasible, which could result in significantly reduced demand for senior living facilities. Efforts to reduce hospital readmissions and costs in the overall care continuum will further the use of these new and changing technologies. These changes may allow other companies, including hospitals and other health care organizations that are not currently providing home health and hospice care, to expand their services to include home health services, hospice care, telehealth services or similar services.

REAL ESTATE MARKETS/SALE OF PERSONAL RESIDENCES

During the term of the Bonds, prospective residents of the Corporation's facility may have difficulty selling their current homes due to national and local economic conditions impairing the sale of residential real estate and, as a consequence, may not have sufficient assets to pay entrance fees and monthly service fees. This could cause a delay in scheduled occupancy of the Corporation's community or the remarketing of vacated units, or a reduction in the amount or deferral of the entrance fees payable, all of which would have an adverse effect on the revenue of the Corporation.

FIXED INCOME OF THE ELDERLY

A large percentage of the monthly income of residents and prospective residents of the Gardens is fixed income derived from pensions and Social Security. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, many residents may have difficulty paying or may be unable to pay such increased fees. Alternatively, any decrease in the amounts paid by a resident's fixed income sources could affect such resident's ability to meet financial obligations. The Corporation's inability to collect the full amount of residents' payment obligations may adversely affect the ability of the Corporation to make payments with respect to the Bonds.

REDUCED DEMAND

Several factors could, if present, affect demand for services of the Corporation, including: (i) efforts by insurers and governmental agencies to reduce utilization of skilled nursing and long-term care facilities by means such as preventative medicine and home health programs; (ii) increased consumer demand for services at home; (iii) advances in scientific and medical technology; (iv) a decline in the population or a change in the age composition of the population; (v) a decline in the economic conditions of the service area of the Gardens; (vi) an increase in premiums or other disruption in the long-term care insurance market, causing fewer prospective residents to consider the Gardens as a retirement option; (vii) governmental, commercial and individual responses to the COVID-19 pandemic or another infectious disease outbreak; and (viii) general disruptions in the health care, long-term care or insurance markets resulting from health care reform efforts or otherwise. **The Financial Feasibility Report in APPENDIX H hereto should be read in its entirety, including Management's notes and assumptions set forth therein.**

FINANCIAL ASSISTANCE AND OBLIGATION TO RESIDENTS

The Corporation only enters into residency agreements with residents whom it judges to be creditworthy. The Corporation may provide, but does not guarantee, financial assistance to residents unable to pay the monthly service fees by reasons of circumstances beyond their control and through no fault of their own. Additionally, the Corporation may elect, in its sole discretion, to provide the resident

with a credit against all or a portion of the monthly service fees due. Established criteria will determine an individual's eligibility for the subsidy or credit, and the application and review process will be administered by the Corporation. The Corporation is required by applicable law relating to its status as an organization described under Section 501(c)(3) of the Code to maintain a policy of generally not requiring residents to leave its facilities because of the inability to pay, and the Corporation has stated that it expects to maintain such a policy. Such requirement and policy may require the Corporation in the future to provide increased financial assistance or absorb greater operating losses. There may be circumstances, however, under which the requirements for greater financial assistance may have a material adverse effect on the financial condition of the Corporation or any future Member of the Obligated Group that qualifies as an organization described under Section 501(c)(3) of the Code.

DISCOUNTING OF ENTRANCE FEES; POTENTIAL REFUND OF ENTRANCE FEES

The Corporation or any future Member of the Obligated Group may feel compelled to offer discounts to Entrance Fees in the future to achieve desired levels of occupancy of the Gardens. Certain assumptions regarding the operations of the Gardens will be directly affected by the discounting of initial Entrance Fees. Discounting of Entrance Fees could significantly affect the cash flow of the Obligated Group and the Corporation's ability to redeem the Bonds.

Under certain circumstances, the Corporation is obligated to refund a resident's Entrance Fee. The payment of such refunds could adversely affect the Corporation's ability to make payments required by the Loan Agreement and the Series 2022 Obligations.

LONG TERM CARE INSURANCE

Some residents of the Gardens use long-term care insurance to help cover their costs of care. If long-term care insurance premiums rise, or residents otherwise lose their long-term care insurance coverage due to insurance market disruptions or reforms, such residents may have difficulty meeting their financial obligations. The Corporation's inability to collect the full amount of residents' payment obligations may adversely affect the ability of the Corporation to make payments with respect to the Bonds. The potential for reduced reimbursement rates from government payors (e.g. Medicare) is discussed in detail below under the heading "FEDERAL AND STATE REGULATIONS—Medicare Program; Program Reimbursement Cuts and Delays."

CONSTRUCTION RISKS

There can be no assurances given that the Project will be completed or that it can be completed for the cost and within the time as set forth in this Official Statement. Failure to complete the Project, or to complete it in a timely fashion at the estimated cost could adversely affect the ability of the Corporation to generate sufficient revenues to continue its planned operations and to make payments with respect to the Bonds. In addition, if the completion of the Project is delayed, the receipt of entrance fees and monthly service fees necessary to fund operations may be adversely impacted.

Whether or not the Project will be completed on schedule depends upon a large number of factors, many of which may be beyond the control of the Corporation and may be exacerbated by the COVID-19 pandemic. These include, but are not limited to, adverse weather, strikes, delays in the delivery of materials, shortages of materials, delays in the issuance of required building permits, environmental restrictions, or similar unknown or unforeseeable contingencies. In addition, the date of substantial completion may be extended by reason of changes authorized by the Corporation, delays due to acts or neglect by entities employed by or contracted with the Corporation, adverse conditions not reasonably anticipated, unavoidable casualties or any causes beyond the control of the contractors.

Further, there can be no assurance that the Project will conform to construction specifications or state or local regulations. The occurrence of any of the foregoing could result in increases in construction costs or considerable delays in, or complete impossibility of, completion of the Project, resulting in a failure to achieve anticipated operating results. Construction costs could exceed the amounts originally forecast due to a number of factors, including tariffs imposed on construction materials imported to the United States. Cost overruns could also result in the Corporation not having sufficient moneys to complete construction of the Project, thereby materially affecting the receipt of revenues needed to pay debt service on the Bonds. See “PLAN OF FINANCE — The Project” herein.

Completion of the Project depends on performance by third parties of their obligations under various construction-related contracts. If these parties do not perform their obligations, if construction and design are not adequately coordinated, if disputes arise between parties or if third parties are excused from performance of their obligations because of non-performance by the Corporation or events of force majeure, the Corporation may not be able to acquire substitute services on substantially the same terms and conditions, if at all, or may be required to incur greater construction costs, which may adversely affect the Corporation’s ability to complete the Project within the projected budget and on schedule. These events additionally could adversely impact the Corporation’s ability to make payments with respect to the Bonds. This Official Statement contains no financial information with respect to the various parties to the construction-related contracts. As a result, in making an investment decision with respect to the Bonds, a purchaser can have no assurance, based on the information provided in this Official Statement, that any third party will have the ability to meet its obligations under the agreements to which it is a party.

LICENSING DELAY

The timeline to achieve any required licensure for the Project may be longer than expected and negatively impact occupancy levels and revenues of the Corporation. Any delay in the licensing and full operation of the Project could result in losses in excess of those projected in the Financial Feasibility Report in APPENDIX H to this Official Statement. **The Financial Feasibility Report in APPENDIX H hereto should be read in its entirety, including Management’s notes and assumptions set forth therein.**

UNCERTAINTY OF INVESTMENT INCOME

The investment earnings of, and accumulations in, certain funds established pursuant to the Bond Indenture have been estimated and are based on assumed interest rates. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Bond Trustee is permitted to invest under the Bond Indenture, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated earnings will actually be realized.

The Corporation has significant holdings in a diversified portfolio of investments. Market fluctuations have affected and will continue to affect the value of those investments and those fluctuations may be material.

PHILANTHROPY

The Corporation derives income from unrestricted gifts and donations to supplement operating revenues to finance operations and capital needs. See APPENDIX B — “AUDITED FINANCIAL STATEMENTS OF CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS AS OF AND FOR THE FISCAL YEARS ENDED SEPTEMBER 30, 2019, 2020 AND 2021.” Although Management expects gifts and donations to remain at least at current levels and to increase at a moderate rate, there can be no

assurance that this revenue will not decrease, adversely affecting the financial condition of the Corporation.

INCREASES IN MEDICAL COSTS

Because the Corporation is obligated to provide its continuing care contract residents with the right to move to a higher level of care, a deviation from the anticipated mortality rate or medical care requirements of the resident population or substantial unanticipated increases in the cost of such care could have a negative impact on the operations of the Corporation's facilities. The undertaking to provide such care is a contractual obligation of the Corporation, and no assurance can be given that the Corporation will have sufficient funds to meet its anticipated obligations. Residents are required to enroll in Medicare (Parts A, B and D) or obtain an insurance policy that the Corporation considers an acceptable substitute; however, Medicare does not cover the cost of nursing home care except under certain limited circumstances (including up to 100 days of skilled nursing care following a 3-day qualifying hospital stay). In addition, the cost of providing health care services may increase due to increases in salaries paid to nurses and other health care personnel and due to shortages in such personnel which may require use of registries or employment agencies. Increases in third party therapy services and other ancillary costs such as drugs and medical supplies may also increase costs. Such cost increases may be exacerbated by the COVID-19 pandemic.

ADDITIONAL CAPITAL REQUIREMENTS

The Corporation's operations are capital intensive. Economic conditions such as credit market dysfunction and increased regulation of the financial industry could make it more difficult for the Corporation to access the capital markets or to otherwise fund capital expenses through borrowings on favorable terms and conditions. Any such limitation could result in delayed or deferred capital expenditures that could be integral to the operations of the Corporation.

LABOR COSTS AND RELATIONS

The Corporation cannot control the prevailing or required minimum wage rates in its service area and any increase in such rates will directly affect the costs of its operations. Effective January 1, 2022, California's minimum wage is \$15 per hour for employers with 26 or more employees, among the highest in the country. Management has examined the effect of California's minimum wage law and does not anticipate that such minimum wage increases will have a material adverse effect on the financial condition of the Corporation.

The Corporation's workforce includes professional, quasi-professional, technical, clerical, housekeeping, maintenance, dietary and other types of workers. As with all employers, the Corporation bears a wide variety of risks in connection with these employees. These risks include strikes (if the Corporation's workforce is unionized in the future) and other related work actions, contract disputes, difficulties in recruitment or retention, discrimination claims, personal tort actions, work-related injuries, exposure to hazardous materials, interpersonal torts, risks related to benefit plans, and other risks that may flow from the relationships between employer and employee or between residents and employees. Certain of these risks are not covered by insurance, and certain of them cannot be anticipated or prevented in advance. Such risks, alone or in combination, could have material adverse consequences to the financial condition or operations of the Corporation. Management is not aware of any current attempts by the Corporation's employees to unionize.

NURSING OR OTHER STAFF SHORTAGE

The health care industry, particularly the long-term care industry, has historically experienced regular turnover in certain health care and dietary personnel, particularly, nurses, nurses' aides, dietary staff and certain housekeeping positions. Currently, nursing, nursing aid, and other staff shortages continue in certain geographic areas, including California, and have been and may continue to be exacerbated by the COVID-19 pandemic. Such shortages have periodically resulted in increased costs and lost revenues due to the need to engage agency nursing or other personnel at higher rates, increased compensation to staff, and the inability to use otherwise available beds as a result of staffing shortages. Increased costs and lost revenues resulting from staff shortages could adversely affect the operations or financial condition of the Corporation. There can be no assurance that the Corporation will be able to attract sufficient numbers of full- and part-time employees to meet its staffing needs. The ability to maintain adequate staffing may be complicated by COVID-19 vaccination mandates imposed by private employees or governmental agencies. See also, "ENVIRONMENTAL, OCCUPATIONAL, AND OTHER HEALTH AND SAFETY MATTERS" below.

PROFESSIONAL LIABILITY CLAIMS AND LIABILITY INSURANCE

In recent years, the number of professional and general liability suits and the dollar amounts of damage recoveries have increased nationwide in the health care industry, resulting in substantial increases in malpractice insurance premiums, higher deductibles and generally less coverage. Professional liability and other actions alleging wrongful conduct and seeking punitive damages are often filed against health care providers. Insurance does not provide coverage for judgments for punitive damages. Insurers are mandating lower amounts of coverage, requiring greater deductibles, and charging more in premiums. Policies issued may not be renewed or renewable. It is not possible at this time to determine either the extent to which malpractice coverage will continue to be available to the Corporation or the premiums at which such coverage can be obtained. Although the Corporation currently carries excess malpractice and general liability insurance which Management considers adequate, the Corporation is unable to predict the availability, cost or adequacy of such insurance in the future.

FEDERAL AND STATE REGULATIONS

General. Health care providers are subject to federal, state and local laws and regulations, and sanctions imposed under or changes to such laws or regulations could adversely affect the operations or financial results of the Corporation. Further reductions in federal and state funding of health care below levels authorized by present law can be expected.

Skilled nursing facilities, including those owned by the Corporation, are subject to numerous licensing, certification, accreditation, and other governmental requirements. These include, but are not limited to, requirements relating to state licensing agencies, third-party payors and accreditation organizations. Continuing care retirement communities, residential care facilities and assisted living communities, including those owned by the Corporation, are also subject to various licensing or certification requirements. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation's scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures or could reduce the payments received or require the repayment of the amounts previously remitted. See "STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS" below for more information.

Medicare Program; Program Reimbursement Cuts and Delays. The Corporation is minimally dependent upon Medicare reimbursement. For the fiscal years ended September 30, 2021 and 2020, Medicare payments represented approximately 2.8% and 0.8%, respectively, of the Corporation's net resident service and other revenue. The Corporation is not licensed to accept reimbursement from Medi-Cal, California's Medicaid program. For a description of the Corporation's skilled nursing facility payor mix see "INFORMATION CONCERNING CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS — STATISTICAL INFORMATION — Sources of Revenue for the Skilled Nursing Beds" in APPENDIX A hereto.

Due to health care reform as well as continuing political and financial pressures, the legal and regulatory environment surrounding the Medicare program has been changing and is expected to continue to change. Future changes to Medicare may alter program features including: (1) services eligible for payment; (2) rates of payment; (3) eligibility requirements to participate or qualify for different levels of payment/reimbursement; (4) consequences of violations; (5) rates and requirements relating to additional payments unrelated to services offered to patients; (6) guidelines relating to interactions between the participating health care providers, third party payors and the federal and state governments; and (7) payment methodologies.

The federal and state governments have in the past, and may in the future, reduce federal health care program spending (e.g. Medicare and Medicaid spending), either pursuant to budget reductions or in accordance with health care reform laws or efforts. Federal or state budget authorization delays or other challenges may cause Medicare reimbursements to be paid late. Such spending reductions and/or payment delays may have a material adverse effect upon facilities that accept Medicare payments. See also, "GENERAL ECONOMIC CONDITIONS AND FINANCIAL MARKET DISRUPTION" above.

Medicare. Medicare provides certain health care benefits to beneficiaries who are 65 years of age or older, blind, disabled, or qualify for the end stage renal disease program. Unless a specific waiver or pilot program applies, skilled nursing facility ("SNF") services are covered by the Medicare program only if the patient spends at least three consecutive days as a hospital inpatient for a related condition prior to admission to the SNF and if the patient was admitted to the SNF within 30 days of discharge from the hospital. Medicare reimburses for such post-hospital inpatient nursing services provided by the SNF for up to 100 days for each spell of illness, subject to coinsurance and deductible payments from the patient. There is no annual limitation on the number of covered "spells of illness". The patient must pay a deductible and coinsurance amounts for the twenty-first and each of the remaining days of covered care per "spell of illness". Covered services include supervised nursing care, room and board, social services, physical, speech, and occupational therapies, certain pharmaceuticals and supplies, and other necessary services provided by nursing facilities.

Medicare reimburses SNFs pursuant to a prospective payment system ("PPS"). Historically, Medicare PPS payments to SNFs were based upon certain resource utilization group ("RUG") per diem payment rates developed by the Centers for Medicare and Medicaid Services ("CMS") that provided various levels of reimbursement based upon a patient case-mix classification system. Pursuant to the FY 2019 Skilled Nursing Facility PPS final payment rules ("2019 SNF PPS Rules"), effective October 1, 2019 the RUG payment methodology was replaced with a revised payment methodology called the "SNF Patient-Driven Payment Model" ("PDPM"). Reimbursement under the PDPM is determined based on ICD-10 diagnosis codes and patient characteristics and adjusted based on the services rendered in order to account for varying costs throughout the stay. Per CMS, the goals of the PDPM are to tie payment to patient conditions and needs rather than the volume of services and to reduce provider paperwork burdens. There is no assurance that Medicare PPS payments will be sufficient to cover a SNF's costs. Additionally, Management cannot predict with any reasonable degree of certainty or reliability the ultimate effects of the new PDPM payment model on the Corporation's operations or financial condition, though revenues may be negatively affected.

The 2019 SNF PPS Rules also finalized updates to the SNF Value-Based Purchasing Program (“*SNF VBP Program*”) and SNF Quality Reporting Program (“*SNF QRP*”). The SNF VBP Program either positively or negatively adjusts a SNF’s reimbursement payments based on its performance on the program’s hospital readmission measure. Under the SNF QRP, SNFs that fail to submit the required quality data to CMS will be subject to a 2% reduction to the otherwise applicable annual market basket percentage update with respect to that fiscal year. Management cannot predict the Corporation’s performance under these programs or the corresponding effects on the Corporation’s operations or financial condition. See also “— *Industry Trend Toward Alternative Payment Models*” below.

Health Care Reform. The Patient Protection and Affordable Care Act of 2010 and the Health Care and Education Affordability Reconciliation Act of 2010 (collectively referred to as the “*ACA*”) have significantly changed the United States health care delivery system, addressing almost all aspects of healthcare facility and provider operations, including the delivery of health care services, the financing of health care costs, healthcare provider reimbursement and the legal obligations of healthcare providers, insurers, employers and consumers. Key changes include cost containment measures including new payment models which may result in lower reimbursement and utilization changes; quality improvement and clinical integration initiatives, fraud and abuse enforcement enhancements; health insurance market reforms; and Medicaid expansion. Additionally, the ACA includes a number of initiatives that impact skilled nursing facility reimbursement. Each of these ACA initiatives have required health care providers to assess, and potentially alter, their business strategy and practices. While the ACA may result in many providers receiving reduced payments for care, millions of previously uninsured Americans have obtained health insurance coverage as a result of the ACA. There is no assurance that federal payments made as a result of reimbursement reform measures will be sufficient to cover the Corporation’s skilled nursing facility costs.

Due to the controversial nature of health care reform generally, implementation of the ACA has been, and remains, politically controversial. Since its enactment, the ACA has faced a stream of opposition from Republican lawmakers calling for its repeal and/or replacement, along with a string of lawsuits challenging various aspects of the law. To date, the ACA has survived several major Supreme Court challenges and no bills wholly repealing the ACA have passed both chambers of Congress. However, the Tax Cuts and Jobs Act of 2017 effectively eliminated a key provision of the ACA – a tax penalty associated with failing to maintain health coverage by reducing the penalty to zero dollars effective 2019. New legal or legislative challenges to the ACA may occur in the future. In addition to actual and possible legislative changes or legal challenges, executive branch actions and policies could impact the viability of the ACA. President Biden has taken, and is expected to continue to undertake, executive actions that will strengthen and build on the ACA and may reverse certain policies of the prior administration that are seen as undermining the ACA.

Management cannot predict the likelihood or subsequent effect of any future health care reform bills, or the likelihood or subsequent effect of any future legal, legislative or executive challenge to the ACA, though such effects could materially impact the Corporation’s business or financial condition. In particular, a repeal or replacement of the ACA could directly affect the Corporation in various ways, including affecting (1) the health insurance coverage and costs provided by the Corporation to its employees, (2) Medicare and Medicaid reimbursement, (3) the costs to residents of services provided by the Corporation, and (4) the willingness of prospective residents to consider the Gardens as a retirement option. Additionally, any legal, legislative or executive action that significantly changes or disrupts the health care, senior care, or health insurance industries, generally, could have a material adverse effect on the Corporation’s business or financial condition.

Industry Trend Toward Alternative Payment Models. It is generally expected that alternative payment models that condition reimbursement on patient outcome measures (such as the SNF VBP Program discussed above) will become more common and involve a higher percentage of reimbursement

amounts. As discussed above, the ACA contains a number of health care delivery reform measures intended to promote value-based purchasing in the federal health care programs and commercial third-party payors are increasingly implementing value-based purchasing and other alternative payment models. This rapid volume-to-value reimbursement shift within the health care industry could present financial challenges for the Corporation and the employed or contracted clinicians with whom the Corporation partners to deliver care, particularly to the extent they are unable to meet targeted measures.

Federal and State Fraud and Abuse Laws. Certain federal laws, including the laws commonly known as the Anti-Kickback Statute, the Stark Law and the False Claims Act, seek to protect the federal health care programs from fraud and abuse (collectively, the “*Federal Healthcare Fraud Laws*”). The Federal Healthcare Fraud Laws are complex, heavily enforced and subject to frequent amendment. Violation of the Federal Healthcare Fraud Laws may result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability. In addition, *qui tam* or “whistleblower” provisions of the False Claims Act allow private individuals to bring actions on behalf of the government.

Additionally, a number of states, including California, have passed healthcare fraud and abuse laws similar to or broader in scope than the Federal Healthcare Fraud Laws. For example, the California Insurance Code provides that a person who submits a fraudulent claim to an insurance company (including private insurers) is subject to significant civil fines and penalties. Similar to the federal False Claims Act, actions under this California Insurance Code section may be initiated by private parties. Violation of state fraud and abuse laws may also result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability.

Although the Corporation has a compliance program designed to help ensure material compliance with laws, rules and regulations affecting the health care industry, including the Federal Healthcare Fraud Laws and similar state laws, these policies and procedures may not be wholly effective. If the Corporation is alleged or found to have violated such laws, rules or regulations or if government health care program payments are suspended due to an allegation of fraud, the Corporation’s operations and financial condition could be materially adversely affected. At the present time, Management is not aware of any pending or threatened claims, investigations or enforcement actions regarding any applicable federal or state statutes which, if determined adversely to the Corporation would have a material adverse effect on the financial condition of the Corporation.

Billing Practices. Medicare requires that extensive financial information be reported on a periodic basis and in a specific format or content. These requirements are numerous, technical and complex and may not be fully understood or implemented by billing or reporting personnel. With respect to certain types of required information, the False Claims Act may be violated by mere negligence or recklessness in the submission of information to the government even without any specific intent to defraud. New billing systems, new medical procedures and procedures for which there is not clear guidance may all result in liability. Medicare providers are subject to various government reviews, audits and investigations to verify compliance with applicable payment laws and regulations. Government audit contractors conduct extensive reviews of claims data to evaluate appropriateness of claims submitted for payment and may identify overpayments based on coverage requirements, billing and coding rules or other risk areas. Typically, such contractors can also refer suspected violations of law to government authorities. Adverse determinations from such audits, review and investigations can result in criminal or civil liability and may include, for serious or repeated violations, exclusion from participation in the Medicare program. While Management believes that the Corporation’s billing practices are consistent with Medicare criteria, those criteria are often vague and subject to interpretation and there can be no assurance that aggressive anti-fraud actions will not adversely affect the business of the Corporation.

Federal and State Privacy Laws. Specific state and federal laws govern the use and disclosure of confidential patient health information, as well as patients' rights to access and amend their own health information. The Administrative Simplification Requirements of the Health Insurance Portability and Accountability Act of 1996 ("*HIPAA*") established national standards to facilitate the electronic exchange of Protected Health Information ("*PHI*") and to maintain the privacy and security of the PHI. These standards have a major effect on health care providers which transmit PHI in electronic form in connection with HIPAA standard transactions (*e.g.*, health care claims). In particular, HIPAA established standards governing: (1) electronic transactions and code sets; (2) privacy; (3) security; and (4) national identifiers.

In 2009, HIPAA was amended by the Health Information Technology for Economic and Clinical Health ("*HITECH*") Act to impose certain of the HIPAA privacy and security requirements directly upon business associates of covered entities and significantly increase the monetary penalties for violations of HIPAA. Regulations that took effect in late 2009 also require business associates to notify covered entities, who in turn must notify affected individuals and government authorities, of data security breaches involving unsecured PHI. Since the passage of the HITECH Act, enforcement of HIPAA violations has increased.

Two state medical privacy laws expand California's health care privacy standards and provided new oversight mechanisms and enforcement penalties. These state privacy laws, among other things, penalize unlawful access, use or disclosure of a patient's health care information. State consumer privacy laws may also provide the basis for legal action for privacy and security breaches and, unlike HIPAA, authorize a private right of action. The state privacy laws provide additional sources of potential legal liability for the Corporation and compliance with such laws may require the Corporation to incur additional costs.

The Corporation has developed policies, procedures and practices that Management believes address federal and state privacy and security laws and regulations, but if it was determined that the Corporation was not in compliance with such law and regulations, criminal and civil penalties could be imposed.

STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS

The operations of the Corporation are subject to numerous licensing, certification, accreditation and other governmental requirements that are administered by a variety of federal and state governmental agencies as well as by self-regulatory associations and commercial medical insurance reimbursement programs. These include, but are not limited to, requirements relating to Medicare participation and payment and requirements relating to state licensing agencies, private payors and accreditation organizations. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation's scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures, or could reduce the payment received or require the repayment of the amounts previously remitted. The Corporation currently anticipates no difficulty in renewing or continuing currently-held licenses, certifications and accreditations. It is impossible, however, to predict the effect of future regulation on the operations or financial condition of the Corporation. For information regarding the types of services offered by the Corporation at the Gardens, *see* APPENDIX A — "INFORMATION CONCERNING CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS — MT. SAN ANTONIO GARDENS."

Senior living providers may be subject to increased state inspection and survey activity due to the COVID-19 pandemic. Additionally, in response to the COVID-19 pandemic, CMS has initiated a

performance-based funding requirement tied to CARES Act funding for state surveying agencies. Accordingly, skilled nursing providers will likely be subject to increased state inspection and survey activity. CMS has also increased civil monetary penalties relating to SNF infection control deficiencies.

State Regulation of the Facility. The Corporation operates the Gardens as a continuing care retirement community (“CCRC”) consisting of a residential portion licensed as a Residential Care Facility for the Elderly (“RCFE”) by the California Department of Social Services (“DSS”) and a health facility portion licensed as a skilled nursing facility (“SNF”) by the California Department of Public Health (“DPH”). If the Corporation fails to meet any of the below described state statutory or regulatory requirements with respect to CCRCs, RCFEs or SNFs, it could become unable to operate as described herein and, consequently, be unable to meet debt service requirements on the Bonds.

An agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the payment of periodic charges is regarded as a “continuing care contract” subject to rules and regulations under the California Health and Safety Code (“*Health and Safety Code*”). Any facility entering into such continuing care contracts in the state of California are considered CCRCs which must obtain: (i) a license to operate a RCFE from the DSS, (ii) where there is a SNF on the premises, a license to operate a SNF from the DPH, and (iii) a certificate of authority (“*Certificate of Authority*”) from DSS to enter into continuing care contracts with residents.

RCFE and SNF Licensure. RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to suspension or revocation on any ground specified in Health and Safety Code Section 1569.50 (violation by the licensee of the RCFE law; aiding, abetting, or permitting violation of the RCFE law; conduct inimical to the health, morals, welfare, or safety of either an individual in or receiving services from the facility or the people of the State of California; the conviction of a licensee, or other person for whom criminal record clearance is required, any time before or during licensure, of a crime as defined in the RCFE law; and engaging in acts of financial malfeasance concerning operation of a facility, including, but not limited to, improper use or embezzlement of client monies and property or fraudulent appropriation for personal gain of facility monies and property, or willful or negligent failure to provide services for the care of clients). DPH inspects SNFs approximately once a year, and facilities failing to meet the state or federal standards are subject to fines or other enforcement actions.

DPH and DSS have the ability to deny licensing if either agency is not satisfied with the Corporation’s compliance with requirements to operate as a SNF or RCFE, respectively, in the state. In addition, DPH and DSS both have broad remedial powers to intervene in the operation of a provider who fails to comply with applicable regulatory requirements once the provider is licensed and in operation.

CCRC Certificate of Authority. In addition to the licenses described above, continuing care providers are required to obtain a Certificate of Authority from DSS prior to entering into continuing care contracts with residents. A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the continuing care provider has done any of the following: (i) violated the statutes, or the rules and regulations of the Health and Safety Code governing continuing care contracts (Health and Safety Code Sections 1770 et. seq) (the “*Continuing Care Law*”); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining its licenses, permits or Certificate of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care

Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or Certificate of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or is using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law.

The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of the Certificate of Authority by a continuing care provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed. In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the continuing care provider is located. If at any time DSS determines that further efforts to rehabilitate the continuing care provider would not be in the best interest of the CCRC residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS shall revoke the continuing care provider's Certificate of Authority.

As a provider offering a continuing care contract, the Corporation is required by the Continuing Care Law to maintain at all times qualifying assets ("*Qualifying Assets*") as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code (the "*Debt Service Reserve Amount*") and (b) the amount the continuing care provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code (the "*Operating Expense Reserve Amount*"). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the Corporation during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the Corporation; (ii) facility rental or leasehold payments, and any related payments, paid by the Corporation during the immediately preceding fiscal year; and (iii) all payments paid by the Corporation during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days' net operating expenses, which includes all expenses of the Corporation except (1) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (2) depreciation or amortization expenses, (3) an amount equal to the reimbursement paid to the Corporation during the past 12 months for services to residents other than residents holding continuing care contracts, and (4) extraordinary expenses that DSS determines may be excluded by the Corporation. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. The Corporation is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Corporation is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts. As of September 30, 2021, the Corporation was in compliance with the financial reserve requirements described above.

The Continuing Care Contracts Branch of DSS reviews each CCRC in the state at least once every three years to augment the branch's assessment of the CCRC's financial soundness. The branch considers the condition of the CCRC, whether the CCRC is operating in compliance with applicable state law, and whether the CCRC is performing the services specified in its continuing care contracts. Failure to maintain any required financial reserves or to comply with regulatory requirements may result in civil penalties or the suspension or revocation of a CCRC's Certificate of Authority. Additionally, upon certain failures to comply with regulatory requirements, including the CCRC becoming insolvent or unable to perform its contractual obligations, DSS is authorized to petition for the appointment of a court-appointed administrator to rehabilitate the CCRC. In this capacity, the administrator's powers include taking possession of the CCRC's assets and property, dealing with the property in the administrator's name, depositing and investing any of the CCRC's funds, and paying all expenses of the rehabilitation. In the event of a permanent relocation of residents from the Corporation's facilities is required due to termination or forfeiture of the Corporation's Certificate of Authority or licenses, certain procedures are required to be followed. These procedures include the establishment of a reserve, trust fund or performance bond in an amount sufficient to cover the cost and ensure the fulfillment the Corporation's statutory obligations, which include the cost of moving residents to other communities and may include additional monetary compensation to the affected residents in certain circumstances.

The Corporation's facility is subject to the statutory limitations on transfer. Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership of a CCRC without the approval of DSS, including the granting of any interest in the facility, such as a mortgage or deed of trust. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a Certificate of Authority to operate as a CCRC, a provider must also record a "Notice of Statutory Limitation of Transfer" with respect to the real property on which the facility is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the CCRC property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and certificate of authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts.

On July 25, 2016, then Governor Brown signed a bill (the "*Monning Bill*") which aims to protect CCRC residents and their estates against significant delays in the repayment of residents' entrance fees when contracts condition the repayment on the resale of CCRC units ("*Repayable Contracts*"). The Monning Bill amended the Continuing Care Law to require that unpaid entrance fee repayment amounts that remain outstanding after certain periods of time will accrue interest as provided in Section 1788.4 of the Continuing Care Law. Specifically, (i) any entrance fee repayment balance that has not been paid to the resident or the resident's estate within 180-239 days after termination of the Repayable Contract will accrue simple interest at an annual rate of 4%, (ii) any entrance fee repayment balance still outstanding at 240 days after termination of the Repayable Contract will accrue simple interest at an annual rate of 6% until repayment is made, and (iii) any entrance fee repayment not made within one year after the 240-day period will accrue interest at an annual rate of 6%, compounded annually. The Monning Bill also requires CCRCs to disclose the average and longest length of time for entrance fee repayment over the preceding 5 years. Any future state action to further regulate the conditions and timing of entrance fee refunds could negatively affect the operations and financial condition of the Corporation. See also APPENDIX A — "INFORMATION CONCERNING CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS — RESIDENCY AGREEMENTS — Contract Types."

The Corporation has obtained the necessary RCFE and SNF licenses and Certificate of Authority from DSS and DPH in order to operate the Gardens and, in the opinion of Management, operates the Gardens in a manner consistent with the Health and Safety Code. To date, the Corporation's existing SNF license, RCFE license and Certificate of Authority have never been suspended, conditioned or revoked. There is no guarantee that the Corporation's Certificate of Authority and licenses to operate the Gardens will not be suspended, conditioned or revoked in the future. State laws and regulations governing the RCFEs, CCRCs and SNFs are occasionally amended or reformed by the California legislature, DPH, or DSS, as applicable. There is no assurance that future legislation or regulation in California will not have an adverse impact on the ability of the Corporation to operate the Gardens as now operated.

State Penalties for Significant Patient Care Events. In California, DPH is authorized to issue citations to and impose administrative remedies on SNFs that experience certain significant patient care events that violate State or federal law. In accordance with Sections 1424 and 1424.5 of the Health and Safety Code, a violation is assigned one of several citation classes based on the scope and impact of the incident on patient health and safety. Depending on the citation class, the administrative penalty for such incidents ranges from \$100 to \$100,000.

SNF Quality Assurance Fees. Certain SNFs in California are subject to "quality assurance fees" on skilled nursing services. State law, however, includes a waiver which exempts certain types of SNFs, such as SNFs that are components of CCRCs and SNFs operated by the state or another public entity, from the obligation to pay such quality assurance fees. There can be no assurance that such exemption (which, as presently in effect exempts the Corporation) will continue in whole or in part, and legislative proposals that contemplate modifying or terminating the scope of the quality assurance fee exemption have been discussed from time to time.

CYBERSECURITY RISKS

Cybersecurity refers to the combination of technologies, processes and procedures established to protect information technology systems and data from unauthorized access, attack, or damage. The Corporation relies on its information systems for its business operations and to provide security for processing, transmission and storage of confidential resident and other information, including information relating to health protected by HIPAA. Although the Corporation has taken steps to protect the security of its information systems and the data maintained in those systems, it is possible that these security measures will not prevent improper access or disclosure of personally identifiable information. Security breaches, including electronic break-ins, computer viruses, attacks by hackers and similar breaches can create system disruptions or shutdowns or the unauthorized disclosure of confidential information. Cyber-attacks (such as ransomware or malware attacks) targeting health care providers have been occurring more frequently, and in some cases, have resulted in temporary facility closure. If personal or otherwise protected information of residents or others is improperly accessed, tampered with or distributed, the Corporation may incur significant costs to remediate possible injury to the affected residents or other persons, and the Corporation may be subject to sanctions and civil penalties if it is found to be in violation of the privacy or security rules under HIPAA or other similar federal or state laws protecting confidential patient health information. Any failure to maintain proper functionality and security of information systems could interrupt the Corporation's operations, damage its reputation, subject it to liability claims or regulatory penalties and could have a material adverse effect on its operations, financial condition and results of operations. Although the Corporation has insurance against some cyber risks and attacks, it may not be sufficient to offset the impact of a material loss event.

AFFILIATION, MERGER, ACQUISITION

The Corporation evaluates and may pursue potential acquisition, merger and affiliation candidates as part of the overall strategic planning process. Likewise, the Corporation occasionally receives inquiries from, or conducts discussions with, third parties about the potential acquisition of operations. Discussions with respect to affiliation, merger or acquisition are held from time to time with other parties. As a result, it is possible that the current organization and assets of the Obligated Group may change from time to time. Any such changes are subject to compliance with the applicable provisions of the Master Indenture.

RISKS RELATED TO TAX-EXEMPT STATUS

Tax-Exempt Status of the Bonds. The Code imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Bonds, to be excludable from gross income for federal income tax purposes. These requirements include, among other things, limitations on the use of bond proceeds and facilities financed with bond proceeds, limitations on the investment earnings of bond proceeds prior to expenditure, a requirement that certain investment earnings on bond proceeds be paid periodically to the United States, and a requirement that the Authority file an information report with the IRS. The Authority, the Corporation and the Bond Trustee have covenanted to comply with these requirements to the extent applicable. Failure to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of the interest on the Bonds as taxable. Such adverse treatment may be retroactive to the date of issuance. See also, “TAX MATTERS.”

IRS officials have recently indicated that more resources will be invested in audits of tax-exempt bonds in the charitable organization sector. The Bonds may be, from time to time, subject to audits by the IRS. Bond Counsel will render an opinion with respect to the tax-exempt status of the Bonds, as described under the caption “TAX MATTERS” below. The opinion of Bond Counsel is not binding on the IRS. There is no assurance that an IRS examination on the Bonds will not adversely affect the market value of the Bonds. See “TAX MATTERS” below.

Proposed Legislation Regarding Limitations or Elimination of Tax-exempt Status of Bonds. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of interest on the Bonds under Federal or state law or otherwise prevent beneficial owners of the Bonds from realizing the full current benefit of the tax status of such interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the Bonds.

Prospective investors should consult with their tax advisors on the foregoing matters as they consider an investment in the Bonds.

Tax-Exempt Status of the Corporation. The tax-exempt status of the Bonds depends, among other things, upon maintenance by the Corporation of its status as an organization described in Section 501(c)(3) of the Code. The maintenance of such status is contingent on compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including their operation for charitable and other permissible purposes and their avoidance of transactions that may cause their earnings or assets to inure to the benefit of private individuals. As these general principles were developed primarily for public charities that do not conduct large-scale technical operations and business activities, they often do not adequately address the myriad operations and transactions entered into by a modern senior living organization. Although traditional activities of senior living providers have been the subject of interpretations by the IRS in the form of Private Letter Rulings,

many activities or categories of activities have not been fully addressed in any official opinion, interpretation or policy of the IRS.

The IRS has issued Revenue Rulings dealing specifically with the manner in which a facility providing residential services to the elderly must operate in order to maintain its exemption under Section 501(c)(3) of the Code. Revenue Ruling 72-124 states that an otherwise qualified organization will qualify for charitable status for purposes of the Code if it operates in a manner designed to satisfy the needs of elderly persons for housing, health care and financial security. The need for housing is generally met if the organization provides residential facilities specifically designed to meet some combination of the physical, emotional, recreational, social, religious and similar needs of elderly persons. The need for health care is generally met if the organization directly provides some form of health care or, in the alternative, makes such care available through continuing arrangements with other organizations, facilities or health personnel. The need for financial security is generally met if two conditions are satisfied: (1) the organization must be committed to an established policy of maintaining in residence any persons who become unable to pay their regular charges, and (2) the organization operates so as to provide its services to the elderly at the lowest feasible cost, taking into account such expenses as the payment of indebtedness, maintenance of adequate reserves, and reserves for physical expansion. Revenue Ruling 79-18 states that a charitable organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, *provided* that those charges are set at a level that is within the financial reach of a significant segment of the community's elderly persons and that the organization maintains in residence those tenants who become unable to pay monthly charges.

If the IRS were to find that the Corporation has participated in activities in violation of certain regulations or rulings, the Corporation's tax-exempt status could be in jeopardy. Although the IRS has not frequently revoked the Section 501(c)(3) tax-exempt status of nonprofit senior living corporations, it could do so in the future. Loss of tax-exempt status by the Corporation potentially could result in loss of tax exemption of all or a portion of the Bonds, and defaults in covenants regarding the Bonds and other outstanding tax-exempt debt and obligations likely would be triggered. Loss of the Corporation's tax-exempt status also could result in substantial tax liabilities on the income of the Corporation.

In lieu of revocation of exempt status, the IRS may impose penalty excise taxes on certain "excess benefit transactions" involving Section 501(c)(3) organizations and "disqualified persons." An excess benefit transaction is one in which a disqualified person receives more than fair market value from the exempt organization or pays the exempt organization less than fair market value for property or services, or shares the net revenues of the tax-exempt entity. A disqualified person is a person (or a certain kind of entity) who is in a position to exercise substantial influence over the affairs of the exempt organization during the five years preceding an excess benefit transaction. The statute imposes excise taxes on the disqualified person and any "organization manager" who knowingly participates in an excess benefit transaction. These rules do not penalize the exempt organization itself, so there would be no direct impact on the Corporation or the tax status of the Bonds if an excess benefit transaction were subject to IRS enforcement.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit corporations. There can be, however, no assurance that future changes in the laws and regulations of the federal, state or local governments, or the interpretation of existing or future laws and regulations will not materially and adversely affect the operations and revenues of the Corporation by requiring them to pay income taxes.

Property Taxes. The Gardens is exempt from property taxation except for minor assessments. However, budgetary pressures on state and local government may lead to increasing pressures for state legislation to amend the property tax statutes to subject to taxation various properties owned by nonprofit

organizations or to condition exemption from taxation upon the performance of specific types or level of charitable activity.

In recent years, state, county, and local taxing authorities have been undertaking audits and reviews of the operations of tax-exempt organizations with respect to their property tax exemption for both real and personal property. In some states, including California, these authorities have interpreted the criteria for exemption more narrowly than in the past, resulting in revocation or denial of exemption. The Corporation expects the majority of its real and personal property to be exempt from property taxes. Investigations or audits could lead to challenges of the property tax exemption that, if successful, could adversely and materially affect the property tax exemption of the Gardens.

Intermediate Sanctions. On July 31, 1996, the Taxpayers Bill of Rights 2 (the “*Taxpayers Act*”) was signed into law. The Taxpayers Act provides the IRS with an “intermediate” tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Prior to the “intermediate sanctions law,” the IRS could punish such violations only through revocation of an entity’s tax-exempt status.

Intermediate sanctions may be imposed where there is an “Excess Benefit Transaction,” defined to include a disqualified person (*i.e.*, an insider) (1) engaging in a non-fair market value transaction with the tax-exempt organization; (2) receiving unreasonable compensation from the tax-exempt organization; or (3) receiving payment in an arrangement that violates the private inurement proscription.

A disqualified person who benefits from an excess benefit transaction will be subject to a “*first tier*” penalty excise tax equal to 25% of the amount of the excess benefit. Organizational managers who participate in an excess benefit transaction knowing it to be improper are subject to a first-tier penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$20,000. A “*second tier*” penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organizational manager) if the excess benefit transaction is not corrected in a specified time period.

CERTAIN MATTERS RELATING TO ENFORCEABILITY OF THE MASTER INDENTURE

The obligation of Members of the Obligated Group under the Series 2022 Obligations will be limited to the same extent as the obligations of debtors typically are affected by bankruptcy, insolvency and the application of general principles of creditors’ rights and as additionally described below.

The accounts of the Members of the Obligated Group (including any future Members of the Obligated Group) will be combined for financial reporting purposes and will be used in determining whether various covenants and tests contained in the Master Indenture (including tests relating to the incurrence of Additional Indebtedness) are met, notwithstanding the uncertainties as to the enforceability of certain obligations of the Obligated Group contained in the Master Indenture which bear on the availability of the assets and revenues of the Obligated Group to pay debt service on Obligations, including the Series 2022 Obligations pledged under the Bond Indenture as security for the Bonds. The obligation described herein of the Obligated Group to make payments of debt service on Obligations issued under the Master Indenture (including transfers in connection with voluntary dissolution or liquidation) may not be enforceable to the extent (1) enforceability may be limited by applicable bankruptcy, moratorium, reorganization or similar laws affecting the enforcement of creditors’ rights and by general equitable principles and (2) such payments (i) are requested with respect to payments on any Obligations issued by a Member other than the Member from which such payment is requested, issued for a purpose which is not consistent with the charitable purposes of the Member of the Obligated Group from which such payment is requested or issued for the benefit of a Member of the Obligated Group which is not a Tax-Exempt Organization; (ii) are requested to be made from any moneys or assets which

are donor-restricted or which are subject to a direct or express trust which does not permit the use of such moneys or assets for such a payment; (iii) would result in the cessation or discontinuation of any material portion of the health care or related services previously provided by the Member of the Obligated Group from which such payment is requested; or (iv) are requested to be made pursuant to any loan violating applicable usury laws. The extent to which the assets of any future Member of the Obligated Group may fall within the categories (ii) and (iii) above with respect to the Series 2022 Obligations cannot now be determined. The amount of such assets which could fall within such categories could be substantial.

A Member of the Obligated Group may not be required to make any payment on any Obligation, or portion thereof, the proceeds of which were not loaned or otherwise disbursed to such Member of the Obligated Group to the extent that such payment would render such Member of the Obligated Group insolvent or which would conflict with or not be permitted by or which is subject to recovery for the benefit of other creditors of such Member of the Obligated Group under applicable laws. There is no clear precedent in the law as to whether such payments from a Member of the Obligated Group in order to pay debt service on the Series 2022 Obligations may be voided by a trustee in bankruptcy in the event of bankruptcy of a Member of the Obligated Group, or by third-party creditors in an action brought pursuant to state fraudulent conveyance statutes. Under the United States Bankruptcy Code, a trustee in bankruptcy and, under state fraudulent conveyance statutes and common law, a creditor of a related guarantor, may avoid any obligation incurred by a related guarantor if, among other bases therefor, (1) the guarantor has not received fair consideration or reasonably equivalent value in exchange for the guaranty and (2) the guaranty renders the guarantor insolvent, as defined in the United States Bankruptcy Code or state fraudulent conveyance statutes, or the guarantor is undercapitalized.

Application by courts of the tests of “insolvency,” “reasonably equivalent value” and “fair consideration” has resulted in a conflicting body of case law. It is possible that, in an action to force a Member of the Obligated Group to pay debt service on an Obligation for which it was not the direct beneficiary, a court might not enforce such a payment in the event it is determined that the Member of the Obligated Group is analogous to a guarantor of the debt of the Member of the Obligated Group who directly benefited from the borrowing and that sufficient consideration for the Member of the Obligated Group’s guaranty was not received and that the incurrence of such Obligation has rendered or will render the Member of the Obligated Group insolvent.

CERTAIN MATTERS RELATING TO ENFORCEABILITY OF SECURITY INTEREST IN GROSS REVENUES

The effectiveness of the security interest in the Gross Revenues granted in the Master Indenture may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of receivables owed to the Members of the Obligated Group under their contracts, and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) certain judicial decisions which cast doubt upon the right of the Master Trustee, in the event of the bankruptcy of a Member of the Obligated Group, to collect and retain accounts receivable from Medicare, Medicaid and other governmental programs; (iii) commingling of the proceeds of Gross Revenues with other moneys not subject to the security interest in the Gross Revenues; (iv) statutory liens; (v) rights arising in favor of the United States of America or any agency thereof; (vi) constructive trusts, equitable or other rights impressed or conferred by a federal or state court in the exercise of its equitable jurisdiction; (vii) federal bankruptcy laws or state insolvency laws which may affect the enforceability of the mortgage or the security interest in the Gross Revenues of the Members of the Obligated Group which are earned by the Members of the Obligated Group within 90 days, preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against a Member of the Obligated Group; (viii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Master Trustee; and (ix) claims that might arise if appropriate financing or continuation statements are not filed or other documents, including the

depository account control agreement described under the heading “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—The Master Indenture and the Deed of Trust”, are not executed in accordance with the Uniform Commercial Code of the State as from time to time in effect.

Accounts receivable of the Members of the Obligated Group which constitute Gross Revenues and are pledged as security under the Master Indenture may be sold if such sale is in accordance with the provisions of the Master Indenture. Any lien created under the Master Indenture on such accounts receivable would terminate and be immediately released upon any such sale with respect to any such accounts receivable so sold.

TITLE INSURANCE; LIMITATIONS OF REMEDIES UNDER THE DEED OF TRUST

The Corporation will deliver, concurrently with the issuance of the Bonds, a modification to the existing lender’s title insurance policy issued in connection with the issuance of the Series 2019 Bonds, which runs to the Master Trustee. Once all funds have been disbursed from the Project Fund to pay costs of construction of the Project, the aggregate amount of title insurance coverage will equal the aggregate principal amount of the Bonds. The Corporation is not required to obtain an increase in the amount of the policy in connection with the issuance of any additional Obligations subsequent to the issuance of the Series 2022 Obligations, and the title insurance policy will not pay any claim which exceeds the aggregate face amount of the policy.

The practical realization of value from the real property subject to the Deed of Trust upon any default will depend on the exercise of the remedies specified under the Deed of Trust, principally, foreclosure. Statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien and security interest under the Deed of Trust upon the occurrence of a default under the Master Indenture.

The real property subject to the Deed of Trust consists primarily of skilled nursing facilities (nursing homes), assisted living facilities, independent living apartments and related facilities having limited potential uses. If the Master Trustee were to take possession of the property subject to the Deed of Trust pursuant to exercise of its remedies under the Deed of Trust, the number of persons who would be interested in purchasing the property likely would be very limited. As a result, the ability of the Master Trustee to realize value from such property would be limited. Accordingly, upon an Event of Default and foreclosure or similar remedy under the Deed of Trust, the Master Trustee may not be able to realize an amount sufficient to satisfy all obligations secured by the Deed of Trust.

AMENDMENTS TO THE DOCUMENTS

Certain amendments to the Bond Indenture and the Loan Agreement may be made without the consent of the owners of the outstanding Bonds under the Bond Indenture and certain amendments may be made with the consent of the owners of a majority of the outstanding Bonds. Such amendments may adversely affect the security of the Bondholders. *See* APPENDIX D — “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT — BOND INDENTURE — Amendments to Bond Indenture.”

ADDITIONAL DEBT

The Master Indenture permits the Obligated Group to incur Additional Indebtedness that may be equally and ratably secured with the Series 2022 Obligations. Any such additional parity indebtedness would be entitled to share ratably in the security interest with the owners of the Series 2022 Obligations. Any moneys realized from the exercise of remedies in the event of a default by the Obligated Group could reduce the Debt Service Coverage Ratio and could impair the ability of the Obligated Group to maintain

its compliance with certain covenants described in APPENDIX C under the caption “SUMMARY OF MASTER INDENTURE AND DEED OF TRUST — Rate Covenant.” There is no assurance that, despite compliance with the conditions upon which Additional Indebtedness may be incurred at the time such debt is created, the ability of the Obligated Group to make the necessary payments to repay the Series 2022 Obligations may not be materially adversely affected upon the incurrence of Additional Indebtedness. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” herein.

FACTORS THAT COULD AFFECT THE VALIDITY OR VALUE OF THE LIEN AGAINST THE OBLIGATED GROUP’S GROSS REVENUES AND THE ENFORCEABILITY OF THE LOAN AGREEMENT AND LEGAL OPINIONS

The legal right and practical ability of the Bond Trustee to enforce the rights and remedies under the Loan Agreement and of the Master Trustee to enforce the rights and remedies under the Master Indenture may be limited by laws relating to bankruptcy (see “BANKRUPTCY” directly following), insolvency, reorganization, fraudulent conveyance or moratorium and by other similar laws affecting creditors rights. The enforcement of such rights and remedies will also depend upon the exercise of various remedies specified by such documents which may in many instances require judicial actions that are often subject to discretion and delay or that otherwise may not be readily available or may be limited.

In addition, there exists common law authority and certain statutory authority for the ability of the courts to terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated charitable purposes. Such court action may arise on the court’s own motion or pursuant to a petition of the state Attorney General or such other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see the application of their funds to their intended charitable uses.

The various legal opinions to be delivered concurrently with the execution and delivery of the Bonds will be qualified as to the enforceability of the various legal instruments by limitations imposed by State and federal laws, rulings and decisions affecting remedies, and by bankruptcy, reorganization or other laws of general application affecting the enforcement of creditors’ rights or the enforceability of certain remedies or document provisions.

BANKRUPTCY

If a Member of the Obligated Group were to file a petition for relief under Title 11 of the United States Code (the “*Bankruptcy Code*”), the filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against such Member and any interest it has in property. If the bankruptcy court so ordered, the Member’s property, including its accounts receivable and proceeds thereof, could be used, at least temporarily, for the benefit of the Member’s bankruptcy estate despite the claims of its creditors.

In a case under the current Bankruptcy Code, a Member of the Obligated Group could file a plan of reorganization. The plan is the vehicle for satisfying, and provides for the comprehensive treatment of, all claims against such Member and could result in the modification of rights of any class of creditors, secured or unsecured. To confirm a plan of reorganization, with one exception discussed below, it must be approved by the vote of each class of impaired creditors. A class approves a plan if, of those who vote, those holding more than one-half in number and at least two-thirds in amount vote in favor of a plan. Approval by classes of interests requires a vote in favor of the plan by two-thirds in amount. If these levels of votes are attained, those voting against the plan or not voting at all are nonetheless bound by the terms thereof. Other than as provided in the confirmed plan, all claims and interests are discharged and extinguished. If fewer than all of the impaired classes accept the plan, the plan may nevertheless be

confirmed by the bankruptcy court and the dissenting claims and interests would be bound thereby. For this to occur, at least one of the impaired classes must vote to accept the plan and the bankruptcy court must determine that the plan does not “discriminate unfairly” and is “fair and equitable” with respect to the nonconsenting class or classes. The Bankruptcy Code establishes different fair and equitable tests for secured claims and interest holders. To be confirmed, the bankruptcy court must also determine that a plan, among other requirements, provides creditors with not less than would be received in the event of liquidation, is proposed in good faith, and that the debtor’s performance is feasible.

CERTAIN RISKS ASSOCIATED WITH THE DEED OF TRUST

Valuation. The Gardens is located in a region that has experienced real property market volatility throughout the past few years. There can be no assurance that, if the Corporation were to default in making the payments under the Loan Agreement, (i) any part or all of the Gardens could be foreclosed upon and sold for an amount sufficient to fully pay the outstanding principal of and interest on the Bonds or (ii) any bid would be received for the Gardens and, if received, that such bid would be sufficient to fully pay the outstanding principal of and interest on the Bonds.

Priority of the Liens. The lien created under the Deed of Trust delivered by the Corporation constitutes a first lien on and security interest in the Mortgaged Property. The liens are subordinate to and independent of liens for general property taxes, special taxes and assessments. Additional special taxes or assessments may be imposed on the Gardens by other public agencies that have jurisdiction over the Mortgaged Property. Such future special taxes or assessments would have priority over the liens created under the Deed of Trust. Additionally, the Corporation may create Permitted Encumbrances which have priority over the liens created under the Deed of Trust.

Hazardous Substances. While governmental taxes, assessments and charges are common claims against the value of property, other less common claims may be relevant. One of the most serious in terms of the potential reduction in the value that may be realized is a claim with regard to hazardous substances. In general, the Corporation may be required by law to remedy conditions of the Gardens relating to release of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as “CERCLA” or the “Superfund Act,” is the most well-known and widely applicable of these laws. California laws with regard to hazardous substances are stringent and similar to the federal acts. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition on property, whether or not the owner (or operator) had or has anything to do with the creation or handling of the hazardous substance. Consequently, if any part of the Gardens is affected by a hazardous substance, the marketability and value of the parcel may be reduced by the cost of remedying the condition. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling the hazardous substance. Any of these circumstances could significantly affect the value of the Mortgaged Property that would be realized upon a delinquency and foreclosure.

Foreclosure. There are two methods of foreclosing on a deed of trust under California law: by nonjudicial sale and by judicial sale. Foreclosure under a deed of trust may be accomplished by a nonjudicial trustee’s sale under the power of sale provision in the deed of trust. Prior to such sale, the trustee must record a notice of default and election to sell and must send a copy to the trustor, any person who has recorded a request for a copy of the notice of default and notice of sale, any successor in interest of the trustor and the beneficiary of any junior deed of trust. Following the lapse of three months after recording the notice of default and election to sell, the trustee may give notice of sale. The notice of sale must be posted in a public place and published once each week throughout a 20-day period prior to the trustee’s sale. Such notice of sale must be posted on the property and must be sent to the trustor, to each person who has requested a copy, to any successor in interest of the trustor and to the beneficiary of any junior deed of trust at least 20 days prior to the sale. The trustor, any successor in interest of the trustor,

or any person having a junior lien or encumbrance of record may cure the default during the statutory reinstatement period by paying the entire amount of the debt then due under the terms of the deed of trust and the obligations secured thereby (exclusive of principal due by virtue of acceleration upon default) plus costs and expenses actually incurred in enforcing the obligation and certain statutorily limited attorneys' and trustee's fees. In addition, the notice of sale must be recorded with the county recorder at least 14 days prior to the date of sale. Following the sale, neither the trustor nor any junior lien holder has any right of redemption, and the beneficiary may not ordinarily obtain a deficiency judgment against the trustor.

If foreclosure under a deed of trust is sought in the form of a judicial foreclosure, it generally is subject to most of the delays and expenses that occur with other lawsuits. Judicial foreclosure sometimes requires up to several years to complete. The primary advantage of a judicial foreclosure is that the beneficiary is entitled, subject to other limitations, to obtain a deficiency judgment against the trustor to the extent that the amount of the debt is in excess of the fair market value of the property. Following a judicial foreclosure sale, the trustor or its successors in interest may redeem the property for a period of one year (or a period of three months if the entire amount of the debt is bid at the foreclosure sale).

Antideficiency Legislation and Other Limitations on Lenders. The State of California has four principal statutory prohibitions limiting the remedies of a beneficiary under a deed of trust. Two of these prohibitions limit the beneficiary's right to obtain a deficiency judgment, one being based on the method of foreclosure and the other on the type of debt secured. Under the former, a deficiency judgment ordinarily is barred when the foreclosure is accomplished by means of a nonjudicial trustee's sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporation. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations.

Another California statute, commonly known as the "one form of action" rule, requires the beneficiary to exhaust the security under a deed of trust by foreclosure before bringing a personal action against the trustor on the indebtedness. If a court were to hold that this rule was applicable to the Deed of Trust and the Master Trustee were to file suit to collect the debt under the Master Indenture without seeking first to enforce its remedies under the Deed of Trust, it might be precluded from thereafter proceeding under the Deed of Trust to foreclose on the Mortgaged Property.

Another statutory provision limits any deficiency judgment obtained by a beneficiary following a judicial sale to the excess of the outstanding debt above the fair market value of the property at the time of sale. This prevents a beneficiary from obtaining a large deficiency judgment against the debtor as the result of low bids at a judicial sale.

Other statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien of the Deed of Trust in the event of a default by the Corporation.

RIGHTS OF RESIDENTS

The Corporation enters into residency agreements with its residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Gardens, in the event that either the Bond Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Bond Indenture upon the occurrence of a default, management is unable to predict the resolution that a court might make of competing claims between the Bond Trustee, the Master Trustee, the Authority or the holders of the Bonds and the residents of the Gardens who have fully complied with all the terms and conditions of their Residency Agreements.

The Corporation may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of facility service fees or other charges without increase. Moreover, the Corporation may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the Corporation will be able to satisfy such resident groups.

ENVIRONMENTAL, OCCUPATIONAL, AND OTHER HEALTH AND SAFETY MATTERS

Health care facilities and retirement communities are subject to a wide variety of federal, state and local environmental, occupational, and other health and safety laws and regulations. Among the types of environmental and occupational safety regulatory requirements faced by such facilities, and by their owners and operators, are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos, medical waste and polychlorinated biphenyls; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at such facilities; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. Owners and operators of such facilities may be subject to liability for investigating and remediating any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Practical, financial, and legal risks associated with compliance with environmental and occupational health and safety laws and regulations may result in (1) damage to individuals, property or the environment, (2) the interruption of operations, (3) increased operating costs, (4) legal liability, damages, injunctions, citations or fines, and (5) investigations, administrative proceedings, civil litigation, criminal prosecution, penalties or other governmental agency actions. Such actions may not be covered by insurance. There is no assurance that the Corporation will not encounter such problems in the future and such problems may result in material adverse consequences to the Corporation's business or financial condition.

In addition to the environmental, health and safety laws and regulations that typically apply to the Corporation, the Occupational Health and Safety Administration ("OSHA") announced that it will issue a final rule to protect health care workers from COVID-19 hazards and that the agency will be focusing its inspection and enforcement efforts on industries with higher COVID-19 risk, such as health care facilities and assisted living facilities. In addition, President Biden has implemented a COVID-19 Action Plan in an effort to increase the number of workers in both the general and health care industries who receive vaccinations against COVID-19. In November 2021, the U.S. Department of Health and Human Services issued a rule requiring that to receive Medicare and Medicaid funding, participating facilities must ensure that their non-exempt staff be vaccinated against COVID-19 (the "*Healthcare Sector Mandate*"). Around the same time, OSHA issued an Emergency Temporary Standard requiring that private employers with one hundred or more employees require that their employees get the COVID-19 vaccine or undergo weekly testing (the "*OSHA ETS*"). States and private parties filed legal challenges to both the Healthcare Sector Mandate and the OSHA ETS. On January 13, 2022, the United States Supreme Court upheld the Healthcare Sector Mandate but stayed the OSHA ETS on the grounds that OSHA lacked the authority to issue the broad mandate in its current form. Compliance with the Healthcare Sector Mandate and any future COVID-19-related occupational health and safety laws may increase operating costs or affect the Corporation's ability to recruit and retain employees.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act and under comparable California State law, a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on the property. Such remedial action costs could subject the Mortgaged

Property to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred.

NATURAL DISASTERS

The occurrence of natural disasters, including floods, wildfires, earthquakes and volcanic activity, may damage part or all of the Gardens, interrupt utility service to part or all of the Gardens or otherwise impair the operation of part or all of the Gardens or the generation of revenues from part or all of the Gardens beyond existing insurance coverage. No assurance is given as to the continuation of such insurance coverage, which, among other things, may not be available at a reasonable cost in the future. Climate change may increase the frequency or severity of significant weather events or natural disasters. See also, “SEISMIC RISK” below.

SEISMIC RISK

The Gardens is situated in an active earthquake zone. A significant earthquake in the region could have a material adverse effect on the Corporation and could result in material damage and temporary or permanent cessation of operations at the Gardens.

POSSIBLE FUTURE CHANGES TO ACCOUNTING POLICIES AND PROCEDURES

From time to time, accounting policies and procedures change as accounting principles that are generally accepted in the United States change. Such changes may cause a variation in the presentation of the financial information of the Corporation. There can be no assurance that any such changes would not have a material adverse impact on the Corporation’s compliance with certain covenants contained in the Master Indenture.

MARKETABILITY OF THE BONDS

Although the Underwriter intends, but is not obligated, to make a market for the Bonds, there can be no assurance that there will be a secondary market for the Bonds, and the absence of such a market for the Bonds could result in investors not being able to resell the Bonds should they need to or wish to do so.

OTHER POSSIBLE RISK FACTORS

Potential purchasers should also consider the following factors prior to purchasing the Bonds. This list is not, and is not intended to be, all inclusive.

Energy. Changes to the cost and availability of energy could, among other things, affect the cost of utilities of the Corporation’s facilities and thereby adversely affect the operations of the Corporation.

Changes to Federal, State or Local Laws or Regulations. Changes to the laws and regulations affecting the Corporation’s operations such as reinstatement or establishment of mandatory governmental wage, rent or price controls, or changes in tax, pension, social security or other laws and regulations affecting the provisions of health care, retirement benefits and other services to the elderly, could have an adverse effect on the future operating or financial performance of the Corporation.

Early Redemption. Purchasers of Bonds, including those who purchase Bonds at prices in excess of their principal amount or who hold Bonds trading at prices in excess of their principal amount, should consider that the Bonds are subject to redemption prior to maturity at a redemption price that may be less

than the prices at which such Bonds were purchased or are trading. See “THE BONDS — Redemption of the Bonds.”

Forward-Looking Statements. Certain statements contained in this Official Statement do not reflect historical facts but instead are forecasts and “Forward-Looking Statements.” No assurance can be given that the future results discussed herein will be achieved, and actual results may differ materially from the forecasts described herein. In this respect, the words “estimate,” “forecast,” “project,” “anticipate,” “expect,” “intend,” “believe” and other similar expressions are intended to identify forward-looking statements. All projections, forecasts, assumptions and other forward-looking statements are expressly qualified in their entirety by the cautionary statements set forth in this Official Statement.

The information and expressions of opinions herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Corporation or any other person described herein since the date thereof.

LITIGATION

THE CORPORATION

There is no controversy or litigation of any nature now pending against the Corporation or, to the knowledge of its officers, threatened, restraining or enjoining the issuance of the Bonds or in any way contesting or affecting (i) the validity of the Bonds, or (ii) any proceedings of the Corporation taken concerning the issuance or sale thereof or the collection of Revenues pledged under the Bond Indenture.

As with most senior care providers, the Corporation is subject to certain legal actions that, in whole or in part, are not or may not be covered by insurance because of the type of action or amount or types of damages requested (*e.g.*, punitive damages), because of a reservation of rights by an insurance carrier, or because the action has not proceeded to a stage that permits full evaluation. In addition to the matters described above, there are certain legal actions currently pending against the Corporation known to management of the Corporation and for which insurance coverage is uncertain for the above reasons. Management does not anticipate that any such suits will ultimately result in punitive damage awards or judgments in excess of applicable insurance limits, or if such awards or judgments were to be entered, that they would have a material adverse impact on the financial condition of the Corporation.

There is no litigation of any nature now pending against the Corporation or, to the knowledge of the Corporation’s officers, threatened, which, if successful, would materially adversely affect the operations or financial condition of the Corporation.

THE AUTHORITY

To the knowledge of the Authority, there is no material litigation pending or threatened against the Authority concerning the validity of the Bonds or any proceedings of the Authority taken with respect to the issuance thereof.

TAX MATTERS

In the opinion of Orrick, Herrington & Sutcliffe LLP (“*Bond Counsel*”), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is

excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. A complete copy of the proposed form of opinion of Bond Counsel is set forth in APPENDIX F hereto.

To the extent the issue price of any maturity of the Bonds is less than the amount to be paid at maturity of such Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Bonds), the difference constitutes “original issue discount,” the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Bonds which is excluded from gross income for federal income tax purposes and State of California personal income taxes. For this purpose, the issue price of a particular maturity of the Bonds is the first price at which a substantial amount of such maturity of the Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Bonds accrues daily over the term to maturity of such Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Bonds. Beneficial Owners of the Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Bonds in the original offering to the public at the first price at which a substantial amount of such Bonds is sold to the public.

Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (“*Premium Bonds*”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner’s basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The Authority and the Corporation have made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel’s attention after the date of issuance of the Bonds may adversely affect the value of, or the tax status of interest on, the Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

In addition, Bond Counsel has relied, among other things, on the opinion of Dentons US LLP, Counsel to the Corporation, regarding the current qualification of the Corporation as an organization described in Section 501(c)(3) of the Code. Such opinion is subject to a number of qualifications, limitations and assumptions. Bond Counsel has also relied upon representations of the Corporation

concerning the Corporation's "unrelated trade or business" activities as defined in Section 513(a) of the Code. Neither Bond Counsel nor Counsel to the Corporation has given any opinion or assurance concerning Section 513(a) of the Code, and neither Bond Counsel nor Counsel to the Corporation can give or has given any opinion or assurance about the future activities of the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the resulting changes in enforcement thereof by the IRS. Failure of the Corporation to be organized and operated in accordance with the IRS's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or to operate the facilities financed by the Bonds in a manner that is substantially related to the Corporation's charitable purpose under Section 513(a) of the Code, may result in interest payable with respect to the Bonds being included in federal gross income, possibly from the date of the original issuance of the Bonds.

Although Bond Counsel is of the opinion that interest on the Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of interest on, the Bonds may otherwise affect a Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel is expected to express no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Bonds for federal income tax purposes. It is not binding on the IRS or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the Authority or the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The Authority and the Corporation covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Bonds ends with the issuance of the Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Authority, the Corporation or the Beneficial Owners regarding the tax-exempt status of the Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the Authority, the Corporation and their appointed counsel, including the Beneficial Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the Authority or the Corporation legitimately disagrees, may not be practicable. Any action of the IRS, including but not limited to selection of the Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Bonds, and may cause the Authority, the Corporation or the Beneficial Owners to incur significant expense.

LEGALITY

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, substantially in the form set forth as APPENDIX F. Certain legal matters will be passed upon for the Corporation by its counsel, Dentons US LLP, and for the Authority by its counsel, Jones Hall, a Professional Law Corporation. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. None of the counsel mentioned above undertakes any responsibility for the accuracy, completeness or fairness of this Official Statement.

UNDERWRITING

Pursuant to a Bond Purchase Contract among the Underwriter, the Authority and the Corporation (the “*Purchase Contract*”), the Underwriter has agreed to purchase the Bonds at an aggregate purchase price of \$45,218,136.75 (representing the aggregate principal amount of the Bonds, plus original issue premium of \$1,908,771.75 and less an Underwriter’s discount of \$470,635.00). Pursuant to the Purchase Contract, the Corporation has agreed to indemnify the Underwriter and the Authority against certain liabilities. The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The obligation of the Underwriter to accept delivery of the Bonds is subject to the various conditions of the Purchase Contract.

FINANCIAL STATEMENTS

The financial statements of the Corporation as of and for the fiscal years ended September 30, 2019, 2020 and 2021, included in APPENDIX B to this Official Statement have been audited by Moss Adams LLP, independent certified public accountants, as stated in its reports appearing therein. Moss Adams LLP has not been engaged to perform, and has not performed, since the date of its most recent report included in APPENDIX B, any procedures on the financial statements addressed in that report. The financial statements of the Corporation as of and for the fiscal year ended September 30, 2021 are the most recent audited financial statements.

FINANCIAL FEASIBILITY REPORT

Management’s financial forecast for the six years ending September 30, 2022 through 2027, included as part of the Financial Feasibility Report included in APPENDIX H hereto, has been examined by Hendrickson Consulting, a financial and management consulting firm specializing in nonprofit retirement and other long-term care organizations, as stated in its report dated January 18, 2022 appearing in APPENDIX H. As stated in the Financial Feasibility Report, there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. The Financial Feasibility Report should be read in its entirety, including Management’s notes and assumptions set forth therein.

RATING

Fitch, Inc. has assigned its municipal bond rating of “BBB-” to the Bonds.

The rating and an explanation of its significance may be obtained from the rating agency furnishing such rating. Such rating reflects only the view of the rating agency. The Corporation has furnished the rating agency with certain information and materials relating to the Bonds that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information

and materials so furnished and on investigations, studies, and assumptions by the rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. Any such change in or withdrawal of such rating could have an adverse effect on the market price of the Bonds.

MISCELLANEOUS

The foregoing and subsequent summaries or descriptions of provisions of the Bonds, the Bond Indenture, the Loan Agreement, the Master Indenture and the Deed of Trust and all references to other materials not purporting to be quoted in full are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to said documents for full and complete statements of the provisions of such documents. The appendices attached hereto are a part of this Official Statement. Copies, in reasonable quantity, of the Bond Indenture, the Loan Agreement, the Master Indenture and the Deed of Trust may be obtained during the offering period upon request to the Underwriter and thereafter upon request to the principal corporate trust office of the Bond Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices are integral parts of this Official Statement and must be read together with all of the foregoing statements.

The Corporation has reviewed the information contained herein which relates to it and its property and operations and has approved all such information for use within this Official Statement.

The Authority furnished only the information in this Official Statement contained under the captions "THE AUTHORITY" and "LITIGATION—The Authority" and, except for such information, makes no representation or warranty as to the adequacy, completeness or accuracy of this Official Statement.

This Official Statement has been delivered by the Corporation. This Official Statement is not to be construed as a contract or agreement among any of the Authority, the Corporation or the purchasers or holders of any of the Bonds.

CONGREGATIONAL HOMES, INC. D/B/A MT. SAN
ANTONIO GARDENS, a California nonprofit
public benefit corporation

By: /s/ Maureen Beith
President and Chief Executive Officer

APPENDIX A

**INFORMATION CONCERNING
CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS**

*The information contained herein as APPENDIX A
to this Official Statement has been obtained from
Congregational Homes, Inc. d/b/a Mt. San Antonio Gardens*

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INTRODUCTION

Congregational Homes, Inc. d/b/a Mt. San Antonio Gardens (the “Corporation”), a California nonprofit public benefit corporation, owns and operates a life care retirement community known as Mt. San Antonio Gardens (the “Gardens”) located in both Pomona and Claremont, California.

The Gardens currently consists of 248 independent living units, 71 assisted living units, 10 memory care units and 58 skilled nursing beds. For a complete description of the Gardens and its services, see “MT. SAN ANTONIO GARDENS” in this Appendix A. See “THE PROJECT” in this Appendix A for a description of improvements to the Gardens that will be financed with proceeds of the Series 2022 Bonds.

The Corporation has received a determination letter from the Internal Revenue Service that it is exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “Code”), as an organization described in Section 501(c)(3) of the Code. As of the date of issuance of the Series 2022 Bonds, the Corporation will be the sole Member of the Obligated Group under the Master Indenture.

The Corporation was formed in 1957 for the purpose of developing and operating housing specially designed for the elderly, with arrangement for residents’ health care and financial security, and otherwise promoting the interests and serving the needs of the elderly, provided that such activities are consistent with the Corporation’s exempt purposes.

This Appendix A is intended to provide information about the Corporation and the Gardens that is not presented elsewhere in this Official Statement. For further information regarding the Corporation, particular reference should be made to the audited financial statements of the Corporation for the fiscal years ended September 30, 2019, 2020 and 2021 set forth in Appendix B to this Official Statement. Materials included in this Appendix A and in Appendix B to this Official Statement should be read in their entirety.

MT. SAN ANTONIO GARDENS

General

The Gardens is a life care retirement community located on 31 acres in both Pomona and Claremont, California, with the city line bisecting the property. The Gardens provides four levels of care to its residents (persons 60 years of age and older): independent living, assisted living, skilled nursing and memory care. Independent living is available to residents who do not require assistance with activities of daily living. Assisted living is for those residents who require additional support with a range of daily living tasks. Skilled nursing beds are available for those residents requiring 24-hour nursing care. Within the skilled nursing area, in addition to long-term care, the Corporation provides short-term rehabilitation services. Finally, the memory care program is designed for those residents with memory impairment to the extent that a secured environment is necessary. See “RESIDENCY AGREEMENTS” in this Appendix A for information regarding the residency agreement options offered by the Corporation. There are currently over 450 residents of the Gardens.

History and Location

The Corporation was founded by the Congregational Conference of Southern California and the Southwest (now known as the Southern California/Nevada Conference of the United Church of Christ) in 1957.

The Corporation constructed the original residential buildings, main dining room and social center at the Gardens in the early 1960s followed by the assisted living building in 1974. The most recent independent living building, known as the Terraces, opened in 2007 and consists of 20 two-bedroom homes and 12 one-bedroom apartments. Subsequent additions to the Gardens included two 10-resident Green Houses with skilled nursing services, which opened in 2013. In 2021, one of the Green Houses had a licensure and programmatic change to memory care.

The Gardens is located in the “Inland Empire” area of southern California, approximately 30 miles east of Los Angeles. This area is experiencing significant growth and development. The area’s now diverse economy was once dominated by the citrus-growing and aerospace industries. Pomona, after a period of economic struggle, is experiencing a resurgence of growth and redevelopment, particularly in various facets of the healthcare and technology industries. Claremont, an academically-oriented and sought-after community, has been named by *Money* magazine and *Sunset* magazine as “one of the five best places to live in America” and is frequently named as a top retirement location.

Although not officially affiliated, the Corporation has strong ties with the seven prestigious Claremont Colleges. Many of the former faculty and staff are residents at the Gardens, and there are multiple collaborative endeavors with the current students from each of the colleges. In addition, Gardens residents have the opportunity to audit courses through a special program for senior auditors.

Independent Living

The Gardens currently offers 248 independent living units located throughout the campus in various configurations including private homes, cottages and apartments. Residents in the Gardens’ independent living units receive three meals per day, housekeeping every other week (linens weekly), all utilities except phone, internet and cable television, an emergency call system, complete home maintenance, grounds keeping, security, health and wellness programs, exercise and recreational activities, and transportation for medical/dental care and around town.

Assisted Living

The Gardens offers 71 assisted living units in its Oak Tree Lodge, a one-story building consisting of individual studio apartments, each with a private bath. Residents receive all of the independent living services described above plus additional assistance with activities of daily living (such as bathing, grooming, dressing, feeding, ambulation and assistance with administration of medication). Certified nursing assistants and licensed vocational nurses are available on a 24-hour basis to monitor and assist residents.

Skilled Nursing and Memory Care

Magnolia Grove, the Gardens' traditional skilled nursing community with 48 beds, provides a home for residents, and community members, requiring short-term rehabilitative therapy as well as for those with ongoing needs for skilled nursing care. Residents receive 24-hour licensed nursing care performed under the supervision of the medical director.

The Evergreen Villas, modeled on the Green House[®] concept, create an authentic home environment where residents requiring significant care can thrive and grow, even as their needs increase. One of the two homes, Harrison Villa, is licensed as a 10-bed skilled nursing facility. Residents are supported by a small, self-managed team of care partners – registered nurses and certified nursing assistants – whose goal is to facilitate the residents' independence and ability to pursue their interests. Taylor Villa, also 10 beds, is licensed as RCFE memory care, with a staff specially trained in caring for people who live with dementia. The program is based on the Green House approach "Best Life." The Gardens is the only retirement community licensed in California to offer the Green House model of long-term care.

The Gardens' skilled nursing services are currently rated "five stars" by the Centers for Medicare & Medicaid Services pursuant to its Five-Star Quality Rating Program.

On-Site Physician Practice/Clinic

In 2017, the Corporation initiated an on-site medical practice at the Gardens, which is staffed by a physician, a nurse practitioner and a physician assistant working in tandem with the existing clinical nursing staff. Residents have the option of selecting this physician for their primary care management or seeing them on an urgent care basis as needed, while retaining their own primary care physician.

Common Areas

A hallmark of the Gardens is the high level of resident engagement, with multiple opportunities for participation in a wide variety of programming. The common areas are designed to promote this level of engagement. Living rooms and other types of meeting rooms are a part of most of the residential buildings. In addition, a large social center is situated at the center of campus with a library and reading room, auditorium, mail center, gallery, beauty salon, gift shop, resident business office, creative arts studio, and main dining room.

Wellness Center and Campus

Using Series 2019 bond proceeds, the Corporation is currently constructing a new 12,000 square foot wellness center which will house an array of cardiovascular and strength-training equipment and classroom space for classes such as yoga, line dancing, tai-chi and Pilates. The expected completion date of the wellness center is April 2022. There is an existing outdoor swimming pool with nearby jacuzzi adjacent to the new wellness center. The 31-acre campus also includes multiple walking paths and over 800 mature trees.

Unit Mix

The following chart shows the current unit mix of the Gardens, excluding the now-vacated “D Building.” See “THE PROJECT.”

	Number of Units	Approximate Size (Sq. Ft.)
Independent Living Units		
Studio	62	375-470
One Bedroom	106	565-836
Two Bedroom	70	1,036-1,550
Three/Four Bedroom	10	1,450-3,400
Total Independent Living	248	
Assisted Living Units	71	265-608
Memory Care	10	206-250
Skilled Nursing Beds	58 ⁽¹⁾	191-273
Total	387	

⁽¹⁾ Skilled Nursing Beds consist of 46 private and 6 semi-private units for a total of 58 beds.

Fee Schedule

The entrance fee varies by unit type and age of entrant and is charged per resident. A couple on average will pay about \$35,000 more than a single occupant of a comparable independent living unit. For both contract types, the independent living monthly service fee does not vary by unit type, but by one of three unit classifications; suitable for one resident only, for one or two residents, or for two residents only. On October 1, 2019 the Gardens implemented Tier II pricing for monthly service fees. Residents who move in after October 1, 2019 pay the Tier II rates.

The range of entrance fees for the independent living units as well as the monthly service fees for contracted residents as of October 1, 2021 are summarized below:

Type of Accommodation	# of Units	2021/22 Life Care Entrance Fee ⁽¹⁾	2021/22 Continuing Care Entrance Fee ⁽¹⁾	2022 Monthly Service Fee	2022 Monthly Service Fee (Tier II)
For One Resident Only:					
Studio	62	\$96,200 - \$204,790	\$65,730 - \$143,360	\$3,594	\$3,954
One Bedroom Apt	53	\$314,260 - \$335,170	\$255,800 - \$275,170	\$3,594	\$3,954
For One or Two Residents⁽²⁾:					
One Bedroom Apt	32	\$263,570 - \$369,570	\$204,260 - \$313,750	\$5,391	\$5,931
One Bedroom Cottage	21	\$369,570 - \$442,260	\$313,750 - \$388,030	\$5,391	\$5,931
Two Bedroom Cottage	13	\$481,020 - \$505,990	\$421,380 - \$446,790	\$5,391	\$5,931
For Two Residents Only:					
Two Bedroom Cottage	37	\$714,860 - \$791,900	\$571,900 - \$663,640	\$7,188	\$7,908
Terrace Duplex (2 bed)	20	\$865,120 - \$912,880	\$726,660 - \$775,040	\$7,188	\$7,908
Houses (3 bed+)	10	\$939,720 - \$1,135,400	\$801,540 - \$985,540	\$7,188	\$7,908
Total/Weighted Average	248	\$378,450	\$310,320		

⁽¹⁾ Entrance fee for resident entering the Gardens at age 75. Entrance fees vary by age of resident. See “RESIDENCY AGREEMENTS” below.

⁽²⁾ Second Person Entrance Fee: \$35,000, Double Occupancy Monthly Fee: \$7,188 (Tier II \$7,908)

The monthly service fees for the assisted living units, dementia/memory care units and skilled nursing beds as of October 1, 2021 are summarized below. The Gardens accepts community residents in higher levels of care through monthly rental agreements. Such residents are referred to below as “non-contracted” residents.

Type of Accommodation	Contracted Resident ¹	Contracted Resident ¹ (Tier II)	Non-Contracted Resident ¹
Assisted Living	\$3,594	\$3,954	\$6,953
Dementia/Memory Care	\$3,594	\$3,954	\$7,761
Skilled Nursing	\$3,594	\$3,954	\$400/day (private room) \$350/day (semi-private room)

⁽¹⁾ Rates are the same for both Greenhouse and non-Greenhouse units.

GOVERNANCE AND MANAGEMENT

Members

According to the Corporation’s Bylaws, the membership of the Corporation must consist of at least 59 members, of whom (1) at least six must be residents of the Gardens; (2) one must be the Conference Minister of the Southern California Conference of the United Church of Christ (the “Conference”); (3) six must be members of the Conference; and (4) the elected and ex officio members of the Corporation’s Board of Directors must be members. The members are elected by the Corporation’s Board of Directors. Members serve staggered three-year terms. Members are eligible to serve for two successive terms but not for a third term until at least one year has intervened. The members of the Corporation participate in programmatic and policy recommendations to the Board of Directors, but only Board members have a vote in organizational decision making.

Board of Directors

The Board of Directors (the “Board”) is empowered by the Corporation’s Bylaws to oversee management of the Corporation. The Board meets 10 times per year and consists of no less than 25 nor more than 35 directors. Six directors must be residents of the Gardens, elected by residents of the Gardens from a slate of candidates chosen by the Board. The Board is elected by the then-current Board to three-year staggered terms. Non-resident directors are eligible to serve for two successive three-year terms but not for a third term until after one year has intervened. Resident directors are eligible to serve for one three-year term but not a second term until one year has intervened. There are currently 29 members of the Board and no vacancies.

The Executive Committee of the Board meets monthly and is comprised of the officers of the Board and three additional directors. The CEO, CFO and Vice President for Healthcare Services participate but are not voting members. The Executive Committee has authority to act on behalf of the Board between Board meetings. The Nominating Committee of the Board, which consists of between five and seven persons, at least two of which must be residents of the Gardens, nominates new members and officers of the Board to the full Board for approval.

Below is a table setting forth the members of the Board as of January 17, 2022, the dates on which their terms expire, their term of years on the Board and their principal occupations.

BOARD OF DIRECTORS

Name	Board Role	Profession	Current Term Ends December,	Director Since
Robin Aspinall*	Chair	Ret. Chief Financial Officer	2027	2022
Betsy Crighton*	1st Vice Chair	Ret. College Professor / Administrator	2025	2020
Arlene Andrew*	Secretary	Ret. City Planner	2023	2018
Henry Ford*		Investment Advisor	2024	2019
Tomas Sandoval*		College Professor	2023	2018
Eleanor Brown*		College Professor	2026	2021
JoAnn Calmelat		Real Estate Professional	2025	2020
Evelyn Diaz Brown (RD)		Ret. Administrator	2024	2022
Lee Goldstein		Ret. Ophthalmologist	2026	2021
John Harpole		Executive Recruiter	2026	2021
Becca Kurtz (RD)		Ret. High School Teacher	2023	2021
Jed Leano		Attorney/City Council	2026	2021
David Menefee-Libey		College Professor	2026	2021
Conrad Maas (RD)		Ret. Business Professional	2022	2020
Leslie Negritto		College Treasurer/CFO	2025	2020
Jay O'Neal		Fundraising Professional	2025	2020
Kathy Pezdek		College Professor	2027	2022
Mary Ann Quay		CPA	2026	2021
Daryl Smith (RD)		Ret. College Professor	2024	2022
Jim Spera		Registered Nurse	2023	2018
Jeff Stark		Investment Advisor	2024	2019
Diane Stielstra (RD)		Ret. College Professor	2023	2022
Cindy Sullivan		Ret. Office Manager	2025	2020
Dr. Daljinder Takhar		Physician	2027	2022
Jim Tranquada		College Administrator	2022	2017
Michael Vestino		VP Pomona Valley Medical Center	2027	2022
John Whiting (RD)		Ret. IBM Executive	2024	2022
Peter Yao		Ret. Engineer/City Council	2025	2020
Ryan Zimmerman		Real Estate Professional	2026	2021

* Members of the Executive Committee.

RD – Resident Director

Executive Management of the Corporation

The following are brief biographical sketches of the principal management of the Corporation:

Maureen Beith, President and Chief Executive Officer, 65, began her career in the acute care hospital setting, and after 15 years, transitioned to senior care and services. She spent eleven years at The Scripps Home, eventually as administrator, then became executive director with The Episcopal Home Communities in southern California. She then spent three years as the Vice President of Operations at Frasier Meadows Retirement Community in Boulder, Colorado, before joining Mt. San Antonio Gardens as Chief Executive Officer in 2014. She holds a B.S. from

California State University, Fresno, and is a licensed Nursing Home Administrator and certified Residential Care Facilities for the Elderly (RCFE) administrator.

Patricia Williams, Chief Financial Officer, Vice President of Administration, 39, joined the Corporation in January, 2015 with ten years of accounting and finance experience in non-profit and governmental organizations. In addition to managing finance and accounting, Mrs. Williams also manages the information technology team. Mrs. Williams has a B.S. in Business Administration-Accountancy from California State Polytechnic University, Pomona, an MBA from University of Laverne, Pomona and is a Certified Public Accountant.

Lisa Atilano, Vice President of Health Care Services and Skilled Nursing Administrator, 45, joined the Corporation in January of 2017. Mrs. Atilano has twenty years of experience in health care administration, including both the for-profit and not-for-profit sectors. In addition to overseeing the daily operations of the skilled nursing facility, she also provides oversight for assisted living, memory care, the on-site physician clinic and outpatient rehabilitation services. She has a B.S. in Health Science Administration, a Skilled Nursing Facility Administrator license, a Residential Care Facilities for the Elderly administrator certificate and is a Certified Eden Alternative Associate.

RESPONSE TO COVID-19

The COVID-19 pandemic has impacted the Gardens operationally and financially through additional costs for infection control and containment, financial efforts to mitigate potential staffing shortages, loss of revenues due to decreased skilled nursing admissions, and supply chain issues, among others. Throughout the pandemic, the health and safety of residents and employees has been the highest priority for the organization. Vigilant monitoring of regulatory guidance, and communication with federal, state and county public health agencies, continues to be an ongoing focus. In accordance with this guidance, the mitigation efforts through 2020 and 2021 have varied, based on the changing situation. Examples of these various measures include:

- Restrict access to the campus to employees, essential visitors and vendors
- Screening of employees and essential visitors daily for symptoms
- Placement of signage throughout the community with reminders about infection control practices
- Discontinuation of group dining, activities and events
- Initiation of meal delivery services
- Education of staff and residents about COVID-19
- Increased sanitation frequency of high-touch surfaces throughout the Gardens
- Implementation of a campus-wide mask mandate, and enforced physician distancing
- Addition of “COVID Update” section to the Corporation’s website (now discontinued)
- Extensive onsite testing for both residents and employees (in accordance with LACDPH guidance)
- Multiple vaccination clinics and booster clinics for residents, employees, private-duty workers and board members
- Maintenance of high volume of personal protective equipment onsite
- Establishment of identified isolation areas with designated staff

- Initiation of weekly (more recently bi-weekly) televised informational meetings for residents and staff, including COVID updates, education and precautionary behavior reminders, plus normalized morale-building topics

Through these efforts, plus high vaccination rates, the Gardens has been able to limit the impacts to resident and employee health and well-being.

Below is a summary of COVID-19 cases among employees and residents through December 31, 2021.

	Active	Recovered	Deaths	Total
Independent Living Residents	1	18	0	19
Assisted Living Residents	1	9	0	10
Skilled Nursing Residents	1	19	0	20
Employees	2	41	0	43
Total	5	87	0	92

RESIDENCY AGREEMENTS

Contract Types

The Corporation currently offers two residency agreement choices for residents: a lifecare contract and a continuing care contract. Under the terms of each type of residency agreement, the resident pays an entrance fee (also referred to as an “advance fee” in the audited financial statements of the Corporation included in Appendix B to this Official Statement) according to the type of residence selected, age of resident, type of residency agreement selected and is charged per resident. For example, the entrance fee paid by a single 75-year-old resident is about 50% more than that paid by a single 85-year-old entrant. A couple on average will pay approximately \$35,000 more than a single occupant of a comparable independent living unit. In addition to the entrance fee, each resident pays a monthly care and service fee, which fee is dependent on the type of residence selected, the type of residency agreement and may or may not be dependent on the level of care provided. Regardless of the type of residency agreement selected by a resident, the services received at each level of care are the same.

Lifecare. Residents selecting lifecare contracts are required to pay a one-time entrance fee and a monthly care and service fee, each of which varies with the type of unit occupied. Residents with lifecare contracts receive unlimited assisted living and skilled nursing services at no additional cost above the monthly care and service fee paid by the resident for independent living services. Residents are required to enroll in Medicare (Parts A, B and D) or obtain an insurance policy that the Corporation considers an acceptable substitute. Residents are also required to pay an annual deductible of \$1,800. This type of contract covers Medicare co-pays and deductibles and services, such as pharmaceuticals and in-home services, not typically covered by Medicare.

There is a cancellation period of 90 days (the “Cancellation Period”) after the date that a resident first occupies his or her unit. During this period, either the Corporation or the resident may cancel the residency agreement, with or without cause. In the event of such cancellation, the resident is entitled to receive a refund of the entrance fee and any monthly service and care fee, minus a reasonable fee to cover the costs of processing the cancellation and the reasonable value

of services rendered to the resident during his or her residency. The refund will be paid within 14 days of the resident's vacation of the unit.

A resident may terminate the residency agreement at any time after the Cancellation Period for any reason by giving the Corporation ninety days' written notice. In such event, a portion of the entrance fee is refundable in an amount equal to the entrance fee less 1.388% of the entrance fee per month of occupancy, with no refund after 72 months. The Corporation may terminate a residency agreement at any time after the Cancellation Period for good cause by resolution of the Board and upon giving the resident 90 days' written notice. During such 90-day period, the resident may petition the Board to reconsider its decision. Other than the declining refund described in this paragraph, no rebatable contracts are offered.

If a resident dies during the first 12 months, his or her estate will receive a full refund of the entrance fee. After the first 12 months, the Corporation will not refund any portion of the entrance fee. Additionally, if the unit being occupied is designated for either single or double occupancy and the surviving spouse elects to continue occupying the unit, then a monthly surcharge equal to 50% of the single monthly care and service fee will be added to the current monthly fee. However, for a unit designated for double occupancy only, the monthly surcharge will equal 50% of the single monthly care and service fee during the first year and 75% of the fee thereafter.

Continuing Care. Like the residents that select life-care contracts, residents selecting continuing care contracts are required to pay a one-time entrance fee and a monthly care and service fee, each of which vary with the type of unit occupied. However, unlike the lifecare contracts described above, the continuing care contracts offered by the Corporation provide for the resident to pay the same monthly care and service fee as the monthly care and service fee for independent living services for only the first 120 cumulative days of assisted living or skilled nursing usage. On the 121st day and for the next two years, the resident is required to pay 100% of the prevailing assisted living or skilled nursing rate, as applicable. On the 851st day, the resident reverts to paying the same monthly care and service fee as the resident paid for independent living services prior to his or her transfer to a higher level of care. Residents are required to enroll in Medicare (Parts A, B and D) or obtain an insurance policy that the Corporation considers an acceptable substitute. This contract type is designed primarily for applicants who hold existing long-term care insurance policies or adequate personal assets to cover a significant portion of the cost of assisted living or skilled nursing care they may require. Cancellation, termination and refund provisions of the continuing care contracts are the same as the cancellation, termination and refund provisions of the lifecare contracts.

As of December 31, 2021, the Corporation held 378 lifecare contracts and 56 continuing care contracts, for a total of 434 contracted residents.

Admissions Policy

The Corporation's admissions policy has three criteria: health, participation and financial resources. A resident must be able to live independently with reasonable accommodations for special needs, as necessary. At the time of admission, the resident's physical and mental health should be such that it is reasonable to expect no major medical and/or care intervention within two years following admission. An applicant must be able to demonstrate an ability and willingness

to participate actively in the Gardens' community at the time of admission. In addition, an applicant must be able to demonstrate that he has sufficient financial resources to meet his expected needs throughout his expected lifetime and have Medicare Parts A, B and D (or equivalent). See "Financial Assistance Policy" below for a description of the Corporation's financial assistance policy.

Financial Assistance Policy

The Corporation's financial assistance program is called the Homeship Fund, a temporarily restricted fund established in 1974. Its purpose is to supplement monthly care and service fees to assist existing residents who are not able to continue to pay the contracted fees. Assistance through the Homeship Fund is administered by management of the Corporation in its role as steward of the funds on deposit in the Homeship Fund. The balance of the Homeship Fund as of September, 2021 is \$1,891,659, and the funds on deposit therein were contributed by donors to the fund. There are currently 13 residents who are being assisted at varying levels. Current year assistance of \$29,414 has been awarded as of October, 2021, which is consistent with assistance awarded in prior years. The following guidelines are used to help make equitable determinations regarding the use of the Homeship Fund:

- 1) Management considers both the assets (net of liabilities) owned or directly or indirectly controlled by the applicant and the applicant's income from all sources in determining eligibility for Homeship Fund assistance. Income shall include, but not be limited to, pensions, annuities, Social Security, other government support and support from family and/or friends. Although the upper limit for assets is normally \$25,000 (\$50,000 for couples), greater weight may be given to average monthly income when it is less than 125% of then-current monthly care and service fees.
- 2) Other considerations may also be used in making an allocation if there is a potential exception to (1) above. In addition, in determining the eligibility of an applicant for Homeship Fund assistance, management may make an exception to the asset limitation in cases in which assets are investments providing monthly income to the applicant which, when added to all other monthly income, does not exceed 125% of the required monthly care and service fee.

The Board receives an annual report summarizing the activity in the Homeship Fund for the year.

STATISTICAL INFORMATION

Occupancy

The following table shows the average percentage of occupancy in the various types of units at the Gardens during the Corporation's last three fiscal years.

Level of Care	Fiscal Years Ended September 30,					
	2019		2020		2021	
	Units Occupied	Percentage Occupancy	Units Occupied	Percentage Occupancy	Units Occupied	Percentage Occupancy
Independent Living	287.0	94.1%	288.8	94.7%	267.8	87.8% ⁽¹⁾
Assisted Living	55.6	92.7%	53.6	89.4%	53.7	89.5%
Memory Care	10.7	97.4%	10.4	94.5%	9.4	85.4%
Skilled Nursing	62.4	91.7%	60.5	89.0%	52.0	76.5%

(1) The D building units are included since they were partially occupied in 2021.

Independent Living Demographic Information

The following table shows certain demographic statistics for the residents of the Gardens' independent living units as of September 30, 2021.

	September 30, 2021	
	Number of Residents	Percentage of Total Residents/Households
Total Residents	340	100.0%
Female Residents	231	67.9%
Male Residents	109	32.1%
Households with Single Residents	166	65.6%
Households with Couples	87	34.4%
Average Age of Residents	84.6	

Independent Living Waitlist

The following table shows the average number of waitlist depositors for the Gardens' independent living units for the last three fiscal years.

	Fiscal Years Ended September 30,		
	2019	2020	2021
Single	29	20	23
Couple	25	24	20
Homes	54	45	43

Turnover

The following table summarizes turnovers for the Gardens' independent living units for the last three fiscal years.

	Fiscal Years Ended September 30,		
	2019	2020	2021
Beginning Number of ILUs Occupied	290	292	277
Transfers	17	18	25
Deaths	6	8	4
Move outs	3	1	0
Move ins	28	12	5
Ending Number of ILUs Occupied	292	277	253
Net Entrance Fees Received from Turnover of ILUs (\$)	\$7,670,672	\$3,999,432	\$4,419,089
Initial Entrance Fees Received from New Units (\$)	739,040	-	-
Total Net Entrance Fees Received	\$8,409,712	\$3,999,432	\$4,419,089

Sources of Revenue for the Skilled Nursing Beds

The following table sets forth the percentage of net revenues for the skilled nursing beds by payor. The information is presented for the last three fiscal years.

	FISCAL YEARS ENDED SEPTEMBER 30,		
	2019	2020	2021
Lifecare	38.7%	43.7%	42.9%
Private Pay	50.5%	49.6%	35.1%
Medicaid	n/a	n/a	n/a
Medicare	10.8%	6.7%	22.0%
Total	100.0%	100.0%	100.0%

For further discussion of Medicare and other payors, please refer to “BONDHOLDERS’ RISKS” in the forepart of this Official Statement.

THE PROJECT

The project to be financed is a replacement of the original 1961 residential building (D Building) on campus (the “Project”). The replacement building is an approximately 84,700 square foot, three-story structure to be known as “The Cedars”. It will include 53 units of one and two-bedroom apartments, ranging in size from 625 to 1,100 square feet, plus a subterranean parking garage, large meeting space and outdoor amenities such as walking paths, an oversized pavilion and beautifully landscaped courtyards. The building design is craftsman inspired and integrates with the rhythm of the existing architecture of the Gardens, but still offers a distinctive look and feel. Each unit will have spacious flow and its own dedicated exterior space, either balcony or patio. Sustainability features include a roof mounted solar photovoltaic panel system, all LED lighting, dual pane windows, energy efficient appliances, water-efficient fixtures, electric car charging stations and “smart” thermostats. Careful consideration has been given to provide a state-

of-the art senior living environment that is both aesthetically pleasing and environmentally friendly.

In February 2020, new admissions to the D Building were discontinued in preparation for The Cedars project. At that time, there were 58 units occupied with 18 occupied by couples for a total of 76 residents. Residents were transferred to other accommodations on campus as units became available. As of September 30, 2021, 52 units were vacant and the remaining 10 units were vacated by November 14, 2021. This has temporarily reduced the Corporation's total number of residents by approximately 45. The Cedars building is expected to be ready for occupancy in October 2023.

Systematic demolition of the D Building commenced in November 2021. The demolition planning and permitting process included structural engineering analysis of "as-built" plans, to determine the appropriate demolition methodology and needed safeguards. The initial demolition phase included hazardous materials abatement, salvage of useful building components, and utilities isolation. Throughout December 2021, the internal portions of the building were cleared, leaving the skeletal supporting structure for the final phase. On January 10, 2021, demolition of the supporting structure, including the vertical steel beams and horizontal concrete slabs, commenced. Work began on the west side of the building, which unexpectedly caused the second and third floors of the east side of the building to collapse. As this created an overall unstable situation, the remaining standing portions of the building were demolished the same day in order to stabilize the site. Pomona Fire Department and Building and Safety officials have inspected the site, as well as surrounding structures, and all were found to be stable and sound. There were no injuries as a result of this incident.

The Corporation has executed a design/build agreement with KAR Construction, BRB Architects and Drisko Studio Architects. Construction documents are complete, the construction team has submitted plans to the City of Pomona, and entitlements are in process. See "Project Team" in this Appendix A.

Gardens Unit Mix Upon Project Completion

The following chart shows the current unit configuration of the Gardens, excluding the now-vacated "D Building," and the expected unit mix after completion of the Project.

	Current Number of Units	Cedars Project	Unit Mix Upon Project Completion
Independent Living Units			
Studio	62		62
One Bedroom	106	43	149
Two Bedroom	70	10	80
Three/Four Bedroom	<u>10</u>		10
Total Independent Living	248	53	301
Assisted Living Units	71		71
Memory Care	10		10
Skilled Nursing Beds	<u>58</u>		<u>58</u>
Total	387		440

The Cedars Unit Mix, Entrance Fees and Monthly Fees

The Cedars will include four floor plans and consist of 43 one-bedroom and 10 two-bedroom apartments. The following chart shows the expected entrance fee and monthly fee for each unit type.

<u>Apartment</u>	<u>Square Feet</u>	<u>Entrance Fee</u>	<u>First Person Monthly Fee</u>	<u># of Units</u>
<u>One Bedroom</u>				
Cypress	670	\$299,000	\$3,955	11
Juniper	800	\$312,000	\$5,931	12
Deodar	930	\$381,000	\$5,931	20
<u>Two Bedroom</u>				
Atlantica	1,100	\$442,000	\$5,931	10
Total/Weighted Average	879	\$359,900	\$5,520	53
Second Person		\$35,000	\$1,977	
Weighted Average		\$373,100	\$6,270	

Estimated Cost of the Project

The Corporation anticipates that the total cost of constructing and equipping The Cedars will be approximately \$45,000,000. The Corporation has executed a guaranteed maximum price contract with the general contractor, KAR Construction, Inc., in the amount of \$34,981,911. In addition to the guaranteed maximum price contract, anticipated costs include furniture, fixtures and equipment, design and engineering fees and other fees in the amount of \$7,619,989. The cost estimate also includes owner-held contingency of \$2,398,100. Approximately \$41,800,000 of the total project cost will be paid from the proceeds of the Series 2022 Bonds. The remaining costs will be paid from remaining Series 2019 bond proceeds and Corporation equity.

Project Timeline

<u>Date</u>	<u>Item</u>
November 2021	Demolition of D Building
February 2022	Construction of the Project starts
October 2023	Construction substantially complete
October 2023	Move-ins for the new Independent Living Units starts
October 2024	New Independent Living Apartments reach stabilization

Project Marketing

In April 2021, the Corporation began marketing The Cedars units to current and prospective residents. Interested residents pay a 10% deposit to reserve a unit, and the Corporation holds these funds in an escrow account. As of December 31, 2021, the Corporation has received deposits for 41, or 77%, of the new units. The depositors include six residents that will transfer from existing apartments. The table below shows the cumulative deposits received for the units as of December 31, 2021.

	<u>Number of Units</u> <u>Reserved</u>	<u>Cumulative Units</u> <u>Reserved</u>	<u>Cumulative % of</u> <u>Total Units</u>
April 2021	1	1	2%
May 2021	15	16	30%
June 2021	11	27	51%
July 2021	6	33	62%
August 2021	3	36	68%
September 2021	2	38	72%
October 2021	2	40	75%
November 2021	0	40	75%
December 2021	1	41	77%
Total	41	41	77%

PROJECT TEAM

General Contractor

KAR Construction, Inc. has been selected to manage the Design-Build team and serve as General Contractor. They are a local company, founded in Ontario, California in 1986, and have completed an extensive portfolio of projects including K-12 school districts, community colleges, private universities, commercial and public works projects. KAR Construction is currently constructing the new wellness center for the Gardens as well, with a completion date of April 2022. Lead architect for The Cedars project is Brian R. Bloom and Associates and consulting architect is Drisko Studio.

Below is a list of projects that KAR Construction has completed.

<u>Client</u>	<u>Location</u>	<u>Project Size</u>
University of La Verne, New Campus Center	La Verne, CA	\$17 million
Irvine Unified School District, High School	Irvine, CA	\$22 million
Pitzer College, Robert Redford Conservancy	Claremont, CA	\$6 million
University of La Verne, 4 Story Student Housing	La Verne, CA	\$15 million
Foothill Country Day School, 2 Story Classroom	Claremont, CA	\$4 million
Rose Bowl Stadium Renovation	Pasadena, CA	\$10 million
Scripps College, Browning & Dorsey Hall Renovation	Claremont, OR	\$8 million

Construction Contract

The Corporation and the General Contractor have executed a Standard Form of Agreement between Owner and Design-Builder for guaranteed maximum price contract (AIA Document A141TM – 2014), with a guaranteed maximum price of \$34,981,911 (the “GMP”), subject to contractual allowances and change orders. The construction contract includes a contractor-held contingency of \$500,000 (“Contractor-Held Contingency”). The General Contractor’s Contractor-Held Contingency is to cover costs which are properly reimbursed as costs of the Project. The use of funds from the Contractor-Held Contingency is subject to the Corporation’s prior written consent.

If construction is not substantially complete on or before the date of substantial completion as set forth in the construction contract, or extension thereof granted by the Corporation, the General Contractor will pay to the Corporation liquidated damages in the amount of \$4,650 per day (approximate daily debt service on the Series 2022 Bonds) until substantial completion is achieved.

The budget for the Project includes an owner-held construction contingency of approximately \$1,772,561 and additional contingencies of approximately \$625,539 for soft costs and marketing costs.

The General Contractor has secured a payment and performance bond and the cost is included in the guaranteed maximum price contract.

The Architect

Lead architect for The Cedars project is Brian R. Bloom and Associates (the “Architect”) and consulting architect is Drisko Studio. The Architect is a full-service architectural firm that was founded in 1997. The firm specializes in serving the needs of non-profit corporations throughout southern California. Brian Bloom, the founder of the firm, is a California licensed architect since 1985 and has been involved in multi-family residential projects for most of his career. Mr. Bloom aided the D Building assessment team that ultimately recommended replacement over renovation of the current facility. In addition to multi-family projects, the architectural firm also has experience with higher education, medical and extended care facilities.

Below is a brief representative list of the Architect’s recent projects:

Client	Location	Project Size
Scripps College, Schow Hall New Dormitory	Claremont, CA	\$35 million
Loma Linda Academy, Administration/Classroom	Loma Linda, CA	\$11 million
Scripps College, Facilities Renovation	Claremont, CA	\$5 million
University of LaVerne, Wellness Center	La Verne, CA	\$7 million
Pilgrim Place, Porter Hall Seismic Upgrade	Claremont, CA	\$3 million

Construction Monitor

The Corporation has selected and retained zumBrunnen, Inc. (“zumBrunnen”), a full-service national construction consulting company founded in 1989 that specializes in the senior living industry, to review construction progress, quality, and contractor requisition requests on a monthly basis for the Project during the construction period.

zumBrunnen will be responsible for (i) reviewing and certifying all disbursement requests for the payment of expenses incurred by the Corporation for work, labor, materials and equipment furnished in connection with the construction of the Project that are included in the construction contract; (ii) monitoring such items as change orders, budget amendments, updates to the construction schedule, releases of liens, governmental approvals and the final as-built survey; and

(iii) reporting to the holders of the Series 2022 Bonds, no less than monthly, the status of the Project including (a) whether the total Project account balance (including estimated investment income) is sufficient to pay the expected remaining Project costs of completing the Project in accordance with the Project budget and that there is no Project deficit; (b) the current timing of the Project; and (c) the amount of remaining contingency funds.

Environmental Study

A Phase One environmental site assessment was conducted for the Corporation in 2019 for the 31 acre campus. The report concluded that the site lacks significant recognized environmental conditions and recommended no additional investigation. The report notes that the property has one underground storage tank (“UST”) . The UST was installed in 1998/1999 to replace a single-walled UST. Soil sampling done in 1998 and 2016 did not detect the presence of contamination associated with the USTs and regulatory closure was issued for the former tank in 2016. The report also notes that due to their age, at least some of the buildings may have been constructed with asbestos containing materials. The construction plan for the Project provides that all material suspected of containing asbestos be managed in accordance with applicable law.

COMPETITION

Competition from for-profit senior living communities is limited in the area. The new communities are small assisted living communities with limited or no independent living offerings.

There are three not-for-profit continuing care retirement communities in close proximity to the Gardens: Pilgrim Place, Claremont Manor and Brethren Hillcrest Homes. Each has a distinct resident culture and different contract types, so competition among the three is less than might be expected. Pilgrim Place and Hillcrest are independent single-site organizations, while Claremont Manor is part of the Front Porch organization. An additional competitor, Royal Oaks, is a HumanGood community, located approximately 16 miles from the Gardens. The Gardens offers Type A and B contracts; Royal Oaks, Hillcrest and Pilgrim Place offer Type B contracts; and Claremont Manor is a monthly community, offering rental contracts only. See the following chart for comparative data.

COMPETITORS OF THE GARDENS

	MSAG	Claremont Manor	Brethren Hillcrest	Royal Oaks Manor	Pilgrim Place
Location and Distance from the Gardens		Claremont- 1 block	LaVerne- 3 miles	Bradbury- 16 miles	Claremont- 1 block
Sponsor/Owner (Manager if different)	N/A	Front Porch	N/A	HumanGood	N/A
Profit Status	Non-profit	Non-profit	Non-profit	Non-Profit	Non-profit
Year Opened	1961	1949	1949	1959	1915
Fee Plans Available	Life Care / Continuing Care	Rental	Continuing Care / Rental	Continuing Care	Continuing Care
Number of Independent Living Units	248	233	226	155	186
Apartment Balconies/ Patios	Some	Some	Some	Some	Some
In-unit Washer/Dryer	Some	Some	Some	Some	Some
Entrance Fee Range	\$78,570-668,510	N/A	\$197,000-723,000	\$70,000-1,148,000	\$135,805-799,158
Date of Last Pricing Update	2021	2021	2021	2021	2021
On-Site Health Center	Yes	Yes	Yes	Yes	Yes
Medicare Certified	Yes	Yes	Yes	Yes	Yes
Number of Staffed Nursing Care Beds	58	59	59	48	62
Number of Other Care Units	1	0	1	0	0

	MSAG	Claremont Manor	Brethren Hillcrest	Royal Oaks Manor	Pilgrim Place
Meals Included in Fees	Yes	Yes	No	Yes	1 per day
Housekeeping Included	Yes	Yes	Yes	Yes	No
Occupancy as Reported 2021 (Independent Living Only)	91.8%	Not available	89.6%	89.1%	86.0%

Source: Information collected by the Corporation

FINANCIAL INFORMATION

The following summary financial information for the Corporation is provided for each of the three fiscal years ended September 30, 2019, 2020, and 2021. The summary financial information is derived from the financial statements set forth in Appendix B to this Official Statement, which were audited by the accounting firm Moss Adams LLP. The following information should be read in conjunction with the audited financial statements and related notes that are included in Appendix B of this Official Statement.

See “MANAGEMENT’S DISCUSSION AND ANALYSIS OF OPERATIONS” below for management’s discussion and analysis of the Corporation’s finances and results of operations.

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Summary Statements of Financial Position

The following table is a summary statements of financial position of the Corporation as of September 30, 2019, 2020 and 2021.

SUMMARY STATEMENTS OF FINANCIAL POSITION

ASSETS

	As of September 30,		
	2019	2020	2021
Current Assets			
Cash and cash equivalents	\$8,086,519	\$2,764,683	\$5,795,537
Short-term investments	2,435,562	2,369,035	2,567,783
Accounts receivable, net	983,885	534,781	648,003
Assets limited to use, required for current liabilities	395,364	-	-
Other current assets	1,206,852	1,246,112	979,947
Total current assets	13,108,182	6,914,611	9,991,270
Noncurrent Assets			
Assets limited as to use, net of current portion	17,268,110	13,845,447	6,138,771
Assets limited by board as to use	22,353,174	25,617,624	27,030,926
Investments	14,719,771	25,234,260	22,934,852
Property, plant and equipment, net	50,604,875	50,142,800	55,896,147
Total Assets	\$118,054,112	\$121,754,742	\$121,991,966
Current Liabilities			
Accounts payable	\$748,131	\$871,359	\$1,162,013
Accrued expenses	1,282,540	1,738,517	2,208,532
Workers' compensation liability	719,644	469,239	419,165
Deferred revenue from provider relief payments	-	98,200	-
Refundable deposits and other liabilities	219,489	154,883	180,494
Current portion of long-term debt	155,717	520,000	540,000
Total current liabilities	3,125,521	3,852,198	4,510,204
Noncurrent Liabilities			
Liabilities under split-interest agreements	509,334	433,494	405,410
Deposit for advance fees	-	-	-
Deferred revenue from advance fees, including estimated refundable fees of \$150,000 in 2020 and 2019	37,873,022	37,116,678	37,271,917
Deferred revenue from service contract	460,870	412,779	364,688
Asset retirement obligation	115,136	121,804	128,778
Long-term debt, net of current portion	35,220,661	37,631,318	33,845,187
Total Liabilities	77,304,544	79,568,271	76,526,184
Net Assets			
Without donor restriction	28,051,333	28,665,972	30,403,277
With donor restriction	12,698,235	13,520,499	15,062,505
Total Net Assets	40,749,568	42,186,471	45,465,782
Total Liabilities and Net Assets	\$118,054,112	\$121,754,742	\$121,991,966

Statement of Operations

The following table is a summary of the statements of Statement of Operations of the Corporation for the three fiscal years ended September 30, 2019, 2020, and 2021.

SUMMARY STATEMENTS OF OPERATIONS

	Fiscal Years Ended September 30,		
	2019	2020	2021
Revenues			
Residential services	\$18,004,436	\$18,726,839	\$18,336,671
Patient services	4,146,639	3,779,896	3,626,786
Amortization of advance fees	5,008,101	4,755,776	4,263,850
Contributions	9,411	4,985	411,699
Grant revenues	-	709,527	191,088
Other	722,230	635,576	587,731
Net assets released from restrictions, used for operations	1,250,202	1,278,131	1,374,246
Total Revenues	\$29,141,019	\$29,890,730	\$28,792,071
Expenses			
Salaries and benefits	\$16,771,196	\$17,668,699	\$17,841,413
Contract services and professional fees	4,796,470	5,034,033	4,450,610
Depreciation	3,898,729	3,967,057	3,695,117
Utilities	1,077,730	1,124,424	1,194,684
Taxes and insurance	689,202	762,636	885,325
Interest	680,760	617,396	697,583
Supplies and equipment	424,352	509,470	631,868
Other expense	638,853	610,447	629,353
Medical supplies and equipment	224,886	586,710	559,702
Repairs and maintenance	442,481	337,330	365,931
Accretion of asset retirement obligation	6,375	6,668	6,974
Total Operating Expenses	\$29,651,034	\$31,224,870	\$30,958,560
Operating income	(\$510,015)	(\$1,334,140)	(\$2,166,489)
Nonoperating revenue (expense)			
Forgiveness of Paycheck Protection Program Loan	-	-	\$3,043,211
Changes in fair value of interest rate cap	(95,798)	-	-
Net loss on disposal and write-down of operating assets	(143,826)	(65,759)	(84,078)
Loss on impairment of capital assets	-	-	(951,367)
Interest and dividend income, net	662,188	551,302	560,002
Realized and unrealized gains on investments, net	699,238	1,317,567	1,246,058
Loss on refinancing of debt	(74,036)	-	-
Total nonoperating revenue (expense), net	\$1,047,766	\$1,803,110	\$3,813,826
Excess of revenue over expenses	\$537,751	\$468,970	\$1,647,337
Net assets released from restriction for capital projects	331,247	145,669	89,968
Change in net assets without donor restrictions	\$868,998	\$614,639	\$1,737,305

Debt Service Coverage Ratios

The following table presents coverage of historical maximum annual debt service of the Corporation for the three fiscal years ended September 30, 2019, 2020 and 2021. It also shows coverage of pro forma maximum annual debt service assuming issuance of the Series 2022 Bonds.

HISTORICAL AND PRO FORMA COVERAGE OF MAXIMUM ANNUAL DEBT SERVICE

	Fiscal Years Ended September 30,		
	2019	2020	2021
Gross Revenues			
Total revenue without donor restriction	\$29,141,019	\$29,890,730	\$28,792,071
Plus interest income	662,188	551,302	560,002
Plus realized gains	81,503	110,645	221,655
Plus net entrance fees	7,670,672	3,999,432	4,419,089
Plus forgiveness of Paycheck Protection Program Loan	-	-	3,043,211
Less amortization of entrance fees	(5,008,101)	(4,755,776)	(4,263,850)
(A) Total gross revenues	32,547,281	29,796,333	32,772,178
Operating expenses			
Total operating expenses	\$29,651,034	\$31,224,870	\$30,958,560
Less asset retirement obligation	(6,375)	(6,668)	(6,974)
Less depreciation	(3,898,729)	(3,967,057)	(3,695,117)
Less interest expense	(680,760)	(617,396)	(697,583)
(B) Total operating expenses	\$25,065,170	\$26,633,749	\$26,558,886
(C) Income Available for Debt Service (A)-(B)	\$7,482,111	\$3,162,584	\$6,213,292
(D) Actual Annual Debt Service	\$1,255,924	\$62,873	\$2,027,645
Actual Annual Debt Service Coverage (C)/(D)¹	5.96x	50.30x	3.06x
(E) Estimated Pro Forma Maximum Annual Debt Service	\$3,413,600	\$3,413,600	\$3,413,600
Estimated Pro Forma Maximum Annual Debt Service Coverage (C)/(E)	2.19x	0.93x	1.82x

⁽¹⁾ Funded interest was applied to the entirety of the interest due on the Series 2019 Bonds in fiscal year 2020. The intent was to apply funded interest to only the interest due on the new money portion of the Series 2019 Bonds. If the funded interest was allocated as anticipated, debt service coverage in fiscal year 2020 and 2021 would have been approximately 5.34x and 4.10x, respectively.

Liquidity

The following is a summary of the Days Cash on Hand of the Corporation as of September 30, 2019, 2020 and 2021.

DAYS CASH ON HAND

	Fiscal Years Ended September 30,		
	2019	2020	2021
Cash and investments without donor restriction			
Cash and cash equivalents	\$8,086,519	\$2,764,683	\$5,795,537
Short term investments	2,435,562	2,369,035	2,567,783
Assets limited by board as to use	22,353,174	25,617,624	27,030,926
Investments	14,719,771	25,234,260	22,934,852
Less liabilities under split interest agreement	(509,334)	(433,494)	(405,410)
Less donor restricted funds	(12,698,235)	(13,520,499)	(15,062,505)
(A) Total cash and investments without donor restriction	\$34,387,457	\$42,031,609	\$42,861,183
Cash operating expenses			
Total operating expenses	\$29,651,034	\$31,224,870	\$30,958,560
Less depreciation	(3,898,729)	(3,967,057)	(3,695,117)
Less amortization of deferred financing costs	(50,906)	(30,505)	(30,506)
Less asset retirement obligation	(6,375)	(6,668)	(6,974)
(B) Total cash operating expenses	\$25,695,024	\$27,220,640	\$27,225,963
(C) Number of Days in Period	365	366	365
Daily Cash Expenses	\$70,397	\$74,373	\$74,592
Days Cash-on-Hand	488	565	575

MANAGEMENT'S DISCUSSION AND ANALYSIS OF OPERATIONS

Results of Operations of the Corporation for the Fiscal Year Ended September 30, 2021 Compared to the Fiscal Year Ended September 30, 2020

Total revenues for the 12-month period ended September 30, 2021 were \$28,792,071 compared to \$29,890,730 for the 12-month period ended September 30, 2020, which was a decrease of \$1,098,659 or 3.7%. Resident service revenues decreased from \$18,726,839 for the period ended September 30, 2020 to \$18,336,671 for the period ended September 30, 2021 or 2.1% due to decrease of 7.3% in independent living occupancy offset by monthly fee maintenance increase of 4%. There were 288.8 average occupied independent living units for the 12-month period ended September 30, 2020 (94.7% average occupancy) and 12 new entrants, compared to 267.8 average occupied units for the 12-month period ended September 30, 2021 (87.8% average occupancy) and five new entrants. The decrease in new entrants was caused by relocating residents out of the D Building (the Project site). On September 30, 2021 there were 253 independent living units occupied or 83.0%. Excluding the 51 vacant D Building units, occupancy as of September 30, 2021 was 99.6% in all other independent living units.

Patient service revenue decreased from \$3,779,896 for the period ended September 30, 2020 to \$3,626,786 for the period ended September 30, 2021 or 4.1% due to reduced admissions to skilled nursing. There were 60.5 average occupied skilled nursing for the 12-month period ended September 30, 2020 (89.0% average occupancy), compared to 52.0 average occupied units for the 12-month period ended September 30, 2021 (76.5% average occupancy). Taylor Villa (a 10-bed skilled nursing home) was functioning as a COVID-19 isolation unit and was open intermittently until it closed on February 16, 2021. At that time the Corporation began the process of de-licensing Taylor Villa from skilled nursing and re-licensing as assisted living memory care in order to meet resident needs. The State granted the new license on October 5, 2021.

Grant revenues consisting of Provider Relief Funds decreased from \$709,527 for the period ended September 30, 2020 to \$191,088 for the period ended September 30, 2021.

Expenses for the 12-month period ended September 30, 2021 were \$30,958,560 compared to \$31,224,870 for the 12-month period ended September 30, 2020, a decrease in expenses of \$266,310 or 0.9% due to a decrease in contract services and professional fees. Expenses were expected to decrease due to fewer residents on campus; however these savings were offset by COVID-19 related costs. COVID-19 costs for the period ended September 30, 2021 include salary and benefits of approximately \$1,062,000, and supplies and contracted services of \$520,783.

The cumulative effect of income and expense trends was an increase in operating loss from \$1,334,140 for the period ended September 30, 2020 to \$2,166,489 for the period ended September 30, 2021.

The Corporation qualified for a Paycheck Protection Program (PPP) Loan of \$3,043,211 which was fully forgiven in August 2021 and recognized as Nonoperating revenues.

The Corporation held unrestricted cash and investments valued at \$42,861,183 as of September 30, 2021 with approximately 15% held in equities and the remainder held in fixed income and cash equivalents. These investments experienced net unrealized gain of \$1,024,403 for the 12-month period ended September 30, 2021 compared to a net unrealized gain of \$1,206,922 for the period ended September 30, 2020.

Entrance fees net of refunds totaled \$4,419,089 for the 12-month period ended September 30, 2021 representing five new entrants and was an increase from \$3,999,432 for the 12-month period ending September 30, 2020 with 12 new entrants. This decrease in new entrants is related to relocating residents out of the D Building to other independent living units on campus; however entrance fees increased due to the size of the homes generating higher entrance fees.

For the fiscal year ended September 30, 2021, the debt service coverage ratio was 3.06x compared to 50.30x for the 12-month period ended September 30, 2020. Funded interest was applied to the entirety of the interest due on the Series 2019 Bonds for the fiscal year ended September 30, 2020. The intent was to apply funded interest to only the interest due on the new money portion of the Series 2019 Bonds. If the funded interest was allocated as anticipated, debt service coverage for the fiscal year ended September 30, 2021 would have been 4.10x compared to 5.34x for the period ended September 30, 2020. The decline is due to less gross revenues as the

numbers of residents has temporarily declined in preparation for the Project. Days cash on hand increased by 10 days for the fiscal year ended September 30, 2021 from 565 to 575.

Results of Operations of the Corporation for the Fiscal Year Ended September 30, 2020 Compared to the Fiscal Year Ended September 30, 2019

Total revenues for the 12-month period ended September 30, 2020 were \$29,890,730 compared to \$29,141,019 for the 12-month period ended September 30, 2019, which was an increase of \$749,711 or 2.6%. Resident service revenues increased from \$18,004,436 for the period ended September 30, 2019 to \$18,726,839 for the period ended September 30, 2020 or 4.0% due to monthly maintenance increase of 4%. There were 287.0 average occupied independent living units for the 12-month period ended September 30, 2019 (94.1% average occupancy) and 28 new entrants, compared to 288.8 average occupied units for the 12-month period ended September 30, 2020 (94.7% average occupancy) and 12 new entrants. The decrease in new entrants was caused by relocating residents out of the D Building. On September 30, 2020 there were 277 independent living units occupied or 91.8%. Excluding the 20 vacant D Building units, occupancy as of September 30, 2020 was 97.8% in all other independent living units.

Patient service revenue decreased from \$4,146,639 for the period ended September 30, 2019 to \$3,779,896 for the period ended September 30, 2020 or 8.8% due to declined census in skilled nursing caused by temporary closures during the COVID-19 pandemic. For the period ended September 30, 2020, the Corporation has recognized \$709,527 of Provider Relief Funds on its statement of operations and changes in net assets as grant revenues.

Expenses for the 12-month period ended September 30, 2020 were \$31,224,870 compared to \$29,651,034 for the 12-month period ended September 30, 2019, an increase in expenses of \$1,573,836 or 5.3%. The budgeted increase was 3.5%. The unplanned increase in expense was due to additional costs related to the COVID-19 pandemic. Costs attributed to the COVID-19 pandemic include salary and benefits of approximately \$656,000, and supplies and contracted services of \$607,331.

The cumulative effect of income and expense trends was an increase in operating loss from \$510,015 for the period ended September 30, 2019 to \$1,334,140 for the period ended September 30, 2020.

The Corporation held unrestricted cash and investments valued at \$42,031,609 as of September 30, 2020 with approximately 14% held in equities and the remainder held in fixed income and cash equivalents. These investments experienced net unrealized gain of \$1,206,922 for the 12-month period ended September 30, 2020 compared to a net unrealized gain of \$617,735 for the period ended September 30, 2019.

Entrance fees net of refunds totaled \$3,999,432 for the 12-month period ended September 30, 2020 representing 12 new entrants and was a decrease from \$8,409,712 for the 12-month period ending September 30, 2019 with 28 new entrants. This decrease is related to relocating residents out of the D Building to other independent living units on campus.

For the fiscal year ended September 30, 2020, the debt service coverage ratio was 50.30x compared to 5.96x for the 12-month period ended September 30, 2019. Funded interest was

applied to the entirety of the interest due on the bonds for the fiscal year ended September 30, 2020. The intent was to apply funded interest to only the interest due on the new money portion of the Series 2019 Bonds. If the funded interest was allocated as anticipated, debt service coverage for the fiscal year ended September 30, 2020 would be 5.34x. The decline was due to less entrance fees received in fiscal year 2020. Days cash on hand increased by 77 days for the fiscal year ended September 30, 2020 from 488 to 565.

INVESTMENT POLICY

Investment authority for the Corporation is vested in the Investment Committee of the Board, subject to the Corporation's Investment and Spending Policy. The Investment and Spending Policy is reviewed annually and changes recommended by the Investment Committee are proposed to the Board for approval.

The Investment and Spending Policy sets forth the following asset class targets and permitted allocation ranges around asset class targets:

Fund Name		Asset Class	Target	Minimum	Maximum	Value as of September 30, 2021
General Fund		Equity	0%	0%	30%	\$13,731,272
		Fixed-Income	40%	40%	70%	
		Short-Term	60%	30%	60%	
Project Reserve Fund		Short-Term	60%	50%	100%	\$16,468,205
		Fixed-Income	40%	0%	50%	
Designated Fund		Equity	60%	55%	70%	\$2,586,132
		Fixed-Income	25%	20%	45%	
		Short-Term	15%	0%	15%	
Endowment Fund		Equity	60%	55%	70%	\$21,553,068
		Fixed-Income	30%	20%	45%	
		Short-Term	10%	0%	15%	

The General Fund is used for ongoing operations and may be distributed as necessary for those purposes. The Project Reserve Fund is a self-restricted fund that acts as a reserve fund for future capital asset replacement or for the repayment of outstanding long-term debt. At any time, distributions from the Project Reserve Fund may be made with approval of the Board, at the recommendation of the Investment and Finance Committees jointly in consultation with management. The Designated Fund is a donor restricted fund in which the donor has stipulated that a gift must be used for a specific purpose. The Endowment Fund provides a means for residents and friends of the Corporation to make gifts or bequests of an enduring nature for the benefit of the Corporation. Income generated by funds on deposit in the Endowment Fund can be used at the discretion of the Board for the benefit of the Corporation.

INSURANCE

The Corporation is covered by the following types of commercial insurance: commercial property, blanket liability, earthquake, business auto, directors and officers liability, cyber, umbrella, and workers compensation. The Corporation's comprehensive general liability

insurance has an aggregate limit of \$3,000,000. The Corporation also has an umbrella policy with an additional \$1,000,000 of coverage. The Corporation's commercial property coverage and earthquake coverage includes business interruption insurance for actual loss sustained for up to 12 months.

LICENSURE, CERTIFICATES AND MEMBERSHIPS

The Gardens is licensed by the California Department of Social Services ("CDSS") as a residential care facility for the elderly (an "RCFE"). The basis for this licensure is the agency's determination that the Corporation has complied with specific requirements of the State of California (hereinafter referred to as the "State" or "California") law related to RCFEs. The skilled nursing facility is licensed by the State Department of Public Health ("CDPH"). The basis for licensure is CDPH's determination that the Corporation has complied with State law relating to skilled nursing facilities.

The Corporation has a certificate of authority ("COA") issued by the Continuing Care Branch of the CDSS with respect to the Gardens. A COA permits the Corporation to enter into continuing care contracts, defined by the State as an express or implied agreement between a person 60 years of age or older and the provider where, in exchange for payment of an entrance fee and/or periodic charges, a promise is made to provide one or more elements of care at a facility for the duration of the resident's life or a period longer than one year. The Corporation must submit audited financial statements, reserve reports, and key indicator reports to the State.

The Gardens received a 5-year accreditation from the Commission on Accreditation of Rehabilitation Facilities ("CARF") in 2017. CARF awards public recognition to a community that, while carrying out its stated mission and purposes, meets industry-generated standards of excellence.

CARF is the sole accrediting body for continuing care retirement communities. The accreditation process promotes and maintains quality and integrity in retirement housing. To receive accreditation, communities must meet standards of excellence in four main areas: governance and administration, financial resources and disclosure, resident life and services, and resident health and wellness. This includes an extensive evaluation by all stakeholders as well as an on-site evaluation by a CARF review team every five years.

The Corporation is a member of LeadingAge, a national trade association that represents more than 6,000 nonprofit providers of aging services. The Corporation is also a member of LeadingAge California, the state trade association affiliated with LeadingAge, which represents more than 400 nonprofit providers of aging services throughout the State.

EMPLOYEES

As of October 31, 2021, the Corporation had a total of 229 equivalent full-time employees. Management is not aware of any union representation or union organization activities among its employees and considers its labor relations to be good. Because of the availability of affordable housing in nearby cities, the Corporation has not experienced, and is not currently experiencing, workforce challenges faced by similar senior living communities resulting from inadequate recruiting and low retention rates. The Corporation also affirmatively endeavors to remain an

“employer of choice” in the area by offering competitive wages and an attractive benefits package as well as engaging in progressive employee engagement practices.

The Corporation participates in The Pension Boards Retirement Plan of the United Church of Christ. Employees are eligible for participation/employer match after two years of service and must work at least 20 hours per week to qualify. A minimum of 3% of wages must be contributed in order to enroll, and the employer matches contributions up to a maximum of 6% of salary in calendar year 2021 and up to 10% of salary prior to 2021. For the fiscal years ended September 2019, 2020, and 2021, the total contribution expenses were \$633,672, \$674,857 and \$542,594, respectively.

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APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF
CONGREGATIONAL HOMES, INC. D/B/A MT. SAN ANTONIO GARDENS
AS OF AND FOR THE FISCAL YEARS ENDED SEPTEMBER 30, 2019, 2020 AND 2021**

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REPORT OF INDEPENDENT AUDITORS
AND FINANCIAL STATEMENTS

CONGREGATIONAL HOMES, INC.
dba MT. SAN ANTONIO GARDENS

September 30, 2021 and 2020



MOSSADAMS

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Report of Independent Auditors

The Board of Directors
Congregational Homes, Inc. dba Mt. San Antonio Gardens

Report on the Financial Statements

We have audited the accompanying financial statements of Congregational Homes, Inc. dba Mt. San Antonio Gardens ("MSAG"), which comprise the statements of financial position as of September 30, 2021 and 2020, and the related statements of operations, changes in net assets, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Congregational Homes, Inc. dba Mt. San Antonio Gardens as of September 30, 2021 and 2020, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Moss Adams LLP

Irvine, California
December 9, 2021

Congregational Homes, Inc. dba Mt. San Antonio Gardens
Statements of Financial Position

		September 30,	
		2021	2020
ASSETS			
CURRENT ASSETS			
Cash and cash equivalents	\$	5,795,537	\$ 2,764,683
Short-term investments		2,567,783	2,369,035
Accounts receivable, net		648,003	534,781
Other current assets		979,947	1,246,112
Total current assets		<u>9,991,270</u>	<u>6,914,611</u>
NONCURRENT ASSETS			
Assets limited as to use, net of current portion		6,138,771	13,845,447
Assets limited by board as to use		27,030,926	25,617,624
Investments		22,934,852	25,234,260
Property, plant, and equipment, net		<u>55,896,147</u>	<u>50,142,800</u>
Total assets		<u>\$ 121,991,966</u>	<u>\$ 121,754,742</u>
LIABILITIES AND NET ASSETS			
CURRENT LIABILITIES			
Accounts payable	\$	1,162,013	\$ 871,359
Accrued expenses		2,208,532	1,738,517
Workers' compensation liability		419,165	469,239
Deferred revenue from provider relief payments		-	98,200
Refundable deposits and other liabilities		180,494	154,883
Current portion of long-term debt		<u>540,000</u>	<u>520,000</u>
Total current liabilities		<u>4,510,204</u>	<u>3,852,198</u>
NONCURRENT LIABILITIES			
Liabilities under split-interest agreements		405,410	433,494
Deferred revenue from advance fees, including estimated refundable fees of \$150,000 in 2021 and 2020		37,271,917	37,116,678
Deferred revenue from service contract		364,688	412,779
Asset retirement obligation		128,778	121,804
Long-term debt, net of current portion		<u>33,845,187</u>	<u>37,631,318</u>
Total liabilities		<u>76,526,184</u>	<u>79,568,271</u>
NET ASSETS			
Without donor restriction		30,403,277	28,665,972
With donor restriction		<u>15,062,505</u>	<u>13,520,499</u>
Total net assets		<u>45,465,782</u>	<u>42,186,471</u>
Total liabilities and net assets		<u>\$ 121,991,966</u>	<u>\$ 121,754,742</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Statements of Operations

	Years Ended September 30,	
	2021	2020
CHANGES IN NET ASSETS WITHOUT DONOR RESTRICTION		
REVENUES		
Residential services	\$ 18,336,671	\$ 18,726,839
Patient services	3,626,786	3,779,896
Amortization of advance fees	4,263,850	4,755,776
Contributions	411,699	4,985
Grant revenues	191,088	709,527
Other	587,731	635,576
Net assets released from donor restriction, used for operations	1,374,246	1,278,131
Total revenues	28,792,071	29,890,730
EXPENSES		
Salaries and benefits	17,841,413	17,668,699
Contract services and professional fees	4,450,610	5,034,033
Depreciation	3,695,117	3,967,057
Utilities	1,194,684	1,124,424
Taxes and insurance	885,325	762,636
Interest	697,583	617,396
Supplies and equipment	631,868	509,470
Other expense	629,353	610,447
Medical supplies and equipment	559,702	586,710
Repairs and maintenance	365,931	337,330
Accretion of asset retirement obligation	6,974	6,668
Total operating expenses	30,958,560	31,224,870
OPERATING LOSS	(2,166,489)	(1,334,140)
NONOPERATING REVENUE (EXPENSE)		
Forgiveness of Paycheck Protection Program Loan	3,043,211	-
Net loss on disposal and write-down of operating assets	(84,078)	(65,759)
Loss on impairment of capital assets	(951,367)	-
Interest and dividend income, net	560,002	551,302
Realized and unrealized gains on investments, net	1,246,058	1,317,567
Total nonoperating revenue, net	3,813,826	1,803,110
Excess of revenue over expenses	1,647,337	468,970
Net assets released from restriction for capital projects	89,968	145,669
Change in net assets without donor restriction	\$ 1,737,305	\$ 614,639

Congregational Homes, Inc. dba Mt. San Antonio Gardens
Statements of Changes in Net Assets

	Years Ended September 30,	
	2021	2020
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION		
Excess of revenue over expenses	\$ 1,647,337	\$ 468,970
Net assets released from restriction for capital projects	89,968	145,669
Change in net assets without donor restriction	<u>1,737,305</u>	<u>614,639</u>
CHANGE IN NET ASSETS WITH DONOR RESTRICTION		
Contributions	260,475	476,017
Changes in the actuarial value of split-interest agreements	(78,481)	(109,206)
Matured split-interest agreements	27,492	98,860
Net assets released from restrictions, used for operations	(1,374,246)	(1,278,131)
Net assets released from restriction for capital projects	(89,968)	(145,669)
Gardens Club activity	510,257	526,284
Interest and dividend income, net	305,936	278,931
Realized and unrealized gains on investments, net	<u>1,980,541</u>	<u>975,178</u>
Total change in net assets with donor restriction	<u>1,542,006</u>	<u>822,264</u>
CHANGE IN NET ASSETS	3,279,311	1,436,903
NET ASSETS – BEGINNING OF YEAR	<u>42,186,471</u>	<u>40,749,568</u>
NET ASSETS – END OF YEAR	<u><u>\$ 45,465,782</u></u>	<u><u>\$ 42,186,471</u></u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Statements of Cash Flows – Direct Method

	Years Ended September 30,	
	2021	2020
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from residents	\$ 21,060,841	\$ 22,703,850
Cash from advance fees received	4,419,089	3,999,432
Cash received from contributions	1,061,723	1,144,757
Cash received from grants	191,088	709,527
Cash received from investment income	865,938	830,233
Cash received from other sources	1,386,206	887,565
Cash paid for interest on long-term debt	(1,507,625)	(342,580)
Cash paid to employees and vendors	(25,829,490)	(27,156,661)
Net cash provided by operating activities	1,647,770	2,776,123
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of investments	(1,963,602)	(28,753,322)
Proceeds from sale of investments	5,850,063	17,222,474
Proceeds from sale of investments, assets limited as to use	7,192,972	1,873,430
Acquisition of property, plant, and equipment	(9,660,984)	(3,414,073)
Net cash provided by (used in) investing activities	1,418,449	(13,071,491)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from loan payable	-	3,043,211
Principal payments on long-term debt	(520,000)	-
Payments on split-interest agreements	(79,069)	(73,865)
Proceeds from contributions restricted for long-term purposes	50,000	59,589
Net cash (used in) provided by financing activities	(549,069)	3,028,935
NET CHANGE IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	2,517,150	(7,266,433)
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, BEGINNING OF THE YEAR	3,585,940	10,852,373
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, END OF THE YEAR	<u>\$ 6,103,090</u>	<u>\$ 3,585,940</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens
Statements of Cash Flows – Reconciliation to Operating Activities

	Years Ended September 30,	
	2021	2020
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in net assets	\$ 3,279,311	\$ 1,436,903
Adjustments to reconcile change in net assets to net cash provided by operating activities		
Depreciation	3,695,117	3,967,057
Paycheck Protection Program loan forgiveness	(3,043,211)	-
Accretion of asset retirement obligation	6,974	6,668
Advance fees received	4,666,107	4,166,312
Advance fees refunded	(247,018)	(166,880)
Amortization of bond premium	(233,426)	(298,776)
Amortization of entrance fees	(4,263,850)	(4,755,776)
Amortization of revenue from service contract	(48,091)	(48,091)
Contributions restricted for long-term purposes	(50,000)	(59,589)
Donated capital assets	(76,233)	(156,668)
Net gains on investments	(3,226,599)	(2,292,745)
Changes in actuarial value of split-interest agreements	78,481	109,206
Amortization of deferred financing costs	30,506	30,505
Loss on impairment of capital assets	951,367	-
Loss on disposal and write-down of operating assets	84,078	65,759
Increase (decrease) in operating assets		
Accounts receivable	(113,222)	449,104
Other current assets	216,091	(289,665)
Increase (decrease) in operating liabilities		
Accounts payable	(51,436)	123,228
Accrued expenses	65,413	455,977
Deferred revenue	(98,200)	98,200
Refundable deposits and other liabilities	25,611	(64,606)
Net cash provided by operating activities	<u>\$ 1,647,770</u>	<u>\$ 2,776,123</u>
SUPPLEMENTAL DISCLOSURES OF NON-CASH TRANSACTIONS		
Donated capital assets	<u>\$ 76,233</u>	<u>\$ 156,668</u>
Accrued capital expenditures	<u>\$ 956,071</u>	<u>\$ 209,379</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 1 – Organization

Congregational Homes, Inc., dba Mt. San Antonio Gardens (“MSAG”), incorporated as a California not-for-profit public benefit corporation, is a nationally accredited Life Care retirement community. MSAG owns and operates 305 independent living units, 60 assisted living units, 11 memory care units, and 68 skilled nursing facility units.

The Gardens Club, consisting of all the residents of MSAG, engages in activities for the betterment of MSAG. The Gardens Club assets, net assets, and results of operations are included in MSAG’s financial statements as part of temporarily restricted net assets.

Note 2 – Summary of Significant Accounting Policies

Basis of presentation – The accompanying financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). The accrual basis of accounting recognizes revenues in the accounting period in which revenues are earned regardless of when cash is received and recognizes expenses in the accounting period in which expenses are incurred regardless of when cash is distributed. Based on the existence or absence of donor-imposed restrictions, MSAG classifies resources into two categories: without donor restrictions and with donor restrictions.

Net assets without donor restriction – Net assets that are not subject to donor-imposed restrictions and may be expensed for any purpose in performing the primary objectives of MSAG. These net assets may be used at the discretion of MSAG’s management and Board of Directors.

Net assets with donor restriction – Represents contributions that are limited to use by MSAG in accordance with donor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires; that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

Expiration of donor-imposed restrictions – Net assets are released from restrictions by incurring expenses satisfying the restricted purposes or by occurrence of events specified by the donors, including the passage of time. Donor restrictions on long-lived assets or cash to construct or acquire long-lived assets are considered to have expired when the assets are placed in service or expenditures exceed the amount of the gift.

Use of estimates – The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements. Estimates also affect the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Leases – In February 2016, the Financial Accounting Standards Board (FASB) issued Accounting Standard Update (ASU) 2016-02, *Leases (Topic 842)*, which increases transparency and comparability among entities by recognizing lease assets and lease liabilities on the statement of financial position and disclosing key information among leasing arrangements in the financial statements of lessees. MSAG adopted this standard as of October 1, 2020. The adoption did not have an impact on the financial statements.

Cash and cash equivalents – MSAG considers all short-term investments with an original maturity of 90 days or less to be cash equivalents. As of September 30, 2021 and 2020, cash equivalents are comprised of money market funds.

The following table provides a reconciliation of cash and cash equivalents and restricted cash and cash equivalents reported within the accompanying statements of financial position to the accompanying statements of cash flows as of September 31, 2021 and 2020:

	2021	2020
Cash and cash equivalents	\$ 5,795,537	\$ 2,764,683
Restricted cash and cash equivalents, included in assets limited as to use	307,553	821,257
Cash and cash equivalents and restricted cash and cash equivalents as reported in statements of cash flows	<u>\$ 6,103,090</u>	<u>\$ 3,585,940</u>

Investments – Investments in equity securities with readily determinable fair values and all investments in debt securities are measured at fair value in the statements of financial position. Fair value is established based on quoted prices from recognized securities exchanges. Investment income (including realized gains and losses on investments, interest, and dividends) is included in changes in net assets without donor restrictions unless the income (loss) is restricted by donor law.

Other current assets – Includes prepaid insurance, other prepaid expenses, workers' compensation insurance recoveries receivable, and inventory which consists of personal protective equipment, food, and kitchen supplies. Inventory is valued at first-in/first-out cost.

Deferred financing costs – Deferred financing costs include debt issuance costs, including legal fees, bank fees, accounting fees, and consulting costs incurred in connection with the issuance of the Series 2019 and 2010 tax-exempt bonds. The costs are being amortized over the terms of the financing agreements using the effective interest method. Such costs are presented as a component of long-term debt in accordance with FASB Accounting Standards Codification (ASC) Topic 835. Amortization expense is included as a component of interest expense.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Property, plant, and equipment – Property, plant, and equipment are recorded at cost. Donated property is recorded at its estimated fair value at the date of receipt. Depreciation is computed on the straight-line method based on estimated useful lives of 40 years for buildings built prior to September 30, 2005, 50 years for buildings completed after September 30, 2005, and 5 to 20 years for equipment. MSAG defines its capital expenditures as tangible assets of a relatively permanent nature, generally costing more than \$1,000. MSAG periodically evaluates the carrying value of their long-lived assets for impairment. When the carrying value of an asset exceeds estimated recoverability, an asset impairment is recognized. MSAG has identified building improvements including recent unit renovations, elevator upgrades, and other equipment that are impaired as they will be demolished with Buildings D and K beginning in October 2021. As of September 30, 2021, MSAG recognized impairment relating to Buildings D and K for approximately \$951,000, which is recognized on the Statement of Operations. Refer to Note 6.

Asset retirement obligations – Asset retirement obligations include legal obligations associated with the retirement of long-lived assets. These liabilities are recorded at fair value when incurred and are capitalized by increasing the carrying amount of the associated long-lived asset. The fair value of the obligation is measured based on the present value of estimated future retirement costs. Asset retirement costs are depreciated on a straight-line basis through the estimated date of retirement. Subsequent to the initial recognition, period-to-period changes in the carrying amount of the liability are recorded due to the passage of time and revisions to either the timing or amount of the original estimated cash flows. Liabilities are released when the related obligations are settled. Accretion expense was approximately \$7,000 for the years ended September 30, 2021 and 2020, respectively.

Excess of revenue over expenses – Excess of revenue over expenses represents the performance indicator. Changes in net assets without donor restrictions that are excluded from excess of revenue over expenses, consistent with industry practice, include contributions of long-lived assets (including assets acquired using contributions, which by donor restriction were to be used for purposes of acquiring such assets).

Residential services revenue – Residential services revenue is reported at the amount that reflects the consideration to which MSAG expects to be entitled to in exchange for the services provided. Under MSAG's residential services agreement, MSAG provides senior living services to residents for a stated monthly fee. MSAG recognizes revenue for senior living services under the residential services agreement for independent living and assisted living in accordance with the provision of ASC 842, *Leases* (ASC 842).

Patient services revenue (skilled nursing facility) – Patient services revenue is reported at the amount that reflects the consideration to which MSAG expects to be entitled to in exchange for providing care. These amounts are due from patients, net of third-party contractual allowances for Medicare, and other programs. Generally, MSAG bills patients and third-party payors at the beginning of each month and sends a final bill or reconciliation at the time of discharge. Revenue is recognized in the month in which the performance obligations are satisfied.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Revenue for performance obligations satisfied over time is recognized based on actual charges incurred. MSAG believes this method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. Generally, performance obligations satisfied over time relate to residents in our skilled nursing facility. MSAG measures the performance obligation from admission into the skilled nursing facility to the point when it is no longer required to provide health care services to that resident, which is generally at the time of discharge.

MSAG determines the transaction price based on standard charges for goods and services provided, reduced by contractual adjustments provided to third-party payors, discounts provided to uninsured patients in accordance with MSAG's policy, and implicit price concessions provided to uninsured patients. MSAG determines its estimates of implicit price concessions based on its historical collection experience with this class of patients.

MSAG has agreements with third-party payers that provide for payments to MSAG at amounts different from its established rates. Payment arrangements include prospectively determined rates per discharge, reimbursed costs, discounted charges, and per diem payments. Patient services revenue is reported at the estimated net realizable amounts from patients, third-party payers, and others for services rendered, including estimated retroactive adjustments under reimbursement agreements with third-party payers. Retroactive adjustments are accrued on an estimated basis in the period the related services are rendered and adjusted in future periods as final settlements are determined.

Laws and regulations concerning government programs, including Medicare, are complex and subject to varying interpretation. As a result of investigations by governmental agencies, various health care organizations have received requests for information and notices regarding alleged noncompliance with those laws and regulations, which, in some instances, have resulted in organizations entering into significant settlement agreements. Compliance with such laws and regulations may also be subject to future government review and interpretation, as well as significant regulatory action, including fines, penalties, and potential exclusion from the related programs. There can be no assurance that regulatory authorities will not challenge MSAG's compliance with these laws and regulations, and it is not possible to determine the impact (if any) such claims or penalties would have upon MSAG. In addition, the contracts MSAG has with commercial payors also provide for retroactive audit and review of claims.

Generally, patients who are covered by third-party payors are responsible for related deductibles and coinsurance, which vary in amount. MSAG also provides services to uninsured patients, and offers those uninsured patients a discount, either by policy or law, from standard charges. MSAG estimates the transaction price for patients with deductibles and coinsurance and from those who are uninsured based on historical experience and current market conditions. The initial estimate of the transaction price is determined by reducing the standard charge by any contractual adjustments, discounts, and implicit price concessions. Subsequent changes to the estimate of the transaction price are generally recorded as adjustments to patient service revenue in the period of the change. Subsequent changes that are determined to be the result of an adverse change in the patient's ability to pay are recorded as bad debt expense. Bad debt expense for the years ended September 30, 2021 and 2020, was not significant.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Patients who meet MSAG's criteria for charity care are provided care without charge or at amounts less than established rates. Such amounts determined to qualify as charity care are not reported as revenue.

Other revenues – Other revenues include revenues from ancillary services related to guest rooms, guest meals, catering, physical therapy, occupational therapy, and speech therapy. Revenue is reported at the amount that reflects the consideration to which MSAG expects to be entitled to in exchange for providing services.

The composition of patient services revenue by primary payor for the years ended September 30 is as follows:

	2021	2020
Patient services revenue		
Medicare/HMO	\$ 798,475	\$ 251,989
Private	2,828,311	3,527,907
	<u>\$ 3,626,786</u>	<u>\$ 3,779,896</u>

Obligation to provide future services – MSAG annually calculates the present value of the costs of providing future services and use of facilities to current residents less future revenues such as monthly fees and compares the net amount ("estimated obligation") with the balance of deferred revenue from advance fees. If the estimated obligation exceeds the deferred revenue from advance fees, a liability is recorded with the corresponding charge to income. For the years ended September 30, 2021 and 2020, a corresponding liability was not required. The present value of the obligation as of September 30, 2021 and 2020, was calculated using a discount rate of 5%.

MSAG estimates the cost of future services and the use of facilities in calculating the future obligation. The estimated amount of the obligation is based on actuarial assumptions such as life expectancy, projected future monthly resident fees, projected future operating costs and estimated future inflation rate. Actual results will differ from those estimates.

Concentration of credit risk – MSAG is a continuing care retirement community whose one campus is located on property in Claremont and Pomona, California. MSAG charges monthly fees on open accounts to its residents, all of whom live on campus.

MSAG has cash located in various institutions. The amount on deposit in one institution (MSAG's operating accounts) periodically exceeded the federally insured limit of \$250,000. MSAG monitors the financial condition of these institutions on an ongoing basis and does not believe significant credit risk exists at this time.

Split-interest agreements – MSAG sponsors charitable programs that enable the donor to receive income for life and leave the remainder of the principal to MSAG and other charitable organizations. These are referred to as split-interest agreements and can take several different forms, such as a gift annuity, an annuity trust, or a unitrust.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

MSAG accounts for these agreements separately from other assets and liabilities even though some assets are pooled for investment purposes. As of September 30, 2021 and 2020, investments managed by MSAG under these programs is approximately \$1,292,000 and \$1,216,000, respectively.

The terms and discount rates for these agreements are based upon the life expectancy of the donor(s) and present value tables provided by the Internal Revenue Service for determining the amount of the charitable contribution. Assets donated are recorded at their fair value at the date of the agreement. In subsequent years, the value of the contributions is actuarially adjusted to reflect the income earned on the assets, less distributions and the present value of the liability to the income beneficiaries. Payments of income to beneficiaries are principally funded by the investment income of the related investments.

Deferred revenue from advance fees – Fees paid by a resident upon entering into a life care or continuing care contract are recorded as deferred revenue. Such fees are amortized to income using the straight-line method over the estimated remaining life expectancy of the resident. The actuarial life expectancy tables used are based on MSAG's historical experience. Upon the death of a resident, the unamortized portion of an advance fee is included in current year amortization. A portion of deferred revenue from advance fees is allocated to refundable fees as described below.

Refundable fees – MSAG is obligated to refund a portion of advance fees to residents who withdraw before six years. If a resident withdraws (or dies) within 90 days, the entire advance fee is refunded, less reasonable expenses. For residents who moved in after October 1, 2019, the entire advance fee is refunded if the resident withdraws (or dies) within 1 year. The amount to be refunded upon withdrawal is the advance fee, less 1.39% of the advance fee per month. The liability for refundable advance fees of \$150,000 as of September 30, 2021 and 2020, is estimated based upon MSAG's refund experience. As of September 30, 2021 and 2020, the maximum amount contractually refundable was approximately \$16,272,000 and \$16,894,000, respectively.

Income taxes – MSAG is exempt from federal income taxes under Internal Revenue Code Section 501(c)(3) and from California franchise taxes under Revenue and Taxation Code Section 23701d. Accordingly, no provision has been made for income taxes.

MSAG has evaluated its tax positions and the certainty as to whether those positions will be sustained in the event of an audit by taxing authorities at the federal and state levels. The primary tax positions evaluated are related to MSAG's continued qualification as a tax-exempt organization and whether there are unrelated business income activities conducted that would be taxable. Management has determined that all income tax positions are more-likely-than-not (>50%) of being sustained upon potential audit or examination; therefore, no disclosures of uncertain income tax positions are required.

Going concern – In connection with the preparation of the financial statements for the year ended September 30, 2021, management conducted an evaluation as to whether there were conditions or events, considered in the aggregate, which raised substantial doubts as to MSAG's ability to continue as a going concern within one year after the date the financial statements were issued, noting there did not appear to be evidence of substantial doubt of the entity's ability to continue as a going concern.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Recent accounting standards – In August 2018, the FASB issued ASU 2018-13, *Fair Value Measurement – Disclosure Framework – Changes to the Disclosure Requirements of Fair Value Measurement (Topic 820)*, to improve the effectiveness of disclosures in the notes to financial statements by facilitating clear communication of the information required by U.S. GAAP that is most important to users of financial statements through the removal, modification, and addition of disclosure requirements. MSAG adopted this standard as of October 1, 2020. The adoption did not have an impact on the financial statements.

In the normal course of business, MSAG evaluates all new accounting pronouncements to determine that potential impact they may have on its financial statements. Based on this evaluation, MSAG does not expect any of the remaining recently issued accounting pronouncements, which may not already be adopted by MSAG, to have a material impact on its financial statements.

Subsequent events – Subsequent events are events or transactions that occur after the statement of financial position date but before the financial statements are issued. MSAG recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the statement of financial position, including the estimates inherent in the process of preparing the financial statements. MSAG's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the statement of financial position but arose after the statement of financial position date and before the financial statements are issued.

MSAG has evaluated subsequent events through December 9, 2021, which is the date the financial statements were issued, and concluded that there were no additional events or transactions that need to be disclosed.

Reclassification – Certain amounts included in the 2020 financial statements and related notes have been reclassified for comparative purposes to confirm to the presentation in the 2020 statements.

Note 3 – Provider Relief Funds (PRF)

On March 27, 2020, the United States Congress passed the Coronavirus Aid, Relief, and Economic Securities (CARES) Act. The CARES Act included provisions for health care under the Provider Relief Fund. Beginning April 2020, MSAG received funds under the Provider Relief Fund, administered by the U.S. Department of Health & Human Services (HHS). MSAG received approximately \$93,000 and \$808,000 under the program as of September 30, 2021 and 2020, respectively. MSAG was required to and did timely sign attestations agreeing to the terms and conditions of payment. Those terms and conditions include measures to prevent fraud and misuse. Documentation is required to ensure that these funds are to be used for healthcare-related expenses or lost revenue attributable to COVID-19, limitations of out of pocket payments from certain patients, and the acceptance of several other reporting and compliance requirements. It is noted that anti-fraud monitoring and auditing will be performed by HHS and the Office of the Inspector General.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 3 – Provider Relief Funds (PRF) (continued)

MSAG determined that the conditions of the release of restrictions has been substantially met and has recognized Provider Relief Funds on its statement of operations and changes in net assets as grant revenues of approximately \$191,000 and \$710,000 as of September 30, 2021 and 2020, respectively. As of September 30, 2020, \$98,000 is included in deferred revenue from provider relief payments.

Note 4 – Investments

Investments, including amounts classified as assets limited as to use, are comprised of the following as of September 30:

	2021	2020
Short-term investments	\$ 2,567,783	\$ 2,369,035
Assets limited as to use	6,138,771	13,845,447
Assets limited by board as to use	27,030,926	25,617,624
Investments	<u>22,934,852</u>	<u>25,234,260</u>
	<u>\$ 58,672,332</u>	<u>\$ 67,066,366</u>

Assets limited as to use are comprised of cash and investments held by the trustee under the Series 2019 bond indenture for the following purposes as of September 30:

	2021	2020
Assets held under Series 2019 Bond Indenture		
Project fund	<u>\$ 6,138,771</u>	<u>\$ 13,845,447</u>
	<u>\$ 6,138,771</u>	<u>\$ 13,845,447</u>

Assets limited by board as to use are not legally restricted as to use; however, it is the Board's current intention that they would be used for the following uses:

	2021	2020
Project reserve fund	\$ 16,468,205	\$ 16,299,957
Endowment for financial assistance	2,580,346	2,276,195
Endowment for general purposes	<u>7,982,375</u>	<u>7,041,472</u>
Assets limited by board as to use	<u>\$ 27,030,926</u>	<u>\$ 25,617,624</u>

The Project reserve fund is for replacement of fixed assets and new projects as approved by the Board.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 4 – Investments (continued)

MSAG has board-designated endowment funds of approximately \$10,563,000 and \$9,318,000 as of September 30, 2021 and 2020, respectively. MSAG does not intend to spend from these board-designated endowment funds other than amounts appropriated for expenditure based on the policy described in Note 10; however, these amounts could be made available for other purposes if necessary at the discretion of the Board.

The following schedule summarizes investment return and its classification in the statements of operations and statements of changes in net assets for the year ended September 30, 2021:

	Without Donor Restriction	With Donor Restriction	Total
Interest and dividend income	\$ 674,332	\$ 305,936	\$ 980,268
External investment expense	(114,330)	-	(114,330)
Interest and dividend income, net	560,002	305,936	865,938
Realized gains, net	221,655	173,359	395,014
Unrealized gains, net	1,024,403	1,807,182	2,831,585
Realized and unrealized gains on investments, net	1,246,058	1,980,541	3,226,599
Investment return, net	<u>\$ 1,806,060</u>	<u>\$ 2,286,477</u>	<u>\$ 4,092,537</u>

The following schedule summarizes investment return and its classification in the statements of operations and statements of changes in net assets for the year ended September 30, 2020:

	Without Donor Restriction	With Donor Restriction	Total
Interest and dividend income	\$ 674,272	\$ 278,931	\$ 953,203
External investment expense	(122,970)	-	(122,970)
Interest and dividend income, net	551,302	278,931	830,233
Realized gains, net	110,645	160,830	271,475
Unrealized gains, net	1,206,922	814,348	2,021,270
Realized and unrealized gains on investments, net	1,317,567	975,178	2,292,745
Investment return, net	<u>\$ 1,868,869</u>	<u>\$ 1,254,109</u>	<u>\$ 3,122,978</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 5 – Fair Value Measurements

In accordance with ASC 820, MSAG classifies its investments based upon an established fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements). The three levels of the fair value hierarchy are described below:

Basis of Fair Value Measurement

Level 1 – Unadjusted quoted prices in active markets that are accessible at the measurement date for identical, unrestricted assets or liabilities.

Level 2 – Quoted prices in markets that are not considered to be active or financial instruments without quoted market prices, but for which all significant inputs are observable, either directly or indirectly.

Level 3 – Prices or valuations that require inputs that are both significant to the fair value measurement and unobservable.

A financial instrument's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement.

Investments – Investments held by MSAG consist of Level 1 exchange traded funds, bonds, and mutual funds. These investments have quoted prices in an active market and are therefore classified within Level 1 of the valuation hierarchy.

Split-interest agreements – Management determines the fair value measurement policy and procedures for charitable remainder trusts and charitable gift annuities. These policies and procedures are reassessed periodically to determine if the current valuation techniques are still appropriate; therefore, it is classified within Level 3 of the valuation hierarchy.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 5 – Fair Value Measurements (continued)

The following tables present the fair value measurements of assets and liabilities recognized in the accompanying statements of financial position measured at fair value on a recurring basis and the level within the ASC 820 fair value hierarchy in which the fair value measurements fall:

Assets at Fair Value as of September 30, 2020				
	Level 1	Level 2	Level 3	Total
Assets				
Cash and equivalents	\$ 821,257	\$ -	\$ -	\$ 821,257
Gold exchange traded fund	267,451	-	-	267,451
U.S. treasury notes	100,793	-	-	100,793
U.S. treasury bills	164,980	-	-	164,980
U.S. bonds	149,114	-	-	149,114
Corporate bonds	9,137,156	-	-	9,137,156
Asset backed securities	110,270	-	-	110,270
Commercial mortgage-based securities	734,471	-	-	734,471
Mutual funds				
Balanced fund	201,084	-	-	201,084
Bond funds	39,397,326	-	-	39,397,326
International funds	3,302,676	-	-	3,302,676
U.S. equity funds	12,679,788	-	-	12,679,788
Total assets	\$ 67,066,366	\$ -	\$ -	\$ 67,066,366

Liabilities				
Liabilities under split-interest agreements				
Obligations under gift annuities	\$ -	\$ -	\$ 342,053	\$ 342,053
Obligations under charitable remainder trusts	-	-	91,441	91,441
Total liabilities	\$ -	\$ -	\$ 433,494	\$ 433,494

Assets at Fair Value as of September 30, 2020				
	Level 1	Level 2	Level 3	Total
Assets				
Cash and equivalents	\$ 821,257	\$ -	\$ -	\$ 821,257
Gold exchange traded fund	267,451	-	-	267,451
U.S. treasury notes	100,793	-	-	100,793
U.S. treasury bills	164,980	-	-	164,980
U.S. bonds	149,114	-	-	149,114
Corporate bonds	9,137,156	-	-	9,137,156
Asset backed securities	110,270	-	-	110,270
Commercial mortgage-based securities	734,471	-	-	734,471
Mutual funds				
Balanced fund	201,084	-	-	201,084
Bond funds	39,397,326	-	-	39,397,326
International funds	3,302,676	-	-	3,302,676
U.S. equity funds	12,679,788	-	-	12,679,788
Total assets	\$ 67,066,366	\$ -	\$ -	\$ 67,066,366

Liabilities				
Liabilities under split-interest agreements				
Obligations under gift annuities	\$ -	\$ -	\$ 342,053	\$ 342,053
Obligations under charitable remainder trusts	-	-	91,441	91,441
Total liabilities	\$ -	\$ -	\$ 433,494	\$ 433,494

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 6 – Property, Plant, and Equipment

Property, plant, and equipment consist of the following as of September 30:

	2021	2020
Land improvements	\$ 7,071,522	\$ 7,055,547
Buildings and improvements	84,975,296	83,544,587
Furniture and equipment	13,184,388	12,923,732
Total depreciable assets	105,231,206	103,523,866
Less: accumulated depreciation	61,824,088	58,829,379
Depreciable assets, net	43,407,118	44,694,487
Land	2,195,371	2,195,371
Construction in progress	10,293,658	3,252,942
Total property and equipment, net	<u>\$ 55,896,147</u>	<u>\$ 50,142,800</u>

MSAG's depreciation expense totaled approximately \$3,695,000 and \$3,967,000 for the years ended September 30, 2021 and 2020, respectively. For the year ended September 30, 2021, MSAG recognized impairment related to Buildings D and K for approximately \$951,000.

Note 7 – Deferred Revenue from Advance Fees

A summary of the deferred revenue from advance fees for the years ended September 30 is as follows:

	2021	2020
BALANCE, beginning of year	\$ 37,116,678	\$ 37,873,022
New fees received	4,666,107	4,166,312
Amortization of advance fees	(4,263,850)	(4,755,776)
Advance fees refunded	(247,018)	(166,880)
BALANCE, end of year	<u>\$ 37,271,917</u>	<u>\$ 37,116,678</u>

Based on the past five years, actual refunds have averaged approximately \$207,000 per year for the potential refundable declining period.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 8 – Retirement Plan

MSAG maintains a retirement plan under Section 403(b) of the Internal Revenue Code, for substantially all full time employees. The plan is with United Church of Christ Pension Plan for Lay Employees. Employees who elect to participate are required to contribute, at a minimum, 3% (and may contribute up to 20%, subject to IRS dollar limitations) of their compensation to the plan. MSAG matches 100% of the employees' contribution, up to 6% of their compensation for the calendar year 2021 and up to 10% of their compensation for calendar years prior to 2021, in which the employee completes at least 1,000 hours of service, and has completed two years of continuous service. MSAG's contributions to this plan totaled approximately \$543,000 and \$675,000 for the years ended September 30, 2021 and 2020, respectively.

Note 9 – Long-Term Debt

Long-term debt as of September 30, 2021 and 2020, is as follows:

	2021	2020
Series 2019 Bonds	\$ 31,090,000	\$ 31,610,000
Paycheck Protection Program loan	-	3,043,211
Add: Series 2019 bond premium	4,141,716	4,375,142
Less: unamortized debt issuance costs	(846,529)	(877,035)
Long-term debt, including current portion	34,385,187	38,151,318
Current portion of long-term debt	(540,000)	(520,000)
Long-term debt, net of current portion	<u>\$ 33,845,187</u>	<u>\$ 37,631,318</u>

On July 1, 2019, MSAG issued Series 2019 Bonds ("2019 Bonds"). The proceeds of the 2019 Bonds totaling \$31,610,000 were used to refinance all of the outstanding Series 2010 Bonds (\$16,375,000); reimburse MSAG for the payment of prior expenditures for planning the Wellness/Independent Living Expansion project; finance construction, improvement, renovation and equipping of the campus; pay a portion of the interest on the 2019 Bonds during the construction of described projects; and pay certain costs of issuance of the Bonds. The 2019 Bonds have terms of 30 years with fixed all in true interest rate of 3.98% and maximum annual debt service of \$2,039,400. Interest on the 2019 Bonds is payable on each May 15 and November 15, commencing November 15, 2019. The 2019 Bonds are collateralized by the first trust deed of MSAG and have certain covenant restrictions.

In April 2020, MSAG was granted a loan in the aggregate amount of approximately \$3,042,000, pursuant to the Paycheck Protection Plan (PPP Loan), under Division A, Title I of the CARES Act, which was enacted March 27, 2020.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 9 – Long-Term Debt (continued)

The loan, which was in the form of a Note dated April 6, 2020, matures on April 6, 2022, and bears interest at 1%, payable monthly commencing on October 6, 2020. The Paycheck Protection Program Flexibility Act of 2020 extended the deferral period for payments until July 1, 2022. The loan is subject to forgiveness if MSAG uses all proceeds for eligible purposes, maintains certain employment levels, and maintains certain compensation levels in accordance with and subject to the CARES Act and the rules, regulations, and guidance. MSAG received full forgiveness in August 2021 and recognized the forgiveness as nonoperating revenue on the statement of activities.

The following table sets forth the principal payments due as of September 30:

Fiscal Year	
2022	\$ 540,000
2023	560,000
2024	585,000
2025	605,000
2026	630,000
Thereafter	<u>28,170,000</u>
Total	<u><u>\$ 31,090,000</u></u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 10 – Net Assets with Donor Restriction

Net assets with donor restriction include the following time period or purpose restrictions as of September 30, 2021 and 2020:

	2021	2020
Subject to expenditure for a specific purpose		
Homeship care – resident support	\$ 1,891,659	\$ 1,832,647
Gardens Club	709,058	695,523
All other restrictions	612,377	585,929
Subject to appropriation and expenditure when a specified event occurs		
Split-interest agreements	886,693	782,130
Subject to spending policy and appropriation		
Investment in perpetuity (including amounts above original gift amount of \$7,066,746 and \$7,016,746, respectively), which once appropriated, is expendable to support		
Homeship care	445,885	393,326
Library	14,705	12,972
Wellness center	91,439	80,661
Assisted living program	103,715	91,490
Financial assistance upon entrance	161,370	142,349
General endowment	10,145,604	8,903,472
	<u>10,962,718</u>	<u>9,624,270</u>
Total net assets with donor restriction	<u>\$ 15,062,505</u>	<u>\$ 13,520,499</u>

Note 11 – Endowment Restricted Net Assets

The Board of Directors of MSAG follow the Uniform Prudent Management of Institutional Funds Act (UPMIFA) in determining the fair value of the donor-restricted assets. As a result, MSAG classifies as net assets with donor restriction (a) the original value of gifts donated to the permanent endowment, (b) the original value of subsequent gifts to the permanent endowment, and (c) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. MSAG's endowment spending policy provides the guidance for the distribution of the net appreciation of restricted endowments. At the beginning of each fiscal year, MSAG will distribute 4.5% of the average market value of the endowment fund for the twelve calendar quarters ended March 31 of the prior fiscal year. Endowment earning distributions are made in 12 equal monthly installments.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 11 – Endowment Restricted Net Assets (continued)

Endowment net asset composition by type of fund as of September 30, 2021, are as follows:

	Without Donor Restrictions	With Donor Restrictions	Total
Original donor-restricted gift amount and amounts required to be maintained in perpetuity by the donor	\$ -	\$ 7,066,745	\$ 7,066,745
Accumulated investment gains	4,113,346	3,895,973	8,009,319
Board-designated endowment funds	6,449,375	-	6,449,375
	<u>\$ 10,562,721</u>	<u>\$ 10,962,718</u>	<u>\$ 21,525,439</u>

Endowment net asset composition by type of fund as of September 30, 2020, are as follows:

	Without Donor Restrictions	With Donor Restrictions	Total
Original donor-restricted gift amount and amounts required to be maintained in perpetuity by the donor	\$ -	\$ 7,016,745	\$ 7,016,745
Accumulated investment gains	2,868,291	2,607,525	5,475,816
Board-designated endowment funds	6,449,375	-	6,449,375
	<u>\$ 9,317,666</u>	<u>\$ 9,624,270</u>	<u>\$ 18,941,936</u>

In accordance with UPMIFA, MSAG considers the following factors in making a determination to appropriate or accumulate donor-restricted assets:

1. The duration and preservation of the fund
2. The purposes of MSAG and the donor-restricted endowment fund
3. General economic conditions
4. The possible effect of inflation and deflation
5. The expected total return from income and the appreciation of investments
6. Other resources of MSAG
7. The investment policies of MSAG

Funds with deficiencies – From time to time, the fair value of assets associated with individual donor-restricted assets may fall below the level that the donor or UPMIFA requires MSAG to retain as a fund of perpetual duration. In accordance with U.S. GAAP, deficiencies of this nature are reported in net assets with donor restriction when applicable. There were no such deficiencies as of September 30, 2021 and 2020.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 11 – Endowment Restricted Net Assets (continued)

Return objectives, risk parameters, and strategies employed for achieving objectives – MSAG has adopted investment and spending policies for restricted assets that attempt to provide a predictable stream of funding to the program. Under this policy, as approved by the Board of Directors, the restricted assets are invested in a manner that is intended to preserve and protect the assets by earning an appropriate return on the investments.

Changes in endowment net assets for the fiscal year ended September 30, 2021, are as follows:

	Without Donor Restrictions	With Donor Restrictions	Total
Endowment net assets, beginning of year	\$ 9,317,666	\$ 9,624,270	\$ 18,941,936
Investment return, net	1,609,258	1,670,760	3,280,018
Contributions	-	50,000	50,000
Transfer for purpose restriction spending	-	(27,629)	(27,629)
Appropriation of endowment for expenditure	(364,203)	(354,683)	(718,886)
Endowment net assets, end of year	<u>\$ 10,562,721</u>	<u>\$ 10,962,718</u>	<u>\$ 21,525,439</u>

Changes in endowment net assets for the fiscal year ended September 30, 2020, are as follows:

	Without Donor Restrictions	With Donor Restrictions	Total
Endowment net assets, beginning of year	\$ 8,752,080	\$ 8,974,428	\$ 17,726,508
Investment return, net	891,513	921,676	1,813,189
Contributions	-	59,589	59,589
Transfer for purpose restriction spending	-	(25,873)	(25,873)
Appropriation for endowment for expenditure	(325,927)	(305,550)	(631,477)
Endowment net assets, end of year	<u>\$ 9,317,666</u>	<u>\$ 9,624,270</u>	<u>\$ 18,941,936</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 12 – Net Assets Released from Restriction

Net assets were released from restriction as follows for the fiscal years ended September 30, 2021 and 2020, respectively:

	2021	2020
Purpose restrictions accomplished		
Homeship care – resident support	\$ 403,905	\$ 388,266
Gardens club – employee appreciation	496,722	466,354
Physician clinic operations	56,219	56,535
General operations	62,717	61,426
General capital releases	89,968	145,669
	1,109,531	1,118,250
Release of appropriated endowment amounts without purpose restrictions	364,203	325,927
Release of appropriated endowment amounts with purpose restrictions	354,683	305,550
	Total restriction released	Total restriction released
	<u>\$ 1,828,417</u>	<u>\$ 1,749,727</u>

Note 13 – Self-Insured Workers’ Compensation Insurance

On January 1, 2018, MSAG entered into a guaranteed cost policy insurance program to cover workers’ compensation claims. Under the current policy, MSAG is covered up to \$1,000,000 on a per claim basis with no deductible.

Prior to January 2018, MSAG participated in a self-insured workers’ compensation program through a nonprofit mutual benefit corporation (“Group”) organized under the Nonprofit Mutual Benefit Corporation Law of California. Under this plan, MSAG was covered up to \$500,000 for the payment of medical, indemnity and legal costs of claims. MSAG was also covered by a supplemental policy for excess workers’ compensation coverage that pays all statutory benefits in excess of a retention limit of \$500,000.

In accordance with ASU No. 2010–24, *Presentation of Insurance Claims and Related Insurance Recoveries*, MSAG discloses in the statements of financial position the estimated liability outstanding for workers’ compensation claims as well as the related insurance recoveries. The estimated liability and insurance recoveries for workers’ compensation claims amounted to approximately \$419,000 and \$469,000 as of September 30, 2021 and 2020, respectively. Insurance recoveries receivable are included in other current assets on the statements of financial position.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 13 – Self-Insured Workers’ Compensation Insurance (continued)

As required by the state of California, Department of Industrial Relations, Office of Self-Insurance Plans (OSIP), the Group obtained a surety bond from an insurance carrier, which satisfy the financial security requirement for self-insured plans. As a condition from surety carriers in return for obtaining the surety bond posted by the program to OSIP, each participating member in the program is required to sign a General Agreement of Indemnity. In the event that the insurance carrier is called upon to satisfy any outstanding obligation of the Group, the insurance carrier has the right of indemnification from each member on a joint and several basis.

Note 14 – Functional Classification of Expenses

The financial statements report certain expense categories that are attributable to more than one independent living, assisted living, skilled nursing or support services function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function, including depreciation, interest and other costs, are allocated to a function based on a square footage or units of services basis.

Expenses related to providing these services for 2021 are as follows:

	Program Services			Support Services	
	Independent Living	Assisted Living	Skilled Nursing	General and Administrative	Total
Salaries and benefits	\$ 5,016,761	\$ 3,123,704	\$ 6,940,139	\$ 2,760,809	\$ 17,841,413
Contract services and professional fees	1,793,427	581,316	906,175	1,169,692	4,450,610
Utilities	933,980	138,181	109,009	13,514	1,194,684
Taxes and insurance	692,128	102,400	80,782	10,015	885,325
Interest	540,471	83,274	65,694	8,144	697,583
Other expense	182,890	52,051	48,903	345,509	629,353
Repairs and maintenance	278,289	41,818	41,702	4,122	365,931
Supplies and equipment	217,277	162,503	219,582	32,506	631,868
Medical supplies and equipment	83,388	111,260	293,773	71,281	559,702
Depreciation	2,428,135	398,093	789,495	79,394	3,695,117
Accretion of asset retirement obligation	5,452	807	636	79	6,974
Total operating expenses	<u>\$ 12,172,198</u>	<u>\$ 4,795,407</u>	<u>\$ 9,495,890</u>	<u>\$ 4,495,065</u>	<u>\$ 30,958,560</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 14 – Functional Classification of Expenses (continued)

Expenses related to providing these services for 2020 are as follows:

	Program Services			Support Services	Total
	Independent Living	Assisted Living	Skilled Nursing	General and Administrative	
Salaries and benefits	\$ 4,918,865	\$ 3,037,092	\$ 6,948,291	\$ 2,764,451	\$ 17,668,699
Contract services and professional fees	1,992,909	673,438	954,689	1,412,997	5,034,033
Utilities	878,850	130,373	102,806	12,395	1,124,424
Taxes and insurance	596,076	88,425	69,728	8,407	762,636
Interest	482,556	71,585	56,449	6,806	617,396
Other expense	173,860	66,776	52,358	317,453	610,447
Repairs and maintenance	262,229	38,866	32,540	3,695	337,330
Supplies and equipment	199,470	103,614	165,861	40,525	509,470
Medical supplies and equipment	145,955	105,516	266,554	68,685	586,710
Depreciation	2,686,537	401,192	804,054	75,274	3,967,057
Accretion of asset retirement obligation	5,211	773	610	74	6,668
Total operating expenses	<u>\$ 12,342,518</u>	<u>\$ 4,717,650</u>	<u>\$ 9,453,940</u>	<u>\$ 4,710,762</u>	<u>\$ 31,224,870</u>

Note 15 – Liquidity and Availability

Financial assets available for general expenditure, that is, without donor restrictions limiting their use, within one year of September 30, 2021, comprise the following:

Cash and cash equivalents	\$ 5,028,923
Short-term investments	2,567,783
Accounts receivable, net	<u>477,627</u>
	<u>\$ 8,074,333</u>

MSAG has structured its financial assets to be available as its general expenditures, liabilities, and other obligations come due. MSAG maximizes its earnings potential on liquid assets by investing in short-term instruments such as money market funds and short-term treasury instruments. MSAG has board-designated endowment funds of approximately \$10,563,000 as of September 30, 2021. MSAG does not intend to spend from this board-designated endowment other than amounts appropriated for expenditure based on the policy described in Note 10, however these amounts could be made available if necessary.

Note 16 – Risks and Uncertainties

In March 2020, the World Health Organization officially declared COVID-19 a pandemic. Management has been, and continues to be, focused on mitigation measures to address the challenges associated with Covid-19.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 16 – Risks and Uncertainties (continued)

These impacts may include, but are not limited to, revenue reductions, additional costs for equipment, supplies, additional staffing and other precautionary efforts to address the challenges of COVID-19.

Evaluation and adaptation on the part of Management is an ongoing process, based on evolving information and COVID activity. MSAG is not in a position to accurately project the impacts on its operations and financial results, as the intensity and duration of the COVID-19 pandemic is uncertain.

Note 17 – Commitments

In May 2021, MSAG entered into a construction contract related to the Wellness Center (Center for Healthy Living) project. The contract sum, including change orders, is approximately \$8,377,000. As of September 30, 2021, the amount due on the contract was approximately \$862,000 and MSAG recognized approximately \$405,000 in accrued expenses and \$458,000 in accounts payable on the statement of financial position. The remaining balance to complete as of September 30, 2021, was approximately \$3,993,000.

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REPORT OF INDEPENDENT AUDITORS
AND FINANCIAL STATEMENTS

CONGREGATIONAL HOMES, INC.
dba MT. SAN ANTONIO GARDENS

September 30, 2020 and 2019

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Report of Independent Auditors

To the Board of Directors
Congregational Homes, Inc. dba Mt. San Antonio Gardens

Report on Financial Statements

We have audited the accompanying financial statements of Congregational Homes, Inc. dba Mt. San Antonio Gardens ("MSAG"), which comprise the statements of financial position as of September 30, 2020 and 2019, and the related statements of operations, changes in net assets, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Congregational Homes, Inc. dba Mt. San Antonio Gardens as of September 30, 2020 and 2019, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Moss Adams LLP

Irvine, California
December 4, 2020

Congregational Homes, Inc. dba Mt. San Antonio Gardens
Statements of Financial Position

		September 30,	
		2020	2019
ASSETS			
CURRENT ASSETS			
Cash and cash equivalents	\$	2,764,683	\$ 8,086,519
Short-term investments		2,369,035	2,435,562
Accounts receivable, net		534,781	983,885
Assets limited to use, required for current liabilities		-	395,364
Other current assets		1,246,112	1,206,852
Total current assets		6,914,611	13,108,182
NONCURRENT ASSETS			
Assets limited as to use, net of current portion		13,845,447	17,268,110
Assets limited by board as to use		25,617,624	22,353,174
Investments		25,234,260	14,719,771
Property, plant and equipment, net		50,142,800	50,604,875
Total assets	\$	121,754,742	\$ 118,054,112
LIABILITIES AND NET ASSETS			
CURRENT LIABILITIES			
Accounts payable	\$	871,359	\$ 748,131
Accrued expenses		1,738,517	1,282,540
Workers' compensation liability		469,239	719,644
Deferred revenue from provider relief payments		98,200	-
Refundable deposits and other liabilities		154,883	219,489
Current portion of long-term debt		520,000	155,717
Total current liabilities		3,852,198	3,125,521
NONCURRENT LIABILITIES			
Liabilities under split-interest agreements		433,494	509,334
Deferred revenue from advance fees, including estimated refundable fees of \$150,000 in 2020 and 2019		37,116,678	37,873,022
Deferred revenue from service contract		412,779	460,870
Asset retirement obligation		121,804	115,136
Long-term debt, net of current portion		37,631,318	35,220,661
Total liabilities		79,568,271	77,304,544
NET ASSETS			
Without donor restriction		28,665,972	28,051,333
With donor restriction		13,520,499	12,698,235
Total net assets		42,186,471	40,749,568
Total liabilities and net assets	\$	121,754,742	\$ 118,054,112

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Statements of Operations

	Years Ended September 30,	
	2020	2019
CHANGES IN NET ASSETS WITHOUT DONOR RESTRICTION		
REVENUES		
Residential services	\$ 18,726,839	\$ 18,004,436
Patient services	3,779,896	4,146,639
Amortization of advance fees	4,755,776	5,008,101
Contributions	4,985	9,411
Grant revenues	709,527	-
Other	635,576	722,230
Net assets released from donor restriction, used for operations	1,278,131	1,250,202
Total revenues	29,890,730	29,141,019
EXPENSES		
Salaries and benefits	17,668,699	16,771,196
Contract services and professional fees	5,034,033	4,796,470
Utilities	1,124,424	1,077,730
Taxes and insurance	762,636	689,202
Interest	617,396	680,760
Other expense	610,447	638,853
Repairs and maintenance	337,330	442,481
Supplies and equipment	509,470	424,352
Medical supplies and equipment	586,710	224,886
Depreciation	3,967,057	3,898,729
Accretion of asset retirement obligation	6,668	6,375
Total operating expenses	31,224,870	29,651,034
OPERATING LOSS	(1,334,140)	(510,015)
NONOPERATING REVENUE (EXPENSE)		
Changes in fair value of interest rate cap	-	(95,798)
Net loss on disposal and write-down of operating assets	(65,759)	(143,826)
Interest and dividend income, net	551,302	662,188
Realized and unrealized gains on investments, net	1,317,567	699,238
Loss on refinancing of debt	-	(74,036)
Total nonoperating revenue, net	1,803,110	1,047,766
Excess of revenue over expenses	468,970	537,751
Net assets released from restriction for capital projects	145,669	331,247
Change in net assets without donor restriction	\$ 614,639	\$ 868,998

Congregational Homes, Inc. dba Mt. San Antonio Gardens
Statements of Changes in Net Assets

	Years Ended September 30,	
	2020	2019
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION		
Excess of revenue over expenses	\$ 468,970	\$ 537,751
Net assets released from restriction for capital projects	145,669	331,247
Change in net assets without donor restriction	614,639	868,998
CHANGE IN NET ASSETS WITH DONOR RESTRICTION		
Contributions	476,017	447,124
Changes in the actuarial value of split-interest agreements	(109,206)	(203,515)
Matured split-interest agreements	98,860	178,960
Net assets released from restrictions, used for operations	(1,278,131)	(1,250,202)
Net assets released from restriction for capital projects	(145,669)	(331,247)
Gardens Club activity	526,284	393,761
Interest and dividend income, net	278,931	328,267
Realized and unrealized gains on investments, net	975,178	184,013
Total change in net assets with donor restriction	822,264	(252,839)
CHANGE IN NET ASSETS	1,436,903	616,159
NET ASSETS – BEGINNING OF YEAR	40,749,568	40,133,409
NET ASSETS – END OF YEAR	\$ 42,186,471	\$ 40,749,568

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Statements of Cash Flows – Direct Method

	Years Ended September 30,	
	2020	2019
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from residents	\$ 22,703,850	\$ 21,473,623
Cash from advance fees received	3,999,432	8,409,712
Cash received from contributions	1,263,935	718,810
Cash received from grants	709,527	-
Cash received from investment income	830,233	990,455
Cash received from other sources	887,565	1,172,191
Cash paid for interest on long-term debt	(342,580)	(485,924)
Cash paid to employees and vendors	(27,156,661)	(24,742,223)
Net cash provided by operating activities	2,895,301	7,536,644
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of investments	(28,753,322)	(5,231,427)
Proceeds from sale of investments	17,222,474	5,373,871
Purchases of investments, assets limited as to use	(25,746,950)	(17,036,531)
Proceeds from sale of investments, assets limited as to use	27,620,380	2,138,911
Acquisition of property, plant, and equipment	(3,414,073)	(3,593,549)
Net cash used in investing activities	(13,071,491)	(18,348,725)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from issuance of 2019 bonds	-	36,283,918
Prepayment of 2010 bonds	-	(16,375,000)
Cost of issuance of bond financing	-	(917,776)
Proceeds from loan payable	3,043,211	-
Principal payments on long-term debt	-	(770,000)
Payments on split-interest agreements	(73,865)	(101,059)
Proceeds from contributions restricted for long-term purposes	(59,589)	58,457
Net cash provided by financing activities	2,909,757	18,178,540
NET CHANGE IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	(7,266,433)	7,366,459
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, BEGINNING OF THE YEAR	10,852,373	3,485,914
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, END OF THE YEAR	\$ 3,585,940	\$ 10,852,373

Congregational Homes, Inc. dba Mt. San Antonio Gardens
Statements of Cash Flows – Reconciliation to Operating Activities

	Years Ended September 30,	
	2020	2019
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in net assets	\$ 1,436,903	\$ 616,159
Adjustments to reconcile change in net assets to net cash provided by operating activities		
Depreciation	3,967,057	3,898,729
Accretion of asset retirement obligation	6,668	6,375
Advance fees received	4,166,312	8,867,410
Advance fees refunded	(166,880)	(457,698)
Amortization of bond premium	(298,776)	-
Amortization of entrance fees	(4,755,776)	(5,008,101)
Amortization of revenue from service contract	(48,091)	(20,038)
Contributions restricted for long-term purposes	59,589	(58,457)
Donated capital assets	(156,668)	(251,989)
Net gains on investments	(2,292,745)	(883,251)
Changes in actuarial value of split-interest agreements	109,206	203,515
Amortization of deferred financing costs	30,505	50,906
Loss on refinancing debt	-	74,036
Changes in fair value of interest rate cap	-	95,798
Loss on disposal and write-down of operating assets	65,759	143,826
Increase (decrease) in operating assets		
Accounts receivable	449,104	(227,491)
Other current assets	(289,665)	(19,663)
Increase (decrease) in operating liabilities		
Accounts payable	123,228	(12,035)
Accrued expenses	455,977	523,867
Deferred revenue	98,200	-
Refundable deposits and other liabilities	(64,606)	(5,254)
Net cash provided by operating activities	<u>\$ 2,895,301</u>	<u>\$ 7,536,644</u>
SUPPLEMENTAL DISCLOSURES OF NON-CASH TRANSACTIONS		
Donated capital assets	<u>\$ 156,668</u>	<u>\$ 251,989</u>
Accrued capital expenditures	<u>\$ 209,379</u>	<u>\$ 69,478</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 1 – Organization

Congregational Homes, Inc., dba Mt. San Antonio Gardens (“MSAG”), incorporated as a California not-for-profit public benefit corporation, is a nationally accredited Life Care retirement community. MSAG owns and operates 305 independent living units, 60 assisted living units, 11 memory care units, and 68 skilled nursing facility units.

The Gardens Club, consisting of all the residents of MSAG, engages in activities for the betterment of MSAG. The Gardens Club assets, net assets, and results of operations are included in MSAG’s financial statements as part of temporarily restricted net assets.

Note 2 – Summary of Significant Accounting Policies

Basis of presentation – The accompanying financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). The accrual basis of accounting recognizes revenues in the accounting period in which revenues are earned regardless of when cash is received and recognizes expenses in the accounting period in which expenses are incurred regardless of when cash is distributed. Based on the existence or absence of donor-imposed restrictions, MSAG classifies resources into two categories: without donor restrictions and with donor restrictions.

Net assets without donor restriction – Net assets that are not subject to donor-imposed restrictions and may be expensed for any purpose in performing the primary objectives of MSAG. These net assets may be used at the discretion of MSAG’s management and board of directors.

Net assets with donor restriction – Represents contributions that are limited to use by MSAG in accordance with donor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires; that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

Expiration of donor-imposed restrictions – Net assets are released from restrictions by incurring expenses satisfying the restricted purposes or by occurrence of events specified by the donors, including the passage of time. Donor restrictions on long-lived assets or cash to construct or acquire long-lived assets are considered to have expired when the assets are placed in service or expenditures exceed the amount of the gift.

Use of estimates – The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements. Estimates also affect the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Cash and cash equivalents – MSAG considers all short-term investments with an original maturity of ninety days or less to be cash equivalents. As of September 30, 2020 and 2019, cash equivalents are comprised of money market funds.

Investments – Investments in equity securities with readily determinable fair values and all investments in debt securities are measured at fair value in the statements of financial position. Fair value is established based on quoted prices from recognized securities exchanges. Investment income (including realized gains and losses on investments, interest, and dividends) is included in changes in net assets without donor restrictions unless the income (loss) is restricted by donor law.

Other current assets – Includes prepaid insurance, other prepaid expenses, workers' compensation insurance recoveries receivable, and inventory which consists of personal protective equipment, food, and kitchen supplies. Inventory is valued at first-in/first-out cost.

Deferred financing costs – Deferred financing costs include debt issuance costs, including legal fees, bank fees, accounting fees, and consulting costs incurred in connection with the issuance of the Series 2019 and 2010 tax-exempt bonds. The costs are being amortized over the terms of the financing agreements using the effective interest method. Such costs are presented as a component of long-term debt in accordance with Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) Topic 835. Amortization expense is included as a component of interest expense.

Property, plant, and equipment – Property, plant, and equipment are recorded at cost. Donated property is recorded at its estimated fair value at the date of receipt. Depreciation is computed on the straight-line method based on estimated useful lives of 40 years for buildings built prior to September 30, 2005, 50 years for buildings completed after September 30, 2005, and 5 to 20 years for equipment. MSAG defines its capital expenditures as tangible assets of a relatively permanent nature, generally costing more than \$1,000.

Asset retirement obligations – Asset retirement obligations include legal obligations associated with the retirement of long-lived assets. These liabilities are recorded at fair value when incurred and are capitalized by increasing the carrying amount of the associated long-lived asset. The fair value of the obligation is measured based on the present value of estimated future retirement costs. Asset retirement costs are depreciated on a straight-line basis through the estimated date of retirement. Subsequent to the initial recognition, period-to-period changes in the carrying amount of the liability are recorded due to the passage of time and revisions to either the timing or amount of the original estimated cash flows. Liabilities are released when the related obligations are settled. Accretion expense was approximately \$7,000 and \$6,000 for the years ended September 30, 2020 and 2019, respectively.

Excess of revenue over expenses – Excess of revenue over expenses represents the performance indicator. Changes in net assets without donor restrictions that are excluded from excess of revenue over expenses, consistent with industry practice, include contributions of long-lived assets (including assets acquired using contributions, which by donor restriction were to be used for purposes of acquiring such assets).

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Revenue recognition – On October 1, 2018, MSAG adopted ASC 606 applying the full retrospective method. All periods presented have been adjusted and are reported in accordance with ASC 606. The adoption of ASC 606 did not have a material impact on the measurement nor the recognition of revenue.

Residential services revenue – Residential services revenue is reported at the amount that reflects the consideration to which MSAG expects to be entitled to in exchange for the services provided. Under MSAG's residential services agreement, MSAG provides senior living services to residents for a stated monthly fee. MSAG recognizes revenue for senior living services under the residential services agreement for independent living and assisted living in accordance with the provision of ASC 840, *Leases* (ASC 840).

Patient services revenue (skilled nursing facility) – Patient services revenue is reported at the amount that reflects the consideration to which MSAG expects to be entitled to in exchange for providing care. These amounts are due from patients, net of third-party contractual allowances for Medicare, and other programs. Generally, MSAG bills patients and third-party payors at the beginning of each month and sends a final bill or reconciliation at the time of discharge. Revenue is recognized in the month in which the performance obligations are satisfied.

Revenue for performance obligations satisfied over time is recognized based on actual charges incurred. MSAG believes this method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. Generally, performance obligations satisfied over time relate to residents in our skilled nursing facility. MSAG measures the performance obligation from admission into the skilled nursing facility to the point when it is no longer required to provide health care services to that resident, which is generally at the time of discharge.

MSAG determines the transaction price based on standard charges for goods and services provided, reduced by contractual adjustments provided to third-party payors, discounts provided to uninsured patients in accordance with MSAG's policy, and implicit price concessions provided to uninsured patients. MSAG determines its estimates of implicit price concessions based on its historical collection experience with this class of patients.

MSAG has agreements with third-party payers that provide for payments to MSAG at amounts different from its established rates. Payment arrangements include prospectively determined rates per discharge, reimbursed costs, discounted charges, and per diem payments. Patient services revenue is reported at the estimated net realizable amounts from patients, third-party payers, and others for services rendered, including estimated retroactive adjustments under reimbursement agreements with third-party payers. Retroactive adjustments are accrued on an estimated basis in the period the related services are rendered and adjusted in future periods as final settlements are determined.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Laws and regulations concerning government programs, including Medicare, are complex and subject to varying interpretation. As a result of investigations by governmental agencies, various health care organizations have received requests for information and notices regarding alleged noncompliance with those laws and regulations, which, in some instances, have resulted in organizations entering into significant settlement agreements. Compliance with such laws and regulations may also be subject to future government review and interpretation, as well as significant regulatory action, including fines, penalties, and potential exclusion from the related programs. There can be no assurance that regulatory authorities will not challenge MSAG's compliance with these laws and regulations, and it is not possible to determine the impact (if any) such claims or penalties would have upon MSAG. In addition, the contracts MSAG has with commercial payors also provide for retroactive audit and review of claims.

Generally, patients who are covered by third-party payors are responsible for related deductibles and coinsurance, which vary in amount. MSAG also provides services to uninsured patients, and offers those uninsured patients a discount, either by policy or law, from standard charges. MSAG estimates the transaction price for patients with deductibles and coinsurance and from those who are uninsured based on historical experience and current market conditions. The initial estimate of the transaction price is determined by reducing the standard charge by any contractual adjustments, discounts, and implicit price concessions. Subsequent changes to the estimate of the transaction price are generally recorded as adjustments to patient service revenue in the period of the change. Subsequent changes that are determined to be the result of an adverse change in the patient's ability to pay are recorded as bad debt expense. Bad debt expense for the years ended September 30, 2020 and 2019, was not significant.

Patients who meet MSAG's criteria for charity care are provided care without charge or at amounts less than established rates. Such amounts determined to qualify as charity care are not reported as revenue.

Other revenues – Other revenues include revenues from ancillary services related to guest rooms, guest meals, catering, physical therapy, occupational therapy, and speech therapy. Revenue is reported at the amount that reflects the consideration to which MSAG expects to be entitled to in exchange for providing services.

The composition of patient services revenue by primary payor for the years ended September 30 is as follows:

	2020	2019
Patient services revenue		
Medicare/HMO	\$ 251,989	\$ 449,961
Private	3,527,907	3,696,678
	<u>\$ 3,779,896</u>	<u>\$ 4,146,639</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Obligation to provide future services – MSAG annually calculates the present value of the costs of providing future services and use of facilities to current residents less future revenues such as monthly fees and compares the net amount (“estimated obligation”) with the balance of deferred revenue from advance fees. If the estimated obligation exceeds the deferred revenue from advance fees, a liability is recorded with the corresponding charge to income. For the years ended September 30, 2020 and 2019, a corresponding liability is not required. The present value of the obligation as of September 30, 2020 and 2019, was calculated using a discount rate of 5%.

MSAG estimates the cost of future services and the use of facilities in calculating the future obligation. The estimated amount of the obligation is based on actuarial assumptions such as life expectancy, projected future monthly resident fees, projected future operating costs and estimated future inflation rate. Actual results will differ from those estimates.

Concentration of credit risk – MSAG is a continuing care retirement community whose one campus is located on property in Claremont and Pomona, California. MSAG charges monthly fees on open accounts to its residents, all of whom live on campus.

MSAG has cash located in various institutions. The amount on deposit in one institution (MSAG’s operating accounts) periodically exceeded the federally insured limit of \$250,000. MSAG monitors the financial condition of these institutions on an ongoing basis and does not believe significant credit risk exists at this time.

Split-interest agreements – MSAG sponsors charitable programs that enable the donor to receive income for life and leave the remainder of the principal to MSAG and other charitable organizations. These are referred to as split-interest agreements and can take several different forms, such as a gift annuity, an annuity trust, or a unitrust.

MSAG accounts for these agreements separately from other assets and liabilities even though some assets are pooled for investment purposes. As of September 30, 2020 and 2019, investments managed by MSAG under these programs is approximately \$1,216,000 and \$1,305,000, respectively.

The terms and discount rates for these agreements are based upon the life expectancy of the donor(s) and present value tables provided by the Internal Revenue Service for determining the amount of the charitable contribution. Assets donated are recorded at their fair value at the date of the agreement. In subsequent years, the value of the contributions is actuarially adjusted to reflect the income earned on the assets, less distributions and the present value of the liability to the income beneficiaries. Payments of income to beneficiaries are principally funded by the investment income of the related investments.

Deferred revenue from advance fees – Fees paid by a resident upon entering into a life care or continuing care contract are recorded as deferred revenue. Such fees are amortized to income using the straight-line method over the estimated remaining life expectancy of the resident. The actuarial life expectancy tables used are based on MSAG’s historical experience. Upon the death of a resident, the unamortized portion of an advance fee is included in current year amortization. A portion of deferred revenue from advance fees is allocated to refundable fees as described below.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Refundable fees – MSAG is obligated to refund a portion of advance fees to residents who withdraw before six years. If a resident withdraws (or dies) within ninety days, the entire advance fee is refunded, less reasonable expenses. After ninety days, the amount to be refunded upon withdrawal is the advance fee, less 1.39% of the advance fee per month. The liability for refundable advance fees of \$150,000 as of September 30, 2020 and 2019, is estimated based upon MSAG's refund experience. As of September 30, 2020 and 2019, the maximum amount contractually refundable was approximately \$16,894,000 and \$18,883,000, respectively.

Income taxes – MSAG is exempt from federal income taxes under Internal Revenue Code Section 501(c)(3) and from California franchise taxes under Revenue and Taxation Code Section 23701d. Accordingly, no provision has been made for income taxes.

MSAG has evaluated its tax positions and the certainty as to whether those positions will be sustained in the event of an audit by taxing authorities at the federal and state levels. The primary tax positions evaluated are related to MSAG's continued qualification as a tax-exempt organization and whether there are unrelated business income activities conducted that would be taxable. Management has determined that all income tax positions are more-likely-than-not (>50%) of being sustained upon potential audit or examination; therefore, no disclosures of uncertain income tax positions are required.

Going concern – In connection with the preparation of the financial statements for the year ended September 30, 2020, management conducted an evaluation as to whether there were conditions or events, considered in the aggregate, which raised substantial doubts as to MSAG's ability to continue as a going concern within one year after the date the financial statements were issued, noting there did not appear to be evidence of substantial doubt of the entity's ability to continue as a going concern.

Recent accounting standards – In February 2016 the FASB issued Accounting Standards Update (ASU) 2016-02, *Leases (Topic 842)*, which increases transparency and comparability among entities by recognizing lease assets and lease liabilities on the statement of financial position and disclosing key information about leasing arrangements in the financial statements of lessees. This update is effective for MSAG for the fiscal year ending September 30, 2021, with early adoption permitted. Management is currently evaluating the impact of the provisions of ASU 2016-02 on the financial statements.

In November 2016 the FASB issued ASU 2016-18, *Statement of Cash Flows (Topic 230)*, which requires the statement of cash flows to explain the change during the period in the total cash, cash equivalents, and amounts generally described as restricted cash or restricted cash equivalents. MSAG adopted ASU 2016-18 retrospectively, effective October 1, 2019.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

The following table provides a reconciliation of cash and cash equivalents and restricted cash reported within the accompanying statements of financial position to the accompanying statements of cash flows as of September 30, 2020 and 2019:

	2020	2019
Cash and cash equivalents	\$ 2,764,683	\$ 8,086,519
Restricted cash and cash equivalents, included in assets limited as to use	821,257	2,765,854
Cash and cash equivalents and restricted cash and cash equivalents as reported in statements of cash flows	<u>\$ 3,585,940</u>	<u>\$ 10,852,373</u>

For the year ended September 30, 2019, cash and cash equivalents and restricted cash and cash equivalents, beginning of year, has been retrospectively adjusted to include \$2,765,854 of restricted cash and cash equivalents included in assets limited as to use.

Subsequent events – Subsequent events are events or transactions that occur after the statement of financial position date but before the financial statements are issued. MSAG recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the statement of financial position, including the estimates inherent in the process of preparing the financial statements. MSAG's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the statement of financial position but arose after the statement of financial position date and before the financial statements are issued.

MSAG has evaluated subsequent events through December 4, 2020, which is the date the financial statements were issued, and concluded that there were no additional events or transactions that need to be disclosed.

Note 3 – Provider Relief Funds (PRF)

On March 27, 2020, the United States Congress passed the Coronavirus Aid, Relief, and Economic Securities ("CARES") Act. The CARES Act included provisions for health care under the Provider Relief Fund. During April, May, and August 2020, MSAG received funds under the Provider Relief Fund, administered by the U.S. Department of Health & Human Services (HHS) of approximately \$808,000. MSAG was required to and did timely sign attestations agreeing to the terms and conditions of payment. Those terms and conditions include measures to prevent fraud and misuse. Documentation is required to ensure that these funds are to be used for healthcare-related expenses or lost revenue attributable to COVID-19, limitations of out of pocket payments from certain patients, and the acceptance of several other reporting and compliance requirements. It is noted that anti-fraud monitoring and auditing will be performed by HHS and the Office of the Inspector General. MSAG's management is currently determining its ability to comply with these terms and conditions. For the year ended September 30, 2020, MSAG has recognized approximately \$710,000 of the Provider Relief Fund on its statement of operations and changes in net assets as grant revenues. The remaining \$98,000 is included in deferred revenue from provider relief payments.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 4 – Investments

Investments, including amounts classified as assets limited as to use, are comprised of the following as of September 30:

	2020	2019
Short-term investments	\$ 2,369,035	\$ 2,435,562
Assets limited as to use	13,845,447	17,663,474
Assets limited by Board as to use	25,617,624	22,353,174
Investments	<u>25,234,260</u>	<u>14,719,771</u>
	<u>\$ 67,066,366</u>	<u>\$ 57,171,981</u>

Assets limited as to use are comprised of cash and investments held by the trustee under the Series 2019 bond indenture for the following purposes as of September 30:

	2020	2019
Assets held under Series 2019 Bond Indenture		
Project fund	\$ 13,845,447	\$ 16,385,036
Funded interest fund	-	1,184,945
Cost of issuance fund	<u>-</u>	<u>93,493</u>
	13,845,447	17,663,474
Less: amounts required to pay current liabilities	<u>-</u>	<u>395,364</u>
	<u>\$ 13,845,447</u>	<u>\$ 17,268,110</u>

Assets limited by Board as to use are not legally restricted as to use; however, it is the Board's current intention that they would be used for the following uses:

	2020	2019
Project reserve fund	\$ 16,299,957	\$ 13,601,094
Endowment for financial assistance	2,276,195	2,140,928
Endowment for general purposes	<u>7,041,472</u>	<u>6,611,152</u>
Assets limited by Board as to use	<u>\$ 25,617,624</u>	<u>\$ 22,353,174</u>

The Project reserve fund is for replacement of fixed assets and new projects as approved by the Board.

MSAG has board-designated endowment funds of approximately \$9,318,000 and \$8,752,000 as of September 30, 2020 and 2019, respectively. MSAG does not intend to spend from these board-designated endowment funds other than amounts appropriated for expenditure based on the policy described in Note 10; however, these amounts could be made available for other purposes if necessary at the discretion of the Board.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 4 – Investments (continued)

The following schedule summarizes investment return and its classification in the statements of operations and statements of changes in net assets for the year ended September 30, 2020:

	Without Donor Restriction	With Donor Restriction	Total
Interest and dividend income	\$ 674,272	\$ 278,931	\$ 953,203
External investment expense	(122,970)	-	(122,970)
Interest and dividend income, net	551,302	278,931	830,233
Realized gains, net	110,645	160,830	271,475
Unrealized gains, net	1,206,922	814,348	2,021,270
Realized and unrealized gains on investments, net	1,317,567	975,178	2,292,745
Investment return, net	<u>\$ 1,868,869</u>	<u>\$ 1,254,109</u>	<u>\$ 3,122,978</u>

The following schedule summarizes investment return and its classification in the statements of operations and statements of changes in net assets for the year ended September 30, 2019:

	Without Donor Restriction	With Donor Restriction	Total
Interest and dividend income	\$ 747,017	\$ 328,267	\$ 1,075,284
External investment expense	(84,829)	-	(84,829)
Interest and dividend income, net	662,188	328,267	990,455
Realized gains, net	81,503	163,155	244,658
Unrealized (losses) gains, net	617,735	20,858	638,593
Realized and unrealized (losses) gains on investments, net	699,238	184,013	883,251
Investment return, net	<u>\$ 1,361,426</u>	<u>\$ 512,280</u>	<u>\$ 1,873,706</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 5 – Fair Value Measurements

In accordance with ASC 820, MSAG classifies its investments based upon an established fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements). The three levels of the fair value hierarchy are described below:

Basis of Fair Value Measurement

Level 1 – Unadjusted quoted prices in active markets that are accessible at the measurement date for identical, unrestricted assets or liabilities.

Level 2 – Quoted prices in markets that are not considered to be active or financial instruments without quoted market prices, but for which all significant inputs are observable, either directly or indirectly.

Level 3 – Prices or valuations that require inputs that are both significant to the fair value measurement and unobservable.

A financial instrument's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement.

Investments – Investments held by MSAG consist of Level 1 exchange traded funds, bonds, and mutual funds. These investments have quoted prices in an active market and are therefore classified within Level 1 of the valuation hierarchy.

Split-interest agreements – Management determines the fair value measurement policy and procedures for charitable remainder trusts and charitable gift annuities. These policies and procedures are reassessed periodically to determine if the current valuation techniques are still appropriate; therefore, it is classified within Level 3 of the valuation hierarchy.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 5 – Fair Value Measurements (continued)

The following tables present the fair value measurements of assets and liabilities recognized in the accompanying statements of financial position measured at fair value on a recurring basis and the level within the ASC 820 fair value hierarchy in which the fair value measurements fall:

Assets at Fair Value as of September 30, 2020				
	Level 1	Level 2	Level 3	Total
Assets				
Cash and equivalents	\$ 821,257	\$ -	\$ -	\$ 821,257
Gold exchange traded fund	267,451	-	-	267,451
U.S. treasury notes	100,793	-	-	100,793
U.S. treasury bills	164,980	-	-	164,980
U.S. bonds	149,114	-	-	149,114
Corporate bonds	9,137,156	-	-	9,137,156
Asset backed securities	110,270	-	-	110,270
Commercial mortgage-based securities	734,471	-	-	734,471
Mutual funds				
Balanced fund	201,084	-	-	201,084
Bond funds	39,397,326	-	-	39,397,326
International funds	3,302,676	-	-	3,302,676
U.S. equity funds	12,679,788	-	-	12,679,788
Total assets	\$ 67,066,366	\$ -	\$ -	\$ 67,066,366
Liabilities				
Liabilities under split-interest agreements				
Obligations under gift annuities	\$ -	\$ -	\$ 342,053	\$ 342,053
Obligations under charitable remainder trusts	-	-	91,441	91,441
Total liabilities	\$ -	\$ -	\$ 433,494	\$ 433,494
Assets at Fair Value as of September 30, 2019				
	Level 1	Level 2	Level 3	Total
Assets				
Cash and equivalents	\$ 2,765,854	\$ -	\$ -	\$ 2,765,854
Gold exchange traded fund	258,993	-	-	258,993
U.S. treasury notes	149,651	-	-	149,651
U.S. treasury bills	1,794,204	-	-	1,794,204
U.S. bonds	257,130	-	-	257,130
Corporate bonds	7,709,781	-	-	7,709,781
Asset backed securities	6,299,176	-	-	6,299,176
Commercial mortgage-based securities	888,663	-	-	888,663
Mutual funds				
Balanced fund	198,683	-	-	198,683
Bond funds	24,731,732	-	-	24,731,732
International funds	3,083,468	-	-	3,083,468
U.S. equity funds	9,034,646	-	-	9,034,646
Total assets	\$ 57,171,981	\$ -	\$ -	\$ 57,171,981
Liabilities				
Liabilities under split-interest agreements				
Obligations under gift annuities	\$ -	\$ -	\$ 412,998	\$ 412,998
Obligations under charitable remainder trusts	-	-	96,336	96,336
Total liabilities	\$ -	\$ -	\$ 509,334	\$ 509,334

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 6 – Property, Plant, and Equipment

Property, plant, and equipment consist of the following as of September 30:

	2020	2019
Land improvements	\$ 7,055,547	\$ 7,036,797
Buildings and improvements	83,544,587	82,217,681
Furniture and equipment	12,923,732	12,599,681
Total depreciable assets	103,523,866	101,854,159
Less: accumulated depreciation	58,829,379	55,112,892
Depreciable assets, net	44,694,487	46,741,267
Land	2,195,371	2,195,371
Construction in progress	3,252,942	1,668,237
Total property and equipment, net	<u>\$ 50,142,800</u>	<u>\$ 50,604,875</u>

MSAG's depreciation expense totaled approximately \$3,967,000 and \$3,899,000 for the years ended September 30, 2020 and 2019, respectively.

Note 7 – Deferred Revenue from Advance Fees

A summary of the deferred revenue from advance fees for the years ended September 30 is as follows:

	2020	2019
BALANCE, beginning of year	\$ 37,873,022	\$ 34,471,411
New fees received	4,166,312	8,867,410
Amortization of advance fees	(4,755,776)	(5,008,101)
Advance fees refunded	(166,880)	(457,698)
BALANCE, end of year	<u>\$ 37,116,678</u>	<u>\$ 37,873,022</u>

Based on the past five years, actual refunds have averaged approximately \$188,000 per year for the potential refundable declining period.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 8 – Retirement Plan

MSAG maintains a retirement plan under Section 403(b) of the Internal Revenue Code, for substantially all full time employees. The plan is with United Church of Christ Pension Plan for Lay Employees. Employees who elect to participate are required to contribute, at a minimum, 3% (and may contribute up to 20%, subject to IRS dollar limitations) of their compensation to the plan. MSAG matches 100% of the employees' contribution, up to 10% of their compensation for each calendar year in which the employee completes at least 1,000 hours of service, and has completed two years of continuous service. MSAG's contributions to this plan totaled approximately \$675,000 and \$634,000 for the years ended September 30, 2020 and 2019, respectively.

Note 9 – Long-Term Debt

Long-term debt as of September 30, 2020 and 2019, is as follows:

	2020	2019
Series 2019 Bonds	\$ 31,610,000	\$ 31,610,000
Paycheck Protection Program loan	3,043,211	-
Add: Series 2019 bond premium	4,375,142	4,673,918
Less: unamortized debt issuance costs	<u>(877,035)</u>	<u>(907,540)</u>
Long-term debt, including current portion	38,151,318	35,376,378
Current portion of long-term debt	<u>(520,000)</u>	<u>(155,717)</u>
Long-term debt, net of current portion	<u><u>\$ 37,631,318</u></u>	<u><u>\$ 35,220,661</u></u>

On July 1, 2019, MSAG issued Series 2019 Bonds ("2019 Bonds"). The proceeds of the 2019 Bonds totaling \$31,610,000 were used to refinance all of the outstanding Series 2010 Bonds (\$16,375,000); reimburse MSAG for the payment of prior expenditures for planning the Wellness/Independent Living Expansion project; finance construction, improvement, renovation and equipping of the campus; pay a portion of the interest on the 2019 Bonds during the construction of described projects; and pay certain costs of issuance of the Bonds. The 2019 Bonds have terms of 30 years with fixed all in true interest rate of 3.98% and maximum annual debt service of \$2,039,400. Interest on the 2019 Bonds is payable on each May 15 and November 15, commencing November 15, 2019. The 2019 Bonds are collateralized by the first trust deed of MSAG and have certain covenant restrictions. In connection with the refinancing MSAG recognized a loss of approximately \$74,000 as of September 30, 2019.

In April 2020, MSAG was granted a loan in the aggregate amount of approximately \$3,042,000, pursuant to the Paycheck Protection Plan (PPP Loan), under Division A, Title I of the CARES Act, which was enacted March 27, 2020.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 9 – Long-Term Debt (continued)

The loan, which was in the form of a Note dated April 6, 2020, matures on April 6, 2022, and bears interest at 1%, payable monthly commencing on October 6, 2020. The Paycheck Protection Program Flexibility Act of 2020 extended the deferral period for payments until July 1, 2022. The loan is subject to partial forgiveness if MSAG uses all proceeds for eligible purposes, maintains certain employment levels, and maintains certain compensation levels in accordance with and subject to the CARES Act and the rules, regulations, and guidance.

The following table sets forth the principal payments due as of September 30:

Fiscal Year	Series 2019	PPP Loan	Total
2021	\$ 520,000	\$ -	\$ 520,000
2022	540,000	3,043,211	3,583,211
2023	560,000	-	560,000
2024	585,000	-	585,000
2025	605,000	-	605,000
Thereafter	28,800,000	-	28,800,000
Totals	<u>\$ 31,610,000</u>	<u>\$ 3,043,211</u>	<u>\$ 34,653,211</u>

Included in the current portion of long-term debt on the statement of financial position is future amortization of bond premiums of \$0 and \$156,000 for the years ended September 30, 2020 and 2019, respectively.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 10 – Net Assets with Donor Restriction

Net assets with donor restriction include the following time period or purpose restrictions as of September 30, 2020 and 2019:

	2020	2019
Subject to expenditure for a specific purpose		
Homeship care – resident support	\$ 1,832,647	\$ 1,892,474
Gardens Club	695,523	635,519
All other restrictions	585,928	400,533
Subject to appropriation and expenditure when a specified event occurs		
Split-interest agreements	782,130	795,281
Subject to spending policy and appropriation		
Investment in perpetuity (including amounts above original gift amount of \$7,016,746 and \$6,957,157, respectively), which once appropriated, is expendable to support		
Homeship care	393,326	369,452
Library	12,972	12,184
Wellness center	80,661	75,764
Assisted living program	91,490	85,937
Financial assistance upon entrance	142,349	133,709
General endowment	8,903,472	8,297,382
	<u>9,624,270</u>	<u>8,974,428</u>
Total net assets with donor restriction	<u>\$ 13,520,499</u>	<u>\$ 12,698,235</u>

Note 11 – Endowment Restricted Net Assets

The Board of Directors of MSAG follow the Uniform Prudent Management of Institutional Funds Act (UPMIFA) in determining the fair value of the donor-restricted assets. As a result, MSAG classifies as net assets with donor restriction (a) the original value of gifts donated to the permanent endowment, (b) the original value of subsequent gifts to the permanent endowment, and (c) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. MSAG's endowment spending policy provides the guidance for the distribution of the net appreciation of restricted endowments. At the beginning of each fiscal year, MSAG will distribute 4.5% of the average market value of the endowment fund for the twelve calendar quarters ended March 31 of the prior fiscal year. Endowment earning distributions are made in 12 equal monthly installments.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 11 – Endowment Restricted Net Assets (continued)

Endowment net asset composition by type of fund as of September 30, 2020, are as follows:

	Without Donor Restrictions	With Donor Restrictions	Total
Original donor-restricted gift amount and amounts required to be maintained in perpetuity by the donor	\$ -	\$ 7,016,745	\$ 7,016,745
Accumulated investment gains	2,868,291	2,607,525	5,475,816
Board-designated endowment funds	6,449,375	-	6,449,375
	<u>\$ 9,317,666</u>	<u>\$ 9,624,270</u>	<u>\$ 18,941,936</u>

Endowment net asset composition by type of fund as of September 30, 2019, are as follows:

	Without Donor Restrictions	With Donor Restrictions	Total
Original donor-restricted gift amount and amounts required to be maintained in perpetuity by the donor	\$ -	\$ 6,957,157	\$ 6,957,157
Accumulated investment gains	2,302,705	2,017,271	4,319,976
Board-designated endowment funds	6,449,375	-	6,449,375
	<u>\$ 8,752,080</u>	<u>\$ 8,974,428</u>	<u>\$ 17,726,508</u>

In accordance with UPMIFA, MSAG considers the following factors in making a determination to appropriate or accumulate donor-restricted assets:

1. The duration and preservation of the fund
2. The purposes of MSAG and the donor-restricted endowment fund
3. General economic conditions
4. The possible effect of inflation and deflation
5. The expected total return from income and the appreciation of investments
6. Other resources of MSAG
7. The investment policies of MSAG

Funds with deficiencies – From time to time, the fair value of assets associated with individual donor-restricted assets may fall below the level that the donor or UPMIFA requires MSAG to retain as a fund of perpetual duration. In accordance with U.S. GAAP, deficiencies of this nature are reported in net assets with donor restriction when applicable. There were no such deficiencies as of September 30, 2020 and 2019.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 11 – Endowment Restricted Net Assets (continued)

Return objectives, risk parameters, and strategies employed for achieving objectives – MSAG has adopted investment and spending policies for restricted assets that attempt to provide a predictable stream of funding to the program. Under this policy, as approved by the Board of Directors, the restricted assets are invested in a manner that is intended to preserve and protect the assets by earning an appropriate return on the investments.

Changes in endowment net assets for the fiscal year ended September 30, 2020, are as follows:

	Without Donor Restrictions	With Donor Restrictions	Total
Endowment net assets, beginning of year	\$ 8,752,080	\$ 8,974,428	\$ 17,726,508
Investment return, net	891,513	921,676	1,813,189
Contributions	-	59,589	59,589
Transfer for purpose restriction spending	-	(25,873)	(25,873)
Appropriation of endowment for expenditure	(325,927)	(305,550)	(631,477)
Endowment net assets, end of year	<u>\$ 9,317,666</u>	<u>\$ 9,624,270</u>	<u>\$ 18,941,936</u>

Changes in endowment net assets for the fiscal year ended September 30, 2019, are as follows:

	Without Donor Restrictions	With Donor Restrictions	Total
Endowment net assets, beginning of year	\$ 8,715,337	\$ 8,925,211	\$ 17,640,548
Investment return, net	353,795	363,207	717,002
Contributions	-	58,457	58,457
Transfer for purpose restriction spending	-	(25,868)	(25,868)
Appropriation for endowment for expenditure	(317,052)	(346,579)	(663,631)
Endowment net assets, end of year	<u>\$ 8,752,080</u>	<u>\$ 8,974,428</u>	<u>\$ 17,726,508</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 12 – Net Assets Released from Restriction

Net assets were released from restriction as follows for the fiscal years ended September 30, 2020 and 2019, respectively:

	2020	2019
Purpose restrictions accomplished		
Homeship care – resident support	\$ 388,266	\$ 377,691
Gardens club – employee appreciation	466,354	441,153
Physician clinic operations	56,535	56,967
General operations	61,426	27,812
Green fund – capital energy efficiency projects, net		71,502
General capital releases	145,669	259,745
	1,118,250	1,234,870
Release of appropriated endowment amounts without purpose restrictions	325,927	317,052
Release of appropriated endowment amounts with purpose restrictions	305,550	346,579
	Total restriction released	Total restriction released
	<u>\$ 1,749,727</u>	<u>\$ 1,898,501</u>

Note 13 – Self-Insured Workers' Compensation Insurance

On January 1, 2018, MSAG entered into a guaranteed cost policy insurance program to cover workers' compensation claims. Under the current policy, MSAG is covered up to \$1,000,000 on a per claim basis with no deductible.

Prior to January 2018, MSAG participated in a self-insured workers' compensation program through a nonprofit mutual benefit corporation ("Group") organized under the Nonprofit Mutual Benefit Corporation Law of California. Under this plan, MSAG was covered up to \$500,000 for the payment of medical, indemnity and legal costs of claims. MSAG was also covered by a supplemental policy for excess workers' compensation coverage that pays all statutory benefits in excess of a retention limit of \$500,000.

In accordance with ASU No. 2010–24, *Presentation of Insurance Claims and Related Insurance Recoveries*, MSAG discloses in the statements of financial position the estimated liability outstanding for workers' compensation claims as well as the related insurance recoveries. The estimated liability and insurance recoveries for workers' compensation claims amounted to approximately \$469,000 and \$720,000 for the years ended September 30, 2020 and 2019, respectively. Insurance recoveries receivable are included in other current assets on the statements of financial position.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 13 – Self-Insured Workers’ Compensation Insurance (continued)

As required by the State of California, Department of Industrial Relations, Office of Self-Insurance Plans (OSIP), the Group obtained a surety bond from an insurance carrier, which satisfy the financial security requirement for self-insured plans. As a condition from surety carriers in return for obtaining the surety bond posted by the program to OSIP, each participating member in the program is required to sign a General Agreement of Indemnity. In the event that the insurance carrier is called upon to satisfy any outstanding obligation of the Group, the insurance carrier has the right of indemnification from each member on a joint and several basis.

Note 14 – Functional Classification of Expenses

The financial statements report certain expense categories that are attributable to more than one independent living, assisted living, skilled nursing or support services function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function, including depreciation, interest and other costs, are allocated to a function based on a square footage or units of services basis.

Expenses related to providing these services for 2020 are as follows:

	Program Services			Support Services	Total
	Independent Living	Assisted Living	Skilled Nursing	General and Administrative	
Salaries and benefits	\$ 4,918,865	\$ 3,037,092	\$ 6,948,291	\$ 2,764,451	\$ 17,668,699
Contract services and professional fees	1,992,909	673,438	954,689	1,412,997	5,034,033
Utilities	878,850	130,373	102,806	12,395	1,124,424
Taxes and insurance	596,076	88,425	69,728	8,407	762,636
Interest	482,556	71,585	56,449	6,806	617,396
Other expense	173,860	66,776	52,358	317,453	610,447
Repairs and maintenance	262,229	38,866	32,540	3,695	337,330
Supplies and equipment	199,470	103,614	165,861	40,525	509,470
Medical supplies and equipment	145,955	105,516	266,554	68,685	586,710
Depreciation	2,686,537	401,192	804,054	75,274	3,967,057
Accretion of asset retirement obligation	5,211	773	610	74	6,668
Total operating expenses	<u>\$ 12,342,518</u>	<u>\$ 4,717,650</u>	<u>\$ 9,453,940</u>	<u>\$ 4,710,762</u>	<u>\$ 31,224,870</u>

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 14 – Functional Classification of Expenses (continued)

Expenses related to providing these services for 2019 are as follows:

	Program Services			Support Services	
	Independent Living	Assisted Living	Skilled Nursing	General and Administrative	Total
Salaries and benefits	\$ 4,507,312	\$ 2,874,576	\$ 6,568,370	\$ 2,820,938	\$ 16,771,196
Contract services and professional fees	1,963,877	650,281	793,026	1,389,286	4,796,470
Utilities	841,424	124,962	98,180	13,164	1,077,730
Taxes and insurance	538,086	79,912	62,785	8,419	689,202
Interest	531,494	78,933	62,016	8,317	680,760
Other expense	157,124	56,506	53,191	372,032	638,853
Repairs and maintenance	336,332	54,032	46,811	5,306	442,481
Supplies and equipment	173,134	73,454	122,957	54,807	424,352
Medical supplies and equipment	32,533	49,361	142,992	-	224,886
Depreciation	2,572,064	394,910	853,603	78,152	3,898,729
Accretion of asset retirement obligation	4,977	739	581	78	6,375
Total operating expenses	<u>\$ 11,658,357</u>	<u>\$ 4,437,666</u>	<u>\$ 8,804,512</u>	<u>\$ 4,750,499</u>	<u>\$ 29,651,034</u>

Note 15 – Liquidity and Availability

Financial assets available for general expenditure, that is, without donor restrictions limiting their use, within one year of September 30, 2020, comprise the following:

	2020	2019
Cash and cash equivalents	\$ 2,132,099	\$ 8,086,519
Short-term investments	2,369,035	2,435,562
Accounts receivable, net	534,781	983,885
	<u>\$ 5,035,915</u>	<u>\$ 11,505,966</u>

MSAG has structured its financial assets to be available as its general expenditures, liabilities, and other obligations come due. MSAG maximizes its earnings potential on liquid assets by investing in short-term instruments such as money market funds and short-term treasury instruments. MSAG has board-designated endowment funds of approximately \$9,318,000 and \$8,752,000 as of September 30, 2020 and 2019, respectively. MSAG does not intend to spend from this board-designated endowment other than amounts appropriated for expenditure based on the policy described in Note 10, however these amounts could be made available if necessary.

Congregational Homes, Inc. dba Mt. San Antonio Gardens

Notes to Financial Statements

Note 16 – Risks and Uncertainties

On March 11, 2020, the World Health Organization officially declared COVID-19 a pandemic. Management has been, and continues to be, focused on mitigation measures to address the challenges associated with Covid-19.

Starting in March 2020, resident move-ins were disrupted, reducing entrance fees, as well as resident care & service fees. Additionally, skilled nursing admissions were limited, initially as a mitigation measure, and subsequently as a requirement. In July 2020, move-ins were resumed, employing precautionary protocols. At this time, skilled nursing admissions are limited to contracted residents, with no outside admissions for short-term rehabilitation or custodial care.

Alongside revenue reductions, expenses have increased through the necessary purchase of equipment and supplies, additional staffing, and other precautionary efforts to address the challenges of COVID-19.

Evaluation and adaptation on the part of Management is an ongoing process, based on evolving information and COVID activity. MSAG is not in a position to accurately project the impacts on its operations and financial results, as the intensity and duration of the COVID-19 pandemic is uncertain.

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APPENDIX C

SUMMARY OF MASTER INDENTURE AND DEED OF TRUST

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APPENDIX C

SUMMARY OF MASTER INDENTURE AND DEED OF TRUST

Brief descriptions of the Master Indenture and the Deed of Trust are included hereafter in this Appendix C to the Official Statement. Such descriptions do not purport to be comprehensive or definitive. All references herein to the Master Indenture or the Deed of Trust are qualified in their entirety by reference to such document, copies of which are available for review prior to the issuance and delivery of the Bonds as described in the Official Statement.

DEFINITIONS OF CERTAIN TERMS

“2022 Project Start-Up Period” means the period commencing on the date of issuance of the Series 2022 Obligations and continuing until the earlier of the first full Fiscal Year after 2022 Project Stable Occupancy and the Fiscal Year ended September 30, 2026.

“2022 Project Stable Occupancy” means, with respect to the Series 2022 Bonds, (i) the percentage occupancy of the Independent Living Units in the Series 2022 Project is equal to or greater than 90%, calculated as of the last day of a fiscal quarter, and (ii) all the Series 2022B Bonds have been paid in full, and are no longer outstanding.

“Additional Indebtedness” means any Indebtedness incurred subsequent to the execution and delivery of the Master Indenture other than the Series 2019 Obligation.

“Affiliate” means a corporation, partnership, joint venture, association, limited liability company, business trust or similar entity (a) which controls, is controlled by or is under common control with, directly or indirectly, a Member; or (b) a majority of the members of the Directing Body of which are members of the Directing Body of a Member. For the purposes of this definition, control means with respect to: (a) a corporation having stock, the ownership, directly or indirectly, of more than 50% of the securities (as defined in Section 2(1) of the Securities Act of 1933, as amended) of any class or classes, the holders of which are ordinarily, in the absence of contingencies, entitled to elect a majority of the directors of such corporation; (b) a not for profit corporation not having stock, having the power to elect or appoint, directly or indirectly, a majority of the members of the Directing Body of such corporation; or (c) any other entity, the power to direct the management of such entity through the ownership of at least a majority of its voting securities or the right to designate or elect at least a majority of the members of its Directing Body, by contract or otherwise. For the purposes of this definition, “Directing Body” means with respect to: (a) a corporation having stock, such corporation’s board of directors and the owners, directly or indirectly, of more than 50% of the securities (as defined in Section 2(1) of the Securities Act of 1933, as amended) of any class or classes, the holders of which are ordinarily, in the absence of contingencies, entitled to elect a majority of the corporation’s directors (both of which groups shall be considered a Directing Body); (b) a not for profit corporation not having stock, such corporation’s members if the members have complete discretion to elect the corporation’s directors, or the corporation’s directors if the corporation’s members do not have such discretion; and (c) any other entity, its governing board or body. For the purposes of this definition, all

references to directors and members shall be deemed to include all entities performing the function of directors or members however denominated.

“Annual Debt Service” means for each Fiscal Year the aggregate amount (without duplication) of principal and interest scheduled to become due (either by maturity or by mandatory redemption) and sinking fund payments required to be paid in that Fiscal Year on all Long-Term Indebtedness, less any amounts on irrevocable deposit in escrow to be applied during that Fiscal Year to pay principal or interest on Long-Term Indebtedness; *provided* that (i) any annual fees payable in respect of a credit or liquidity facility issued to secure any series of Related Bonds, if any (other than annual fees to be paid from proceeds of a bond issue escrowed for such purpose) shall be included in the determination of Annual Debt Service; (ii) to the extent an Interest Rate Agreement has been entered into in connection with any particular Indebtedness, the actual debt service paid after the effect of payments made to or received from the provider of the Interest Rate Agreement shall be included in the determination of Annual Debt Service; (iii) all payments on Subordinated Indebtedness shall be excluded from Annual Debt Service; (iv) interest shall be excluded from Annual Debt Service to the extent that amounts have been irrevocably deposited in an escrow or other trust account to pay interest on Long-Term Indebtedness and (v) principal in the year of final maturity of any Indebtedness shall be excluded from the calculation of Annual Debt Service to the extent moneys were initially deposited and are on deposit as of the date of calculation in a debt service reserve fund which requires that moneys on deposit in the debt service reserve fund be used to pay such principal payment in the final year of such indebtedness. Whenever the term “Annual Debt Service” is used in the calculation of a Debt Service Coverage Ratio, any Guaranties shall be included only to the extent there was an actual payment on the Guaranty in such Fiscal Year.

“Authorized Representative” means, with respect to each Member, the chairperson of its Governing Body or its president, chief executive officer or its chief financial officer or any other person designated an authorized representative of such Member by a Certificate of such Member signed by the chairperson of its Governing Body or its president, chief executive officer or chief financial officer and filed with the Master Trustee.

“Balloon Indebtedness” means Long-Term Indebtedness of a Member, 25% or more of the principal of which becomes due (either by maturity or mandatory redemption) during any period of 12 consecutive months, which portion of the principal is not required by the documents governing such Indebtedness to be amortized by redemption prior to such date.

“Book Value” means, when used in connection with Principal Property or other Property of any Member, the value of such property, net of accumulated depreciation, as it is carried on the books of such person and in conformity with GAAP, and when used in connection with Principal Property or other Property of the Obligated Group, means the aggregate of the values so determined with respect to such Property of each Member determined in such a way that no portion of such value of Property of any Member is included more than once.

“Business Day” means a day of the year which is not (a) a Saturday, Sunday or legal holiday on which banking institutions located in the city of the Corporate Trust Office are authorized by law to close or (b) a day on which the New York Stock Exchange is closed.

“Capital Addition” means any additions, improvements, extensions, alterations, relocations, enlargements, expansions, modifications or replacement of or to the Facilities.

“Cash and Liquid Investments” means all unrestricted cash and liquid investment balances, including, without limitation, such amounts constituting board designated funds, whether classified as current or noncurrent assets, held by the Obligated Group for any of its corporate purposes, but excluding amounts drawn under lines of credit and amounts held by the Master Trustee, all as set forth in the most recent financial statements delivered under the Master Indenture. For purposes of calculations under the Master Indenture, (i) an unrestricted contribution from an Affiliate of a Member shall be treated as being made during the period of such calculation so long as the unrestricted contribution is made prior to the date the applicable Officer’s Certificate is required to be delivered with respect to such calculation, and (ii) any amounts on deposit in any debt service reserve fund created under the Master Indenture, a Related Bond Indenture or other Related Loan Document shall be excluded from the calculation of Cash and Liquid Investments for the purposes of determining the number of Days Cash on Hand of the Obligated Group.

“Certificate,” “Statement,” “Request,” “Consent” or “Order” of any Member or of the Master Trustee means, respectively, a written certificate, statement, request, consent or order signed in the name of such Member by its respective Authorized Representative or in the name of the Master Trustee by its Responsible Officer. Any such instrument and supporting opinions or certificates, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or certificate and the two or more so combined shall be read and construed as a single instrument. If and to the extent required by the Master Indenture, each such instrument shall include the statements provided for in the Master Indenture.

“Code” means the Internal Revenue Code of 1986, as amended, and the regulations issued thereunder, or any successor to the Internal Revenue Code of 1986.

“Completion Indebtedness” means any Long-Term Indebtedness incurred by any Member for the purpose of financing the completion of acquiring, constructing, renovating, refurbishing, equipping or improving any project for which Long-Term Indebtedness has previously been incurred in accordance with the provisions of the Master Indenture.

“Construction Consultant” means the architects, engineers, development consultant, supervising contractors or other qualified consultant selected by the Obligated Group or any Member in connection with the acquisition, installation, improvement or construction of a project or a portion thereof for which Long-Term Indebtedness has previously been incurred in accordance with the provisions of the Master Indenture, delivered to the Master Trustee in connection with the issuance of Completion Indebtedness.

“Corporate Trust Office” means the office of the Master Trustee at which its designated corporate trust business is conducted, which is located at the address set forth in the Master Indenture.

“Corporation” means The Congregational Homes, Inc., doing business as Mt. San Antonio Gardens, a California not for profit public benefit corporation, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under the Master Indenture.

“Current Value” means the aggregate sum of the Book Value of personal property plus the fair market value of the real property. The fair market value of real property shall be as reflected in the most recent written report of an appraiser selected by the Obligated Group Representative, which shall be an appraiser who is a member of the American Institute of Real Estate Appraisers (MAI), and the report shall be delivered to the Master Trustee (which report shall be dated not more than three years prior to the date as of which Current Value is to be calculated).

“Days Cash on Hand” means the amount determined by dividing (1) the Cash and Liquid Investments of the Obligated Group as of a particular date by (2) the quotient derived by dividing (a) the Obligated Group’s total operating expenses (less depreciation and amortization and other non-cash items, including, without limitation, losses on refinancing of debt, non-cash termination value of any hedging derivative, interest rate exchange or similar contract, and any one-time charges in connection with development projects that have been abandoned by the Obligated Group) for the six or twelve month period ending on each Liquidity Testing Date, as shown on the unaudited quarterly or audited financial statements delivered under the Master Indenture by (b) the number of days in such period.

“Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Income Available for Debt Service by Annual Debt Service.

“Deed of Trust” means the Deed of Trust With Assignment of Leases and Rents, Fixture Filing and Security Agreement dated as of July 1, 2019, as the same may be supplemented and amended from time to time, under which the Corporation has granted a lien on and security interest in its Facilities to Commonwealth Land Title Company, as trustor, to be held for the benefit of the Master Trustee.

“Electronic Means” means the following communications methods: e-mail, facsimile transmission, or secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Master Trustee or another method or system in connection with its services under the Master Indenture, specified by the Master Trustee as available for use in connection with its services under the Master Indenture,

“EMMA” means the Electronic Municipal Market Access system as described in the Securities Exchange Act of 1934, as amended by Release No. 59062, and maintained by the Municipal Securities Rulemaking Board for purposes of Rule 15c2-12, or any similar system that is acceptable to the Securities and Exchange Commission.

“Entrance Fee Fund” means the fund by that name established by the Master Indenture and described under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — ENTRANCE FEE FUND” below.

“Entrance Fees” means fees other than security deposits, monthly rentals or monthly service charges, paid to a Member by residents of living units for the purpose of obtaining the right to reside in those living units or to obtain a parking space including any refundable resident deposits described in any lease, Residency Agreement or similar agreement with respect to those living units or parking spaces, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement or a reservation agreement prior to the occupancy of the living unit or parking space covered by such lease, residency agreement or similar agreement (which amounts shall be included if and when occupancy occurs).

“Escrow Obligations” means: (1) direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the United States of America; (2) obligations, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following: Banks for Cooperatives, Federal Intermediate Credit Banks, Federal Home Loan Bank System, Export-Import Bank of the United States, Federal Financing Bank, Federal Land Banks, Government National Mortgage Association, Farmer’s Home Administration, Small Business Administration, Federal Home Loan Mortgage Corporation or Federal Housing Administration, (3) certificates which evidence ownership of the right to the payment of the principal of and interest on obligations described in clauses (1) and (2), *provided* that such obligations are held in the custody of a bank or trust company in a special account separate from the general assets of such custodian, and (4) obligations the interest on which is excluded from gross income for purposes of federal income taxation pursuant to Section 103 of the Code, and the timely payment of the principal of and interest on which is fully provided for by the deposit in trust or escrow of cash or obligations described in clauses (1), (2) or (3).

“Event of Default” means any of the events specified in the Master Indenture as summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — DEFAULTS AND REMEDIES — Events of Default” herein.

“Excluded Property” means any assets of “employee pension benefit plans” as defined in the Employee Retirement Income Security Act of 1974, as amended, maintained by or for the benefit of the Obligated Group, any moneys and securities held as an Entrance Fee or security deposit, or in a resident trust fund, for any resident of any Facility of a Member, any real estate parcels a Member of the Obligated Group may hold temporarily as a convenience to its Affiliates, and the real estate described in Exhibit C to the Master Indenture, as amended as provided in the Master Indenture from time to time, and all improvements, fixtures, tangible personal property and equipment located thereon and used in connection therewith. Except where explicitly set forth in the Master Indenture, neither Principal Property nor Property include Excluded Property.

“Extendable Indebtedness” means indebtedness which is repayable or subject to purchase at the option of the holder thereof prior to its stated maturity, but only to the extent of money available for the repayment or purchase therefor and not more frequently than once every year.

“Facilities” means all land, leasehold interests and buildings and all fixtures and equipment (as defined in the Uniform Commercial Code or equivalent statute in effect in the state

where such fixtures or equipment are located) of a Member. Facilities shall not include the land, leasehold interests, buildings, fixtures or equipment constituting Excluded Property.

“Fair Market Value,” when used in connection with Property, means the fair market value of such Property as determined by either (1) an appraisal of the portion of such Property which is real property made within three years of the date of determination by a member of the American Institute of Real Estate Appraisers and by an appraisal of the portion of such Property which is not real property made within three years of the date of determination by any expert, *provided* that any such appraisal shall be performed by a person or firm which (a) is in fact independent, (b) does not have any direct financial interest or any material indirect financial interest in any Member and (c) is not connected with any Member as an officer, employee, promoter, underwriter, trustee, partner, director or person performing similar functions or (2) a bona fide offer for the purchase of such Property made on an arm’s length basis within six months of the date of determination as established by an Officer’s Certificate.

“Financing” means a borrowing pursuant to any Obligation authorized by the Master Indenture.

“First Supplemental Master Indenture” means the First Supplemental Master Trust Indenture dated as of July 1, 2019, pursuant to which the Series 2019 Obligation was issued.

“Fiscal Year” means that period adopted by the Obligated Group Representative as its annual accounting period. Initially, the Fiscal Year is the period from October 1 of a year to September 30 of the next year.

“Fitch” means Fitch Ratings Inc., a corporation organized and existing under the laws of the State of New York, its successors and assigns, and if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Fitch” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative.

“GAAP” means generally accepted accounting principles in the United States as of the date of any calculation under the Master Indenture.

“Governing Body” means, when used with respect to any Member, its board of directors, board of trustees, or other board or group of individuals in which all of the powers of such Member are vested except for those powers reserved to the corporate membership thereof by the articles of incorporation or bylaws of such Member.

“Government Issuer” means any municipal corporation, political subdivision, state, territory or possession within the United States, or any constituted authority or agency or instrumentality of any of the foregoing empowered to issue obligations on behalf thereof, which obligations would constitute Related Bonds under the Master Indenture.

“Government Obligations” means securities which consist of (a) United States Government Obligations, or (b) evidences of a direct ownership in future interest or principal

payments on United States Government Obligations, which obligations are held in a custody account by a custodian pursuant to the terms of a custody agreement.

“Gross Revenue Fund” means the fund by that name created by the Master Indenture as described under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — PLEDGE OF GROSS REVENUES” herein.

“Gross Revenues” means all receipts, revenues, income and other money received by or on behalf of any Member of the Obligated Group from any source whatsoever, including, but not limited to, (a) revenues derived from the operation and possession of each Member’s Facilities, including without limitation, all accounts, Entrance Fees (earned and unearned), if any, monthly service fees and all other operating and non-operating revenues, (b) gifts, bequests, grants, donations and contributions, exclusive of any gifts, bequests, grants, donations or contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Required Payments or for the payment of operating expenses, and (c) revenues derived from (1) condemnation proceeds, (2) any gain on the sale or other disposition of property by a Member, (3) inventory and other tangible and intangible property, (4) private and governmental health care reimbursement programs and agreements, (5) insurance proceeds, (6) contract rights and other rights now or hereafter owned by each Member, and (7) realized investment earnings; and all of the foregoing, whether now existing or hereafter coming into existence and whether now owned or hereafter acquired by a Member.

“Guaranty” means all loan commitments and all obligations of any Member guaranteeing in any manner whatever, whether directly or indirectly, any obligation of any other Person which would, if such other Person were a Member, constitute Indebtedness.

“Holder” means the registered owner of any Obligation in registered form or the bearer of any Obligation in coupon form which is not registered or is registered to bearer.

“Income Available for Debt Service” means, with respect to the Obligated Group, as to any period of time, the excess of operating income (loss) (or, in the case of for-profit Members, net income after taxes) of the Obligated Group for such period, to which shall be added depreciation, amortization and interest, all as determined in accordance with GAAP, *provided* that no such determination shall include any gain or loss resulting from (i) the extinguishment of Indebtedness, (ii) any disposition of capital assets not made in the ordinary course of business or any revenue of an Affiliate which is not a Member, (iii) any one-time charge in connection with a development project that has been abandoned by the Obligated Group, (iv) unrealized gains or losses on securities or any gain or loss resulting from changes in the valuation of Indebtedness, investment securities or any Interest Rate Agreement and any non-cash termination value of any Interest Rate Agreement, (v) the application of changes in accounting principles, (vi) any other extraordinary or non-recurring losses or gains, or (vii) any other non-cash revenue or expense items. For purposes of this definition, revenues shall include (1) resident service revenues, (2) other operating revenues, (3) non-operating revenues or contributions (other than restricted contributions, income derived from the sale or other disposition of assets not in the ordinary course of business or any gain from the extinguishment of debt or other extraordinary item or earnings which constitute funded interest or earnings on amounts which are irrevocably deposited in escrow to pay the

principal of or interest on Indebtedness), and (4) Entrance Fees received minus (a) Entrance Fees amortized during such Fiscal Year, (b) Entrance Fees refunded to residents and (c) Initial Entrance Fees.

“Indebtedness” means, for any Person, (a) all Guaranties by such Person and (b) all liabilities (exclusive of reserves such as those established for deferred taxes or litigation) recorded or required to be recorded as such on the audited financial statements of such Person in accordance with GAAP and (c) all obligations for the payment of money incurred or assumed by such Person if incurred or assumed primarily to assure the repayment of money borrowed or credit extended, due and payable upon the occurrence of a condition precedent, or possession of Property as lessee; *provided* that Indebtedness shall not include Indebtedness of one Member to another Member, any Guaranty by any Member of Indebtedness of any other Member, the joint and several liability of any Member on Indebtedness issued by another Member, Interest Rate Agreements, operating leases or any obligation to repay moneys deposited by residents or others with a Member as security for or as prepayment of the cost of patient care or any rights of residents of life care, senior housing or similar facilities to Entrance Fees (whether amortized into income or not), endowment or similar funds deposited by or on behalf of such residents including, but not limited to, any deferred obligations for the refund or repayment of Entrance Fees, any rent, development, marketing, operating or other fees that have been deferred from the year in which they were originally due as a result of deferral or subordination.

“Independent Consultant” or *“Consultant”* means a firm (but not an individual) which (1) is in fact independent of and has no relationship with a Member other than as provided within the scope of a consulting engagement including, but not limited to, subparagraphs (2) and (3) below, (2) does not have any direct financial interest or any material indirect financial interest in any Member or any Affiliate and (3) is not connected with any Member or any Affiliate as an officer, employee, trustee, partner, director or person performing similar functions, and designated by the Obligated Group Representative, qualified to pass upon questions relating to the financial affairs of facilities of the type or types operated by the Obligated Group and having a favorable reputation for skill and experience in the financial affairs of such facilities it being understood that an arm’s length contract for the performance of consulting, accounting, investment banking or financial analysis or other services is not regarded as creating any such disqualifying interest or employee relationship.

“Independent Living Unit” means any independent living units of the Obligated Group.

“Industry Restrictions” means federal, state or other applicable governmental laws or regulations or general industry standards or general industry conditions placing restrictions and limitations on the rates, fees and charges to be fixed, charged and collected by the Members.

“Initial Entrance Fees” means Entrance Fees received upon the initial occupancy of any Independent Living Units (including any such fees collected for the purpose of obtaining a parking space) not previously occupied.

“Insurance Consultant” means a person or firm (which may be an insurance broker or agent of a Member) who is not, and no member, director, officer or employee of which is, an

officer or employee of any Member or any Affiliate, designated by the Obligated Group Representative and qualified to survey risks and to recommend insurance coverage for senior living facilities, health-related facilities and services and organizations engaged in such operations.

“Interest Rate Agreement” means an interest rate exchange, hedge or similar agreement, expressly identified in an Officer’s Certificate of the Obligated Group Representative delivered to the Master Trustee as being entered into in order to hedge the interest payable on all or a portion of any Indebtedness, which agreement may include, without limitation, an interest rate swap, a forward or futures contract or an option (*e.g.*, a call, put, cap, floor or collar) and which agreement does not constitute an obligation to repay money borrowed, credit extended or the equivalent thereof. An Interest Rate Agreement shall not constitute Indebtedness under the Master Indenture.

“Interim Indebtedness” means Long-Term Indebtedness with a final maturity 60 months or less from the date of incurrence, certified in an Officer’s Certificate filed with the Master Trustee to have been incurred in anticipation of refinancing with the proceeds of other Long-Term Indebtedness other than Interim Indebtedness prior to the final maturity thereof.

“Lien” means any mortgage or pledge of, or security interest in, or lien or encumbrance on, any Property, excluding Liens applicable to Property in which any Member has only a leasehold interest unless the Lien is with respect to such leasehold interest.

“Liquidity Requirement” shall have the meaning summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIQUIDITY COVENANT” herein.

“Liquidity Testing Date” shall have the meaning summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIQUIDITY COVENANT” herein.

“Long-Term Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Income Available for Debt Service by Maximum Annual Debt Service.

“Long-Term Indebtedness” means Indebtedness having an original maturity greater than one year or renewable at the option of a Member for a period greater than one year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each calendar year; *provided, however*, that fees and other amounts due to an Affiliate of a Member for money borrowed, credit extended or services rendered, the payment of which are deferred or not yet payable at the time of calculation and which are subordinate to payments due on all Obligations issued under the Master Indenture in accordance with written agreements between such Affiliate and a Member shall not be considered Long-Term Indebtedness.

“Master Indenture” means the Master Trust Indenture dated as of July 1, 2019, by and between the Corporation and the Master Trustee, as it may from time to time be amended or supplemented in accordance with the terms thereof.

“*Master Trustee*” means the Bank of New York Mellon Trust Company, N.A., a national banking association organized and existing under and by virtue of the laws of the United States of America and, subject to the limitations contained in the Master Indenture, any other corporation or association which may be co-trustee with the Master Trustee and any successor or successors to said trustee or co-trustee in the trusts created under the Master Indenture.

“*Maximum Annual Debt Service*” means the greatest amount of Annual Debt Service becoming due and payable in any Fiscal Year including the Fiscal Year in which the calculation is made or any subsequent Fiscal Year; *provided, however*, that for the purposes of computing Maximum Annual Debt Service:

(a) There shall be included in the Long-Term Indebtedness of any Member, 20% of the annual principal and interest requirements with respect to the debt of any Person subject to a Guaranty by such Member. If any Member has been required by reason of its Guaranty to make a payment in respect of another Person’s Indebtedness within the immediately preceding two Fiscal Years, all of the annual principal and interest requirements with respect to the debt subject to the Guaranty shall be included in Long-Term Indebtedness.

(b) For any Long-Term Indebtedness for which a binding commitment, letter of credit or other credit arrangement providing for the extension of such Indebtedness beyond its original maturity date exists, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, be made on the assumption that such Long-Term Indebtedness will be amortized in accordance with such credit arrangement.

(c) For any Balloon Indebtedness, Put Indebtedness and Interim Indebtedness, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, assume that such Long-Term Indebtedness is to be amortized over a period specified by the Obligated Group Representative up to 30 years in duration, beginning on the date of issuance or such earlier date as may be specified by the Obligated Group Representative, assuming level debt service and a rate of interest equal to the Projected Rate; *provided, however*, that if the Projected Rate cannot be determined the rate shall be assumed to be a fixed rate of interest equal to the most recently published Bond Buyer 30-year Revenue Bond Index plus 100 basis points (1.0% per annum) or a similar index.

(d) For any Extendable Indebtedness, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, assume that such Extendable Indebtedness is to be amortized over the period until its stated maturity, assuming level debt service and a fixed rate of interest equal to the current rate of interest on such Extendable Indebtedness.

(e) If interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula (including Balloon Indebtedness, Put Indebtedness and Interim Indebtedness, if the Obligated Group Representative does not choose to use paragraph (c) above, and including Extendable Indebtedness, if the Obligated Group Representative does

not choose to use paragraph (d) above), the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be a fixed rate of interest equal to the most recently published average of the Securities Industry and Financial Markets Association (SIFMA) Municipal Swap Index over the preceding ten years (or a similar index if unavailable), plus the cost of any credit enhancement fees and remarketing fees, if any.

(f) Anything in the Master Indenture to the contrary notwithstanding, any portion of any Indebtedness of any Member for which an Interest Rate Agreement has been obtained by such Member shall be deemed to bear interest for the period of time that such Interest Rate Agreement is in effect at a net rate which takes into account the interest payments made by such Member on such Indebtedness and the payments made or received by such Member on such Interest Rate Agreement; *provided* that the long-term credit rating of the provider of such Interest Rate Agreement (or any guarantor thereof) is in one of the three highest rating categories of any Rating Agency (without regard to any refinements of gradation of rating category by numerical modifier or otherwise) or is at least as high as that of the Obligated Group.

“Member” means each signatory to the Master Indenture, together with each other Person which is obligated under the Master Indenture to the extent and in accordance with the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — THE OBLIGATED GROUP — Membership in the Obligated Group”, from and after the date upon which such Person joins the Obligated Group, but excluding any member of the Obligated Group which withdraws from the Obligated Group to the extent and in accordance with the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — THE OBLIGATED GROUP — Withdrawal from the Obligated Group”, from and after the date of such withdrawal.

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Moody’s” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative.

“Mortgaged Property” means the Property subject to the Deed of Trust from time to time, including after-acquired Property.

“Non-Recourse Indebtedness” means any Indebtedness the liability for which is effectively limited to Property, Plant and Equipment (other than the land) and the income therefrom, with no recourse, directly or indirectly, to any other Property of any Member.

“Obligated Group” means all Members.

“Obligated Group Representative” means the Corporation or such other Member as may have been designated pursuant to written notice to the Master Trustee executed by all of the Members.

“Obligation” means any obligation of the Obligated Group issued under the Master Indenture, as a joint and several obligation of each Member, which may be in any form set forth in a Related Supplement, including, but not limited to, bonds, obligations, debentures, reimbursement agreements, loan agreements or leases. Reference to a “Series of Obligations” or to “Obligations of a Series” means Obligations or series of Obligations issued pursuant to a single Related Supplement.

“Obligation No. 1” means Direct Note Obligation No. 1 issued under the First Supplemental Master Indenture to secure the Series 2019 Bonds.

“Obligation No. 2” means Direct Note Obligation No. 2 issued to the Series 2022 Bond Trustee under the Second Supplemental Master Indenture to secure the Series 2022A Bonds.

“Obligation No. 3” means Direct Note Obligation No. 3 issued to the Series 2022 Bond Trustee under the Second Supplemental Master Indenture to secure the Series 2022B Bonds.

“Occupied” means (i) with respect to any Independent Living Unit, any unit for which a Residency Agreement has been executed, and related Entrance Fee has been paid or a promissory note for such Entrance Fee has been executed in accordance with such Residency Agreement and the occupant of such Independent Living Unit continues to reside therein or (ii) with respect to any other type of unit/bed, physical possession of such unit/bed by a resident or patient (other than a resident temporarily transferred from another unit/bed within the community) for which daily/monthly fees are currently charged and paid.

“Officer’s Certificate” means a certificate signed by the Authorized Representative of the Obligated Group Representative.

“Opinion of Bond Counsel” means an opinion of nationally recognized municipal bond counsel, which opinion may be based upon a ruling or rulings of the Internal Revenue Service.

“Opinion of Independent Counsel” means an opinion in writing signed by an attorney or firm of attorneys, duly admitted to practice law before the highest court of any state and, without limitation, may include independent legal counsel for the Obligated Group Representative.

“Outstanding,” when used with reference to Indebtedness, means, as of any date of determination, all Indebtedness theretofore issued or incurred and not paid and discharged other than (a) Obligations theretofore cancelled by the Master Trustee or delivered to the Master Trustee for cancellation, (b) Obligations in lieu of which other Obligations have been authenticated and delivered or have been paid pursuant to the provisions of a Related Supplement regarding mutilated, destroyed, lost or stolen Obligations unless proof satisfactory to the Master Trustee has been received that any such Obligation is held by a bona fide purchaser, (c) any Obligation held by any Member, and (d) Indebtedness deemed paid and no longer outstanding pursuant to the terms thereof; *provided, however,* that if two or more obligations which constitute Indebtedness represent the same underlying obligation (as when an Obligation secures an issue of Related Bonds and another Obligation secures repayment obligations to a bank under a letter of credit which secures such Related Bonds) for purposes of the various financial covenants contained in

the Master Indenture, but only for such purposes, only one of such Obligations shall be deemed Outstanding. Interest Rate Agreements shall not be deemed Outstanding as they are not deemed Indebtedness.

“Permitted Encumbrances” shall have the meaning and include:

(a) any Lien on the Property of any Member permitted under the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIMITATIONS ON ENCUMBRANCES” herein;

(b) the Deed of Trust and any other security agreement or document securing the Master Trustee or in connection with the issuance of the Series 2019 Bonds, and any other Lien on Property if such Lien equally and ratably secures all of the Obligations and only the Obligations;

(c) sale/saleback or lease/leaseback or similar arrangements in connection with the issuance of Related Bonds; and any leases, licenses or similar rights to use Property whereunder a Member is lessee, licensee or the equivalent thereof upon fair and reasonable terms no less favorable to the lessee or licensee than would be obtained in a comparable arm’s-length transaction;

(d) Residency Agreements and leases, licenses or similar use agreements which relate to Property of the Obligated Group which is of a type that is customarily the subject of such leases, licenses or use agreements such as office space for physicians and educational institutions, food service facilities, gift shops, commercial, beauty shop, banking, parking for residents, other similar specialty services, pharmacy and similar departments or employee rental apartments;

(e) Liens arising by reason of good faith deposits by any Member in the ordinary course of business (for other than borrowed money), deposits by any Member to secure public or statutory obligations or deposits to secure, or in lieu of, surety, stay or appeal bonds, and deposits as security for the payment of taxes or assessments or other similar charges;

(f) any Lien arising by reason of deposits with, or the giving of any form of security to, any governmental regulation as a condition to the transaction of any business or the exercise of any privilege or license, or to enable any Member to maintain self-insurance or to participate in any funds established to cover any insurance risks or in connection with worker’s compensation, unemployment insurance, pension or profit-sharing plans or other similar social security plans, or to share in the privileges or benefits required for companies participating in such arrangements;

(g) any judgment Lien against any Member so long as such judgment is being contested in good faith and execution thereon is stayed;

(h) rights reserved to or vested in any municipality or public authority by the terms of any right, power, franchise, grant, license, permit or provision of law affecting any Property, to:

(1) terminate such right, power, franchise, grant, license, or permit, *provided*, that the exercise of such right would not materially impair the use of such Property or materially and adversely affect the value thereof, or

(2) purchase, condemn appropriate or recapture, or designate a purchaser of, the Property or any portion thereof;

(i) any Liens on any of the Property for taxes, assessments, levies, fees, water and sewer rents, and other governmental and similar charges and any Liens of mechanics, materialmen, laborers, suppliers or vendors for work or services performed or materials furnished in connection with such Property, which are not due and payable or which are not delinquent or which, the amount or validity of which, are being contested and execution thereon is stayed or, with respect to Liens of mechanics, materialmen, laborers, suppliers or vendors, have been due for less than 90 days;

(j) utility, access and other easements, rights-of-way, servitudes, restrictions, oil, gas, or other mineral reservations and other minor defects, encumbrances, and irregularities in the title to any of the Property which do not materially impair the use of such Property or materially and adversely affect the value thereof;

(k) rights reserved to or vested in any municipality or public authority to control or regulate any of the Property or to use such Property in any manner, which rights do not materially impair the use of such Property or materially and adversely affect the value thereof, to the extent that it affects title to any Property;

(l) landlord's Liens;

(m) Liens on moneys deposited with any Member as security for or as prepayment for the cost of patient care;

(n) Liens on Property received by any Member through gifts, grants or bequests, such Liens being due to restrictions on such gifts, grants or bequests or the income thereon;

(o) Liens on Property due to rights of third-party payors for recoupment of amounts paid to any Member;

(p) purchase money security interest; security interest existing on any of the Property prior to the time of its acquisition through purchase, merger, consolidation or otherwise, or placed upon Property to secure a portion of the purchase price thereof; or lessee's interest in leases required to be capitalized in accordance with GAAP;

(q) any Lien described in Exhibit A to the Master Indenture (consisting of Liens disclosed on the title insurance report delivered in connection with the issuance of the Series 2019 Bonds) which is existing on the date of execution thereof provided that no such Lien (or the amount of Indebtedness secured thereby) may be increased, extended, renewed or modified to apply to any Property of any Member not subject to such Lien on such date, unless such Lien as so extended, renewed or modified otherwise qualifies as a Permitted Encumbrance under the Master Indenture;

(r) Liens on funds or securities posted in a collateral account held by a counterparty to an Interest Rate Agreement, or by a third party custodian therefor; and

(s) Liens on Excluded Property.

“Person” means any natural person, firm, joint venture, association, partnership, business trust, corporation, limited liability company, public body, agency or political subdivision thereof or any other similar entity.

“Primary Obligor” means that Member or those Members primarily obligated to make Required Payments with respect to any particular Obligation as set forth in a Related Supplement.

“Principal Property” means that portion of the Property, Plant and Equipment, wherever situated and whether now owned or hereafter acquired that: (a) is material and integral to or a material and integral part of the primary operations of a Member, and (b) is so designated pursuant to the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — DESIGNATION OF PRINCIPAL PROPERTY” below.

“Projected Rate” means the projected yield at par of an obligation as set forth in the report of an Independent Consultant. Such report shall state that in determining the Projected Rate such Independent Consultant reviewed the yield evaluations at par of no fewer than three obligations selected by such Independent Consultant, the interest on which is entitled to the exemption from federal income tax afforded by Section 103(a) of the Code or any successor thereto (or, if it is not expected that it will be reasonably possible to issue such tax-exempt obligations, then obligations the interest on which is subject to federal income taxation) which obligations such Independent Consultant states in its report are reasonable comparators for utilizing in developing such Projected Rate and which obligations: (i) were outstanding on a date selected by the Independent Consultant which date so selected occurred during the 90-day period preceding the date of the calculation utilizing the Projected Rate in question, (ii) to the extent practicable, are obligations of Persons engaged in operations similar to those of the Obligated Group and having a credit rating similar to that of the Obligated Group, (iii) are not entitled to the benefits of any credit enhancement, including, without limitation, any letter or line of credit or insurance policy, and (iv) to the extent practicable, have a remaining term and amortization schedule substantially the same as the obligation with respect to which such Projected Rate is being developed.

“Property” means any and all rights, titles and interests in and to any and all assets of the Obligated Group, whether real or personal, tangible or intangible and wherever situated, as shown

on the most recent audited financial statements for the Obligated Group for the most recent Fiscal Year for which they are available. Property shall not include the land, leasehold interests, buildings, fixtures or equipment constituting Excluded Property.

“Property, Plant and Equipment” means any Property of the Obligated Group which constitutes property, plant and equipment in accordance with GAAP.

“Put Indebtedness” means Long-Term Indebtedness which is (a) payable or required to be purchased or redeemed by or on behalf of the underlying obligor, at the option of the owner thereof, prior to its stated maturity date or (b) payable or required to be purchased or redeemed from the owner by or on behalf of the underlying obligor (other than at the option of the owner) prior to its stated maturity date, other than pursuant to any mandatory sinking fund or other similar fund, other than by reason of an event of taxability with respect to any Related Bond or other than by reason of acceleration upon the occurrence of an Event of Default.

“Qualified Investments” means and includes any of the following:

- (a) Government Obligations;
- (b) debt obligations which are (i) issued by any state or political subdivision thereof or any agency or instrumentality of such state or political subdivision, and (ii) at the time of purchase, rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency;
- (c) any bond, debenture, note, participation certificate or other similar obligation issued by a government sponsored agency (such as the Federal National Mortgage Association, the Federal Home Loan Bank System, the Federal Home Loan Mortgage Corporation or the Federal Farm Credit Bank) which is either (i) at the time of purchase rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, or (ii) backed by the full faith and credit of the United States of America;
- (d) U.S. denominated deposit accounts (including, but not limited to, demand deposits, time deposits, other deposit products, trust funds, trust accounts, interest bearing deposits, overnight deposits and interest bearing money market accounts), certificates of deposit (including, but not limited to, those placed by a third party pursuant to a separate agreement with the Obligated Group Representative and the Master Trustee) and banker’s acceptances of any bank, trust company, or savings and loan association, including the Master Trustee or its affiliates, which have a rating on their short-term certificates of deposit on the date of purchase in one of the two highest short-term rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, and which mature not more than 365 days after the date of purchase;

(e) commercial paper which is rated at the time of purchase in one of the two highest short-term rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, and which matures not more than 270 days after the date of purchase;

(f) bonds, notes, debentures or other evidences of indebtedness issued or guaranteed by a corporation which are, at the time of purchase, rated by any Rating Agency in any of the three highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise);

(g) investment agreements with banks that at the time such agreement is executed are rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency or investment agreements with non-bank financial institutions, *provided* that (1) all of the unsecured, direct long-term debt of either the non-bank financial institution or the related guarantor of such non-bank financial institution is rated by any Rating Agency at the time such agreement is executed in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) for obligations of that nature; or (2) if such non-bank financial institution and any related guarantor have no outstanding long-term debt that is rated, all of the short-term debt of either the non-bank financial institution or the related guarantor of such non-bank financial institution is rated by any Rating Agency in one of the two highest rating categories (without regard to any refinement or gradation of the rating category by numerical modifier or otherwise) assigned to short term indebtedness by any Rating Agency. If such non-bank financial institution and any guarantor do not have any short-term or long-term debt, but do have a rating in one of the two highest rating categories assigned by any Rating Agency (without regard to any refinement or gradation of rating category by numerical modifier or otherwise), then investment agreements with such non-bank financial institutions will be permitted;

(h) asset-backed securities, commercial mortgage-backed securities, or mortgage-backed securities which are, at the time of purchase, rated by any Rating Agency in any of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise);

(i) repurchase agreements with respect to and secured by Government Obligations or by obligations described in clauses (b) and (c) above, which agreements may be entered into with a bank (including without limitation a Related Bond Trustee or the Master Trustee or their affiliates), a trust company, financial services firm or a broker dealer which is a member of the Securities Investors Protection Corporation, *provided* that (i) the Master Trustee or a custodial agent of the Master Trustee has possession of the collateral and that the collateral is, to the knowledge of the Master Trustee (without investigation), free and clear of third party claims, (ii) a master repurchase agreement or specific written repurchase agreement governs the transaction, (iii) the collateral securities are valued no less frequently than monthly, (iv) the fair market value of the collateral securities in relation to the amount of the repurchase obligation, including principal and

interest, is equal to at least 103%, and (v) such obligations must be held (as applicable) in the custody of the Master Trustee or Master Trustee's agent;

(j) investments in a money market mutual fund, rated (at the time of purchase) in the highest rating category for this type of investment by any Rating Agency, including those for which the Master Trustee or a Related Bond Trustee or one of their affiliates receives and retains a fee for services provided to the fund, whether as a custodian, transfer agent, investment advisor or otherwise; and

(k) shares in any investment company, money market mutual fund, fixed income mutual fund, Exchange Traded Fund or other collective investment fund registered under the Federal Investment Company Act of 1940, whose shares are registered under the Securities Act of 1933, and whose investments consist solely of Qualified Investments as defined in paragraphs (a) through (j) above, including money market mutual funds from which the Master Trustee, Related Bond Trustee or their affiliates derive a fee for investment advisory, custodial, transfer agency or other services to the fund.

The Master Trustee shall be entitled to assume that any investment which at the time of purchase is a Qualified Investment remains a Qualified Investment thereafter, absent receipt of written notice to the contrary.

For the purposes of this definition, obligations issued or held in the name of the Master Trustee (or in the name of a Government Issuer and payable to the Master Trustee) in book-entry form on the books of the Department of Treasury of the United States shall be deemed to be deposited with the Master Trustee, as applicable.

"Rating Agency" means Moody's, Standard & Poor's or Fitch, and their respective successors and assigns.

"Related Bond Indenture" means any indenture, trust agreement, bond resolution or other comparable instrument pursuant to which a series of Related Bonds are issued or executed and delivered.

"Related Bond Issuer" means the Government Issuer of any issue of Related Bonds, including the California Municipal Finance Authority.

"Related Bond Trustee" means the trustee and its successors in the trusts created under any Related Bond Indenture, and if there is no such trustee, means the Related Bond Issuer.

"Related Bonds" means any revenue bonds, certificates of participation or other obligations issued or executed and delivered by any Government Issuer, pursuant to a single Related Bond Indenture, the proceeds of which are loaned or otherwise made available to a Member in consideration of the execution, authentication and delivery of an Obligation or Obligations to or for the order of such Government Issuer.

“Related Loan Document” means any document or documents (including, without limitation, any loan agreement, lease, sublease or installment sales contract) pursuant to which any proceeds of any Related Bonds are advanced to any Member (or any Property financed or refinanced with such proceeds is loaned, leased, subleased or sold to a Member).

“Related Supplement” means an indenture supplemental to, and authorized and executed pursuant to the terms of, the Master Indenture.

“Required Information Recipients” means the Master Trustee, B.C. Ziegler and Company, as the initial purchaser of the Series 2019 Bonds, The California Municipal Finance Authority (for so long as the Series 2019 Bonds are outstanding), each Related Bond Trustee (including the Series 2022 Bond Trustee), EMMA or any other nationally recognized municipal securities information repositories identified by the Securities and Exchange Commission.

“Required Payment” means any payment whether at maturity, by acceleration, upon proceeding for redemption or otherwise, required to be made by any Member under the Master Indenture, the First Supplemental Master Indenture, any Related Supplement, any Obligation or otherwise in connection with a Financing, including, but not limited to, the payment of principal, interest and premium and lease payments.

“Residency Agreement” means any written agreement or contract, as amended from time to time, between a Member and a resident or potential resident of a Facility giving the resident certain rights of occupancy in the Facility, including without limitation, independent living units, assisted living units, memory support units, nursing beds or specialty care beds and providing for certain services to such resident including any reservation agreement or other agreement or contract reserving rights of occupancy.

“Responsible Officer” means, with respect to the Master Trustee, the president, any vice president, any assistant vice president, senior associate, associate or any other officer of the Master Trustee customarily performing functions similar to those performed by the persons above-designated or to whom any corporate trust matter is referred because of such person’s knowledge of and familiarity with the particular subject. With respect to the Corporation, “Responsible Officer” means the chairperson, president, chief executive officer, chief financial officer or other authorized officers of such entity.

“Rule 15c2-12” means Rule 15c2-12 of the Securities and Exchange Commission promulgated under the Securities Exchange Act of 1934, as amended, or any subsequent rule replacing such Rule.

“Second Supplemental Master Indenture” means the Second Supplemental Master Trust Indenture dated as of February 1, 2022, pursuant to which the Series 2022 Obligations are issued.

“Series 2019 Bonds” means the California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project) Series 2019.

“Series 2019 Obligation” means Obligation No. 1.

“Series 2022 Bond Indenture” means the Bond Trust Indenture dated as of February 1, 2022 between the California Municipal Finance Authority and the Series 2022 Bond Trustee.

“Series 2022 Bond Trustee” means The Bank of New York Mellon Trust Company, N.A.

“Series 2022 Bonds” means, collectively, the Series 2022A Bonds and the Series 2022B Bonds.

“Series 2022 Obligations” means the Series 2022A Obligation and the Series 2022B Obligation.

“Series 2022 Project” has the meaning assigned in the Series 2022 Bond Indenture.

“Series 2022A Bonds” means the California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project) Series 2022A issued under the Series 2022 Bond Indenture.

“Series 2022A Obligation” means Obligation No. 2.

“Series 2022B Bonds” means the California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project) Series 2022B-1 Tax Exempt Mandatory Paydown Securities (TEMPS-85SM) and the California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project) Series 2022B-2 Tax Exempt Mandatory Paydown Securities (TEMPS-50SM) issued under the Series 2022 Bond Indenture.

“Series 2022B Obligation” means Obligation No. 3.

“Short-Term Indebtedness” means all Indebtedness having an original maturity less than or equal to one year and not renewable at the option of a Member for a term greater than one year including any Indebtedness incurred in accordance with the provisions of the Master Indenture summarized in paragraph (d) under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIMITATIONS ON ADDITIONAL INDEBTEDNESS.”

“Stable Occupancy” means, with respect to any Capital Addition financed with Indebtedness for which the Master Trustee was furnished an Independent Consultant’s report pursuant to the Master Indenture (or, if no Independent Consultant’s report was required by the Master Indenture, an Officer’s Certificate), the percentage of Occupied units or beds in that Capital Addition at the level reflected as substantially at the sustainable capacity for which such Capital Addition was designed or “stabilized occupancy” for that Capital Addition in the Independent Consultant’s report or the Officer’s Certificate.

“Standard & Poor’s” or *“S&P”* means S&P Global Ratings, a corporation organized and existing under the laws of the State of New York, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Standard & Poor’s” or “S&P” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative.

“Subordinated Indebtedness” means Indebtedness incurred by a Member which by its terms is specifically subordinated with respect to any security therefor and with respect to right of payment to all Outstanding Obligations and to all other obligations of a Member not containing such subordination provisions.

“Tax-Exempt Organization” means a Person organized under the laws of the United States of America or any state thereof which is an organization described in Section 501(c)(3) and exempt from federal income taxation under Section 501(a) of the Code or corresponding provisions of federal income tax laws from time to time in effect.

“Total Operating Revenues” means the sum of total unrestricted operating revenues as shown on the consolidated or combined financial statements of the Obligated Group, determined in accordance with GAAP.

“United States Government Obligations” means non-callable direct obligations of, or obligations the timely payment of the principal of and interest on which is fully guaranteed by, the United States of America, including obligations issued or held in book entry form on the books of the Department of Treasury of the United States of America.

“Written Request” means a request, in writing, executed by an Authorized Representative of the Obligated Group Representative.

SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE

GENERAL

The Master Indenture authorizes the Corporation, as Obligated Group Representative, and each Member to issue Obligations which are full and unlimited obligations of the Obligated Group. The Obligations are joint and several obligations of the current and future Members of the Obligated Group.

Set forth below is a summary of certain provisions of the Master Indenture. The summary is not comprehensive and reference is made to the Master Indenture for a complete recital of its terms.

AUTHORIZATION OF OBLIGATIONS

Each Member authorizes to be issued from time to time Obligations or series of Obligations, without limitation as to amount, except as provided in the Master Indenture or as may be limited by law, and subject to the terms, conditions and limitations established under the Master Indenture and in any Related Supplement.

PAYMENT OF PRINCIPAL AND INTEREST

Each Member jointly and severally covenants and agrees to pay or cause to be paid promptly all Required Payments at the place, on the dates and in the manner provided in the Master Indenture, in any Related Supplement and in the Obligations whether at maturity, upon proceedings for redemption, by acceleration or otherwise, and that each Member shall faithfully observe and perform all of the conditions, covenants and requirements of the Master Indenture, any Related Supplement and any Obligation, and that the time of such payment and performance is of the essence concerning the obligations under the Master Indenture.

PLEDGE OF GROSS REVENUES

Each Member covenants and agrees in the Master Indenture that, so long as any Obligation remains Outstanding, all of the Gross Revenues of the Obligated Group shall be deposited as soon as practicable upon receipt in a fund (in one or more accounts at such banking institution or institutions as the Obligated Group Representative shall from time to time designate in writing to the Master Trustee for such purpose (the “*Depository Bank(s)*”)) designated as the “Gross Revenue Fund” which the Members shall establish and maintain, subject to the provisions of the Master Indenture summarized in the next paragraph provided, that the accounts for which a depository account control agreement is executed at the time of delivery of the Master Indenture shall be deemed to be the Gross Revenue Fund until another account(s) is designated by the Obligated Group Representative. Subject only to the provisions of the Master Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Master Indenture, each Member pledges, and to the extent permitted by law, grants a security interest to the Master Trustee in, the Gross Revenue Fund and all of the Gross Revenues of the Obligated Group to secure the payment of Required Payments and the performance by the Members of their other obligations under the Master Indenture; *provided, however*, that each Member may create, assume or suffer to exist Permitted Encumbrances. Each Member shall execute a depository account control agreement with each Depository Bank, and shall execute and deliver such other documents as may be necessary in order to perfect or maintain as perfected such security interest or give public notice thereof.

Amounts in the Gross Revenue Fund may be used and withdrawn by any Member at any time for any lawful purpose, except as provided in the Master Indenture. If any Member is delinquent for more than one Business Day in the payment of any Required Payment with respect to any Obligation issued pursuant to a Related Supplement, the Master Trustee shall notify the Obligated Group Representative and the Depository Bank(s) of such delinquency, and, unless such Required Payment is paid, or provision for payment is duly made in a manner satisfactory to the Master Trustee in its sole discretion, within five days after receipt of such notice, the Obligated Group Representative or the appropriate Member shall cause the Depository Bank(s) to transfer the Gross Revenue Fund to the name and credit of the Master Trustee or otherwise administer the Gross Revenue Fund as provided in any deposit account control agreement or similar document. The Master Trustee shall continue to hold the Gross Revenue Fund until amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Required Payments in default and all other Events of Default actually known to a Responsible Officer of the Master Trustee shall have been made good or cured to the satisfaction of the Master Trustee in its sole

discretion or provision deemed by the Master Trustee in its sole discretion to be adequate shall have been made therefor, whereupon the Gross Revenue Fund (except for the Gross Revenues required to make such payments or cure such defaults) shall be returned to the name and credit of the appropriate Members. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Master Trustee shall use and withdraw amounts in said fund from time to time to make Required Payments as such payments become due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments due on any date, then to the payment of debt service on Obligations ratably, without any discrimination or preference, and to such other payments in the order which the Master Trustee, in its discretion, shall determine to be in the best interests of the Holders, without discrimination or preference. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Members shall not be entitled to use or withdraw any of the Gross Revenues of the Obligated Group unless and to the extent that the Master Trustee at its sole discretion so directs for the payment of current or past due operating expenses of the Members; *provided, however*, that the Members shall be entitled to use or withdraw any amounts in the Gross Revenue Fund which do not constitute Gross Revenues of the Obligated Group. Each Member agrees to execute and deliver all instruments as may be required to implement the provisions of the Master Indenture summarized under this caption. Each Member further agrees that a failure to comply with the terms of the Master Indenture summarized under this caption shall cause irreparable harm to the Holders and shall entitle the Master Trustee, with or without notice, to take immediate action to compel the specific performance of the obligations of the Members as provided in the Master Indenture.

THE OBLIGATED GROUP

Membership in the Obligated Group. Additional Members may be added to the Obligated Group from time to time, *provided* that prior to such addition, the Master Trustee receives:

(a) a copy of a resolution of the proposed new Member which authorizes the execution and delivery of the Master Indenture or a Related Supplement and compliance with the terms of the Master Indenture;

(b) a Related Supplement pursuant to which the proposed new Member: (1) agrees to become a Member; (2) agrees to be bound by the terms and restrictions imposed by the Master Indenture and Indebtedness represented by the Obligations; (3) irrevocably appoints the Obligated Group Representative as its agent and attorney-in-fact and grants to the Obligated Group Representative full power to execute Related Supplements authorizing the issuance of Obligations or series of Obligations; (4) designates any or all of its Property as Principal Property consistent with the determination of the Governing Body of the Obligated Group Representative that such Property is Principal Property, pursuant to the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — DESIGNATION OF PRINCIPAL PROPERTY” below; and (5) designates any Property as Excluded Property pursuant to the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — ADDITIONS TO EXCLUDED PROPERTY” below;

(c) an Opinion of Independent Counsel to the proposed new Member, which opinion states that the proposed new Member has taken all necessary action to become a Member, and upon execution of a Related Supplement, such proposed new Member will be bound by the terms of the Master Indenture and to the effect that (x) the instrument described in paragraph (b) above has been duly authorized, executed and delivered and constitutes a legal, valid and binding agreement of proposed new Member, enforceable in accordance with its terms, subject to customary exceptions for bankruptcy, insolvency and other laws generally affecting enforcement of creditors' rights and application of general principles of equity and (y) the addition of such proposed new Member to the Obligated Group will not adversely affect the status as a Tax-Exempt Organization of any Member which otherwise has such status;

(d) an Officer's Certificate (i) showing that the Obligated Group could issue at least one dollar of Long-Term Indebtedness pursuant to the provisions of the Master Indenture summarized in clauses (a)(2), (a)(3) or (a)(4) under the heading "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIMITATIONS ON ADDITIONAL INDEBTEDNESS", immediately following the addition of such Member to the Obligated Group, or (ii)(a) demonstrating that an Event of Default under the Master Indenture will be cured if the new Member becomes a Member of the Obligated Group; or (b) demonstrating that the Long-Term Debt Service Coverage Ratio of the Obligated Group for the most recent Fiscal Year for which audited financial statements are available would have been equal to or greater than 1.20:1 assuming entry of the new Member occurred at the beginning of the first of such two most recent Fiscal Years; and (iii) demonstrating that immediately after the addition of such Member to the Obligated Group, the Obligated Group (a) would be in compliance with the provisions of the Master Indenture summarized under the heading "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIQUIDITY COVENANT" or (b) would have a greater number of Days Cash on Hand than immediately prior to the addition of such Member to the Obligated Group based on the most recently quarterly financial statements delivered to the Master Trustee pursuant to the Master Indenture;

(e) an Opinion of Bond Counsel to the effect that the addition of such Member: (1) under then existing law, would not adversely affect the validity of any Related Bond or any exemption from federal or state income taxation of interest payable on such Bond otherwise entitled to such exemption; and (2) will not cause the Master Indenture or the Obligations issued under the Master Indenture to be subject to registration under federal securities laws or the Trust Indenture Act of 1939, as amended (or, that any such registration, if required, has occurred);

(f) an Officer's Certificate to the effect that no Member, immediately after the addition of such new Member, would be in default in the performance or observance of any covenant or condition of the Master Indenture;

(g) if any Related Bonds were rated by a Rating Agency (based on the credit of the Obligated Group and without regard to any credit enhancement) prior to the proposed new Member becoming a Member of the Obligated Group, written evidence from such

Rating Agency that, (i) after such proposed new Member becomes a Member, all Related Bonds will have a rating of at least “BBB-” (or an equivalent rating) from at least one Rating Agency or (ii) in the event that prior to the proposed new Member entering the Obligated Group, any related Bonds had a credit rating below “BBB-” (or its equivalent), the rating on such Related Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to the proposed new Member entering the Obligated Group; and

(h) such additional documentation as may be required by the Related Supplements.

Withdrawal from the Obligated Group. Any Member may withdraw from the Obligated Group, and be released from further liability or obligation under the provisions of the Master Indenture, *provided* that prior to such withdrawal, the Master Trustee receives:

(a) an Officer’s Certificate stating that immediately following withdrawal of such Member, no Member would be in default in the performance or observance of any covenant or condition of the Master Indenture;

(b) an Officer’s Certificate stating that such Member is not a party to any Related Loan Documents with respect to Related Bonds which remain outstanding;

(c) an Officer’s Certificate (i) showing that the Obligated Group could issue at least one dollar of Long-Term Indebtedness under clauses (a)(2), (3) or (4) of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIMITATIONS ON ADDITIONAL INDEBTEDNESS” immediately following the withdrawal of such Member from the Obligated Group, or (ii)(a) demonstrating that an Event of Default under the Master Indenture will be cured if the Member withdraws from the Obligated Group, or (b) demonstrating that the Long-Term Debt Service Coverage Ratio of the Obligated Group for the most recent Fiscal Year for which audited financial statements are available would have been equal to or greater than 1.20:1 assuming withdrawal of such Member occurred at the beginning of the first of such two most recent Fiscal Years, and (iii) demonstrating that immediately after the withdrawal of such Member from the Obligated Group, the Obligated Group would (a) be in compliance with the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIQUIDITY COVENANT” or (b) have a greater number of Days Cash on Hand than immediately prior to the withdrawal of such Member, based on the most recent quarterly financial statements delivered to the Master Trustee pursuant to the provisions of the Master Indenture.

(d) an Opinion of Bond Counsel to the effect that the withdrawal of such Member, under then existing law, would not adversely affect the validity of any Related Bond or any exemption from federal or state income taxation of interest payable on such Bond to which such Bond would otherwise be entitled;

(e) prior to such cessation there is delivered to the Master Trustee an Opinion of Independent Counsel to the effect that the cessation by such Member of its status as a Member will not adversely affect the status as a Tax-Exempt Organization of any Member which otherwise has such status; and

(f) if any Related Bonds were rated by a Rating Agency (based on the credit of the Obligated Group and without regard to any credit enhancement) prior to the Member withdrawing from the Obligated Group, written evidence from such Rating Agency that, (i) after such Member withdraws from the Obligated Group, all Related Bonds will have a rating of at least “BBB-” (or an equivalent rating) from at least one Rating Agency or (ii) in the event that prior to the Member withdrawing from the Obligated Group, any related Bonds had a credit rating below “BBB-” (or its equivalent), the rating on such Related Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to the Member withdrawing from the Obligated Group.

COVENANTS AS TO MAINTENANCE OF PROPERTIES, ETC.

Each Member, respectively, covenants and agrees in the Master Indenture:

(a) That it will operate and maintain its Principal Property in accordance with all valid and applicable governmental laws, ordinances, approvals and regulations including, without limitation, such zoning, sanitary, pollution and safety ordinances and laws and such rules and regulations thereunder as may be binding upon it; *provided, however,* that no Member shall be required to comply with any law, ordinance, approval or regulation as long as it shall in good faith contest the validity thereof. Each Member, respectively, further covenants and agrees that it will maintain and operate its Principal Property and all engines, boilers, pumps, machinery, apparatus, fixtures, fittings and equipment of any kind in or that shall be placed in any building or structure now or thereafter at any time constituting part of its Principal Property in good repair, working order and condition, and that it will from time to time make or cause to be made all needful and proper replacements, repairs, renewals and improvements so that the operations of such Member will not be materially impaired.

(b) That it will pay and discharge all applicable taxes, assessments, governmental charges of any kind whatsoever, water rates, meter charges and other utility charges which may be or have been assessed or which may have become liens upon the Principal Property and will make such payments or cause such payments to be made, respectively, in due time to prevent any delinquency thereon or any forfeiture or sale of the Principal Property or any part thereof, and, upon request, will furnish to the Master Trustee receipts for all such payments, or other evidences satisfactory to the Master Trustee; *provided, however,* that no Member shall be required to pay any tax, assessment, rate or charge as provided in the Master Indenture as long as it shall in good faith contest the validity thereof, *provided* that such Member shall have set aside reserves with respect

thereto that, in the opinion of the Governing Body of the Obligated Group Representative, are adequate.

(c) That it will pay or otherwise satisfy and discharge all of its obligations and Indebtedness and all demands and claims against it as and when the same become due and payable, other than any thereof (exclusive of the Obligations issued and Outstanding under the Master Indenture) whose validity, amount or collectability is being contested in good faith.

(d) That it will at all times comply with all terms, covenants and provisions of any Lien at such time existing upon its Property or any part thereof or securing any of its Indebtedness noncompliance with which would have a material adverse effect on the operations of the Obligated Group or its Property.

(e) That it will use its best efforts (as long as it is in its best interest and will not materially adversely affect the interests of the holders) to procure and maintain all permits, licenses and other governmental approvals necessary for the operation of its Property and to maintain its qualification for participation in and payment under private insurance programs having broad application and federal, state and local governmental programs providing for payment or reimbursement for services rendered.

(f) That it will take no action or suffer any action to be taken by others which would result in the interest on any Related Bonds issued as tax-exempt bonds becoming subject to federal income taxation.

LIMITATIONS ON ENCUMBRANCES

Each Member, respectively, covenants and agrees that it will not create, assume or suffer to exist any Lien upon the Gross Revenues or the Principal Property other than Permitted Encumbrances. Each Member, respectively, further covenants and agrees that if such a Lien is created or assumed by any Member, it will make or cause to be made effective a provision whereby all Obligations will be secured prior to any such Indebtedness or other obligation secured by such Lien. Nothing in the Master Indenture is intended to create an equitable or legal lien or interest on or in the Property, though the Deed of Trust creates a lien on certain Property to the Master Trustee for the benefit of the holders of the Obligations.

The provisions summarized in the preceding paragraph notwithstanding, a Lien on Property of any Member securing Indebtedness or an Interest Rate Agreement shall be classified a Permitted Encumbrance (as provided in the preceding paragraph) and therefore be permitted if:

(1) such Lien secures Non-Recourse Indebtedness; or

(2) (a) after giving effect to such Lien and all other Liens classified as Permitted Encumbrances under this subparagraph (2), the Book Value or, at the option of the Obligated Group Representative, the Current Value of the Property of the Obligated Group which is encumbered is not more than 10% of the value of all of the Property of the

Obligated Group (calculated on the same basis as the value of the encumbered Property) and (b) the Obligated Group Representative delivers an Officer's Certificate stating that the conditions described in subparagraph (a) summarized under the heading "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIMITATIONS ON ADDITIONAL INDEBTEDNESS" are met for allowing the incurrence of one dollar of additional Long-Term Indebtedness.

LIMITATIONS ON ADDITIONAL INDEBTEDNESS

Each Member, respectively, agrees not to incur any Additional Indebtedness except as follows:

(a) Long-Term Indebtedness, *provided* that:

(1) the Master Trustee receives an Officer's Certificate certifying that the aggregate principal amount of such Long-Term Indebtedness and all other Outstanding Long-Term Indebtedness incurred pursuant to the provisions of the Master Indenture summarized in this paragraph (1) does not exceed 10% of the Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which audited financial statements are available immediately preceding the issuance of such Long-Term Indebtedness (*provided* that to the extent Long-Term Indebtedness initially incurred pursuant to this clause subsequently complies with any other incurrence requirement, such Long-Term Indebtedness shall, at the option of the Obligated Group Representative, thereafter not be deemed to be incurred pursuant to this clause); or

(2) the Master Trustee receives an Officer's Certificate certifying the Long-Term Debt Service Coverage Ratio, taking into account all Outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred as if such Long-Term Indebtedness had been issued at the beginning of the most recent complete Fiscal Year for which audited financial statements are available, which Long-Term Debt Service Coverage Ratio is not less than 1.20:1; or

(3) the Master Trustee receives: (A) an Officer's Certificate certifying that, taking into account all Outstanding Long-Term Indebtedness but not the Long-Term Indebtedness proposed to be incurred, for the most recent Fiscal Year for which audited financial statements are available, the Long-Term Debt Service Coverage Ratio is not less than 1.20:1; and (B) either (I) an Officer's Certificate, accompanied by a written report of an Independent Consultant, stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (x) in the case of Long-Term Indebtedness to finance capital improvements, the Fiscal Year succeeding the date on which such capital improvements are expected to be in operation or (y) in the case of Long-Term Indebtedness issued for other purposes than are described in (x), the Fiscal Year succeeding the date on which the proposed Long-Term

Indebtedness is to be incurred, is not less than 1.25:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based; or (II) an Officer's Certificate stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (x) in the case of Long-Term Indebtedness to finance capital improvements, the two Fiscal Years succeeding the date on which such capital improvements are expected to be in operation or (y) in the case of Long-Term Indebtedness issued for other purposes than are described in (x), the two Fiscal Years succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.50:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based; or

(4) the Master Trustee receives an Officer's Certificate, accompanied by the written report of an Independent Consultant, stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (A) in the case of Long-Term Indebtedness to finance capital improvements, the Fiscal Year succeeding the date on which such capital improvements are expected to be in operation or (B) in the case of Long-Term Indebtedness issued for other purposes than are described in (A), the Fiscal Year succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.50:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based.

(b) Completion Indebtedness in an amount up to 10% of the principal amount of the Long-Term Indebtedness incurred for the subject project, if there is delivered to the Master Trustee (A) a Construction Consultant's certificate to the effect that the Completion Indebtedness proposed to be incurred is (i) necessary to provide a completed and fully equipped facility of the type and scope contemplated at the time the original Long-Term Indebtedness was incurred, and (ii) necessary to complete the acquisition, construction and/or equipping in accordance with the general plans and specifications for such facility as originally prepared and approved in connection with the incurrence of the Long-Term Indebtedness, and (iii) in an amount estimated to be sufficient, together with other identified funds of the relevant Member, to complete the facility within the parameters described in clauses (i) and (ii) above and (B) an Officer's Certificate stating that the amount of the original Long-Term Indebtedness was expected to provide sufficient funds to complete the subject project including an explanation outlining the reasoning for such expectation.

(c) Long-Term Indebtedness incurred for the purpose of refunding, refinancing or replacing any Outstanding Long-Term Indebtedness so as to render it no longer Outstanding if the Master Trustee receives an Officer's Certificate to the effect that Maximum Annual Debt Service, taking into account the Long-Term Indebtedness

proposed to be incurred, will not be increased by more than 15% as a result of such refunding, refinancing or replacement.

(d) Short-Term Indebtedness provided that: (1) such Short-Term Indebtedness is incurred in compliance with the provisions of the Master Indenture summarized in subparagraph (a) above, treating such Short-Term Indebtedness for such purposes only as if it were Long-Term Indebtedness; or (2)(i) the total amount of such Short-Term Indebtedness does not exceed 15% of Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which audited financial statements are available; and (ii) in every Fiscal Year, there shall be at least a 30-day period when the balance of such Short-Term Indebtedness is reduced to an amount which shall not exceed 5% of Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which audited financial statements of the Obligated Group are available.

(e) Subordinated Indebtedness without limitation.

(f) Balloon Indebtedness, Put Indebtedness or Interim Indebtedness provided that the conditions described in subparagraph (a) above are satisfied with respect to the incurrence of such Balloon Indebtedness, Put Indebtedness or Interim Indebtedness utilizing the assumptions specified in clause (c) of the definition of “Maximum Annual Debt Service.”

(g) Extendable Indebtedness provided that the conditions described in the Master Indenture summarized in subparagraph (a) above are satisfied with respect to the incurrence of such Extendable Indebtedness utilizing the assumptions specified in clause (d) of the definition of “Maximum Annual Debt Service.”

(h) Reimbursement and other obligations arising under reimbursement agreements relating to letters of credit or similar credit facilities used to secure Indebtedness otherwise permitted under this heading.

(i) Non-Recourse Indebtedness without limitation.

(j) Indebtedness to fund a Capital Addition if, prior to incurrence thereof, there is delivered to the Master Trustee (i) an Officer’s Certificate certifying that, taking into account all Outstanding Long-Term Indebtedness but not the Long-Term Indebtedness proposed to be incurred, for the most recent Fiscal Year for which audited financial statements are available, the Long-Term Debt Service Coverage Ratio is not less than 1.20:1; (ii) a written report of an Independent Consultant (prepared in accordance with industry standards) to the effect that the estimated projected Long-Term Debt Service Coverage Ratio of the Obligated Group will be not less 1.25:1 for the first full Fiscal Year following the later of (A) the estimated completion of the Capital Addition, or (B) the first full Fiscal Year following achievement of Stable Occupancy of the Capital Addition, *provided* that the achievement of Stable Occupancy is projected to occur no later than during the fifth full Fiscal Year following the incurrence of such Capital Addition Indebtedness; *provided further* that such report shall include forecast statements of

financial position, statements of operations for such Fiscal Years and a statement of the relevant assumptions upon which such forecasted statements are based, which financial statements must indicate that sufficient revenues and cash flow could be generated to pay the operating expenses of the Obligated Group's proposed and existing facilities and the debt service on the Obligated Group's other existing Indebtedness during such Fiscal Year and (iii) an Officer's Certificate of the Obligated Group Representative dated the date of the incurrence of the Capital Addition indebtedness to the effect that (A) the Obligated Group is then in compliance with all covenants of the Master Indenture and no Event of Default or event that with the passage of time could become an Event of Default then exists with respect to the Master Indenture, (B) the obligor has executed and delivered a guaranteed maximum price construction contract, stipulated sum construction contract or such other construction contract that establishes the complete construction cost with respect to the Capital Addition, (C) a construction monitor having the skill and experience necessary to perform its duties with respect to the monitoring of the construction process and having a favorable reputation for such skill and experience has been engaged with respect to the Capital Addition, (D) all permits required to be obtained for the commencement of construction of the Capital Addition have been obtained or receipt of any such permit will be received prior to such commencement; and (E) the Facilities constituting the Capital Addition will be constructed on the Principal Property.

LIMITATIONS ON GUARANTIES

Each Member covenants and agrees that it will not enter into, or become liable with respect to, any Guaranty except:

- (a) Guaranties of Indebtedness of another Member;
- (b) Guaranties of Obligations issued under the Master Indenture; and
- (c) Any other Guaranty provided that the conditions summarized in subsection (a) above under the heading "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — LIMITATIONS ON ADDITIONAL INDEBTEDNESS" are satisfied with respect to the issuance of such Guaranty utilizing the assumptions specified in clause (a) of the definition of "Maximum Annual Debt Service."

RATE COVENANT

(a) Each Member covenants and agrees to operate all of its Principal Property in the aggregate on a revenue-producing basis and to charge such fees and rates for its facilities and services and to exercise such skill and diligence, including obtaining payment for services provided, as to provide income from its facilities together with other available funds sufficient to pay promptly all payments of principal and interest on its Indebtedness, all expenses of operation, maintenance and repair of its Property and all other payments required to be made by it under the Master Indenture to the extent permitted by law. Each Member further covenants and agrees that it will from time to time as often as necessary and to the extent permitted by law, revise its rates, fees

and charges in such manner as may be necessary or proper to comply with the provisions of the Master Indenture described under this heading.

(b) Within 150 days after the end of each Fiscal Year the Obligated Group Representative shall compute the Debt Service Coverage Ratio of the Obligated Group and promptly furnish to the Required Information Recipients an Officer's Certificate setting forth the results of such computation.

If the Debt Service Coverage Ratio of the Obligated Group is less than 1.20:1, the Master Trustee shall (subject to paragraph (d) below) require the Obligated Group, at the Obligated Group's expense, to select (but not engage) an Independent Consultant within 30 days following the calculation described in the immediately preceding paragraph to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group's methods of operation and other factors affecting its financial condition in order to increase such Debt Service Coverage Ratio to at least 1.20:1 for the following Fiscal Year. The Independent Consultant selected as required by the Master Indenture shall be approved and retained as set forth in the summarized terms under the heading "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — APPROVAL OF CONSULTANTS."

The Obligated Group shall not be required to engage an Independent Consultant more than one time in any one year period.

For purposes of calculations made pursuant to the provisions of the Master Indenture summarized under this heading, an unrestricted contribution from any Affiliate of any Member of the Obligated Group may, at the sole discretion of the Obligated Group Representative, be treated as Income Available for Debt Service being earned during the period of such calculation so long as the unrestricted contribution is made prior to the date the applicable Officer's Certificate is required to be delivered with respect to such calculation. If the unrestricted contribution is counted in a period prior to the date of such transfer in accordance with the previous sentence, it shall not be included in the calculation for the period in which such contribution was actually made.

The provisions of the Master Indenture summarized in the preceding paragraphs are subject to the provisions of the Master Indenture summarized in the following paragraphs with respect to Additional Indebtedness for certain projects and Capital Additions.

(c) A copy of the Independent Consultant's report and recommendations, if any, shall be filed with each of the Required Information Recipients within 60 days of engaging the Independent Consultant as provided in the provisions of the Master Indenture summarized under the heading "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — APPROVAL OF CONSULTANTS." The Master Trustee shall have no duty to review, verify or analyze such report and recommendations, and shall retain such report and recommendations solely as a repository for the Obligation holders. Each Member shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Governing Body of such Member) and permitted by law. The provisions of the Master Indenture summarized under this caption shall not be construed to prohibit any Member from serving indigent patients or residents to the extent required for such Member to continue its qualification as

a Tax-Exempt Organization or from serving any other class or classes of patients or residents without charge or at reduced rates so long as such service does not prevent the Obligated Group from satisfying the other requirements summarized under this caption.

(d) The foregoing provisions notwithstanding, if the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year does not meet the levels required above, the Master Trustee shall not be obligated to require the Obligated Group to engage an Independent Consultant to make such recommendations if: (a) there is filed with the Master Trustee (who shall provide a copy to each Required Information Recipient) a written report addressed to them of an Independent Consultant (which Independent Consultant and report, including without limitation the scope, form, substance and other aspects of such report, are not objected to by the Master Trustee) which contains an opinion of such Independent Consultant that applicable laws or regulations have prevented the Obligated Group from generating Income Available for Debt Service during such Fiscal Year sufficient to meet the requirements summarized under this caption, and, if requested by the Master Trustee, such report is accompanied by a concurring Opinion of Independent Counsel (which counsel and opinion, including without limitation the scope, form, substance and other aspects thereof, are not objected to by the Master Trustee) as to any conclusions of law supporting the opinion of such Independent Consultant; (b) the report of such Independent Consultant indicates that the rates charged by the Obligated Group are such that, in the opinion of the Consultant, the Obligated Group has generated the maximum amount of Total Operating Revenues reasonably practicable given such laws or regulations; and (c) the Debt Service Coverage Ratio of the Obligated Group for such Fiscal Year was at least 1.00:1. The Obligated Group shall not be required to cause the Independent Consultant's report referred to in the preceding sentence to be prepared more frequently than once every two Fiscal Years if at the end of the first of such two Fiscal Years the Obligated Group provides to the Master Trustee (who shall provide a copy to each Related Bond Trustee) an Opinion of Independent Counsel (which counsel and opinion, including without limitation the scope, form, substance and other aspects thereof, are not objected to by the Master Trustee) to the effect that the applicable laws and regulations underlying the Independent Consultant's report delivered in respect of the previous Fiscal Year have not changed in any material way.

(e) Notwithstanding any other provisions of the Master Indenture, an Event of Default arising from the Debt Service Coverage Ratio shall only occur under the Master Indenture if one or more of the following conditions applies: (i) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.20:1 and fails to take all necessary action to comply with the procedures summarized under this caption for obtaining an Independent Consultant's report and following all recommendations contained in such report or plan to the extent feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law; or (ii) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for any Fiscal Year and the Days Cash on Hand of the Obligated Group as of the last day of such Fiscal Year is less than 250 days or (iii) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for two consecutive Fiscal Years.

(f) Notwithstanding any other provisions of the Master Indenture, in the event that any Member of the Obligated Group incurs any Additional Indebtedness for any acquisition, construction, renovation or replacement project or Capital Addition, the Debt Service

Requirements on such Additional Indebtedness and the revenues and expenses relating to the project or Capital Addition financed with the proceeds of such Additional Indebtedness shall be excluded from the calculation of the Debt Service Coverage Ratio of the Obligated Group for the purposes of complying with the provisions summarized under this caption until the first full Fiscal Year following the later of (i) the estimated completion of the acquisition, construction, renovation or replacement project being paid for with the proceeds of such Additional Indebtedness provided that such completion occurs no later than six months following the completion date for such project set forth in the Independent Consultant's report described in (1) below, or (ii) the first full Fiscal Year in which Stable Occupancy is achieved in the case of revenue producing Facilities financed with the proceeds of such Additional Indebtedness, which Stable Occupancy shall be projected in the report of the Independent Consultant referred to in paragraph (1) below to occur no later than during the fifth full Fiscal Year following the incurrence of such Additional Indebtedness or (iii) the end of the fourth full Fiscal Year after the incurrence of such Additional Indebtedness (the period commencing on the date of the incurrence of such Additional Indebtedness and ending on the later of (i), (ii) or (iii) above is hereinafter referred to as the "Start-Up Period"), if the following conditions are met:

(1) there is delivered to the Master Trustee a report or opinion of an Independent Consultant to the effect that the projected Debt Service Coverage Ratio for the first full Fiscal Year following the Start-Up Period will be not less than 1.25:1 after giving effect to the incurrence of such Additional Indebtedness and the application of the proceeds thereof; *provided, however*, that in the event that an Independent Consultant shall deliver a report to the Master Trustee to the effect that Industry Restrictions do not permit or by their application make it impracticable for Members to produce the required ratio, then such ratio shall be reduced to the highest practicable ratio then permitted by such laws or regulations but in no event less than 1.00:1; *provided further, however*, that in the event an Independent Consultant's report is not required to incur such Additional Indebtedness, the Obligated Group may deliver an Officer's Certificate to the Master Trustee in lieu of the Independent Consultant's report described in this subparagraph (1); and

(2) such Independent Consultant's report or Officer's Certificate demonstrates, or Officer's Certificate certifies, that the interest on such Additional Indebtedness and any projected start-up losses during the Start-Up Period is funded from the proceeds of Additional Indebtedness or other funds designated by the Obligated Group, and continues to be available for such purposes during the Start-Up Period; and

(3) such Independent Consultant's report or Officer's Certificate demonstrates, or Officer's Certificate certifies, that no principal of such Additional Indebtedness shall be payable during the Start-Up Period, excluding any Additional Indebtedness which may become due as the result of the collection of Entrance Fees during the Start-Up Period.

If the conditions of subparagraph (2) or (3) are not satisfied because interest is not funded through the end of the Start-Up Period or because principal is due by maturity or bond sinking fund redemption prior to the end of the Start-Up Period, the provisions of the preceding paragraphs shall apply only during the portion of the Start-Up Period for which interest has been funded and no principal payments are due.

(g) Any other provision of the Master Indenture notwithstanding, during the 2022 Project Start-Up Period, the calculation of the Debt Service Coverage Ratio of the Obligated Group shall exclude all principal, interest and premium requirements in respect of the Series 2022 Bonds, and all revenue and expense properly allocable to the Independent Living Units included in the Series 2022 Project in accordance with generally accepted accounting principles.

SALE, LEASE OR OTHER DISPOSITION OF PROPERTY

Each Member agrees that it will not transfer any Property except as permitted by the provisions of the Master Indenture summarized below.

(a) Each Member may sell, lease or otherwise dispose (including, without limitation, any involuntary disposition) of Property (either real or personal, including cash and investments) to another Member, except that none of the Property financed with the proceeds of any Related Bonds issued as tax-exempt bonds shall be transferred by a Member to any other Member unless the Related Bond Trustee has received an Opinion of Bond Counsel to the effect that such transfer shall not adversely affect the validity of the Related Bonds or any exemption from federal income taxation to which such Related Bonds would otherwise be entitled.

(b) A Member may transfer Property, including but not limited to cash or cash equivalents, if the amount of such Property sold, leased or otherwise disposed of does not, for any consecutive 12-month period, exceed 1% of the total Book Value or Current Value of all Property of the Obligated Group.

(c) A Member may transfer Property, including but not limited to cash or cash equivalents, to an Affiliate if the Property sold, leased or otherwise disposed of, together with transfers pursuant to the provisions of the Master Indenture summarized in subparagraph (b) above, does not, for any consecutive 12-month period, exceed 3% of the total Book Value or the total Current Value of all Property of the Obligated Group (as shown on the most recent audited financial statements of the Obligated Group) and the Debt Service Coverage Ratio was not less than 1.30:1 for the last Fiscal Year for which audited financial statements have been delivered to the Master Trustee, provided that (i) in calculating the Debt Service Coverage Ratio for purposes of this payment, the Income Available for Debt Service will be reduced by one year's estimated interest earnings attributable to the moneys to be used for the payment using, at the option of the Obligated Group Representative, either (1) the current budgeted investment rate, as certified in an Officer's Certificate, or (2) the actual average investment rate on the transferred funds, as certified in a report of an Independent Consultant as of the end of the last fiscal quarter for which financial statements have been delivered to the Master Trustee as required under the Master Indenture, and (ii) the Obligated Group had Days Cash on Hand not less than the Liquidity Requirement after giving effect to the transaction. If the Debt Service Coverage Ratio is not less than 1.30:1, the foregoing percentage of the total Book Value or Current Value may be increased as follows under the following conditions:

(1) to 5%, if Days Cash on Hand would not be less than 250 after the effect of such sale, lease or disposition of assets; or

(2) to 7.5%, if Days Cash on Hand would not be less than 350 after the effect of such sale, lease or disposition of assets; or

(3) to 10%, if Days Cash on Hand would not be less than 450 after the effect of such sale, lease or disposition of assets.

(d) A Member may transfer Property, including cash or cash equivalents, to a Person other than a Member or an Affiliate without limitation if:

(1) the transfer is: (i) in return for other Property of equal or greater value and usefulness; or (ii) in the ordinary course of business upon fair and reasonable terms; or

(2) prior to such sale, lease or other disposition the Member determines that such Property has, or within the next succeeding 24 calendar months is reasonably expected to, become inadequate, obsolete, worn out, unsuitable, unprofitable, undesirable or unnecessary and the sale, lease or other disposition thereof will not impair the structural soundness, efficiency or economic value of the remaining Property; or

(3) such Property consists solely of assets which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for payment on the Obligations.

(e) If any Property to be disposed of in accordance with the provisions of the Master Indenture summarized under this heading is subject to a Lien, including the Deed of Trust, the Master Trustee shall, upon the request of the Obligated Group Representative and receipt by the Master Trustee of an Officer's Certificate demonstrating that the requirements of this caption have been satisfied, release such Property from the Lien pursuant to the terms of any documentation creating the Lien.

Nothing in the Master Indenture shall prohibit any Member from making secured or unsecured loans provided that (1) any such loan is evidenced in writing, (2) the Obligated Group Representative reasonably expects such loan to be repaid and (3) such loan bears interest at a reasonable rate of interest as determined in good faith by the Obligated Group Representative.

CONSOLIDATION, MERGER, SALE OR CONVEYANCE

Each Member agrees that it will not merge into, or consolidate with, one or more corporations which are not Members, or allow one or more of such corporations to merge into it, or sell or convey all or substantially all of its Property to any Person who is not a Member, unless the Obligated Group Representative provides the Master Trustee an Officer's Certificate or other written evidence that:

(1) Any successor corporation to such Member (including, without limitation, any purchaser of all or substantially all the Property of such Member) is a Person (other than a natural person) organized and existing under the laws of the United States of America or a state thereof and shall execute and deliver to the Master Trustee an appropriate instrument containing the agreement of such successor to assume, jointly and severally, the due and punctual payment of the principal of, premium, if any, and interest on all Obligations according to their tenor and the due and punctual performance and observance of all the covenants and conditions of the Master Indenture to be kept and performed by such Member;

(2) Immediately after such merger or consolidation, or such sale or conveyance, no Member would be in default in the performance or observance of any covenant or condition of any Related Loan Document or the Master Indenture;

(3) Assuming that any Indebtedness of any successor or acquiring corporation is Indebtedness of such Member and that the revenues and expenses of the Member for such most recent Fiscal Year include the revenues and expenses of such other corporation (A) immediately after such merger or consolidation, sale or conveyance, the Long-Term Debt Service Coverage Ratio of the Obligated Group for the most recent Fiscal Year for which financial statements that have been reported upon by independent certified public accountants are available, if calculated on a pro forma basis including the effect of such merger or consolidation, sale or conveyance, would have been not less than 1.20:1, or that such pro forma Long-Term Debt Service Coverage Ratio of the Obligated Group is not less than the Long-Term Debt Service Coverage Ratio of the Obligated Group for such Fiscal Year prior to such merger or consolidation, sale or conveyance and (B) immediately after such merger or consolidation, sale or conveyance, the Days Cash on Hand of the Obligated Group as set forth on the most recent quarterly financial statements delivered to the Master Trustee pursuant to the Master Indenture would be not less than the Liquidity Requirement or that such calculation of Days Cash on Hand of the Obligated Group is greater than such calculation would be immediately prior to such merger or consolidation, sale or conveyance;

(4) If all amounts due or to become due on all Related Bonds have not been fully paid to the holders thereof or fully provided for, there shall be delivered to the Master Trustee an Opinion of Bond Counsel to the effect that under then existing law the consummation of such merger, consolidation, sale or conveyance would not adversely affect the validity of such Related Bonds or the exemption otherwise available from federal or state income taxation of interest payable on such Related Bonds; and

(5) If any Related Bonds were rated by a Rating Agency (based on the credit of the Obligated Group without regard to any credit enhancement) prior to such merger, consolidation, sale or conveyance, written evidence that, (i) after such merger, consolidation, sale or conveyance, all Related Bonds will have a rating of at least “BBB-” (or an equivalent rating) from at least one Rating Agency or (ii) in the event that prior to such merger, consolidation, sale or conveyance, any Related Bonds had a credit rating below “BBB-” (or its equivalent) the rating on such Related Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to the merger, consolidation, sale or conveyance.

In case of any such consolidation, merger, sale or conveyance and upon any such assumption by the successor corporation, such successor corporation shall succeed to and be substituted for its predecessor, with the same effect as if it had been named in the Master Indenture as such Member. Each successor, assignee, surviving, resulting or transferee corporation of a Member must agree to become, and satisfy the conditions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — THE OBLIGATED GROUP — Membership in the Obligated Group” prior to becoming, a Member of the Obligated Group prior to any such succession, assignment or other change in such Member’s corporate status. Any successor corporation to such Member thereupon may cause to be signed and may issue in its own name Obligations under the Master Indenture and the predecessor corporation shall be released from its obligations under the Master Indenture and under any Obligations, if such predecessor corporation shall have conveyed all Property owned by it (or all such Property shall be deemed conveyed by operation of law) to such successor corporation. All Obligations so issued by such successor corporation under the Master Indenture shall in all respects have the same legal rank and benefit under the Master Indenture as Obligations theretofore or thereafter issued in accordance with the terms of the Master Indenture as though all of such Obligations had been issued under the Master Indenture by such prior Member without any such consolidation, merger, sale or conveyance having occurred.

In case of any such consolidation, merger, sale or conveyance such changes in phraseology and form (but not in substance) may be made in Obligations thereafter to be issued as may be appropriate.

INSURANCE

Each Member covenants and agrees that it will keep its Property and all of its operations adequately insured at all times and carry and maintain such insurance in amounts which are commercially feasible, customarily carried, subject to customary deductibles, and against such risks as are customarily insured against by other corporations in connection with the ownership and operation of facilities of similar character and size. The Master Indenture provides that for the purpose of this provision, the term Property shall be deemed to include Excluded Property.

The Obligated Group Representative shall employ an Insurance Consultant at least every two years to review the insurance requirements of the Members, unless the Obligated Group is self-insured, in which case an Insurance Consultant must be retained at least annually to review the

insurance requirements of the Members. If the Insurance Consultant makes recommendations for the increase of any Members' insurance coverage, the Obligated Group Representative shall increase or cause to be increased such coverage in accordance with such recommendations, subject to a good faith determination of the Governing Body of the Obligated Group Representative that such recommendations, in whole or in part, are in the best interests of the Obligated Group. In lieu of maintaining insurance coverage that the Governing Body of the Obligated Group Representative deems necessary, the Members shall have the right to adopt alternative risk management programs that the Governing Body of the Obligated Group Representative determines to be reasonable and that shall not have a material adverse impact on reimbursement from third party payors; including, without limitation, the right to self-insure in whole or in part individually or in connection with other institutions, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws now or hereafter in existence limiting medical and malpractice liability, or to establish or participate in other alternative risk management programs; all as may be approved, in writing, as reasonable and appropriate risk management by the Insurance Consultant and reviewed each year thereafter.

The Master Trustee shall not be responsible for the sufficiency of any insurance required in the Master Indenture or for the obtaining of such insurance and in all events shall be fully protected in accepting payment on account of such insurance or any adjustment, compromise or settlement of any loss agreed to by any Member. The Obligated Group Representative shall cause to be delivered to the Master Trustee on the date the Master Indenture is executed and at least biannually (annually with respect to self insurance) thereafter, no later than 150 days following the end of each Fiscal Year, an Officer's Certificate stating that the Obligated Group is in compliance with the provisions of the Master Indenture summarized under this heading, together with a certificate of an Insurance Consultant which certificate indicates that the insurance then being maintained by the Members is customary in the case of corporations that own and operate facilities of similar character and size. The Master Trustee may conclusively rely on such certificates.

FILING OF FINANCIAL STATEMENTS, REPORTS AND OTHER INFORMATION

(a) The Members covenant that they will keep or cause to be kept proper books of records and accounts in which full, true and correct entries will be made of all dealings or transactions of or in relation to the business and affairs of the Obligated Group in accordance with GAAP consistently applied except as may be disclosed in the notes to the audited financial statements referred to in subparagraph (b) below. To the extent that GAAP would require consolidation of certain financial information of entities which are not Members of the Obligated Group with financial information of one or more Members, consolidating financial statements prepared in accordance with GAAP which include information with respect to entities which are not Members of the Obligated Group may be delivered in satisfaction of the requirements of this section of the Master Indenture so long as: (i) supplemental information in sufficient detail to separately identify the information with respect to the Members of the Obligated Group is delivered to the Master Trustee with the audited financial statements; (ii) such supplemental information has been subjected to the auditing procedures applied in the audit of the consolidating financial statements delivered to the Master Trustee and, in the opinion of the accountant, is fairly

stated in all material respects in relation to the consolidating financial statements taken as a whole; and (iii) such supplemental information is used for the purposes hereof or for any agreement, document or certificate executed and delivered in connection or pursuant to the Master Indenture.

(b) The Obligated Group Representative will furnish or cause to be furnished to the Required Information Recipients the following:

(i) Within 60 days of the end of each fiscal quarter (including a report with respect to the fourth quarter of each fiscal year), (A) quarterly unaudited financial statements of the Obligated Group, including a statement of operations, statement of changes in net assets and a statement of cash flows of the Obligated Group during such period and a statement of financial position as of the end of each such fiscal quarter with a comparison to the operating budget, (B) a calculation of Days Cash on Hand as of the last day of each fiscal quarter, and a calculation of the Debt Service Coverage Ratio for the fiscal quarter on a rolling twelve-month basis, and (C) information with respect to the occupancy levels of all of the facilities operated by the Obligated Group by level of care; (D) in the fourth fiscal quarter report only, the combined payor mix for skilled nursing facilities of the Members, and (E) an Officer's Certificate of the Obligated Group Representative stating that the Obligated Group is in compliance with all of the terms, provisions and conditions of the Master Indenture or if not, specify all such defaults and the nature thereof, in each case prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group Representative.

(ii) If the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year is less than 1.00:1, the Obligated Group will deliver the financial information and the calculations described in paragraph (i) above on a monthly basis, with the Debt Service Coverage Ratio calculated on a year-to-date basis each month, within 45 days of the end of each month until the Debt Service Coverage Ratio of the Obligated Group is at least 1.00:1.

(iii) Within 150 days of the end of each Fiscal Year, an annual financial report of the Obligated Group audited by a firm of certified public accountants, including a statement of financial position as of the end of such Fiscal Year and statement of operations, statement of changes in net assets, a statement of cash flows for such Fiscal Year, showing in each case in comparative form the financial figures for the preceding Fiscal Year or a written explanation detailing the reasons that comparative financial figures cannot be prepared (the annual financial report may include combined or combining schedules as required by GAAP), together with a separate written statement of the accountants auditing such report containing (A) calculations of the Obligated Group's Debt Service Coverage Ratio for said Fiscal Year and of the Obligated Group's Days Cash on Hand as of the last day of such Fiscal Year and (B) a statement that such accountants have obtained no knowledge of any default under the terms, covenants, provisions or conditions of the Master Indenture insofar as such default relates to accounting matters, or if such accountants shall have obtained knowledge of any such default, they shall disclose the default or defaults and the nature thereof in a statement to the Master Trustee which statement shall comply with any applicable reporting standards promulgated by the American Institute of Certified Public Accountants.

(iv) On or before the date of delivery of the financial reports referred to in subparagraph (iii) above, an Officer's Certificate of the Obligated Group Representative (A) stating that the Obligated Group is in compliance with all of the terms, provisions and conditions of the Master Indenture or if not, specify all such defaults and the nature thereof, (B) calculating and certifying the Days Cash on Hand and Debt Service Coverage Ratio, if required to be calculated for such Fiscal Year by this Master Indenture, as of the end of such fiscal period or Fiscal Year, as appropriate, (C) a comparison of the audited financial statements with the operating budget for the preceding Fiscal Year, (D) a management's discussion and analysis of results, (E) the Centers for Medicare and Medicaid Services star rating of the Obligated Group's skilled nursing services, and (F) an executive summary of any actuarial reports received by the Obligated Group during the preceding Fiscal Year, if any, as required by the Master Indenture.

(v) Within 45 days of the end of each Fiscal Year, the Obligated Group Representative shall deliver a summary of the operating and capital budgets for the Fiscal Year then started.

(vi) At any time during the Fiscal Year, copies of (A) any board-approved revisions to the annual budget, or (B) any correspondence to or from the Internal Revenue Service questioning or contesting the status of a Member as an organization described in Section 501(c)(3) of the Code or with respect to the tax-exempt status of the Series 2019 Bonds or any Related Bonds (including the Series 2022 Bonds) the interest on which is excludable from the gross income of the owners thereof for federal income tax purposes, promptly upon receipt.

Except for the information delivered to it under subparagraphs (iii) (solely to the extent of the separate written statement setting forth the information in clauses (A) and (B) of subparagraph (iii)) and (iv) above, the Master Trustee shall have no duty to review, verify or analyze any documents delivered to it under this subsection (b) and shall hold such documents solely as a repository for the benefit of the Holders of the Obligations.

(c) The Obligated Group Representative shall furnish or cause to be furnished to the Master Trustee or any Related Bond Trustee, such additional information as the Master Trustee or any Related Bond Trustee may reasonably request concerning any Member and for that purpose all pertinent books, documents and vouchers relating to the business, affairs and Property (other than patient, donor and personnel records) of the Members shall, to the extent permitted by law, at all times during regular business hours, after reasonable notice unless an Event of Default has occurred and is continuing hereunder, be open to the inspection of such accountant or other agent (who may make copies of all or any part thereof) as shall from time to time be designated by the Master Trustee or such Related Bond Trustee.

(d) The Members also agree that, within 10 days after its receipt thereof, the Obligated Group Representative will file with each Required Information Recipient a copy of each Independent Consultant's final report or a summary thereof (which may be redacted to exclude confidential competitive information) or counsel's opinion required to be prepared under the terms of this Master Indenture.

(e) The Obligated Group Representative shall give prompt written notice of a change of accountants by the Obligated Group due to the resignation of the accountants (a change of accountants in the ordinary course of business is not subject to this reporting requirement) to the Master Trustee and each Related Bond Trustee. The notice shall state (i) the effective date of such change; (ii) whether there were any unresolved disagreements with the former accountants on any matter of accounting principles or practices, financial statement disclosure, or auditing scope or procedure, which the accountants claimed would have caused them to refer to the disagreement in a report on the disputed matter, if it was not resolved to their satisfaction; and (iii) such additional information relating thereto as such Related Bond Trustee or the Master Trustee may reasonably request.

(f) Without limiting the foregoing, each Member will permit, upon reasonable notice, the Master Trustee or any Related Bond Trustee (or such persons as they may designate) to visit and inspect, at the expense of such Person, its Property and to discuss the affairs, finances and accounts of the Obligated Group with its officers and independent accountants, all at such reasonable times and locations and as often as the Master Trustee or the Related Bond Trustee may reasonably desire, provided that the Master Trustee or the Related Bond Trustee shall have no duty to visit or inspect.

(g) The Obligated Group Representative may designate a different Fiscal Year for the Members of the Obligated Group by delivering a notice to the Master Trustee designating the first and last day of such new Fiscal Year and whether or not there will be any interim fiscal period (the "Interim Period") of a duration of greater than or less than 12 months preceding such new Fiscal Year. The Members covenant that they will furnish to the Master Trustee and each Related Bond Trustee, as soon as practicable after they are available, but in no event more than 150 days after the last day of such Interim Period, a financial report for such Interim Period certified by a firm of independent certified public accountants selected by the Obligated Group Representative covering the operations of the Obligated Group for such Interim Period and containing a combined statement of financial position as of the end of such Interim Period and a combined statement of operations, statement of changes in net assets and statement of cash flows for such Interim Period for such Interim Period, showing in each case in comparative form the financial figures for the comparable period in the preceding Fiscal Year, together with a separate written statement of the accountants preparing such report containing a calculation of the Obligated Group's Debt Service Coverage Ratio for the Interim Period and a statement that such accountants have obtained no knowledge of any default by any Member in the fulfillment of any of the terms, covenants, provisions or conditions of the Master Indenture insofar as such default relates to accounting matters, or if such accountants shall have obtained knowledge of any such default or defaults, they shall disclose in such statement the default or defaults and the nature thereof (but such accountants shall not be liable directly or indirectly to anyone for failure to obtain knowledge of any default).

(h) Notwithstanding any other provisions of this Master Indenture requiring certain financial and operating information or Independent Consultant reports to Required Information Recipients, the failure by the Obligated Group to provide such information to EMMA will not constitute an Event of Default under this Master Indenture.

LIQUIDITY COVENANT

The Obligated Group covenants that it will calculate the Days Cash on Hand of the Obligated Group as of March 31 and September 30 of each Fiscal Year (each such date being a “*Liquidity Testing Date*”). The Obligated Group shall include such calculations in the quarterly Officer’s Certificates that are delivered for the periods ending on each March 31 and September 30 pursuant to the Master Indenture.

Each Obligated Group Member is required to conduct its business so that on each Liquidity Testing Date, the Obligated Group shall have no less than 150 Days Cash on Hand (the “*Liquidity Requirement*”):

If the amount of Days Cash on Hand as of any Liquidity Testing Date is less than the Liquidity Requirement, the Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such deficiency, deliver an Officer’s Certificate approved by a resolution of the Governing Body of the Obligated Group Representative to the Master Trustee setting forth in reasonable detail the reasons for such deficiency and adopting a specific plan setting forth steps to be taken designed to achieve the Liquidity Requirement for future periods.

If the Obligated Group has not raised the level of the Days Cash on Hand to the Liquidity Requirement by the next Liquidity Testing Date following delivery of the Officer’s Certificate required in the preceding paragraph, the Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such deficiency, select (but not engage) an Independent Consultant to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group’s methods of operation and other factors affecting its financial condition in order to increase the Days Cash on Hand to the Liquidity Requirement for future periods. Such Independent Consultant selected as required by provisions of the Master Indenture summarized under this heading shall be engaged as set forth in the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — APPROVAL OF CONSULTANTS.” A copy of the Independent Consultant’s report and recommendations, if any, shall be filed with each of the Required Information Recipients within 60 days of the date such Independent Consultant is engaged as provided in the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — APPROVAL OF CONSULTANTS.” The Master Trustee has no duty to review, analyze or verify such report and recommendations and shall retain such report and recommendations solely as a repository for the holders of the Obligations. Each Member of the Obligated Group shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Member) and permitted by law. The Obligated Group shall not be required to engage a Consultant more than one time in any one year period.

Notwithstanding any other provision of the Master Indenture, failure of the Obligated Group to achieve the Liquidity Requirement for any Liquidity Testing Date shall not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for retaining an Independent Consultant to prepare a report and adopting a plan and follows each recommendation contained in such report to the extent

feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law.

Any other provision of the Master Indenture notwithstanding, (i) during the 2022 Project Start-Up Period, the calculation of the Days Cash on Hand shall exclude all interest requirements in respect of the Series 2022 Bonds to the extent funded with proceeds of the Series 2022 Bonds, and all revenue and expense properly allocable to the Independent Living Units included in the Series 2022 Project in accordance with generally accepted accounting principles and (ii) during any other Start-Up Period, the calculation of Days Cash on Hand of the Obligated Group shall exclude all interest requirements in respect of Additional Indebtedness issued for the purpose of any acquisition, construction, renovation or replacement project or Capital Addition to the extent that interest is funded with proceeds of such Additional Indebtedness, and all revenue and expense properly allocable to the Independent Living Units included in such project or Capital Addition in accordance with generally accepted accounting principles.

APPROVAL OF CONSULTANTS

(a) If at any time the Members of the Obligated Group are required to engage an Independent Consultant under the provisions of the Master Indenture, such Independent Consultant shall be engaged in the manner summarized under this caption.

(b) Upon selecting an Independent Consultant as required by the provisions of the Master Indenture, the Obligated Group Representative will notify the Master Trustee of such selection. The Master Trustee shall, as soon as practicable but in no case longer than five Business Days after receipt of notice, notify the holders of all Obligations outstanding of such selection, and the Obligated Group Representative will post a copy of such notice (or cause a copy of such notice to be posted) on EMMA. Such notice shall (i) include the name of the Independent Consultant and a brief description of the Independent Consultant, (ii) state the reason that the Independent Consultant is to be engaged including a description of the covenant(s) of the Master Indenture that require the Independent Consultant to be engaged, and (iii) state that the holder of the Obligation will be deemed to have consented to the engagement of the Independent Consultant named in such notice unless such Obligation holder submits an objection to the selected Independent Consultant in writing (in a manner acceptable to the Master Trustee) to the Master Trustee within 30 days of the date that the notice is sent to the Obligation holders. No later than two Business Days after the end of the 30-day objection period, the Master Trustee shall notify the Obligated Group of the number of objections. If two-thirds (66.6%) or more in aggregate principal amount of the holders of the outstanding Obligations have consented or been deemed to have consented by not objecting to the engagement of the Independent Consultant, the Obligated Group Representative shall engage the Independent Consultant within five days of receiving notice of that consent. If more than one-third (33.3%) in aggregate principal amount of the owners of the Obligations outstanding have objected to the Independent Consultant selected, the Obligated Group Representative shall select another Independent Consultant within 14 days after receiving notice of such objection, which Independent Consultant may be engaged upon compliance with the procedures summarized under this caption.

All Independent Consultant reports required under the Master Indenture shall be prepared in accordance with then-effective industry-appropriate standards.

(c) When the Master Trustee notifies the holders of Obligations of such selection, the Master Trustee shall also request any Related Bond Trustee to send a notice containing the information required by subparagraph (b) above to the owners of all of the Related Bonds outstanding. Such Related Bond Trustee shall, as the owner of an Obligation securing such Related Bonds, consent or object to the engagement of the Independent Consultant selected by the Obligated Group Representative in accordance with the response of the owners of such Related Bonds. Unless contrary provision is made in the Related Bond Indenture, the owner of any Related Bond that has not submitted an objection to the Related Bond Trustee shall be deemed to have consented to the engagement of the selected Independent Consultant. If the owners of two-thirds (66.6%) or more in aggregate principal amount of the Related Bonds have consented or been deemed to have consented to the engagement of the Independent Consultant, the Related Bond Trustee shall approve the Independent Consultant within five days of receiving notice of that consent. If more than one-third (33.3%) in aggregate principal amount of the owners of the Related Bonds have objected to the Independent Consultant selected, the Bond Trustee shall reject the Independent Consultant within 14 days after receiving notice of such objection.

The 30-day notice period described in subsection (b) above may be extended by the Master Trustee in order to permit each Related Bond Trustee to give the owners of the Related Bonds 15 days to respond to the notice given by the Related Bond Trustee. By acceptance of an Obligation securing any Related Bonds, the Related Bond Trustee agrees to comply with the provisions of the Master Indenture summarized under this caption.

ENTRANCE FEE FUND

The Obligated Group agrees that all Initial Entrance Fees received by the Obligated Group with respect to the Independent Living Units included in the Series 2022 Project shall be transferred to the Master Trustee within five Business Days of the receipt thereof for deposit into the Entrance Fee Fund created by the Master Indenture to be used as described below.

The Master Trustee shall establish and maintain a separate account to be known as the “Entrance Fee Fund – Series 2022 Bonds” (the “*Entrance Fee Fund*”). All moneys received by the Master Trustee and held in the Entrance Fee Fund pursuant to the provisions of the Master Indenture summarized under this caption shall be trust funds under the terms of the Master Indenture for the benefit of the Series 2022B Obligation (except as otherwise provided) and shall not be subject to lien or attachment of any creditor of the Obligated Group. Such moneys shall be held in trust and applied in accordance with the provisions of the Master Indenture but are not bond proceeds (within the meaning of the Code) and are not, except as specifically described below, pledged to payment of principal and interest on the Series 2022B Bonds.

Moneys in the Entrance Fee Fund on the first Business Day of each month shall be disbursed by the Master Trustee as follows:

FIRST, to the Obligated Group to pay refunds of Initial Entrance Fees as required by residency agreements with respect to the residential living apartments in the Series 2022 Project. Such disbursements shall be made upon receipt by the Master Trustee, at least two Business Days prior to the first Business Day of each month, of an Officer's Certificate of the Obligated Group Representative certifying that the Obligated Group is required by a residency agreement to pay refunds within the next 15 days and the amount of such refunds.

SECOND, on the first Business Day of each month, following the disbursement made pursuant to paragraph FIRST above, if any, the Master Trustee shall review the amount on deposit in the Entrance Fee Fund and shall transfer moneys in the Entrance Fee Fund on such date to the Bond Trustee for deposit into the Entrance Fee Redemption Fund established under the Bond Indenture for the application to the payment and redemption of the Series 2022B-2 Bonds as soon as practicable following such deposit; provided, however, that if the amount remaining in the Entrance Fee Fund is less than \$100,000, the Master Trustee shall retain such amounts in the Entrance Fee Fund until the next month.

THIRD, after all the Series 2022B-2 Bonds have been redeemed, on the first Business Day of each month, following the disbursement made pursuant to paragraph FIRST above, if any, the Master Trustee shall review the amount on deposit in the Entrance Fee Fund and shall transfer moneys in the Entrance Fee Fund on such date to the Bond Trustee for deposit into the Entrance Fee Redemption Fund established under the Bond Indenture for the application to the payment and redemption of the Series 2022B-1 Bonds as soon as practicable following such deposit; provided, however, that if the amount remaining in the Entrance Fee Fund is less than \$100,000, the Master Trustee shall retain such amounts in the Entrance Fee Fund until the next month.

After the Series 2022B Bonds have been redeemed and if no Event of Default has occurred and is continuing under the Master Indenture or any Related Loan Document, the Obligated Group need not deposit any Initial Entrance Fees into the Entrance Fee Fund. Upon the satisfaction of such conditions, any amounts on deposit in the Entrance Fee Fund shall be remitted to the Obligated Group and the Entrance Fee Fund shall be closed.

INSURANCE AND CONDEMNATION PROCEEDS

Subject to the next paragraph, any insurance proceeds, condemnation award or payment in lieu of condemnation in an amount more than \$1,000,000 or 3% of the Obligated Group's assets, whichever is greater, shall, at the option of the Obligated Group Representative: (a) be deposited with the Master Trustee in a segregated account to be created by the Master Trustee under the Master Indenture upon receipt of such proceeds from the Obligated Group Representative to apply to the prepayment or redemption of Obligations outstanding, on a pro rata basis; or (b) be applied by the Obligated Group to repair, renovate or rebuild the facilities subject to the payment; or (c) for any other legitimate purpose, in the sole discretion of the Obligated Group Representative; or (d) be applied in any combination of (a), (b) or (c) above. Notwithstanding the foregoing, in the case of the destruction of the Obligated Group's facilities or any portion thereof as a result of fire or other casualty, or any damage to such facilities or portion thereof as a result of fire or other casualty, any related proceeds in an amount more than \$1,000,000 or 3% of the Obligated Group's assets, whichever is greater, shall be applied pursuant to the Deed of Trust in accordance with

clause (b) in this paragraph; provided, however, that in the case of the damage or destruction of at least two-thirds (2/3) of the Book Value of the facilities of the Obligated Group as a result of fire or other casualty, any related proceeds shall be applied pursuant to the Deed of Trust in accordance with subsection (a) or (b) above or any combination of (a) or (b).

Any Member may make agreements and covenants with the holder of any Indebtedness which is incurred in compliance with the provisions of the Master Indenture and which is secured by a Permitted Encumbrance with respect to the application or use to be made of insurance proceeds or condemnation awards which may be received in connection with Property which is subject to such Permitted Encumbrance.

Funds held in any account established by the Master Trustee under the provisions summarized in this caption may be invested in Qualified Investments as directed by the Obligated Group Representative.

DESIGNATION OF PRINCIPAL PROPERTY

The Obligated Group Representative (a) shall monitor the Property of the Members at least annually to determine whether such Property meets the qualifications contained in clause (a) of the definition of Principal Property; and (b) shall determine, at the time a Member is added to the Obligated Group, whether any property of the Member (that will constitute Property upon such Member joining the Obligated Group) satisfies the description contained in clause (a) of the definition of Principal Property. Upon such determination, the Governing Body of the Obligated Group Representative shall designate by resolution such Property as Principal Property under the Master Indenture, and, pursuant to the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — THE OBLIGATED GROUP — Membership in the Obligated Group” above, each Member, upon joining the Obligated Group, shall designate such Property as Principal Property. Any such designation by the Obligated Group Representative is conclusive and binding upon the Members.

ADDITIONS TO EXCLUDED PROPERTY

Exhibit C to the Master Indenture (Description of Excluded Property) may be amended to include additional real property acquired by a Member subsequent to the effective date of the Master Indenture and all improvements, fixtures, tangible personal property and equipment located thereon and used in connection therewith upon the receipt by the Master Trustee of an Officer’s Certificate of such Member stating that (1) such Property is not Principal Property and (2) the total value of such Property included on Exhibit C does not exceed 10% of the total value of Property of the Obligated Group (calculated on the basis of the Book Value of the assets shown on the asset side of the balance sheet in the combined financial statements of the Obligated Group for the most recent Fiscal Year next preceding the date of such amendment to Exhibit C thereto for which combined financial statements reported on by independent certified public accountants are available or, if the Obligated Group Representative so elects, on the basis of Current Value).

PREPARATION OF ACTUARIAL REPORTS

Not less than one time every three Fiscal Years, beginning with the Fiscal Year ending December 31, 2022, the Members of the Obligated Group shall obtain an actuarial report regarding the obligations of the Members of the Obligated Group to provide life care services to residents of the Members' communities. A summary of such report shall be sent to the Master Trustee and each Required Information Recipient with 150 days of the end of each applicable Fiscal Year as required by the Master Indenture. The Master Trustee is not required to review or analyze such actuarial report and shall retain it solely as a repository for the Obligation holders.

DEFAULTS AND REMEDIES

Events of Default. Each of the following events is an Event of Default under the Master Indenture:

(a) Failure on the part of the Obligated Group to make due and punctual payment of the principal of, redemption premium, if any, or interest on an Obligation.

(b) Failure of any Member to duly observe and perform any other covenant or agreement under the Master Indenture (including covenants or agreements contained in any Obligation) for a period of 60 days after the date on which written notice of such failure, requiring the same to be remedied, shall have been given to the Obligated Group Representative by the Master Trustee or to the Obligated Group Representative and the Master Trustee by the holders of 25% in aggregate principal amount of Outstanding Obligations; *provided* that, if in the judgment of the Master Trustee, such default cannot with due diligence and dispatch be wholly cured so that such failure no longer constitutes an "Event of Default" under the Master Indenture within 60 days but can be wholly cured, the failure of the Member to remedy such default within such 60 day period shall not constitute a default under the Master Indenture if the Member shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default, and, having so commenced the curing of such default shall thereafter prosecute and complete the same with due diligence and dispatch within 365 days of the date of delivery of such default notice.

(c) Default by any Member in the payment of any Indebtedness for borrowed moneys (other than an Obligation), whether such Indebtedness now exists or shall hereafter be created, and any period of grace with respect thereto shall have expired, or an Event of Default, as defined in any mortgage, indenture or instrument, under which there may be secured or evidenced any Indebtedness, whether such Indebtedness now exists or shall hereafter be created, shall occur; *provided, however*, that such default shall not constitute an Event of Default within the meaning described under this heading if within 60 days, or within the time allowed for service of a responsive pleading if any proceeding to enforce payment of the Indebtedness is commenced (1) any Member in good faith commences proceedings to contest the existence or payment of such Indebtedness, and (2) sufficient moneys are escrowed with a bank or trust company or a bond is posted for the payment of such Indebtedness.

(d) Entry by a court having jurisdiction of a decree or order for (1) relief with respect to any Member in an involuntary case under any applicable federal or state bankruptcy, insolvency or other similar law now or hereafter in effect, or (2) appointment of a receiver, liquidator, assignee, custodian, trustee, sequestrator (or similar official) for any Member or for any substantial part of the property of any Member, or (3) winding up or liquidation of its affairs, and such decree or order shall remain unstayed and in effect for a period of 60 consecutive days.

(e) Occurrence of the following actions of any Member: (1) commencement of a voluntary case under any applicable federal or state bankruptcy, insolvency or other similar law now or hereafter in effect, (2) consent to the entry of an order for relief in an involuntary case under any such law, or (3) consent to the appointment of or taking possession by a receiver, liquidator, assignee, trustee, custodian, sequestrator (or similar official) of any Member or for any substantial part of its property, or (4) making any general assignment for the benefit of creditors, or (5) failure to generally pay its debts as they become due, or (6) taking any corporate action in furtherance of the foregoing.

(f) An Event of Default shall exist under any Related Bond Indenture or under any Deed of Trust.

Acceleration; Annulment of Acceleration. Upon the occurrence and during the continuation of an Event of Default, the Master Trustee may and, upon (1) the written request of the Holders of not less than 25% in aggregate principal amount of Outstanding Obligations or of any Holder if an Event of Default under the Master Indenture as described in clause (a) under the subheading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — DEFAULTS AND REMEDIES — Events of Default” above has occurred or (2) the acceleration of any Obligation pursuant to the terms of the Related Supplement under which such Obligation was issued, shall, by notice to the Members, declare all Outstanding Obligations immediately due and payable. Upon such declaration of acceleration, all Outstanding Obligations shall become and be immediately due and payable. If the terms of any Related Supplement give a Person the right to consent to acceleration of the Obligations issued pursuant to such Related Supplement, the Obligations issued pursuant to such Related Supplement may not be accelerated by the Master Trustee unless such consent is properly obtained pursuant to the terms of such Related Supplement. In the event of acceleration, an amount equal to the aggregate principal amount of all Outstanding Obligations, plus all interest accrued thereon and, to the extent permitted by applicable law, which accrues on such principal and interest to the date of payment, shall be due and payable on the Obligations.

At any time after the Master Trustee has declared the principal of the Obligations to be due and payable, and before the entry of final judgment or decree in any suit, action or proceeding instituted on account of an Event of Default, the Master Trustee may annul such declaration and its consequences if: (1) the Obligated Group has paid or caused to be paid (or deposited with the Master Trustee moneys sufficient to pay) all payments then due on all Outstanding Obligations (other than the principal or other payments then due only because of such declaration); (2) the Obligated Group has paid (or caused to be paid or deposited with the Master Trustee) moneys sufficient to pay the charges, compensation, expenses, disbursements, advances and liabilities of the Master Trustee and any paying agents; (3) the Obligated Group has paid all other amounts then

payable by the Obligated Group under the Master Indenture (or a sum sufficient to pay the same shall have been deposited with the Master Trustee); and (4) every Event of Default (other than a default in the payment of the principal or other payments of such Obligations then due only because of such declaration) shall have been remedied. No such annulment shall extend to or affect any subsequent Event of Default or impair any right of consequent thereon.

Application of Revenues and Other Moneys After Default. During the continuance of an Event of Default, all moneys received by the Master Trustee pursuant to any right given or action taken under the provisions of the Master Indenture, after payment of the costs and expenses of any action, proceeding or the like resulting in the collection of such moneys and payment of the fees, costs, expenses, advances and all other amounts owed to the Master Trustee, shall be applied as follows:

(a) If the Master Trustee has not declared the principal of all Outstanding Obligations due and payable:

FIRST: To the payment of all installments of interest then due on the Obligations in the order of their due dates, and, if the amount available is not sufficient to pay in full all installments due on the same date, then to the payment thereof ratably, according to the amounts of interest due on such date, without any discrimination or preference; and

SECOND: To the payment of the unpaid installments of principal then due on the Obligations, whether at maturity or by call for redemption, in the order of their due dates, and, if the amount available is not sufficient to pay in full all installments due on the same date, then to the payment thereof ratably, according to the amounts of principal due on such date, to the Persons entitled thereto, without any discrimination or preference.

(b) If the Master Trustee has declared all Outstanding Obligations due and payable (and has not annulled such declaration under the terms of the Master Indenture relating to Events of Default), to the payment of the principal and interest then due and unpaid upon the Obligations and, if the amount available is not sufficient to pay in full the whole amount then due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest, of interest over principal, of any installment over any other installment, or of any Obligation over any other Obligation, according to the amounts due, without any discrimination or preference.

Such moneys shall be applied by the Master Trustee as it shall determine, having due regard for the amount of moneys available for application and the likelihood of additional moneys becoming available in the future. Whenever the Master Trustee shall apply such moneys, it shall fix the date upon which such application is to be made and upon such date interest on the amounts of principal to be paid on such dates shall cease to accrue. The Master Trustee shall give such notices as it may deem appropriate of the deposit with it of any such moneys and of the fixing of any such date. The Master Trustee shall not be required to make payment to the Holder of any

unpaid Obligation until such Obligation (and all unmatured coupons, if any) is presented to the Master Trustee for appropriate endorsement of any partial payment or for cancellation if fully paid.

Whenever all Obligations have been paid under the terms described under this subheading and all expenses and charges of the Master Trustee have been paid, any balance remaining shall be paid to the Person entitled to receive such balance. If no other Person shall be entitled thereto, then the balance shall be paid to the Members, their successors, or as a court of competent jurisdiction may direct.

Master Trustee to Represent Holders. The Master Trustee is irrevocably appointed (and the successive respective Holders of the Obligations, by taking and holding the same, shall be conclusively deemed to have so appointed the Master Trustee) as trustee and true and lawful attorney-in-fact of the Holders of the Obligations for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of the Master Indenture, the Obligations, any Related Supplement and applicable provisions of any other law. In addition to the provisions of the Master Indenture, upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Master Trustee to represent the Holders, the Master Trustee may, and upon the written direction of the Holders of not less than 25% in aggregate principal amount of the Obligations then Outstanding, and upon being indemnified to its satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Master Indenture, or in aid of the execution of any power granted in the Master Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Master Trustee or in such Holders under the Master Indenture, the Obligations, any Related Supplement, or any other law; and upon instituting such proceeding, the Master Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the assets pledged under the Master Indenture, pending such proceedings. All rights of action under the Master Indenture, the Obligations or Related Supplement, or otherwise may be prosecuted and enforced by the Master Trustee without the possession of any of the Obligations or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Master Trustee shall be brought in the name of the Master Trustee for the benefit and protection of all the Holders of such Obligations, subject to the provisions of the Master Indenture.

Holders' Control of Proceedings. If an Event of Default shall have occurred and be continuing, notwithstanding anything in the Master Indenture to the contrary, the Holders of at least a majority in aggregate principal amount of Obligations then Outstanding shall have the right, at any time, by any instrument in writing executed and delivered to the Master Trustee, to direct the method and place of conducting any proceeding to be taken in connection with the enforcement of the terms and conditions of the Master Indenture or for the appointment of a receiver or any other proceedings under the Master Indenture. However, the Master Trustee shall not follow any such direction that is in conflict with any applicable law or the provisions of the Master Indenture or, in the sole judgment of the Master Trustee (which judgment the Master Trustee has no obligation to make), is unduly prejudicial to the interest of Holders not joining in such direction. Nothing in this paragraph shall impair the right of the Master Trustee in its discretion to take any

other action authorized by the Master Indenture that it may deem proper and which is not inconsistent with such direction by Holders. Nothing in the Master Indenture shall affect or impair the rights of any Holder to enforce the payment of principal of, interest on and other amounts due under the Obligation held by such Holder or any agreement or instrument secured by such Obligation, by suit or other action available pursuant thereto or in law or in equity.

Termination of Proceedings. In case any proceeding taken by the Master Trustee on account of an Event of Default is discontinued or abandoned for any reason or is determined adversely to the Master Trustee or to the Holders, then the Members, the Master Trustee and the Holders shall be restored to their former positions and rights under the Master Indenture, and all rights, remedies and powers of the Master Trustee and the Holders shall continue as if no such proceeding had been taken.

Waiver of Event of Default. No delay or omission of the Master Trustee or of any Holder to exercise any right or power accruing upon any Event of Default shall impair any such right or power or shall be construed to be a waiver of or acquiescence to any such Event of Default. Every power and remedy given to the Master Trustee and the Holders under the Master Indenture relating to Events of Defaults may be exercised from time to time and as often as may be deemed expedient by them. The Master Trustee may waive any Event of Default which in its opinion shall have been remedied before the entry of final judgment or decree in any suit, action or proceeding instituted by it under the provisions of the Master Indenture, or before the completion of the enforcement of any other remedy thereunder. Notwithstanding anything contained in the Master Indenture to the contrary, upon the written request of the Holders of at least a majority of the aggregate principal amount of Obligations then Outstanding, the Master Trustee shall waive any Event of Default under the Master Indenture and its consequences; *provided, however*, that, except under the circumstances set forth in the Master Indenture summarized in the second paragraph under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — DEFAULTS AND REMEDIES — Acceleration; Annulment of Acceleration” above, a default in the payment of the principal of, premium, if any, or interest on any Obligation when due may not be waived without the written consent of the Holders of all Outstanding Obligations. If the Master Trustee waives an Event of Default under the Master Indenture, the Members, the Master Trustee and the Holders shall be restored to their former positions and rights. No such waiver shall extend to, or impair any right with respect to any other Event of Default.

Notice of Default. Within ten days after the Master Trustee has actual knowledge or has received written notice of the occurrence of an Event of Default, the Master Trustee shall mail to all Holders notice of such Event of Default, unless such Event of Default shall have been cured before the giving of such notice, subject to conditions set forth in the Master Indenture.

RELATED BOND TRUSTEE OR BONDHOLDERS DEEMED TO BE OBLIGATION HOLDERS

For the purposes of the Master Indenture, unless a Related Bond Trustee elects to the contrary or contrary provision is made in a Related Bond Indenture, each Related Bond Trustee shall be deemed the holder of the Obligation or Obligations pledged to secure the Related Bonds with respect to which such Related Bond Trustee is acting as trustee. If such a Related Bond Trustee so elects or the Related Bond Indenture so provides, the holders of each series of Related

Bonds shall be deemed the holders of the Obligations to the extent of the principal amount of the Obligations to which their bonds relate.

REMOVAL AND RESIGNATION OF THE MASTER TRUSTEE

The Master Trustee may be removed at any time by an instrument or instruments in writing signed by the Holders of not less than a majority of the principal amount of Obligations then Outstanding or, unless an Event of Default has occurred and is then continuing, the Obligated Group Representative.

The Master Trustee may at any time resign by giving written notice of such resignation to the Obligated Group Representative and by giving the Holders of all Obligations then Outstanding notice of such resignation by mail at the addresses shown on the registration books maintained by the Master Trustee.

No such resignation or removal shall become effective unless and until a successor Master Trustee has been appointed and has assumed the trusts created by the Master Indenture. Written notice of removal shall be given to the Members and to each Holder at the address then reflected on the books of the Master Trustee. A successor Master Trustee may be appointed at the direction of the Holders of not less than a majority in aggregate principal amount of Obligations Outstanding, or, if the Master Trustee has resigned or has been removed by the Obligated Group Representative, by the Obligated Group Representative. If a successor Master Trustee has not been appointed and qualified within 60 days of the date notice of resignation or removal is given, the Master Trustee, any Member or any Holder may apply to any court of competent jurisdiction for the appointment of an interim successor Master Trustee to act until such time as a permanent successor is appointed.

Unless otherwise ordered by a court or regulatory body having competent jurisdiction, or unless required by law, any successor Master Trustee shall be a trust company or bank having the powers of a trust company as to trusts, qualified to do and doing trust business in one or more states of the United States of America and having an officially reported combined capital, surplus, undivided profits and reserves (or if the Master Trustee is a subsidiary of such financial institution, the parent institution shall satisfy these requirements) aggregating at least \$50,000,000, if there is such an institution willing, qualified and able to accept the trust upon reasonable or customary terms.

Every successor Master Trustee howsoever appointed under the Master Indenture shall execute, acknowledge and deliver to its predecessor and also to each Member an instrument in writing, accepting such appointment. Upon the delivery of such acceptance, such successor Master Trustee shall, without further action, become fully vested with all the rights, immunities, powers, trusts, duties and obligations of its predecessor. The predecessor Master Trustee shall execute and deliver an instrument transferring to such successor Master Trustee all the rights, powers and trusts of such predecessor Master Trustee. The predecessor Master Trustee shall execute any and all documents necessary or appropriate to convey all interest it may have to the successor Master Trustee. The predecessor Master Trustee shall promptly deliver all records

relating to the trust or copies thereof and communicate all material information it may have obtained concerning the trust to the successor Master Trustee.

Each successor Master Trustee, or Obligated Group Representative, not later than 10 days after its assumption of the duties under the Master Indenture, shall mail a notice of such assumption to each Holder.

SUPPLEMENTS AND AMENDMENTS

Supplements Not Requiring Consent of Holders. The Obligated Group Representative, acting for itself and as agent for each Member, and the Master Trustee may, without the consent of or notice to any of the Holders, enter into one or more Related Supplements, one or more amendments to the Deed of Trust or one or more amendments to any depository account control agreement for one or more of the following purposes: (a) to cure any ambiguity or formal defect or omission in the Master Indenture, in the Deed of Trust or any depository account control agreement; (b) to correct or supplement any provision of the Master Indenture or the Deed of Trust or in any depository account control agreement which may be inconsistent with any other provision therein, or to make any other provisions with respect to matters or questions arising thereunder and which shall not materially and adversely affect the interests of the Holders; (c) to grant or confer ratably upon all of the Holders any additional rights, remedies, powers or authority, or to add to the covenants of and restrictions on the Members; (d) to qualify the Master Indenture under the Trust Indenture Act of 1939, as amended, or corresponding provisions of federal laws from time to time in effect; (e) to create and provide for the issuance of an Obligation or series of Obligations as permitted under the Master Indenture; (f) to obligate a successor to any Member as permitted by the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — CONSOLIDATION, MERGER, SALE OR CONVEYANCE” above; (g) to add a new Member or have a Member withdraw as permitted by the provisions of the Master Indenture summarized under the headings “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — THE OBLIGATED GROUP — Membership in the Obligated Group” and “— Withdrawal from the Obligated Group” above; (h) to provide for the release in accordance with the provisions of the Master Indenture or Deed of Trust of any Property subject to the lien of such Deed of Trust; or (i) to amend any provision of the Master Indenture after a change in GAAP as permitted by the provisions of the Master Indenture such that the Master Indenture and the provisions therein, including any definitions included therein, will equitably reflect such change in GAAP, with the desired result that the criteria for calculating such covenant shall be the same after such change as if such change in GAAP had not been made.

Supplements Requiring Consent of Holders. (a) Other than Related Supplements and amendments to the Deed of Trust or any depository account control agreement referred to in the preceding paragraph, and subject to the terms and provisions and limitations contained in the Master Indenture, the Holders of not less than a majority in aggregate principal amount of the Outstanding Obligations shall have the right to consent to and approve the execution by the Obligated Group Representative, acting for itself and as agent for each Member, and the Master Trustee of such Related Supplements and amendments to the Deed of Trust or any depository account control agreement as shall be deemed necessary and desirable for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or

provisions contained therein. No Related Supplement shall be permitted however, that would: (1) extend the stated maturity of or time for paying interest on any Obligation or reduce the principal amount of or the redemption premium or rate of interest or method of calculating interest payable on any Obligation without the consent of the Holder of such Obligation; (2) modify, alter, amend, add to or rescind any of the terms or provisions under the Master Indenture relating to Events of Default so as to affect the right of the Holders of any Obligations in default as to payment to compel the Master Trustee to declare the principal of all Obligations to be due and payable, without the consent of the Holders of all Obligations then Outstanding; or (3) reduce the aggregate principal amount of Obligations then Outstanding the consent of the Holders of which is required to authorize such Related Supplement without the consent of the Holders of all Obligations then Outstanding.

(b) The Master Trustee may execute a Related Supplement or amendment to the Deed of Trust or any depository account control agreement (in substantially the form delivered to it as described in this paragraph) without liability or responsibility to any Holder (whether or not such Holder has consented to the execution of such Related Supplement or amendment to the Deed of Trust) if the Master Trustee receives: (1) a Request of the Obligated Group Representative to enter into such Related Supplement or amendment to the Deed of Trust; (2) a certified copy of the resolution of the Governing Body of the Obligated Group Representative approving the execution of such Related Supplement or amendment to the Deed of Trust; (3) the proposed Related Supplement or amendment to the Deed of Trust; and (4) an instrument or instruments executed by the Holders of not less than the aggregate principal amount or number of Obligations specified in subsection (a) for the Related Supplement or amendment to the Deed of Trust in question which instrument or instruments shall refer to the proposed Related Supplement or amendment to the Deed of Trust and shall specifically consent to and approve the execution thereof in substantially the form of the copy thereof as on file with the Master Trustee.

SATISFACTION AND DISCHARGE OF MASTER INDENTURE

If (1) the Members shall deliver to the Master Trustee for cancellation all Obligations previously authenticated (other than any Obligations which shall have been mutilated, destroyed, lost or stolen and which shall have been replaced or paid as provided in any Related Supplement) and not cancelled, or (2) upon payment of all Obligations not previously cancelled or delivered to the Master Trustee for cancellation, (3) all Obligations that have not become due and payable and have not been cancelled or delivered to the Master Trustee for cancellation shall be deemed to have been paid and discharged pursuant to the terms of the Supplement under which such Obligations were issued or (4) the Members shall deposit with the Master Trustee (or with a bank or trust company pursuant to an agreement between a Member and such bank or trust company) as cash or Escrow Obligations or both, sufficient to pay at maturity or upon redemption all Obligations not previously cancelled or delivered to the Master Trustee for cancellation, including without limitation principal and interest due or to become due to such date of maturity or redemption date, as the case may be, and if in any case the Members shall also pay or cause to be paid all other sums payable under the Master Indenture by the Members, then the Master Indenture shall cease to be of further effect, and the Master Trustee, on demand of the Members and at the cost and expense of the Members, shall execute proper instruments acknowledging satisfaction of and discharging the Master Indenture. The Members shall cause a report to be prepared by a firm nationally

recognized for providing verification services regarding the sufficiency of funds for such discharge and satisfaction, upon which report the Master Trustee may rely.

SUMMARY OF CERTAIN PROVISIONS OF THE DEED OF TRUST

The following information summarizes certain provisions of the Deed of Trust. Reference is made to the Deed of Trust for a full and complete statement of its provisions.

GRANT IN TRUST

The Trustor irrevocably grants, transfers and absolutely, unconditionally, and irrevocably assigns to the Trustee, in trust, with power of sale and right of entry and possession, the entire right, title and interest of Trustor in and to that certain real property more particularly described in the Deed of Trust (“Land”), all right, title and interest that the Trustor otherwise has or acquires in the Land, together with all right, title and interest that the Trustor has or acquires in:

(a) All buildings, structures, improvements, fixtures, equipment and appurtenances owned, constructed, located, erected, installed or affixed by or on behalf of the Trustor upon or appurtenant to the Land and all replacements and substitutions therefor (“Facilities”);

(b) All appurtenances, improvements, easements, pipes, transmission lines or wires and other rights used in connection with the Land or as a means of access thereto, owned or constructed or placed upon or in the Land or Facilities (“Appurtenances”);

(c) All machinery, equipment, goods and other personal property of the Trustor, whether moveable or not, if the same is (a) located at or used in connection with the Facilities or Appurtenances or (b) financed with the proceeds of Obligations (as defined in the Master Indenture) and all improvements, restorations, replacements, repairs, additions, accessions or substitutions thereto or therefor, including, without limitation, all machinery, equipment, material, furnishings and appliances for generation or distribution of air, water, heat, electricity, light, fuel or refrigeration, for purposes of ventilation, sanitation or drainage, for exclusion of vermin or insects, for removal or disposal of dust, refuse or garbage; all elevators, awnings, window coverings, floor covering, cabinets; all fixed equipment installed in the Land or Facilities which are essential elements of the Facilities and are necessary for their operation and use; the products and proceeds from any and all such property; all the estate, interest, right, title, property or other claim or demand of every nature whatsoever, in and to such property, including specifically, but without limitation, all deposits made with or other security given to utility companies by the Trustor with respect to such property and claims or demands relating to insurance or condemnation awards which the Trustor has or acquires (“Equipment”);

(d) To the extent assignable, all leases, subleases, management agreements, development agreements, construction contracts and architectural agreements with respect to the Land, Facilities, Appurtenances and Equipment (“Leases”);

(e) All rentals or other payments which may accrue or otherwise become payable under the Leases to or for the benefit of the Trustor together with all other income, rents, revenues, issues, profits, reserves, and royalties produced by the Land, Facilities, Appurtenances and Equipment or by all management or service contracts or other contracts affecting the Mortgaged Estate (as defined below), including but not limited to security deposits (collectively the “*Rents*”);

(f) All claims, earnings, products, damages, indemnifications, insurance proceeds and any other proceeds from any and all of such Land, Facilities, Appurtenances, Equipment, Leases and Rents including specifically, but without limitation, all deposits made with or other security given to utility companies and claims or demands relating to insurance (whether or not such insurance is required by Beneficiary) or condemnation awards which the Trustor has or acquires, including all advance payments of insurance premiums made by the Trustor with respect thereto (“*Proceeds*”);

(g) all receipts, revenues, income and other money received by or on behalf of the Trustor from any source whatsoever, including, but not limited to, (a) revenues derived from the operation and possession of each Trustor’s Facilities (as defined in the Master Indenture), including without limitation, all accounts, Entrance Fees (earned and unearned) (as defined in the Master Indenture), if any, monthly service fees and all other operating and non-operating revenues, (b) gifts, bequests, grants, donations and contributions, exclusive of any gifts, bequests, grants, donations or contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Required Payments (as defined in the Master Indenture) or for the payment of operating expenses, and (c) revenues derived from (1) condemnation proceeds, (2) any gain on the sale or other disposition of property by a Member, (3) inventory and other tangible and intangible property, (4) private and governmental health care reimbursement programs and agreements, (5) insurance proceeds, (6) contract rights and other rights now or hereafter owned by the Trustor, and (7) realized investment earnings; and all of the foregoing, whether now existing or hereafter coming into existence and whether now owned or later acquired by the Trustor (“*Gross Revenues*”);

(h) All right, title and interest of the Trustor in all the Trustor’s raw materials, work in process, finished goods and goods held for sale or furnished under contracts of service, and all returned and repossessed goods, and all goods covered by documents of title, including warehouse receipts, bills of lading and all other documents of every type covering all or any part of the Mortgaged Estate, owned or acquired, whether held by the Trustor or any third party, which is located on, appurtenant to, relating to, or used by or useful in connection with the Mortgaged Estate (“*Inventory*”);

(i) All right, title and interest of the Trustor in and to all plans, specifications contracts (including without limitation the architect’s contract and the construction contract for the Facilities to be built on the Land), permits, approvals, licenses, entitlements, rights to develop (including without limitation any and all subdivision approvals, whether preliminary or definitive), site plan approvals, equipment leases, service contracts and agreements, of whatever nature or type, which now or may in the

future pertain to, relate to, affect or be used in connection with, the Facilities, including without limitation any of the foregoing necessary or convenient to the completion, operation, maintenance and management of the Facilities (hereinafter collectively referred to as the “*Approvals*”);

- (j) All general intangibles of the Trustor (“Intangibles”); and
- (k) All proceeds of any of the foregoing.

All of the above referenced Land, Facilities, Appurtenances, Equipment, Leases, Rents, Proceeds, Accounts, Inventory, Approvals and Intangibles and the proceeds thereof, as conveyed by the Deed of Trust to the Trustee or made subject to the security interest described in the Deed of Trust is collectively referred to as the “Mortgaged Estate.”

The Trustor warrants and agrees that as of the date of recording of the Deed of Trust it is not currently bound by any sales agreement, option, assignment, sublease, pledge, mortgage, deed of trust, financing statement, security agreement or any other arrangement regarding the Mortgaged Estate apart from the transactions referenced in or secured by the Deed of Trust and has not nor will execute any document or instrument referring to or covering the Mortgaged Estate, or any part thereof, and no such documents or instruments are on file, recorded or in effect in any public office, other than Permitted Encumbrances (as that term is defined in the Master Indenture), and agrees that the Mortgaged Estate is, and shall be, kept free from any lien, security interest, encumbrance or any other interest other than Permitted Encumbrances, with the exception of any lien for taxes or assessments which are not past due.

SECURED OBLIGATIONS

The grants described under the preceding caption are made for the purpose of securing:

- (a) Payment to the Beneficiary of all amounts due with respect to Obligations issued and outstanding pursuant to the Master Indenture, including, without limitation, repayment of the Series 2022 Obligations or so much thereof as Outstanding, together with interest thereon as specified in the Master Indenture;
- (b) Performance and observance of each and every condition, obligation, covenant, promise and agreement of Trustor contained in the Master Indenture; and
- (c) Payment and performance of each and every obligation, covenant and agreement arising under or contained in the Deed of Trust.

The foregoing obligations are sometimes referred to as the “Secured Obligations.”

PLEDGE OF REVENUES AND PERSONAL PROPERTY: SECURITY AGREEMENT AND FIXTURE FILING

The Deed of Trust shall also constitute a security agreement and the Trustor pledges and grants to the Beneficiary a security interest in and to all of the Mortgaged Estate not constituting

real property under the laws of the State of California (including without limitation, all fixtures, “Personal Property”), whether Trustor obtains an interest in such Personal Property and all the proceeds or products thereof.

Upon an Event of Default (as defined in the Master Indenture) having occurred and which is continuing under the Master Indenture, the Beneficiary shall be entitled to exercise with respect to all such collateral all of the rights and remedies set forth in the Deed of Trust, in the Master Indenture or otherwise afforded to a secured party in default under the terms of Article 9 of the California Uniform Commercial Code or otherwise in accordance with applicable law, any or all of which may be pursued and exercised concurrently, consecutively, alternatively or otherwise without waiving such Event of Default. The Trustor will execute one or more supplemental security agreements as the Beneficiary may from time to time request, covering any property constituting a portion of the Mortgaged Estate and otherwise the collateral securing the Secured Obligations and provide other and further assurances as the Beneficiary may request to perfect or evidence the security interest created in the Deed of Trust (which shall cover all proceeds and products of collateral), including but not limited to, UCC-1 financing statements, UCC continuation statements and deposit control agreements.

The Trustor will pay all costs of filing any financing, continuation or termination statements with respect to the security interest created by the Deed of Trust; and the Beneficiary is appointed the Trustor’s attorney-in-fact to do, at the Beneficiary’s option and at the Trustor’s expense, all acts and things which the Beneficiary may deem necessary to perfect and continue perfected the security interest created by the Deed of Trust. The Beneficiary may execute, sign, endorse, transfer or deliver, in the name of the Trustor, notes, checks, drafts or other instruments for the payment of money and receipts, certificates of origin, certificates of title, applications for certificates of title, or any other documents necessary to evidence, perfect or as permitted under the Deed of Trust realize upon the security interests and secured indebtedness created or secured by the Deed of Trust. This authority shall be considered a power coupled with an interest and shall be irrevocable until all of the Secured Obligations shall have been paid in full.

The Deed of Trust also shall constitute a Uniform Commercial Code financing statement filed as a fixture filing (“Fixture Filing”) for all Personal Property so affixed by or on behalf of the Trustor to the Land so that such Personal Property becomes a fixture.

RESIDENCE AGREEMENTS

Residence Agreements to which the Trustor is a party (“Residence Agreements”) shall be subject to the terms and conditions of the Deed of Trust to the extent that such Residence Agreements are deemed to constitute interests in real property under applicable law; provided, however, that notwithstanding anything contained in the Deed of Trust to the contrary, it is acknowledged by the Trustee and the Beneficiary that any lien with respect to the Residence Agreements and the enforcement thereof by way of any subsequent assignment, transfer, foreclosure, or any other means, is subject to all applicable provisions of all constitutions, statutes, ordinances, rules, regulations and all binding orders, judgments and decrees of any government or political subdivision or any agency, authority, bureau, commission, department or instrumentality of either, or any court, tribunal or arbitrator, in each case whether foreign or domestic.

ACCELERATION UPON DEFAULT

Upon an Event of Default (as defined in the Master Indenture) having occurred and which is continuing under the Master Indenture, the Beneficiary shall have the option of declaring the unpaid balance owing under the Master Indenture and any other sums secured thereby immediately due and payable as provided in the Master Indenture.

COVENANTS OF THE TRUSTOR

For the purpose of protecting and preserving the security of the Deed of Trust, the Trustor promises and agrees to do the following:

(a) to take all action necessary to keep the Mortgaged Estate in good condition and at all times entirely free of dry rot, fungus, termites, beetles and all other wood-boring, wood-eating, harmful or destructive insects, and in all respects properly to care for and keep all of the Mortgaged Estate, including all such buildings, structures and other improvements, in good condition and repair;

(b) not to remove, demolish or substantially alter (except such alterations as may be required by laws, ordinances or regulations) any of the Facilities; provided, however, that the Trustor may make such proper replacements, repairs, renewals, removals and alterations as it shall in good faith reasonably determine are necessary or advisable to maintain or enhance the efficiency and value of the security created by the Deed of Trust;

(c) to complete promptly and in good, businesslike, and workmanlike manner any building or other improvements which may be constructed on the Land, in compliance with all applicable laws and permits, and on a lien-free basis, and in accordance with the standard which is appropriate for structures of similar construction and class, to promptly restore in like manner (to the extent permitted by law) any Facilities which may be damaged or destroyed thereon, and to pay when due all claims for labor performed and materials furnished therefor, provided that the Trustor shall not be required to pay any such claim if it shall in good faith contest the validity thereof and, if so contested, shall provide for the payment thereof in a manner reasonably satisfactory to the Beneficiary, provided that the validity of any claim may be contested only if (i) no lien or encumbrance will attach to the Mortgaged Estate, or any such lien or encumbrance is bonded over in form acceptable to the Beneficiary (ii) no civil or criminal liability will arise as a result of the non-payment thereof (iii) there will be no harm to the lien of the Deed of Trust or the interest of the Trustee and the Beneficiary under the Deed of Trust, (iv) such proceeding shall be permitted under and be conducted in accordance with the provisions of any other instrument to which Trustor is subject and shall not constitute a default thereunder and such proceeding shall be conducted in accordance with all applicable statutes, laws and ordinances; and (v) such contest will not, in Beneficiary's judgment, have a material adverse effect on Trustor.

(d) to comply with all laws, ordinances, regulations, conditions and restrictions affecting the Mortgaged Estate or any part thereof or requiring any alterations or improvements to be made thereon;

(e) not to commit or permit any waste, and not to permit any deterioration, of the Mortgaged Estate other than normal wear and tear;

(f) not to commit, suffer or permit any act to be done in or upon the Mortgaged Estate in violation of any law or ordinance if such act might have consequences that would materially and adversely affect the financial condition, assets, properties or operation of the Trustor;

(g) to provide and maintain hazard and other insurance as required by the Master Indenture;

(h) to appear in, defend and indemnify and hold harmless the Trustee and the Beneficiary from and against any action or proceeding affecting or purporting to affect the security of the Deed of Trust, any additional or other security for any of the obligations secured by the Deed of Trust, or the interest, rights, powers, or duties of the Trustee or the Beneficiary under the Deed of Trust, it being agreed, however, that in the case of an action or proceeding against the Trustee or the Beneficiary, said Trustee or Beneficiary, at its option, may appear in and defend any such action or proceeding and, in addition, it being agreed that the Trustee or Beneficiary may commence any action or proceeding deemed necessary by it to perfect, maintain or protect such interest, rights, powers or duties, all in such manner and to such extent as it may determine in its sole discretion to be appropriate, and the Trustee or Beneficiary is authorized to pay, purchase or compromise on behalf of the Trustor any encumbrance or claim which in its judgment appears or purports to affect the security of the Deed of Trust or to be superior to the Deed of Trust; to pay all costs and expenses, including costs of evidence of title and attorney's fees in a reasonable sum, in any above described action or proceedings in which the Beneficiary or the Trustee may appear;

(i) to pay, and upon request of Beneficiary submit to the Beneficiary at least five (5) days before default or delinquency, a receipt or other evidence of payment, or certified copy thereof, evidencing payment of all taxes, assessments and all other impositions of whatever nature affecting the Mortgaged Estate, and any accrued interest, cost or penalty thereon, provided that the Trustor shall not be required to pay any such tax or assessment if it shall in good faith contest the validity thereof and, if so contested, shall provide for the payment thereof, including any accrued interest, costs or penalties thereon in a manner reasonably satisfactory to the Beneficiary, provided that the validity of any tax, assessment or imposition and the foreclosure or enforcement of any lien that may attach as a result thereof may be contested only if (i) no civil or criminal liability will arise from the nonpayment thereof (ii) there will be no harm to the lien of the Deed of Trust or the interest of the Trustee and the Beneficiary under the Deed of Trust and (iii) such contest shall be permitted under and be conducted in accordance with the provisions of any other instrument to which Trustor is subject and shall not constitute a default thereunder and

such contest shall be conducted in accordance with all applicable statutes, laws and ordinances;

(j) to pay when due all encumbrances (including any debt secured by deed of trust), ground rents, liens or charges on the Mortgaged Estate or any part thereof which appear to be prior or superior to the Deed of Trust, and to pay immediately and in full all such encumbrances, rents, liens or charges, if any, which may now be due or payable; provided that the Trustor shall not be required to pay any such encumbrances, rent, lien or charge if it shall in good faith contest the validity thereof and, if so contested, shall provide for the payment thereof in manner satisfactory to the Beneficiary; provided that such contest shall be permitted under and be conducted in accordance with the provisions of any other instrument to which Trustor is subject and shall not constitute a default thereunder and such contest shall be conducted in accordance with all applicable statutes, laws and ordinances. For purposes of clarification, to the extent any lien, charge or encumbrance falls both within the provisions of the Deed of Trust summarized under this subparagraph (j) (or any other subparagraph under this caption or under the caption "ADDITIONAL COVENANTS OF THE TRUSTOR" below) and also subparagraph (j) under the caption "ADDITIONAL COVENANTS OF THE TRUSTOR" below, subparagraph (j) under the caption "ADDITIONAL COVENANTS OF THE TRUSTOR" below shall govern with respect thereto; and

(k) to pay when due all costs, fees and expenses of these trusts, including costs of evidence of title and the Trustee's fees in connection with sale, whether completed or not, which amounts shall become due upon delivery to the Trustee of declaration of default and demand for sale, as provided in the Deed of Trust.

ADDITIONAL COVENANTS OF THE TRUSTOR

(a) Payment under the Master Indenture. The Trustor shall pay to the Beneficiary the principal, and premium, if any, of and the interest on the entire unpaid principal indebtedness represented by the Master Indenture and the other amounts required to be paid pursuant thereto, including all sums due the Beneficiary under the terms of the Deed of Trust and the Master Indenture, together with all interest thereon, punctually as and when the same shall become due by the terms of the Master Indenture and the Deed of Trust, time being of the essence.

(b) Observance and Performance. The Trustor will observe and perform all of the terms, provisions, conditions, covenants and agreements on the part of the Trustor to be observed and performed under the Master Indenture.

(c) Title of Trustor. The Trustor warrants and covenants that it has good and marketable fee simple title in the Land and good and marketable title to the remainder of the Mortgaged Estate; and it is lawfully authorized to mortgage and encumber the Mortgaged Estate and that it has not created and will not create any liens or encumbrances on the Mortgaged Estate other than the Deed of Trust and the Permitted Encumbrances. The Trustor covenants to warrant and defend the title to the Mortgaged Estate unto the

Trustee and the Beneficiary against all persons and all claims of every kind or nature other than the Permitted Encumbrances.

(d) Repairs and Maintenance. Throughout the term of the Deed of Trust, the Trustor, at its sole cost and expense, will take good care of the Mortgaged Estate and the sidewalks, curbs and vaults, if any, adjoining the Mortgaged Estate and will keep the same in good order and condition, and make all necessary repairs thereto, interior and exterior, structural and non-structural, ordinary and extraordinary, and unforeseen and foreseen. All repairs made by the Trustor shall be at least equal in quality and class to the original work. The necessity for and adequacy of repairs to the buildings and improvements pursuant to the Deed of Trust shall be measured by the standard which is appropriate for structures of similar construction and class, provided that the Trustor shall in any event make all repairs necessary to avoid any structural damage or injury to the buildings and improvements to keep the buildings and improvements in a proper condition for their intended uses. All proceeds of condemnation or insurance shall be applied pursuant to the Master Indenture.

(e) No Transfer of Mortgaged Estate. Unless the Beneficiary shall have consented in writing, the Trustor shall not by deed, mortgage, pledge, lease, easement or other instrument, grant, mortgage, pledge, lease, convey, assign, devise or otherwise transfer all or any part of the Mortgaged Estate or any interest therein, directly or indirectly, other than a lease, conveyance, assignment or transfer permitted under the terms of the Master Indenture, nor shall the Trustor suffer or permit the same by execution sale or operation of law or otherwise.

(f) No Set-Offs. The Trustor represents to the Beneficiary that it has no knowledge of any set-offs, recoupments, counterclaims or defenses to the principal indebtedness secured by the Deed of Trust, or to any part thereof, or the interest thereon, either at law or in equity. The Trustor, within fifteen (15) days after written request by the Beneficiary, will furnish a duly acknowledged written statement in form satisfactory to the Beneficiary stating either that the Trustor knows of no set-offs, recoupments or defenses existing against the Secured Obligations or the Master Indenture or, if such set-offs, recoupments, counterclaims or defenses are alleged to exist, the nature and extent thereof.

(g) Change in Tax Status. In the event of the passage after the date of the Deed of Trust of any law of the State of California, or any other governmental entity, changing in any way the laws now in force for the taxation of mortgages, deeds of trust or debts secured thereby, for state or local purposes, or the manner of the operation of any such taxes, so as to affect the interest of the Trustee or the Beneficiary, then and in such event, the Trustor shall bear and pay the full amount of such taxes, provided that if for any reason payment by the Trustor of any such new or additional taxes would be unlawful or if the payment thereof would constitute usury or render the loan or indebtedness secured by the Deed of Trust wholly or partially usurious under any of the terms or provisions of the Master Indenture, or the Deed of Trust, or otherwise, the Trustee or the Beneficiary may, at its option, declare the whole sum secured by the Deed of Trust, with interest thereon, to be due and payable sixty (60) days after notice thereof, or the Trustee or the Beneficiary may, at its option, pay that amount or portion of such taxes as renders the loan or indebtedness secured by the

Deed of Trust unlawful or usurious, in which event the Trustor shall concurrently therewith pay the remaining lawful and nonusurious portion or balance of said taxes.

(h) Further Action By Trustor. The Trustor shall at its expense promptly upon request of the Beneficiary do all acts and things, including but not limited to the execution of any further assurances deemed necessary by the Beneficiary to establish, confirm, maintain and continue the lien created and intended to be created by the Deed of Trust, all assignments made or intended to be made pursuant to the Deed of Trust and all other rights and benefits conferred or intended to be conferred on the Beneficiary by the Deed of Trust, and the Trustor shall pay all costs incurred by the Beneficiary and the Trustee in connection therewith, including all filing and recording costs, costs of searches, and reasonable attorneys' fees incurred by the Beneficiary and the Trustee.

(i) Protection of Mortgage Lien. Subject to the right to contest in good faith in the same manner as described in subparagraph (c) under the caption "COVENANTS OF THE TRUSTOR" above, the Trustor will promptly perform and observe, or cause to be performed and observed, all of the terms, covenants and conditions of all instruments of record affecting the Mortgaged Estate, non-compliance with which may affect the security of the Deed of Trust, or which may impose any duty or obligation upon the Trustor or any sublessee or other occupant of the Mortgaged Estate or any part thereof, noncompliance with which may affect the security of the Deed of Trust, and the Trustor shall do or cause to be done all things necessary to preserve intact and unimpaired any and all easements, appurtenances and other interests and rights in favor of or constituting any portion of the Mortgaged Estate.

(j) Payment of Liens. Subject to the right to contest in good faith in the manner as described in subparagraph (c) under the caption "COVENANTS OF THE TRUSTOR" above, the Trustor shall pay, when the same shall become due and payable, all lawful claims and demands of mechanics, materialmen, laborers and others which, if unpaid, might result in or permit the creation of a lien on the Mortgaged Estate or any part thereof. If the Trustor shall fail to make the payments required by the previous sentence, the Beneficiary may at its option, but shall be under no obligation to do so, pay such claims and demands and the Trustor will repay to the Beneficiary on demand any amount so paid by the Beneficiary, with interest therein as set forth in the Master Indenture, and the same shall be secured by the Deed of Trust.

ENTRY, POSSESSION, OPERATION OF MORTGAGED ESTATE

Upon an Event of Default (as defined in the Master Indenture) having occurred and which is continuing under the Master Indenture, then the Trustee or the Beneficiary, in its sole discretion, without notice to or demand upon the Trustor and without releasing the Trustor from any obligation of the Deed of Trust, is authorized to do and may do any of the following:

(i) make any such payment or do any such act in such manner and to such extent as it may deem, acting reasonably, necessary to protect the security of the Deed of

Trust, the Trustee and the Beneficiary being authorized to enter upon the Mortgaged Estate for such purposes;

(ii) pay, purchase, contest or compromise any claim, debt, lien, charge or encumbrance which in the judgment of the Trustee or the Beneficiary is likely to affect or appear to affect the security of the Deed of Trust, the interest of the Beneficiary or the rights, powers or duties of the Trustee or the Beneficiary under the Deed of Trust; or

(iii) either by itself or by its agents appointed by it for that purpose, enter into and upon and take and hold possession of any or all of the Mortgaged Estate, exclude the Trustor and all other persons therefrom, and operate, construct and manage the Mortgaged Estate, and rent and lease the same and collect any and all Gross Revenues, Rents, issues, income and profits therefrom, and from time to time apply the same or accumulate the same for application, in such order and manner as the Trustee or the Beneficiary in its sole discretion shall consider advisable, to the following: costs of collecting the same, including the Trustee's reasonable fees in so doing; the necessary and proper costs of upkeep, maintenance, repair, and operation of the Mortgaged Estate; the repayment of any sums theretofore or thereafter advanced pursuant to the terms of the Deed of Trust; the interest and principal then due on any Secured Obligations or coming due within ten (10) days of such application; and the taxes and assessments upon the Mortgaged Estate then due or coming due within ten (10) days of such application.

The collection or receipt of Gross Revenues or Rents from the Mortgaged Estate by the Trustee or the Beneficiary after declaration of default and election to cause the Mortgaged Estate to be sold under and pursuant to the terms of the Deed of Trust shall not affect or impair such default or declaration of default or election to cause the Mortgaged Estate to be sold or any sale proceedings predicated thereon, but such proceedings may be conducted and sale effected notwithstanding the receipt or collection of any such Gross Revenues or Rents. Any such Gross Revenues or Rents in the possession of the Trustee or the Beneficiary at the time of sale and not theretofore applied as provided in the Deed of Trust, shall be applied in the same manner and for the same purposes as the proceeds of the sale.

The Trustee and the Beneficiary shall not be under any obligation to make any of the payments or do any of the acts above mentioned or pay or perform any other obligation under the Deed of Trust which the Trustor has failed to pay or perform, but, upon election so to do, sums so spent shall be added to the Secured Obligations. In addition, employment of an attorney is authorized and payment of such reasonable attorney's fees and costs and all other necessary expenditures is also secured by the Deed of Trust.

POWER OF SALE

Upon an Event of Default (as defined in the Master Indenture) having occurred and which is continuing under the Master Indenture, the Trustee, upon written request by the Beneficiary, shall declare all Secured Obligations immediately due and payable.

Having so declared, if requested by Beneficiary, the Trustee shall provide and record such notices of default and of the election to cause the Mortgaged Estate or any part of it to be sold as are required by law.

The Trustee, upon written request by the Beneficiary, from time to time before the Trustee's sale, may rescind any such notice of default and of election to cause to be sold the Mortgaged Estate and may execute a written notice of such a rescission, which notice, when recorded, shall also constitute a cancellation of any prior declaration of default and demand for sale. The exercise of such right of rescission shall not constitute a waiver of any breach or default then existing or subsequently occurring or impair the right of the Beneficiary to execute and deliver to the Trustee, as above provided, other requests for notices of default and of election to cause to be sold the Mortgaged Estate to satisfy the obligations of the Deed of Trust, nor otherwise affect any provision, covenant or condition of the Deed of Trust or any of the rights, obligations or remedies of the parties under the Deed of Trust.

Not less than the time then required by law having elapsed after recordation of notice of default, without demand on the Trustor, the Trustee, having first given notice of sale as then required by law, shall sell the Mortgaged Estate in the manner provided by law at the time and place of sale fixed by it in the notice of sale, provided that the Trustee may postpone sale of all or any portion of the Mortgaged Estate in the manner provided by law. In case of any sale under the Deed of Trust, the Mortgaged Estate (and Trustor's interests therein) may be sold in one parcel and as an entirety or in such parcels (or interests), manner or order as the Beneficiary in its sole discretion may elect.

The Trustee shall deliver to the purchaser its deed conveying the Mortgaged Estate so sold, but without any covenant or warranty, express or implied, and the recitals in such deed of any matters or facts affecting the regularity or validity of the sale shall be conclusive proof of the truthfulness thereof. Also, such deed shall be conclusive against all persons as to all matters or facts therein recited. Any person, including the Trustor, the Trustee and the Beneficiary, may purchase at such sale.

The Trustee shall apply the proceeds of any such sale to payment of: (1) all costs, fees, charges and expenses of the Trustee and of these trusts, and fees and costs of any attorneys employed by the Trustee or the Beneficiary pursuant to the provisions of the Deed of Trust; (2) the Trustee's fees in connection with the sale, and all expenses of sale, including the cost of procuring evidence of title in connection with the sale proceedings and revenue stamps on the Trustee's deed, if any; and (3) all other sums secured thereby, including interest on each of the foregoing items, all in accordance with the Master Indenture. The remainder, if any, of such proceeds, shall be paid to the person or persons legally entitled thereto, upon proof satisfactory to the Trustee of such right.

In connection with any exercise by Trustee of its power of sale and conduct by the Trustee of a non-judicial foreclosure proceeding and sale, the Beneficiary and the Trustee shall have all of the rights, powers, privileges and immunities available under California law, including, but not limited to, rights and options to postpone any noticed sale date, to enter a credit bid based upon obligations owed under, or secured by, the Deed of Trust, and to be the buyer of all, or some portion of, or an interest in, the Mortgaged Estate at any such non-judicial foreclosure sale.

ADDITIONAL REMEDY PROVISIONS

Other Remedies. In addition to the rights and remedies set forth in or arising under the Deed of Trust, upon an Event of Default (as defined in the Master Indenture) having occurred and which is continuing under the Master Indenture, the Trustee and the Beneficiary shall be entitled to exercise any and all other rights and remedies under the Master Indenture and at law or in equity.

Receivership. Subject to applicable law, the Beneficiary itself or acting through the Trustee shall be entitled to the appointment of a receiver without the necessity of proving either the inadequacy of the security or the insolvency of the Trustor or any other person who may be legally or equitably liable to pay moneys secured by the Deed of Trust and the Trustor and each such person shall be deemed to have waived such proof and to have consented to the appointment of such receiver. The receiver shall have the power to use all materials on or near the Mortgaged Estate which are the property of the Trustor in the completion of the Facilities, and the Trustor agrees to pay the receiver all sums expended in good faith by the receiver in the management, operation or completion of the Facilities, and in addition thereto, the Trustor agrees to reimburse the receiver for the costs of services rendered by consultants, advisors, accountants, managers and others retained by the receiver in connection with said completion and operation. The foregoing shall be deemed to authorize, but not obligate, the receiver to do all such things in connection with the management and operation of the Facilities and completion of the construction as it, in its sole discretion, upon the direction of the Beneficiary, deems advisable, including without limitation the right to make any payments with respect to any obligation of the Trustor or any other person in connection with the construction to be performed under the Deed of Trust, to make additions and changes in the plans and specifications, to employ contractors, subcontractors and agents, to pay, settle or compromise existing bills and claims which are or may be liens against the Mortgaged Estate or may be necessary or desirable for the completion of the Facilities or the clearance of title, to purchase and maintain insurance, including title insurance, and to take any and all such action, either in its own name or in the name of the Trustor, to lease or license the Mortgaged Estate to others, in whole or in part, subject to the Master Indenture; and the Trustor by the Deed of Trust appoints the receiver and its agents its irrevocable attorney-in-fact, coupled with an interest, with full power of substitution, to act in its name in connection with the foregoing. Said attorney-in-fact shall also have power to prosecute and defend all actions or proceedings in connection with the construction of the Facilities and to take such action and require such performance as is deemed necessary. In the event that the receiver takes possession of the Mortgaged Estate and assumes control of such construction as aforesaid, it shall not be obligated to continue such construction longer than the receiver or the Beneficiary shall see fit and may and shall, upon the direction of the Beneficiary, in its sole discretion, thereafter at any time abandon such construction and refuse to make further payments for the account of the Trustor, whether or not the Facilities have been completed. The receiver may also, and shall, upon the direction of the Beneficiary, demolish any improvements which have been constructed as part of the Facilities on the Mortgaged Estate, either in whole or in part.

Remedies Cumulative. Each right and remedy of the Beneficiary and/or the Trustee provided for in the Deed of Trust shall be cumulative and shall be in addition to every other right or remedy provided for in the Deed of Trust or the Master Indenture or existing at law, or in equity or by statute or otherwise,

Advances by Trustee or the Beneficiary. Nothing contained in the Deed of Trust or in the Master Indenture shall be deemed to give the Trustor any cause of action against the Beneficiary or the Trustee for failure to cure or perform any obligation of the Trustor under the Deed of Trust or in the Master Indenture.

No Waiver Implied. Any failure, forbearance or delay by the Trustee or the Beneficiary in insisting upon the strict performance by the Trustor of any of the terms, covenants, agreements, conditions and provisions of the Deed of Trust shall not be deemed to be a waiver of any of the terms, covenants, agreements, conditions and provisions of the Deed of Trust, and the Trustee and the Beneficiary notwithstanding any such failure, forbearance or delay, shall have the right thereafter to insist upon the strict performance by the Trustor of any and all of the terms, covenants, agreements, conditions, and provisions of the Deed of Trust to be performed by the Trustor. Neither the Trustor, nor any other person obligated for the payment of the whole or any part of the sums secured by the Deed of Trust shall be relieved of such obligation by reason of the failure of the Trustee or the Beneficiary to comply with any request of the Trustor or of any other person so obligated to take action to foreclose the Deed of Trust or otherwise enforce any of the provisions of the Deed of Trust or of any obligations secured by the Deed of Trust, or by reason of the release, regardless of consideration, of the whole or any part of the security held for the indebtedness secured by the Deed of Trust, or by reason of any agreement or stipulation between any subsequent owner or owners of the Mortgaged Estate and the Trustee or the Beneficiary extending the time of payment or modifying the terms of the Master Indenture or the Deed of Trust without first having obtained the consent of the Trustor or such other person, and in the latter event, the Trustor and all such other persons shall continue to be liable to make such payments according to the terms of any such agreement or extension or modification unless expressly released and discharged in writing by the Beneficiary. Regardless of consideration, and without the necessity for any notice to or consent by the holder of any subordinate lien on the Mortgaged Estate, the Beneficiary may release the obligation of anyone at any time liable for any of the Secured Obligations or any part of the security held for the indebtedness and may extend the time for payment or otherwise grant indulgences, modify the terms of the Master Indenture or the Deed of Trust, or both, without, as to the security or the remainder thereof, in any way impairing or affecting the lien of the Deed of Trust or the priority of such lien, as security for the payment of the indebtedness as it may be so extended or modified, over any subordinate lien. For the payment of the Secured Obligations, the Trustee and the Beneficiary may resort to any other security therefor held by the Trustee or the Beneficiary in such order and manner as the Beneficiary may elect.

SATISFACTION AND RECONVEYANCE

In accordance with the terms of the Master Indenture and upon written request of the Beneficiary and payment of all fees owing the Trustee, the Trustee shall reconvey and release, without warranty, the Mortgaged Estate, it being further agreed that the recitals in such reconveyance and release of any matters or facts shall be conclusive proof of the truthfulness thereof and that the grantee in any reconveyance may be described as “the person or persons legally entitled thereto.”

AMENDMENTS

The Deed of Trust may be amended, changed, modified or terminated at any time by the written consent of the Beneficiary and the Trustor.

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APPENDIX D

SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT

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APPENDIX D

SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT

The following is a summary of certain provisions of the Bond Indenture and the Loan Agreement that are not described elsewhere in this Official Statement. The Bonds are issued and secured pursuant to the Bond Indenture, the Loan Agreement and the Obligations. These summaries do not purport to be comprehensive and reference should be made to the Bond Indenture and the Loan Agreement for a full and complete statement of their provisions.

Unless the context otherwise requires, the terms defined in this summary shall, for all purposes of this summary, have the meanings herein specified, to be equally applicable to both singular and plural forms of any of the terms herein defined. Unless otherwise defined in this summary, all terms used herein or elsewhere in the Official Statement shall have the meanings assigned to such terms in the Bond Indenture.

DEFINITIONS OF CERTAIN TERMS

“Act” means the Joint Exercise of Powers Act, constituting Chapter 5 of Division 7 of Title 1 of the Government Code of the State of California, as now in effect and as it may from time to time thereafter be amended or supplemented.

“Additional Payments” means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Administrative Fees and Expenses” means any application, commitment, financing or similar fee charged, or reimbursement for administrative or other expenses incurred, by the Authority or the Bond Trustee.

“Authority” means the California Municipal Finance Authority, or its successors and assigns.

“Authorized Representative” means, (1) with respect to the Corporation, its chairman of the board, president, chief executive officer, chief financial officer, treasurer or any other person designated as an Authorized Representative by a Certificate signed by one of the above parties and filed with the Bond Trustee, and (2) with respect to the Authority, any Member of the Board of Directors of the Authority or the Executive Director of the Authority, or any other person designated as an Authorized Representative by a certificate signed by a member of the Board or such Executive Director and filed with the Bond Trustee.

“Beneficial Owner” means any Person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any of the Bonds (including any Person holding Bonds through nominees, depositories or other intermediaries).

“Bond Indenture” means the Bond Indenture, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Bond Indenture.

“Bond Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association duly organized and existing under the laws of the United States of America, or its successor, as Bond Trustee as provided in the Bond Indenture.

“Bond Year” means the period of twelve consecutive months ending on September 30 in any year in which Bonds are Outstanding, except for the initial Bond Year which commences on the date the Bonds are issued.

“Bonds” means, collectively, the Series 2022A Bonds and the Series 2022B Bonds.

“Business Day” means a day that is not a Saturday, Sunday or legal holiday on which banking institutions in the State of California, the State of New York or in any state in which the office of the Master Trustee or the Bond Trustee is located are authorized to remain closed or a day on which the New York Stock Exchange is closed.

“Capitalized Interest Account” means the account by that name created under the Bond Indenture.

“Certificate,” “Statement,” “Request,” “Requisition” and “Order” of the Authority or the Corporation, mean, respectively, a written certificate, statement, request, requisition or order signed in the name of the Authority by an Authorized Representative of the Authority, or in the name of the Corporation by an Authorized Representative of the Corporation. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument.

“Continuing Disclosure Agreement” means that certain Continuing Disclosure Agreement, by the Corporation, as originally executed and as it may be amended in accordance with its terms.

“Corporate Trust Office” means the office of the Bond Trustee, which as of the date hereof is located at 333 South Hope Street, Suite 2525, Los Angeles, CA 90071, Attention: Corporate Trust Department, or such other or additional offices as shall be specified by the Bond Trustee in writing delivered to the Authority and the Corporation; provided that, solely for the purpose of the presentation of the Bonds for payment, transfer or exchange, the Corporate Trust Office shall be such corporate trust agency or operations office designated by the Bond Trustee.

“Corporation” means Congregational Homes, Inc., doing business as Mt. San Antonio Gardens, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under the Master Indenture.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the Authority or the Corporation and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to advertising and printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of the Bond Trustee and the Master Trustee, initial and ongoing fees and charges of the Authority, legal fees and charges, fees and disbursements of consultants and professionals, rating agency fees, fees and charges for preparation, execution, transportation and safekeeping of the Bonds, and any other cost, charge or fee in connection with the original issuance of the Bonds.

“Costs of Issuance Fund” means the fund so designated and established pursuant to the Bond Indenture.

“Date of Issuance” means the date the Bonds are issued.

“Entrance Fee Redemption Fund” means the account of such name created in the Bond Indenture.

“Entrance Fee Redemption Date” means the twenty-fifth (25th) day of each calendar month.

“Entrance Fee Transfer Date” means the first Business Day of each calendar month prior to the termination of the Entrance Fee Fund pursuant to Supplement No. 2.

“Event of Default” means any of the events described under the caption “BOND INDENTURE—Events of Default.”

“Facilities” means the senior living communities owned and operated by the Corporation, as more particularly described in the Loan Agreement.

“Fitch” means Fitch Ratings, its successors and assigns, or, if such entity shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Bond Trustee.

“Holder” or “Bondholder,” whenever used with respect to a Bond, means the Person in whose name such Bond is registered.

“Interest Account” means the account by that name established in the Revenue Fund pursuant to the Bond Indenture.

“Interest Payment Date” means May 15 and November 15 of each year, commencing May 15, 2022.

“Investment Securities” means any of the following:

- (A) United States Government Obligations;
- (B) Obligations of any of the following federal agencies which obligations represent the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):
 - (1) U.S. Export-Import Bank (Eximbank Direct obligations or fully guaranteed certificates of beneficial ownership);
 - (2) Farmers Home Administration;
 - (3) Federal Financing Bank;
 - (4) Federal Housing Administration Debentures;
 - (5) General Services Administration;
 - (6) Government National Mortgage Association (“GNMA”) (including guaranteed mortgage-backed bonds and guaranteed pass-through obligations);
 - (7) Small Business Administration;

- (8) U.S. Maritime Administration (guaranteed Title XI financing); and
- (9) U.S. Department of Housing and Urban Development (including project notes, local authority bonds, new communities debentures, U.S. government guaranteed debentures, U.S. Public Housing Notes and Bonds and U.S. government guaranteed public housing notes and bonds;
- (C) Debentures, bonds, notes or other evidence of indebtedness issued or guaranteed by any of the following U.S. government agencies which obligations are not fully guaranteed by the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):
- (1) Federal Home Loan Bank System (senior debt obligations);
- (2) Resolution Funding Corporation (REFCORP) obligations;
- (3) Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”) senior debt obligations or participation certificates;
- (4) Federal National Mortgage Association (FNMA or “Fannie Mae”) mortgage-backed securities and senior debt obligations; and
- (5) Farm Credit System – consolidated systemwide bonds and notes;
- (D) Money market mutual funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having at the time of purchase a rating by S&P of AAAm-G; AAA-m; or AA-m and, if rated by Moody’s, rated Aaa, Aa1 or Aa2, including funds for which the Bond Trustee and its affiliates retain a fee for services provided to the fund, whether as custodian, transfer agent, investment advisor or otherwise;
- (E) Certificates of deposit (including those placed by a third-party pursuant to a separate agreement between the Corporation and the Bond Trustee) secured at all times by collateral described in paragraph (A) above if issued by commercial banks, savings and loan associations or mutual savings banks; the collateral must be held by a third party and the Bond Trustee, on behalf of the Bondholders, must have a perfected first security interest in such collateral;
- (F) Certificates of deposit (including those placed by a third-party pursuant to a separate agreement between the Corporation and the Bond Trustee), savings accounts, deposit accounts or money market deposits, other deposit products, trust funds, trust accounts, overnight bank deposits, interest bearing deposits, interest bearing money market accounts, which are (i) fully insured by the FDIC or (ii) rated in the highest rating category by Moody’s or S&P, including BIF and SAIF (including those of the Bond Trustee and its affiliates);
- (G) Commercial paper which is rated at the time of purchase “P-1” or better by Moody’s and “A-1” or better by S&P;
- (H) Municipal obligations issued by any state or municipality which at the time of purchase have a rating by both Moody’s and S&P in one of the two highest Rating Categories by such rating agencies;
- (I) Federal funds or bankers acceptances with a maximum term of one year of any bank or bank deposit products which at the time of investment has an unsecured, uninsured and unguaranteed

obligation rating of “Prime – 1” or “A3” or better by Moody’s and “A-1” or “A” or better by S&P (including those of the Bond Trustee and its affiliates);

(J) Repurchase agreements fully secured by collateral security described in clauses (A), (B), (C), or (H) of this definition, which agreements may be entered into with a bank (including the Bond Trustee or its affiliates), a trust company, financial services firm or a broker dealer which is a member of the Securities Investors Protection Corporation, provided that the collateral (i) is held by the Bond Trustee or a third party agent during the term of such repurchase agreement, (ii) is not, pursuant to the terms of such agreement, subject to liens or claims of third parties and (iii) has a market value, calculated no less frequently than monthly, of not less than the amount invested;

(K) Investment agreements with any financial institution that at the time of investment has long-term obligations rated in one of the three highest Rating Categories by each Rating Agency then rating both the Bonds and such obligations (but in all cases by at least one Rating Agency then rating the Bonds); and

(L) Bonds, notes, debentures or other bonds, notes, debentures or other evidences of indebtedness issued or guaranteed by a corporation which are, at the time of purchase, rated by any Rating Agency in any of the three highest Rating Categories.

“Loan Agreement” means the Loan Agreement, by and between the Authority and the Corporation, dated as of February 1, 2022, as originally executed and as it may from time to time be supplemented, modified or amended in accordance with the terms thereof and of the Bond Indenture.

“Loan Default Event” means any of the events described under the caption “LOAN AGREEMENT—Events of Default” below.

“Loan Repayments” means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Mandatory Sinking Account Payment” means the amount required by the Bond Indenture to be paid on any single date for the retirement of Term Bonds.

“Master Indenture” means that certain Master Trust Indenture, dated as of July 1, 2019, as supplemented, between the Corporation and the Master Trustee, as originally executed and as it has been and may from time to time be supplemented, modified or amended in accordance with the terms thereof.

“Master Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association duly organized and existing under the laws of the United States of America, or its successor, as master trustee under the Master Indenture.

“Moody’s” means Moody’s Investors Service, its successors and assigns, or, if such entity shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Bond Trustee.

“Obligations” means Obligation No. 2 and Obligation No. 3 and any other note payable to the Authority issued under the Master Indenture pursuant to the Loan Agreement, evidencing the Corporation’s obligation to make loan repayments, including without limitation, any replacement or substitute obligation substituted therefor pursuant to a supplement to the Master Indenture.

“Opinion of Counsel” means a written opinion of counsel (who may be counsel for the Authority) selected by the Corporation and not objected to by the Authority or the Bond Trustee.

“Optional Redemption Account” means the account by that name in the Redemption Fund established pursuant to the Bond Indenture.

“Outstanding,” when used as of any particular time with reference to Bonds, means all Bonds theretofore, or thereupon being, authenticated and delivered by the Bond Trustee under the Bond Indenture except: (1) Bonds theretofore cancelled by the Bond Trustee or surrendered to the Bond Trustee for cancellation; (2) Bonds with respect to which all liability of the Authority shall have been discharged in accordance with the Bond Indenture; and (3) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Bond Trustee pursuant to the Bond Indenture.

“Person” means an individual, corporation, firm, association, partnership, trust or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

“Principal Account” means the account by that name established in the Revenue Fund pursuant to the Bond Indenture.

“Principal Payment Date” means, with respect to a Bond, the date on which principal on the Bonds is due and payable, whether by reason of at maturity or upon redemption from Mandatory Sinking Account Payments.

“Project” means the construction, redevelopment, improvement, equipping and furnishing of new independent living units, and related facilities and amenities at the Corporation’s Facilities.

“Project Fund” means the fund so designated and established pursuant to the Bond Indenture.

“Rating Agency” means S&P, Moody’s, Fitch or any national rating agency then rating the Bonds.

“Rating Category” means one of the general rating categories of a Rating Agency without regard to any refinement or gradation of such rating category by numerical modifier or otherwise.

“Rebate Fund” means the fund by that name established pursuant to the Bond Indenture.

“Redemption Fund” means the fund so designated and established pursuant to the Bond Indenture.

“Redemption Price” means, with respect to any Bond (or portion thereof), the principal amount of such Bond (or portion) plus the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such Bond and the Bond Indenture.

“Revenue Fund” means the fund by that name established pursuant to the Bond Indenture.

“Revenues” means all amounts received by the Authority or the Bond Trustee for the account of the Authority pursuant or with respect to the Loan Agreement or the Obligations, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments, any late charges, and whether paid from any source), amounts deposited into the Entrance Fee Redemption Fund pursuant to the Bond Indenture, prepayments, insurance proceeds, condemnation

proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Bond Indenture, but not including any Additional Payments or Administrative Fees and Expenses or any moneys required to be deposited to the Rebate Fund.

“*S&P*” means S&P Global Ratings, its successors and assigns, or, if such entity shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Bond Trustee.

“*Securities Depository*” means The Depository Trust Company and its successors and assigns, or any other Securities Depository selected as set forth in the Bond Indenture which agrees to follow the procedures required to be followed by such Securities Depository in connection with the Bonds.

“*Series 2022A Bonds*” means the California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022A, authorized by, and at any time Outstanding pursuant to, the Bond Indenture.

“*Series 2022B Bonds*” means, collectively, the Series 2022B-1 Bonds and the Series 2022B-2 Bonds.

“*Series 2022B-1 Bonds*” means the California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-1 Tax Exempt Mandatory Paydown Securities (TEMPS-85SM), authorized by, and at any time Outstanding pursuant to, the Bond Indenture.

“*Series 2022B-2 Bonds*” means the California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-2 Tax Exempt Mandatory Paydown Securities (TEMPS-50SM), authorized by, and at any time Outstanding pursuant to, the Bond Indenture.

“*Sinking Account*” means each subaccount in the Principal Account so designated and established pursuant to the Bond Indenture.

“*Special Redemption Account*” means the account by that name in the Redemption Fund established pursuant to the Bond Indenture.

“*Supplemental Bond Indenture*” means any indenture duly authorized and entered into between the Authority and the Bond Trustee, supplementing, modifying or amending the Bond Indenture; but only if and to the extent that such Supplemental Bond Indenture is specifically authorized under the Bond Indenture.

“*Supplement No. 2*” means that certain Second Supplemental Master Trust Indenture, dated as of February 1, 2022, between the Corporation and the Master Trustee, supplementing the Master Indenture, as the same may be amended or supplemented in accordance with its terms.

“*Tax Certificate*” means the Tax Certificate and Agreement delivered by the Authority and the Corporation at the time of issuance and delivery of the Bonds, as the same may be amended or supplemented in accordance with its terms.

“*Term Bonds*” means the Bonds payable at or before their specified maturity date or dates from Mandatory Sinking Account Payments established for the purpose and calculated to retire such Bonds on or before their specified maturity date or dates.

“United States Government Obligations” means noncallable direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) and obligations of any agency or instrumentality of the United States of America the timely payment of the principal of and interest on of which are fully and unconditionally guaranteed by the United States of America.

BOND INDENTURE

General

The Bond Indenture sets forth the terms of the Bonds, the application of the Bond proceeds, the nature and extent of the security for the Bonds, various rights of the Bondholders, rights, duties and immunities of the Bond Trustee and the rights and obligations of the Authority. Certain provisions of the Bond Indenture are summarized below. Other provisions are summarized in this Official Statement under the captions “THE BONDS” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.” This summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Bond Indenture.

Pledge and Assignment; Revenue Fund

Subject only to the provisions of the Bond Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Bond Indenture, there are pledged to secure the payment of the principal (and Redemption Price) of and interest on the Bonds in accordance with their terms and the provisions of the Bond Indenture, all of the Revenues and any other amounts (including proceeds of the sale of Bonds) held in any fund or account established pursuant to the Bond Indenture (other than the Rebate Fund). Said pledge shall constitute a lien on and security interest in such assets and shall attach, be perfected and be valid and binding from and after delivery by the Bond Trustee of the Bonds, without any physical delivery thereof or further act.

The Authority transfers in trust, grants a security interest in and assigns to the Bond Trustee, for the benefit of the Holders from time to time of the Bonds, all of the Revenues and other assets pledged under the Bond Indenture and all of the right, title and interest of the Authority in the Loan Agreement (except for (i) the right to receive any Additional Payments or Administrative Fees and Expenses to the extent payable to the Authority, (ii) any rights of the Authority to receive indemnification, expenses and fees pursuant to the Loan Agreement, (iii) any rights of the Authority to receive notices, certificates, reports or opinions, to give consents or approvals or make inspections, and (iv) the obligation of the Corporation to make deposits pursuant to the Tax Certificate) and the Obligations. The Bond Trustee shall be entitled to and shall collect and receive all of the Revenues, and any Revenues collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Bond Trustee and shall forthwith be paid by the Authority to the Bond Trustee. The Bond Trustee shall also be entitled to and subject to the provisions of the Bond Indenture, may take all steps, actions and proceedings reasonably necessary in its judgment to enforce all of the rights of the Authority and all of the obligations of the Corporation under the Loan Agreement and all of the obligations of the Corporation under the Obligations other than for those rights retained by the Authority.

Notwithstanding anything to the contrary in the Bond Indenture, the Authority has no obligation to and instead the Bond Trustee may, without further direction from the Authority, take any and all steps, actions and proceedings, to enforce any or all rights of the Authority (other than those specifically retained by the Authority as described in the preceding paragraph) under the Bond Indenture or the Loan Agreement, including, without limitation, the rights to enforce the remedies upon the occurrence and

continuation of an Event of Default and the obligations of the Corporation under the Loan Agreement and the Obligations.

All Revenues shall be promptly deposited by the Bond Trustee upon receipt thereof in a special fund designated as the "Revenue Fund" which the Bond Trustee shall establish, maintain and hold in trust, except as otherwise provided in the Bond Indenture and except that all moneys received by the Bond Trustee and required by the Loan Agreement or the Obligations to be deposited in the Redemption Fund shall be promptly deposited in the Redemption Fund, which the Bond Trustee shall establish, maintain and hold in trust. All Revenues deposited with the Bond Trustee shall be held, disbursed, allocated and applied by the Bond Trustee only as provided in the Bond Indenture.

If, by the Business Day prior to any Interest Payment Date or Principal Payment Date, the Bond Trustee has not received Loan Repayments or other amounts, sufficient to make the transfers described under the following caption, the Bond Trustee shall immediately notify the Corporation (by notice to both its chief financial officer and chief executive officer) of such insufficiency (stating in such notice that (i) the Bond Trustee has not received Loan Repayments or other Revenues sufficient to make the transfers described under the following caption; and (ii) the amount by which the obligation to make such transfer exceeds the amount available therefore).

Allocation of Revenues

On or before the Business Day prior to any Interest Payment Date or Principal Payment Date, the Bond Trustee shall transfer from the Revenue Fund and deposit into the following respective accounts (each of which the Bond Trustee shall establish and maintain within the Revenue Fund) and then to the Rebate Fund, the following amounts, in the following order of priority, the requirements of each such account or fund (including the making up of any deficiencies in any such account resulting from lack of Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account or fund subsequent in priority:

First: to the Interest Account, the aggregate amount of interest becoming due and payable on the next Interest Payment Date on all Bonds then Outstanding, until the balance in said account is equal to said aggregate amount of interest;

Second: for deposits immediately preceding each November 15 only, to the Principal Account, the sum of (1) the aggregate principal amount of Bonds maturing on the next succeeding Principal Payment Date plus (2) the aggregate amount of Mandatory Sinking Account Payments required to be paid into each Sinking Account for Outstanding Term Bonds on the next succeeding Principal Payment Date, until the balance in said Principal Account is equal to said aggregate amount of such principal and Mandatory Sinking Account Payments; and

Third: to the Rebate Fund, such amounts as are required to be deposited therein by the Bond Indenture (including the Tax Certificate).

Upon Request of the Corporation, any moneys remaining in the Revenue Fund after the foregoing transfers shall be transferred to the Corporation.

Interest Account and Capitalized Interest Account

All amounts in the Interest Account shall be used and withdrawn by the Bond Trustee solely for the purpose of paying interest on the Bonds as it shall become due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity pursuant to the Bond Indenture).

The Bond Trustee shall establish, maintain and hold in trust when deposits thereto are required a separate fund designated as the "Capitalized Interest Account." There shall be deposited into the Capitalized Interest Account the amounts set forth in the Bond Indenture. On each date that transfers to the Revenue Fund are required in the Bond Indenture, while there are funds on deposit in the Capitalized Interest Account, the Bond Trustee shall transfer from the Capitalized Interest Account to the Revenue Fund the lesser of (a) an amount equal to any such transfer required in respect of interest on the Bonds on that date, or (b) the amount remaining in the Capitalized Interest Account. Upon the transfer of all amounts remaining in the Capitalized Interest Account to the Revenue Fund, the Capitalized Interest Account shall be closed.

Principal Account

All amounts in the Principal Account shall be used and withdrawn by the Bond Trustee solely for the purpose of paying the principal of the Bonds when due and payable, except that all amounts in a Sinking Account shall be used and withdrawn by the Bond Trustee to purchase or redeem or pay at maturity Term Bonds, as provided in the Bond Indenture. The Bond Trustee shall establish and maintain within the Principal Account separate subaccounts for each maturity of Term Bonds. With respect to each Sinking Account, on each Mandatory Sinking Account Payment date established for such Sinking Account, the Bond Trustee shall transfer the amount deposited in the Principal Account pursuant to the Bond Indenture for the purpose of making a Mandatory Sinking Account Payment from the Principal Account to the applicable Sinking Account. On each Mandatory Sinking Account Payment date, the Bond Trustee shall apply the Mandatory Sinking Account Payment required on that date to the redemption (or payment at maturity, as the case may be) of Bonds of the maturity for which such Sinking Account was established, upon the notice and in the manner provided in the Bond Indenture; provided that, at any time prior to giving such notice of such redemption, the Bond Trustee shall apply such moneys to the purchase of Bonds of such maturity at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, in writing, except that the purchase price (excluding accrued interest) shall not exceed the par amount of such Bonds. If, during the twelve-month period immediately preceding said Mandatory Sinking Account Payment date, the Bond Trustee has purchased Bonds of the maturity for which such Sinking Account was established with moneys in the Sinking Account, or, during said period and prior to giving said notice of redemption, the Corporation has deposited Bonds of such maturity with the Bond Trustee, or Bonds of such maturity were at any time purchased or redeemed by the Bond Trustee from the Redemption Fund and allocable to said Mandatory Sinking Account Payment, such Bonds so purchased or deposited or redeemed shall be applied, to the extent of the full principal amount thereof, to reduce said Mandatory Sinking Account Payment. All Bonds purchased or deposited pursuant to the Bond Indenture described in this paragraph shall be delivered to the Bond Trustee and cancelled. Any amounts remaining in the Sinking Account when all of the Bonds of the maturity for which such Sinking Account was established are no longer Outstanding shall be withdrawn by the Bond Trustee and transferred to the Revenue Fund. All Bonds purchased from the Sinking Account or deposited by the Corporation with the Bond Trustee shall be allocated first to the next succeeding Mandatory Sinking Account Payment, then to the remaining Mandatory Sinking Account Payments as the Corporation directs.

Redemption Fund

The Bond Trustee shall establish and maintain and hold in trust a separate fund designated as the "Redemption Fund," and within the Redemption Fund a separate Optional Redemption Account and a separate Special Redemption Account. All amounts deposited in the Optional Redemption Account and in the Special Redemption Account shall be accepted and used and withdrawn by the Bond Trustee solely for the purpose of redeeming Bonds, in the manner and upon the terms and conditions specified in the

redemption provisions of the Bond Indenture, at the next succeeding date of redemption for which notice can be but has not yet been given and at the Redemption Prices then applicable to redemptions from the Optional Redemption Account and the Special Redemption Account, respectively; provided that, at any time prior to giving such notice of redemption, the Bond Trustee shall, upon written direction of the Corporation, apply such amounts to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to such Bonds (or, if such Bonds are not then subject to redemption, the par value of such Bonds); and provided further that in lieu of redemption at such next succeeding date of redemption, or in combination therewith, amounts in such account may be transferred to the Revenue Fund and credited against Loan Repayments in order of their due date as set forth in a Request of the Corporation. All Bonds purchased or redeemed from the Redemption Fund shall be allocated to applicable Mandatory Sinking Account Payments designated in a Certificate of the Corporation which shall include a revised sinking account schedule (or if the Corporation fails to deliver such a Certificate to the Bond Trustee, in inverse order of their payment dates).

Costs of Issuance Fund

The Bond Trustee shall establish, maintain and hold in trust a separate fund designated as the "Costs of Issuance Fund." Moneys deposited in said fund shall be used and withdrawn by the Bond Trustee to pay Costs of Issuance of the Bonds upon Requisition of the Corporation as described in the Bond Indenture. Each Requisition of the Corporation shall be sufficient evidence to the Bond Trustee of the facts stated therein and the Bond Trustee shall have no duty to confirm the accuracy of such facts. No later than the date that is six months after the Date of Issuance, or earlier upon Request of the Corporation, amounts, if any, remaining in the Costs of Issuance Fund shall be transferred to the Project Fund and the Costs of Issuance Fund shall thereafter be closed.

Project Fund

The Bond Trustee shall establish, maintain and hold in trust a separate fund designated as the "Project Fund." The moneys in the Project Fund shall be used and withdrawn by the Bond Trustee to pay or reimburse the costs of the Project and pay interest on the Bonds during construction of the Project, in accordance with the terms of the Tax Certificate. No moneys in the Project Fund shall be used to pay Costs of Issuance. Before any payment from the Project Fund for costs of the Project shall be made, the Corporation shall file or cause to be filed with the Bond Trustee a Requisition as described in the Bond Indenture.

Upon receipt of a Requisition, the Bond Trustee shall pay the amount set forth in such Requisition as directed by the terms thereof out of the Project Fund. The Bond Trustee shall not make any such payment if it has received any written notice of claim of lien, right to lien or attachment upon, or claim affecting the right to receive payment of, any of the monies to be so paid, that has not been released or will not be released simultaneously with such payment. Each such Requisition shall be sufficient evidence to the Bond Trustee of the facts stated therein and the Bond Trustee shall have no duty to confirm the accuracy of such facts.

When the Project shall have been completed, there shall be delivered to the Bond Trustee a Certificate of the Corporation stating the fact and date of such completion and stating that all of the costs thereof have been determined and paid (or that all of such costs have been paid less specified claims that are subject to dispute and for which a retention in the Project Fund is to be maintained in the full amount of such claims until such dispute is resolved). Upon the receipt of such Certificate, the Bond Trustee

shall, as directed by said Certificate, transfer any remaining balance in such Project Fund to the Optional Redemption Account. Upon such transfer, the Project Fund shall be closed.

Establishment and Application of Entrance Fee Redemption Fund

The Bond Trustee shall establish, maintain and hold in trust a separate fund designated as the “Entrance Fee Redemption Fund.” Moneys deposited in said fund shall be used and withdrawn by the Bond Trustee to pay the redemption price of, first, the Series 2022B-2 Bonds and, second, the Series 2022B-1 Bonds on each Entrance Fee Redemption Date as provided in the Bond Indenture. There shall be deposited into the Entrance Fee Redemption Fund all moneys received by the Bond Trustee from the Master Trustee on each Entrance Fee Transfer Date pursuant to Supplement No. 2 for deposit therein.

Rebate Fund

The Bond Trustee shall establish and maintain, when required, a fund separate from any other fund established and maintained under the Bond Indenture designated as the Rebate Fund. All money at any time deposited in the Rebate Fund shall be held by the Bond Trustee in trust, to the extent required to satisfy the rebate requirement under the Tax Certificate for payment to the federal government of the United States of America. Neither the Authority, the Corporation nor the Holder of any Bonds shall have any rights in or claim to such money.

Investment of Moneys in Funds and Accounts

All moneys in any of the funds and accounts established pursuant to the Bond Indenture shall be invested by the Bond Trustee, upon the written direction of the Corporation, solely in Investment Securities in accordance with the requirements of the Tax Certificate. Moneys in all funds and accounts established under the Bond Indenture shall be invested in Investment Securities maturing not later than the date on which it is estimated that such moneys will be required for the purposes specified in the Bond Indenture.

Amendment of Loan Agreement

(A) Except as provided in paragraph (B) below, the Authority shall not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination unless the written consent of the Holders of a majority in principal amount of the Bonds then Outstanding to such amendment, modification or termination is filed with the Bond Trustee, provided that no such amendment, modification or termination shall reduce the amount of Loan Repayments to be made to the Authority or the Bond Trustee by the Corporation pursuant to the Loan Agreement, or extend the time for making such payments, without the written consent of all of the Holders of the Bonds then Outstanding.

(B) Notwithstanding the above described provisions of the Bond Indenture, the terms of the Loan Agreement may also be modified or amended from time to time and at any time by the Authority without the necessity of obtaining the consent of or any Bondholders, only to the extent permitted by law and only for any one or more of the following purposes:

(1) to add to the covenants and agreements of the Authority or the Corporation contained in the Loan Agreement other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power therein reserved to or conferred upon the Authority or the Corporation, provided, that no such covenant, agreement, pledge, assignment or surrender shall materially adversely

affect the interests of the Holders of the Bonds, as evidenced by an Opinion of Counsel delivered to the Bond Trustee;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Loan Agreement, or in regard to matters or questions arising under the Loan Agreement, as the Authority may deem necessary or desirable and not inconsistent with the Loan Agreement or the Bond Indenture, and which shall not materially adversely affect the interests of the Holders of the Bonds, as evidenced by an Opinion of Counsel delivered to the Bond Trustee;

(3) to maintain the exclusion from gross income for federal income tax purposes of interest payable with respect to the Bonds; or

(4) to make any other changes which will not materially adversely affect the interests of the Holders of the Bonds, as evidenced by an Opinion of Counsel delivered to the Bond Trustee.

Continuing Disclosure

Pursuant to the Loan Agreement, the Corporation has covenanted to enter into, comply with and carry out all of the provisions of a disclosure agreement with respect to the Bonds that complies with the provisions of Rule 15c2-12 promulgated by the Securities and Exchange Commission (as amended from time to time, the “Rule”), in form and substance satisfactory to the Participating Underwriters (as defined in the Rule). The Corporation has undertaken all responsibility for compliance with continuing disclosure requirements, and the Authority does not have any liability to the Holders of the Bonds or any other Person with respect to the Rule. Notwithstanding any other provision of the Bond Indenture, failure of the Corporation to enter into and comply with such a disclosure agreement shall not be considered an Event of Default; however, the Bond Trustee may (and, at the request of any Participating Underwriter or the Holders of at least 25% aggregate principal amount of Outstanding Bonds, shall, with indemnification satisfactory to it), or any Bondholder or Beneficial Owner may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with its obligations under the Loan Agreement.

Events of Default

The following events shall be Events of Default:

(A) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by declaration or otherwise, or default in the redemption from the Sinking Account of any Term Bonds in the amounts and at the times provided therefor;

(B) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable;

(C) default by the Authority in the observance of any of the other covenants, agreements or conditions on its part contained in the Bond Indenture or in the Bonds, if such default shall have continued for a period of sixty (60) days after written notice thereof, specifying such default and requiring the same to be remedied, shall have been given to the Authority and the Corporation by the Bond Trustee, or to the Authority, the Corporation and the Bond Trustee by the Holders of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds at the time Outstanding; or

(D) a Loan Default Event.

Upon actual knowledge of the existence of any Event of Default, the Bond Trustee shall notify the Corporation, the Authority and the Master Trustee in writing as soon as practicable; provided, however, that the Bond Trustee need not provide notice of any Loan Default Event if the Corporation has expressly acknowledged the existence of such Loan Default Event in a writing delivered to the Bond Trustee, the Corporation, the Authority and the Master Trustee.

Acceleration of Maturities

Whenever any Event of Default referred to in the Bond Indenture shall have happened and be continuing, the Bond Trustee may take the following remedial steps:

(A) In the case of an Event of Default described in paragraph (A) or (B) described under the caption “Events of Default” above, the Bond Trustee may, and upon the written direction of the Holders of not less than a majority in aggregate principal amount of the Bonds then Outstanding, will, notify the Master Trustee of such Event of Default, make a demand for payment under the Obligations and request the Master Trustee in writing to give notice to the Corporation pursuant to the Master Indenture declaring the principal of all obligations issued under the Master Indenture then outstanding to be due and immediately payable. Upon such declaration by the Master Trustee, the Bond Trustee shall declare the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same shall become and shall be immediately due and payable, anything in the Bond Indenture to the contrary notwithstanding. In addition, the Bond Trustee may take whatever action at law or in equity is necessary or desirable to collect the payments due under the Obligations;

(B) In the case of an Event of Default described in paragraph (C) under the caption “Events of Default” above, the Bond Trustee may, and upon the written direction of the Holders of not less than a majority in aggregate principal amount of the Bonds then Outstanding and upon being indemnified as provided in the Bond Indenture, will, take whatever action at law or in equity is necessary or desirable to enforce the performance, observance or compliance by the Authority with any covenant, condition or agreement by the Authority under the Bond Indenture; and

(C) In the case of an Event of Default described in paragraph (D) under the caption “Events of Default” above, the Bond Trustee may, and upon the written direction of the Holders of not less than a majority in aggregate principal amount of the Bonds then Outstanding and upon being indemnified as provided in the Bond Indenture, will, take whatever action the Authority would be entitled to take, and shall take whatever action the Authority would be required to take, pursuant to the Loan Agreement in order to remedy the Loan Default Event.

Any such declaration, however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority or the Corporation shall deposit with the Bond Trustee a sum sufficient to pay all the principal, Mandatory Sinking Account Payments or Redemption Price of and installments of interest on the Bonds, payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable charges and expenses of the Authority and the Bond Trustee, and if the Bond Trustee has received notification from the Master Trustee that the declaration of acceleration of the Obligations has been annulled pursuant to the Master Indenture and any and all other defaults known to the Bond Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Bond Trustee or provision deemed by the Bond Trustee to be adequate shall have been

made therefor, then, and in every such case, the Holders of not less than a majority in aggregate principal amount of the Bonds Outstanding, by written notice to the Authority, the Corporation and the Bond Trustee, or the Bond Trustee may, on behalf of the Holders of all of the Bonds, by written notice to the Authority and the Corporation, rescind and annul such declaration and its consequences and waive such default; but no such rescission and annulment shall extend to or shall affect any subsequent default, or shall impair or exhaust any right or power consequent thereon.

Notice of such declaration having been given as aforesaid, anything to the contrary contained in the Bond Indenture or in the Bonds to the contrary notwithstanding, interest shall cease to accrue on such Bonds from and after the date set forth in such notice (which shall be not more than seven days from the date of such declaration).

Notwithstanding any other provision of the Bond Indenture or any right, power or remedy existing at law or in equity or by statute, the Bond Trustee shall not under any circumstance in which an Event of Default has occurred declare the entire unpaid aggregate principal amount of the Bonds Outstanding to be immediately due and payable except in the event that the Master Trustee shall have declared the principal amount of the Obligations and all interest due thereon immediately due and payable in accordance with the Master Indenture.

Application of Revenues and Other Funds After Default

If an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Bond Trustee under any of the provisions of the Bond Indenture (subject to the provisions of the Bond Indenture related to money held for particular Bonds and other than moneys required to be deposited in the Rebate Fund) shall be applied by the Bond Trustee as follows and in the following order:

(A) To the payment of any expenses necessary in the opinion of the Bond Trustee to protect the interests of the Holders of the Bonds and payment of any outstanding fees, charges and expenses of the Bond Trustee under the Bond Indenture or under the Loan Agreement (including reasonable fees and disbursements of its counsel) incurred in and about the performance of its powers and duties under the Bond Indenture; and

(B) To the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Bond Indenture, as follows:

(1) Unless the principal of all of the Bonds shall have become or have been declared due and payable,

First: To the payment to the Persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the Persons entitled thereto, without any discrimination or preference; and

Second: To the payment to the Persons entitled thereto of the unpaid principal (including Mandatory Sinking Account Payments) or redemption price of any Bonds that shall have become due, whether at maturity or by call for redemption, in the order of their due dates, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full all the Bonds due

on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date to the Persons entitled thereto, without any discrimination or preference.

(2) If the principal of all of the Bonds shall have become or have been declared due and payable, to the payment of the principal and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the Bonds, and, if the amount available shall not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest, or of interest over principal, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal and interest, to the Persons entitled thereto without any discrimination or preference.

(C) To the payment of reasonable fees, charges and expenses of the Authority pursuant to the Bond Indenture or the Loan Agreement.

Bond Trustee to Represent Bondholders

The Bond Trustee is irrevocably appointed (and the successive respective Holders of the Bonds, by taking and holding the same, shall be conclusively deemed to have so appointed the Bond Trustee) as trustee and true and lawful attorney-in-fact of the Holders of the Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of the Bonds, the Bond Indenture, the Loan Agreement, the Obligations, the Act and applicable provisions of any other law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Bond Trustee to represent the Bondholders, the Bond Trustee in its discretion may, and upon the written request of the Holders of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds then Outstanding, and upon being indemnified to its satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Bond Indenture, or in aid of the execution of any power granted in the Bond Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Bond Trustee, in such Holders under the Bond Indenture, the Loan Agreement, the Obligations, the Act or any other law; and upon instituting such proceeding, the Bond Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the Revenues and other assets pledged under the Bond Indenture, pending such proceedings. If more than one such request is received by the Bond Trustee from the Holders, the Bond Trustee shall follow the written request executed by the Holders of the greater percentage of the Bonds then Outstanding in excess of twenty-five percent (25%). All rights of action under the Bond Indenture or the Bonds or otherwise may be prosecuted and enforced by the Bond Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Bond Trustee shall be brought in the name of the Bond Trustee for the benefit and protection of all the Holders of such Bonds, subject to the provisions of the Bond Indenture. Nothing in the Bond Indenture shall be deemed to authorize the Bond Trustee to authorize or consent to or accept or adopt on behalf of any Holder any plan of reorganization, arrangement, adjustment, or composition affecting the Bonds or the rights of any Holder thereof, or to authorize the Bond Trustee to vote in respect of the claim of any Holder in any such proceeding without the approval of the Holders so affected.

Bondholders' Direction of Proceedings

Anything in the Bond Indenture to the contrary notwithstanding, the Holders of a majority in aggregate principal amount of the Bonds then Outstanding shall have the right, by an instrument or concurrent instruments in writing executed and delivered to the Bond Trustee, to direct the method of conducting all remedial proceedings taken by the Bond Trustee under the Bond Indenture, provided that such direction shall not be otherwise than in accordance with law and the provisions of the Bond Indenture, and that the Bond Trustee shall have the right to decline to follow any such direction that in the opinion of the Bond Trustee would be unjustly prejudicial to Bondholders not parties to such direction (which determination the Bond Trustee has no duty to make) or could involve the Bond Trustee in personal liability.

Limitation on Bondholders' Right to Sue

No Holder of any Bond shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Bond Indenture, the Loan Agreement, the Obligations or any other applicable law with respect to such Bond, unless (1) such Holder shall have given to the Bond Trustee written notice of the occurrence of an Event of Default; (2) the Holders of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds then Outstanding shall have made written request upon the Bond Trustee to exercise the powers granted in the Bond Indenture or to institute such suit, action or proceeding in its own name; provided, however, that if more than one such request is received by the Bond Trustee from the Holders, the Bond Trustee shall follow the written request executed by the Holders of the greater percentage of Bonds then Outstanding in excess of twenty-five percent (25%); (3) such Holder or said Holders shall have tendered to the Bond Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; and (4) the Bond Trustee shall have refused or omitted to comply with such request for a period of sixty (60) days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Bond Trustee.

Such notification, request, tender of indemnity and refusal or omission are declared, in every case, to be conditions precedent to the exercise by any Holder of Bonds of any remedy under the Bond Indenture or under law; it being understood and intended that no one or more Holders of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Bond Indenture or the rights of any other Holders of Bonds, or to enforce any right under the Bond Indenture, the Loan Agreement, the Obligations, the Act or other applicable law with respect to the Bonds, except in the manner provided in the Bond Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner provided in the Bond Indenture and for the benefit and protection of all Holders of the Outstanding Bonds, subject to the provisions of the Bond Indenture.

Amendments to Bond Indenture

(A) The Bond Indenture and the rights and obligations of the Authority, of the Bond Trustee and of the Holders of the Bonds may be modified or amended from time to time and at any time by a Supplemental Bond Indenture, which the Authority and the Bond Trustee may enter into when the written consent of the Corporation and the Holders of a majority in aggregate principal amount of the Bonds then Outstanding, shall have been filed with the Bond Trustee. No such modification or amendment shall (1) extend the fixed maturity of any Bond, or reduce the amount of principal thereof, or extend the time of payment or reduce the amount of any Mandatory Sinking Account Payment, or reduce the rate of interest thereon, or extend the time of payment of interest thereon, or reduce any premium payable upon the redemption thereof, without the consent of the Holder of each Bond so affected, or (2) reduce the

aforesaid percentage of Bonds the consent of the Holders of which is required to effect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Bond Indenture prior to or on a parity with the lien created by the Bond Indenture, or deprive the Holders of the Bonds of the lien created by the Bond Indenture on such Revenues and other assets (except as expressly provided in the Bond Indenture), without the consent of the Holders of all Bonds then Outstanding. It shall not be necessary for the consent of the Bondholders to approve the particular form of any Supplemental Bond Indenture, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Bond Trustee of any Supplemental Bond Indenture as described in this subparagraph (A), the Bond Trustee shall deliver a notice, setting forth in general terms the substance of such Supplemental Bond Indenture to the Bondholders at the addresses shown on the registration books maintained by the Bond Trustee. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Bond Indenture.

(B) The Bond Indenture and the rights and obligations of the Authority, of the Bond Trustee and of the Holders of the Bonds may also be modified or amended from time to time and at any time by a Supplemental Bond Indenture, which the Authority and the Bond Trustee may enter into without the consent of any Bondholders but only to the extent permitted by law and only for any one or more of the following purposes:

(1) to add to the covenants and agreements of the Authority in the Bond Indenture contained other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power reserved in the Bond Indenture to or conferred upon the Authority, provided, that no such covenant, agreement, pledge, assignment or surrender shall materially adversely affect the interests of the Holders of the Bonds, as evidenced by the Opinion of Counsel delivered to it pursuant to the Bond Indenture;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Bond Indenture, or in regard to matters or questions arising under the Bond Indenture, as the Authority, the Corporation or the Bond Trustee may deem necessary or desirable and not inconsistent with the Bond Indenture, and which shall not materially adversely affect the interests of the Holders of the Bonds, as evidenced by the Opinion of Counsel delivered to it pursuant to the Bond Indenture;

(3) to modify, amend or supplement the Bond Indenture in such manner as to permit the qualification of the Bond Indenture under the Trust Indenture Act of 1939, as amended, or any similar federal statute thereafter in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute, and which shall not materially adversely affect the interests of the Holders of the Bonds, as evidenced by the Opinion of Counsel delivered to it pursuant to the Bond Indenture;

(4) to provide any additional procedures, covenants or agreements to maintain the exclusion from gross income for federal income tax purposes of the interest on the Bonds, including the amendment of any Tax Certificate;

(5) to facilitate (i) the transfer of Bonds from one Securities Depository to another in the succession of Securities Depositories, or (ii) the withdrawal from a Securities Depository of Bonds held in a Book-Entry System and the issuance of replacement Bonds in fully registered form to Persons other than a Securities Depository;

(6) to make any changes required by a Rating Agency in order to obtain or maintain a rating for the Bonds; or

(7) to make any other changes which will not materially adversely affect the interests of the Holders of the Bonds, as evidenced by the Opinion of Counsel delivered to it pursuant to the Bond Indenture.

Discharge of Bond Indenture

The Bonds may be paid by the Authority or the Bond Trustee on behalf of the Authority in any of the following ways:

(i) by paying or causing to be paid the principal or Redemption Price of and interest on all Bonds Outstanding, as and when the same become due and payable;

(ii) by depositing with the Bond Trustee, in trust, at or before maturity, moneys or securities in the necessary amount to pay when due or redeem all Bonds then Outstanding; or

(iii) by delivering to the Bond Trustee, for cancellation by it, all Bonds then Outstanding.

If the Authority shall pay all Bonds Outstanding and shall also pay or cause to be paid all other sums payable under the Bond Indenture by the Authority and the Corporation shall have paid all Administrative Fees and Expenses payable to the Authority pursuant to the Loan Agreement, then and in that case at the election of the Authority (evidenced by a Certificate of the Authority filed with the Bond Trustee signifying the intention of the Authority to discharge all such indebtedness and the Bond Indenture), and notwithstanding that any Bonds shall not have been surrendered for payment, the Bond Indenture and the pledge of Revenues and other assets made under the Bond Indenture and all covenants, agreements and other obligations of the Authority under the Bond Indenture (except as otherwise specifically provided in the Bond Indenture) shall cease, terminate and be completely discharged and satisfied. In such event, upon the request of the Authority, the Bond Trustee shall cause an accounting for such period or periods as may be requested by the Authority to be prepared and filed with the Authority and shall execute and deliver to the Authority all such instruments as may be necessary (and prepared by or on behalf of the Authority and/or the Corporation) to evidence such discharge and satisfaction, and the Bond Trustee shall pay over, transfer, assign or deliver to the Corporation all moneys or securities or other property held by it pursuant to the Bond Indenture which are not required for the payment or redemption of Bonds not theretofore surrendered for such payment or redemption; provided that in all events moneys in the Rebate Fund shall be subject to the provisions described under the caption "Rebate Fund" above.

Discharge of Liability on Bonds

Upon the deposit with the Bond Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Bond Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided in the redemption provisions of the Bond Indenture or provision satisfactory to the Bond Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond shall cease, terminate become void and be completely discharged and satisfied, except only that thereafter the Holder thereof shall be entitled to payment of the principal of and interest on such Bond by the Authority, and the Authority shall remain liable for such payments, but only out of such money or securities

deposited with the Bond Trustee as aforesaid for their payment, subject, however, to the provisions of the Bond Indenture.

Deposit of Money or Securities with Bond Trustee

Whenever in the Bond Indenture it is provided or permitted that there be deposited with or held in trust by the Bond Trustee money or securities in the necessary amount to pay or redeem any Bonds, the money or securities so to be deposited or held may include money or securities held by the Bond Trustee in the funds and accounts established pursuant to the Bond Indenture (other than the Rebate Fund) and shall be:

(i) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the redemption provisions of the Bond Indenture or provision satisfactory to the Bond Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(ii) United States Government Obligations (not callable by the issuer thereof prior to maturity), the principal of and interest on which when due (without any income from the reinvestment thereof) will provide money sufficient to pay the principal or Redemption Price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Bonds to be paid or redeemed, as such principal or Redemption Price and interest become due; provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the redemption provisions of the Bond Indenture or provision satisfactory to the Bond Trustee shall have been made for the giving of such notice;

provided, in each case, that the Bond Trustee shall have been irrevocably instructed (by the terms of the Bond Indenture or by Request of the Authority) to apply such money to the payment of such principal or Redemption Price and interest with respect to such Bonds, and provided further, that with respect to the deposit of United States Government Obligations pursuant to subparagraph (ii) above, the Bond Trustee shall have received a verification report from a firm of independent accountants to the effect that the amount deposited is sufficient to make the payments specified therein.

LOAN AGREEMENT

The Loan Agreement is an agreement between the Authority and the Corporation, whereby the Authority agrees to lend the proceeds of the Bonds to the Corporation and the Corporation agrees to make payments to the Bond Trustee sufficient to pay debt service on the Bonds. Such payments will be made pursuant to the Obligations. The following is a summary of certain provisions of the Loan Agreement. This summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Loan Agreement.

Credits for Payments

The Corporation shall receive credit against its payments required to be made under the Loan Agreement, in addition to any credits resulting from payment or repayment from other sources, as follows:

(a) on installments of interest in an amount equal to moneys deposited in the Interest Account, to the extent such amounts have not previously been credited against such payments;

(b) on installments of principal in an amount equal to moneys deposited in the Principal Account, to the extent such amounts have not previously been credited against such payments;

(c) on installments of principal and interest in an amount equal to the principal amount of Bonds for the payment at maturity or redemption of which sufficient amounts (as determined under the Bond Indenture) in cash or United States Government Obligations are on deposit as provided in the Bond Indenture to the extent such amounts have not previously been credited against such payments, and the interest on such Bonds from and after the date fixed for payment at maturity or redemption thereof. Such credits shall be made against the installments of principal, premium, if any, and interest which would have been used, but for such call for redemption, to pay principal of and interest on such Bonds when due at maturity; and

(d) on installments of principal and interest in an amount equal to the principal amount of Bonds acquired by the Corporation and surrendered to the Bond Trustee for cancellation or purchased by the Bond Trustee and cancelled, and the interest on such Bonds from and after the date interest thereon has been paid prior to cancellation. Such credits shall be made against the installments of principal and interest which would have been used, but for such cancellation, to pay principal of and interest on such Bonds when due.

Additional Payments

In addition to Loan Repayments, the Corporation shall also pay to the Authority or the Bond Trustee, as the case may be, "Additional Payments," which include certain taxes or assessments, fees and expenses of the Authority and the Bond Trustee, as more fully described in the Loan Agreement.

Payments of Principal, Premium and Interest

In consideration of the loan of such proceeds to the Corporation, the Corporation agrees that, on or before the first (1st) Business Day prior to any Interest Payment Date or Principal Payment Date, it shall pay to the Bond Trustee for deposit in the Revenue Fund such amount as is required by the Bond Trustee to make the transfers and deposits required on such Interest Payment Date or Principal Payment Date by the Bond Indenture. Notwithstanding the foregoing, if on any Interest Payment Date or Principal Payment Date, the aggregate amount in the Revenue Fund is for any reason insufficient or unavailable to make the required payments of principal (or Redemption Price) of or interest on the Bonds then becoming due (whether by maturity, redemption or acceleration), the Corporation shall forthwith pay the amount of any deficiency to the Bond Trustee. Each payment by the Corporation to the Bond Trustee under the Loan Agreement (the "Loan Repayments") shall be in lawful money of the United States of America and paid to the Bond Trustee at the Corporate Trust Office, and held, invested, disbursed and applied as provided in the Bond Indenture.

Prepayment

The Corporation shall have the right, so long as all amounts which have become due under the Loan Agreement have been paid, at any time or from time to time to prepay all or any part of its Loan Repayments and the Authority agrees that the Bond Trustee shall accept such prepayments when the same are tendered. Prepayments may be made by payments of cash, deposit of United States Government Obligations or surrender of Bonds. All such prepayments (and the additional payment of any amount necessary to pay the applicable premium, if any, payable upon the redemption of Bonds) shall be

deposited upon receipt in the Optional Redemption Account of the Redemption Fund and, at the request of and as determined by the Corporation, credited against payments due under the Loan Agreement or used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Bond Indenture. The Corporation also shall have the right to surrender Bonds acquired by it in any manner whatsoever to the Bond Trustee for cancellation, and such Bonds, upon such surrender and cancellation, shall be deemed to be paid and retired, and in the case of Bonds shall be allocated as set forth in the Bond Indenture. Notwithstanding any such prepayment or surrender of Bonds, as long as any Bonds remain Outstanding or any Additional Payments required to be made under the Loan Agreement remain unpaid, the Corporation shall not be relieved of its obligations under the Loan Agreement.

Continuing Disclosure

The Corporation covenants and agrees that it will enter into, comply with and carry out all of the provisions of a disclosure agreement with respect to the Bonds that complies with the provisions of Rule 15c2-12 promulgated by the Securities and Exchange Commission (as amended from time to time, the “Rule”), in form and substance satisfactory to the Participating Underwriter (as defined in the Continuing Disclosure Agreement). Notwithstanding any other provision of the Loan Agreement or the Bond Indenture, failure of the Corporation to enter into and comply with such a disclosure agreement shall not be considered a Loan Default Event or an Event of Default; however, the Bond Trustee may, and, at the request of any Participating Underwriter or the Holders of at least 25% in aggregate principal amount of Outstanding Bonds, shall, with the indemnification satisfactory to it, or any Bondholder or Beneficial Owner may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with its obligations described in this paragraph.

Events of Default

Each of the following events shall constitute and be referred to in the Loan Agreement as a “Loan Default Event”:

(a) Failure by the Corporation to pay in full any Loan Repayment when such Loan Repayment is due and payable;

(b) Failure of the Corporation to pay any other payment required under the Loan Agreement or under the Bond Indenture when due and payable, provided that the Corporation shall have a period of thirty (30) days following receipt of written notice regarding a failure to make such a required payment during which the Corporation may make such payment before a Loan Default Event may occur;

(c) If any material representation or warranty made by the Corporation in the Loan Agreement or made by the Corporation in any document, instrument or certificate furnished to the Bond Trustee or the Authority in connection with the issuance of the Obligations or the Bonds shall at any time prove to have been incorrect in any respect as of the time made;

(d) If the Corporation shall fail to observe or perform any covenant, condition, agreement or provision in the Loan Agreement on its part to be observed or performed, other than as described in paragraphs (a) - (c) above, or shall breach any warranty by the Corporation in the Loan Agreement contained, for a period of sixty (60) days after written notice, specifying such failure or breach and requesting that it be remedied, has been given to the Corporation by the Authority or the Bond Trustee; except that, if such failure or breach can be remedied but not within such sixty-(60) day period and if the Corporation has taken all action reasonably possible to remedy such failure or breach within such sixty-

(60) day period, such failure or breach shall not become a Loan Default Event for so long as the Corporation shall diligently proceed to remedy the same within no later than one hundred eighty (180) days after the delivery date of such default notice;

(e) If the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Corporation's facilities;

(f) If a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Corporation's facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within sixty (60) days from the date of the entry thereof;

(g) If, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of the Corporation's facilities, and such custody or control shall not be terminated within sixty (60) days from the date of assumption of such custody or control;

(h) Any Event of Default as defined in and under the Bond Indenture; or

(i) Any Event of Default as defined in and under the Master Indenture.

Remedies in General

Upon the occurrence and during the continuance of any Loan Default Event, the Bond Trustee on behalf of the Authority, at the Bond Trustee's option but subject to its rights and protections in the Bond Indenture, and the limitations in the Bond Indenture as to the enforcement of remedies, may take such action as it deems necessary or appropriate to collect amounts due under the Loan Agreement, to enforce performance and observance of any obligation or agreement of the Corporation under the Loan Agreement or to protect the interests securing the same. Notwithstanding any other provision of the Loan Agreement or any right, power or remedy existing at law or in equity or by statute, the Bond Trustee shall not under any circumstances declare the entire unpaid aggregate amount of the payment due under the Loan Agreement to be immediately due and payable except in accordance with the directions of the Master Trustee if the Master Trustee shall have declared the aggregate principal amount of the Obligations and all interest thereon immediately due and payable in accordance with the Master Indenture.

Amendments and Supplements

The Loan Agreement may be amended, changed or modified only as provided in the Bond Indenture.

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APPENDIX E

FORM OF CONTINUING DISCLOSURE AGREEMENT

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CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (this “*Disclosure Agreement*”) is executed and delivered by Congregational Homes, Inc. d/b/a Mt. San Antonio Gardens, a nonprofit public benefit corporation incorporated under the laws of the State of California (the “*Corporation*”), on behalf of itself and as Obligated Group Representative (as defined below) on behalf of the other Members of the Obligated Group (as defined below), as of February 16, 2022. As of the date of this Disclosure Agreement, the Corporation is the sole Member of the Obligated Group. The Corporation covenants and agrees as follows:

Section 1. Definitions. Any capitalized terms used herein but not defined herein shall have the meanings assigned to them in the hereinafter described Master Indenture, and the following capitalized terms shall have the following meanings:

“*Annual Report*” shall mean any Annual Report provided by the Obligated Group pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Authority*” shall mean the California Municipal Finance Authority, a public instrumentality of the State of California.

“*Bond Indenture*” shall mean the Bond Indenture dated as of February 1, 2022, between the Authority and the Bond Trustee, pursuant to which the Series 2022 Bonds are issued.

“*Bond Trustee*” shall mean The Bank of New York Mellon Trust Company, N.A., as bond trustee.

“*Bondholders*” shall mean the owners and beneficial owners from time to time of the Series 2022 Bonds.

“*Budget Summary*” shall mean any Budget Summary provided by the Obligated Group pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Business Day*” shall have the meaning set forth in the Bond Indenture.

“*Corporation*” shall mean Congregational Homes, Inc., a nonprofit public benefit corporation incorporated under the laws of the State of California.

“*Days Cash on Hand*” shall have the meaning set forth in the Master Indenture.

“*Debt Service Coverage Ratio*” shall have the meaning set forth in the Master Indenture.

“*Disclosure Agreement*” shall mean this agreement.

“*Dissemination Agent*” shall mean the Corporation or any Dissemination Agent designated in writing by the Corporation and which has filed with the Corporation a written acceptance of such designation.

“*EMMA*” shall mean the Electronic Municipal Market Access system of the MSRB accessible at <http://emma.msrb.org> or such other information repository as may be determined by the SEC from time to time.

“*Financial Obligation*” means a (a) debt obligation, (b) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation, or (c) guarantee of a debt obligation or a derivative instrument. The term Financial Obligation does not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“GAAP” means generally accepted accounting principles in the United States of America.

“*Initial Entrance Fees*” shall have the meaning set forth in the Master Indenture.

“*Listed Events*” shall mean any of the events listed in Section 5(a) of this Disclosure Agreement.

“*Loan Agreement*” shall mean the Loan Agreement dated as of February 1, 2022, between the Corporation and the Authority relating to the Series 2022 Bonds.

“*Master Indenture*” shall mean the Master Trust Indenture dated as of July 1, 2019, by and between the Corporation and the Master Trustee, as amended and supplemented from time to time.

“*Master Trustee*” shall mean The Bank of New York Mellon Trust Company, N.A., as master trustee.

“*Member*” or “*Member of the Obligated Group*” or “*Obligated Group*” shall have the meaning set forth in the Master Indenture.

“*Monthly Report*” shall mean any Monthly Report provided by the Corporation pursuant to Sections 3 and 4 of this Disclosure Agreement.

“*MSRB*” shall mean the Municipal Securities Rulemaking Board or any successor entity as described in the Rule.

“*Obligated Group Representative*” shall have the same meaning set forth in the Master Indenture.

“*Obligated Person*” shall have the meaning set forth in the Rule.

“*Offering Document*” shall mean the Official Statement dated February 2, 2022 describing the Series 2022 Bonds.

“*Project*” shall have the meaning set forth in the Bond Indenture.

“*Quarterly Report*” shall mean any quarterly report provided by the Obligated Group pursuant to Sections 3 and 4 of this Disclosure Agreement.

“*Rule*” shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934.

“*SEC*” shall mean the United States Securities and Exchange Commission.

“*Series 2022 Bonds*” means, collectively, the Series 2022A Bonds and the Series 2022B Bonds.

“*Series 2022A Bonds*” means the Authority’s Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022A.

“*Series 2022B Bonds*” means the Authority’s Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-1 Tax-Exempt Mandatory Paydown Securities (TEMPS-85SM) and Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-2 Tax-Exempt Mandatory Paydown Securities (TEMPS-50SM).

“*Stable Occupancy*” shall have the meaning set forth in the Master Indenture.

“*Underwriter*” shall mean B.C. Ziegler and Company, or any additional purchaser of the Series 2022 Bonds required to comply with the Rule in connection with an offering of the Series 2022 Bonds.

Section 2. Purpose of this Disclosure Agreement. The purpose of this Disclosure Agreement is to assist the Underwriter in complying with the Rule in connection with the Series 2022 Bonds. The Corporation represents that the Corporation is the only Obligated Person with respect to the Series 2022 Bonds at the time the Series 2022 Bonds are delivered to the Underwriter.

Section 3. Provision of Annual Reports, Quarterly Reports, Monthly Reports and Budget Summaries. (a) The Obligated Group Representative shall, or shall cause the Dissemination Agent to, not later than 150 days after the completion of each fiscal year of the Corporation (beginning with the fiscal year ending September 30, 2022), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) an Annual Report that is consistent with the requirements of Section 4(a) of this Disclosure Agreement.

(b) Beginning with the fiscal quarter ending March 31, 2022, the Obligated Group Representative shall, or shall cause the Dissemination Agent to, not later than 60 days after the completion of each fiscal quarter of the Corporation, provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) a Quarterly Report that is consistent with the requirements of Section 4(b) of this Disclosure Agreement.

(c) The Obligated Group Representative shall, or shall cause the Dissemination Agent to, not later than 45 days after the end of each month, (beginning with the month ending February 28, 2022 continuing until the end of the month in which the Obligated Group achieves Stable Occupancy with respect to the Project), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB), a Monthly Report that is consistent with the requirements of Section 4(c) of this Disclosure Agreement.

(d) The Obligated Group Representative shall, or shall cause the Dissemination Agent to, not later than 45 days after the end of each month, during the period of time any Monthly Report is required under Section 4(d) hereof, provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB), a Monthly Report that is consistent with the requirements of Section 4(d) of this Disclosure Agreement.

(e) The Obligated Group Representative shall, or shall cause the Dissemination Agent to, not later than 45 days after the end of each fiscal year, provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB), a Budget Summary that is consistent with the requirements of Section 4(e) of this Disclosure Agreement.

(e) In each case the Annual Report, the Quarterly Report, the Monthly Report or the Budget Summary may be submitted as a single document or as a package comprising separate documents. Any or all of the items constituting the Annual Report, the Quarterly Report, the Monthly Report or the Budget Summary may be incorporated by reference from other documents that have been submitted to the MSRB or the SEC. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The Obligated Group Representative shall clearly identify each such other document so incorporated by reference.

(f) The Dissemination Agent shall (if the Dissemination Agent is other than the Corporation) file a report with the Corporation certifying that the Annual Report, the Quarterly Report, the Monthly Report or the Budget Summary, as applicable, has been provided pursuant to this Disclosure Agreement, stating the date it was provided to the MSRB.

(g) With respect to each Annual Report, Quarterly Report, Monthly Report or Budget Summary required to be submitted to the MSRB in this Section 3, the Corporation agrees to deliver such information or, alternatively, a notice of the Corporation's intent to act as its own Dissemination Agent with respect to such information, to the Dissemination Agent at least five (5) Business Days prior to the date required for dissemination to the MSRB. If the Dissemination Agent does not receive an Annual Report, Quarterly Report, Monthly Report or Budget Summary or a notice of the Corporation's intent to act as Dissemination Agent with respect to such information on or before such required dissemination date, then the Dissemination Agent shall file with the MSRB a notice of failure to file. If the Corporation is unable to provide to the MSRB an Annual Report, Quarterly Report, Monthly Report or Budget Summary by the dates required in this Section 3 and the Dissemination Agent has not filed with the MSRB a related notice of failure to file, the Corporation shall send or cause to be sent a

notice of such fact to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB).

Section 4. Content of Annual Reports, Quarterly Reports, Monthly Reports and Budget Summaries. (a) The Annual Report to be delivered under Section 3(a) shall provide the following financial and operating data:

(1) Audited financial statements of the Obligated Group for the fiscal year immediately preceding the due date of the Annual Report. Such financial statements shall be prepared in accordance with GAAP and shall be audited by an independent certified public accountant, and shall include a statement of financial position as of the end of such fiscal year, and a statement of operations, a statement of changes in net assets, and a statement of cash flows for such fiscal year, showing in each case in comparative form the financial figures for the preceding fiscal year or a written explanation detailing the reasons that comparative financial figures cannot be prepared; *provided, however*, that if such audited financial statements are not available by the deadline for filing the Annual Report, they shall be provided when and if available, and unaudited financial statements shall be included in the Annual Report.

(2) To the extent not otherwise provided, an update for such fiscal year of the financial and operating data included in the tables and charts under the headings “MT. SAN ANTONIO GARDENS – Unit Mix,” “MT. SAN ANTONIO GARDENS – Fee Schedule,” “STATISTICAL INFORMATION – Occupancy,” “STATISTICAL INFORMATION – Independent Living Waitlist,” “STATISTICAL INFORMATION – Turnover,” “STATISTICAL INFORMATION – Sources of Revenue for the Skilled Nursing Beds,” “FINANCIAL INFORMATION – Summary Statements of Financial Position,” “FINANCIAL INFORMATION – Statement of Operations,” “FINANCIAL INFORMATION – Debt Service Coverage Ratios” and “FINANCIAL INFORMATION – Liquidity” contained in APPENDIX A to the Offering Document.

(3) Calculations of the Obligated Group’s Debt Service Coverage Ratio for such fiscal year and of the Obligated Group’s Days Cash on Hand as of the last day of such fiscal year.

(4) A separate written statement of the accountants preparing the financial statements described in subparagraph (1) above containing a statement that such accountants have obtained no knowledge of any default under the terms, covenants, provisions or conditions of Article III of the Master Indenture, insofar as such default relates to accounting matters, or if such accountants shall have obtained knowledge of any such default or defaults, they shall disclose in such statement the default or defaults and the nature thereof, insofar as such default or defaults relate to accounting matters.

(5) Most recent rating of the Obligated Group’s skilled nursing beds issued by the Centers for Medicare & Medicaid Services pursuant to its Five-Star Quality Rating System.

(b) The Quarterly Report to be delivered under Section 3(b) shall contain the following financial and operating data:

(1) Management-prepared financial statements, including a statement of operations, a statement of changes in net assets and a statement of cash flows of the Obligated Group during such period and a statement of financial position as of the end of each such fiscal quarter, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group Representative (including, if necessary, a management-prepared discussion and analysis regarding the results of operations for such fiscal quarter).

(2) A comparison of actual revenues and expenses of the Obligated Group year-to-date against the operating budget of the Obligated Group.

(3) A calculation of the Days Cash on Hand as of the last day of each quarter and a calculation of the Debt Service Coverage Ratio for each fiscal quarter of each year on a rolling twelve-month basis.

(4) Information with respect to the occupancy levels of all of the facilities operated by the Obligated Group by level of care as of the end of each fiscal quarter.

(5) An Officer's Certificate of the Obligated Group Representative stating that the Obligated Group is in compliance with all of the terms, provisions and conditions of the Master Indenture or, if not, specifying all such defaults and the nature thereof.

(6) An update of the status of any major construction project (other than the Project) ongoing or completed during the fiscal quarter.

(c) The Monthly Report to be delivered under Section 3(c) shall contain the following financial and operating data:

(1) A calculation of the marketing levels for the Project as of the end of such month, including the number of independent living units that have been sold or cancelled during that month and on an aggregate basis.

(2) Occupancy levels of the Project as of the end of such month including the number of independent living units that were occupied and vacated during that month and on an aggregate basis, as applicable.

(3) A summary statement on the status of construction since the prior month, including the report of any construction monitor delivered to the Obligated Group;

(4) Unaudited financial reports on the development costs incurred during that month and on an aggregate basis.

(5) Monthly updates on Initial Entrance Fees received to date related to the Project.

(6) Cumulative amount of Series 2022B Bonds repaid with Initial Entrance Fees as of the end of such month.

(7) Statements of the balances in each fund and account required to be held under the Master Indenture or the Bond Indenture as of the end of such month (obtained from the applicable trustee), all in reasonable detail and certified by an officer of the Corporation.

(d) A Monthly Report to be delivered under this Section 4(d) shall be required in any month in which the Debt Service Coverage Ratio for any fiscal year is less than 1.00:1, and a Monthly Report under this Section 4(d) shall be required for each month thereafter until the Debt Service Coverage Ratio is at least 1.00:1. The Monthly Report to be delivered under this Section 4(d) shall contain the same information as that required by Section 4(b) hereof but the calculation of the Debt Service Coverage Ratio of the Obligated Group shall be calculated on a year-to-date basis each month.

(e) The Budget Summary delivered pursuant to Section 3(e) shall consist of a summary of the operating and capital budgets for the fiscal year then started.

Section 5. Reporting of Listed Events. (a) This Section 5 shall govern the giving of notices of the occurrence of any of the following events with respect to the Series 2022 Bonds:

- (1) principal and interest payment delinquencies;
- (2) non-payment related defaults, if material;
- (3) unscheduled draws on debt service reserves reflecting financial difficulties;
- (4) unscheduled draws on credit enhancements reflecting financial difficulties;
- (5) substitution of credit or liquidity providers, or their failure to perform;
- (6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Series 2022 Bonds, or other material events affecting the tax status of the Series 2022 Bonds;
- (7) modifications to rights of security holders, if material;

(8) bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);

(9) defeasances;

(10) release, substitution, or sale of property securing repayment of the Series 2022 Bonds, if material;

(11) rating changes;

(12) bankruptcy, insolvency, receivership or similar event of a Member of the Obligated Group;

(13) the consummation of a merger, consolidation, or acquisition involving a Member of the Obligated Group or the sale of all or substantially all of the assets of a Member of the Obligated Group, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(14) appointment of a successor or additional trustee or the change of name of a trustee, if material;

(15) the incurrence of a Financial Obligation of a Member of the Obligated Group, if material, or an agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation (including debt service schedules) of a Member of the Obligated Group, any of which affect security holders, if material; and

(16) a default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of a Member of the Obligated Group, any of which reflect financial difficulties.

(b) Upon the occurrence of a Listed Event, the Obligated Group Representative shall, or shall cause the Dissemination Agent to, promptly file a notice of such occurrence with the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB). Such notice shall be filed within 10 Business Days after the occurrence of the Listed Event. If the Obligated Group Representative determines that it failed to give notice as required by this Section, it shall promptly file a notice of such occurrence in the same manner.

Section 6. Termination of Reporting Obligation. The Obligated Group's obligations under this Disclosure Agreement with respect to the Series 2022 Bonds shall terminate upon the defeasance, prior redemption or payment in full of all the Series 2022 Bonds.

Section 7. Dissemination Agent. From time to time, the Obligated Group Representative may appoint or engage a Dissemination Agent to assist the Obligated Group

Representative in carrying out its obligations under this Disclosure Agreement, and may discharge any such agent, with or without appointing a successor Dissemination Agent. If at any time there is not any other designated Dissemination Agent, the Obligated Group Representative shall be the Dissemination Agent. Initially, the Corporation shall be the Dissemination Agent. The sole remedy of any party against the Dissemination Agent shall be nonmonetary and specific performance. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement. The Dissemination Agent shall receive reasonable compensation for its services provided hereunder. The Dissemination Agent may resign at any time by providing at least 60 days' written notice to the Obligated Group Representative.

Section 8. Amendment; Waiver; Modification. The Obligated Group may amend or waive any provision of this Disclosure Agreement, if such amendment or waiver is supported by an opinion of counsel expert in federal securities laws, to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule or adjudication of the Rule by a final decision of a court of competent jurisdiction. The Obligated Group may modify from time to time the specific types of information provided in an Annual Report, Quarterly Report or Monthly Report to the extent necessary as a result of a change in legal requirements, change in law or change in the nature of any Member of the Obligated Group or its businesses, *provided* that any such modification will be done in a manner consistent with the Rule and will not, in the opinion of the Master Trustee, a Related Bond Trustee or another party unaffiliated with the Authority or the Members of the Obligated Group, materially impair the interests of the Bondholders.

Section 9. Additional Information. The Members of the Obligated Group may from time to time choose to disseminate other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or include other information in any Annual Report, Quarterly Report, Monthly Report, Budget Summary or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If such Member of the Obligated Group chooses to include any information in any Annual Report, Quarterly Report, Monthly Report, Budget Summary or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Agreement, such Member shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Quarterly Report, Monthly Report, Budget Summary or notice of occurrence of a Listed Event.

Section 10. Default. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Master Indenture, the Bond Indenture or the Loan Agreement, and the sole remedy of Bondholders under this Disclosure Agreement in the event of any failure of the Obligated Group or the Obligated Group Representative, on behalf of the Obligated Group, to comply with this Disclosure Agreement shall be an action to compel performance.

Section 11. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Corporation, the Underwriter and the Bondholders, and shall create no rights in any other person or entity.

Section 12. Responsible Officer. The Obligated Group Representative's Chief Financial Officer shall be the officer, agency, or agent of the Obligated Group Representative responsible for providing Annual Reports, Quarterly Reports, Monthly Reports and Budget Summaries and giving notice of Listed Events, to the extent required hereunder, and any inquiries regarding this Disclosure Agreement should be directed to the Obligated Group Representative, to the attention of its Chief Financial Officer.

Section 13. Future Changes to the Rule. As set forth in Section 2 of this Disclosure Agreement, the Corporation has executed and delivered this Disclosure Agreement solely and only to assist the Underwriter in complying with the requirements of the Rule. Therefore, notwithstanding anything in this Disclosure Agreement to the contrary, in the event the SEC, the MSRB or other regulatory authority shall approve or require changes to the requirements of the Rule, the Obligated Group shall be permitted, but shall not be required, to unilaterally modify the covenants in this Disclosure Agreement, without complying with the requirements of Section 8 of this Disclosure Agreement, in order to comply with, or conform to, such changes. In the event of any such modification of this Disclosure Agreement, the Obligated Group shall file a copy of this Disclosure Agreement, as revised, on EMMA in a timely manner.

[SIGNATURES APPEAR ON THE FOLLOWING PAGE]

IN WITNESS WHEREOF, the Corporation has caused this Disclosure Agreement to be executed by its duly authorized officer as of the date first set forth above.

CONGREGATIONAL HOMES, INC. D/B/A MT. SAN
ANTONIO GARDENS, on behalf of itself and
as Obligated Group Representative on
behalf of the other Members of the
Obligated Group

By: _____
President and Chief Executive Officer

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APPENDIX F

FORM OF OPINION OF BOND COUNSEL

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February ___, 2022

California Municipal Finance Authority
Carlsbad, California

California Municipal Finance Authority
Senior Living Revenue Bonds
(Mt. San Antonio Gardens Project)

\$29,030,000	\$6,000,000	\$8,750,000
Series 2022A	Series 2022B-1	Series 2022B-2
Tax Exempt	Tax Exempt Mandatory	Tax Exempt Mandatory
Fixed Rate	Paydown Securities	Paydown Securities
	(TEMPS – 85 SM)	(TEMPS – 50 SM)
	(Final Opinion)	

Ladies and Gentlemen:

We have acted as bond counsel to the California Municipal Finance Authority (the “Issuer”) in connection with the issuance of \$29,030,000 aggregate principal amount of California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022A Tax Exempt Fixed Rate (the “2022A Bonds”), \$6,000,000 aggregate principal amount of California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-1 Tax Exempt Mandatory Paydown Securities (TEMPS – 85SM) (the “2022B-1 Bonds”), and \$8,750,000 aggregate principal amount of California Municipal Finance Authority Senior Living Revenue Bonds (Mt. San Antonio Gardens Project), Series 2022B-2 Tax Exempt Mandatory Paydown Securities (TEMPS – 50SM) (the “2022B-2 Bonds” and together with the 2022A Bonds and the 2022B-1 Bonds, the “Bonds”), issued pursuant to a Bond Indenture, dated as of February 1, 2022 (the “Indenture”), between the Issuer and The Bank of New York Mellon Trust Company, N.A., as trustee (the “Trustee”). The Indenture provides that the Bonds are issued for the stated purpose of making a loan of the proceeds thereof to Congregational Homes, Inc., doing business as Mt. San Antonio Gardens, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California (the “Borrower”), pursuant to a Loan Agreement, dated as of February 1, 2022 (the “Loan Agreement”), between the Issuer and the Borrower. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Indenture.

In such connection, we have reviewed the Indenture, the Loan Agreement, the Tax Certificate, opinions of counsel to the Issuer and the Borrower, certificates of the Issuer, the Trustee, the Borrower and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

We have relied on the opinion of Dentons US LLP, counsel to the Borrower, regarding, among other matters, the current qualification of the Borrower as an organization described in

Section 501(c)(3) of the Internal Revenue Code of 1986 (the “Code”). We note that such opinion is subject to a number of qualifications and limitations. We have also relied upon representations of the Borrower regarding the use of the facilities financed or refinanced with the proceeds of the Bonds in activities that are not considered unrelated trade or business activities of the Borrower within the meaning of Section 513 of the Code. We note that the opinion of counsel to the Borrower does not address Section 513 of the Code. Failure of the Borrower to be organized and operated in accordance with the Internal Revenue Service’s requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or use of the bond-financed or refinanced facilities in activities that are considered unrelated trade or business activities of the Borrower within the meaning of Section 513 of the Code, may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of issuance of the Bonds.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after original delivery of the Bonds on the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after original delivery of the Bonds on the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures provided to us and the due and legal execution and delivery thereof by, and validity against, any parties other than the Issuer. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents and of the legal conclusions contained in the opinions, referred to in the second and third paragraphs hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Indenture, the Loan Agreement and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Indenture, the Loan Agreement and the Tax Certificate and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors’ rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against joint exercise of powers authorities in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute or to have the effect of a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest

in any of the real or personal property described in or as subject to the lien of the Indenture or the Loan Agreement or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Issuer.
2. The Indenture has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Issuer. The Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and any other amounts (including proceeds of the sale of the Bonds) held by the Trustee in any fund or account established pursuant to the Indenture, other than the Rebate Fund, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Indenture.
3. The Loan Agreement has been duly executed and delivered by, and constitutes a valid and binding agreement of, the Issuer.
4. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

per

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APPENDIX G

BOOK-ENTRY SYSTEM

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered bonds registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. The ownership of one fully-registered Bond for each maturity, each in the aggregate principal amount of such maturity, will be registered in the name of Cede & Co.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants (*"Direct Participants"*) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (*"DTCC"*). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (*"Indirect Participants"*). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond (*"Beneficial Owner"*) is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them. Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an "Omnibus Proxy" to the Authority as soon as possible after the Record Date. The "Omnibus Proxy" assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the Record Date (identified in a listing attached to the "*Omnibus Proxy*").

Principal and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Bond Trustee or the Authority, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as in the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Bond Trustee or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Bond Trustee or the Authority. Disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Authority and the Bond Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

THE INFORMATION PROVIDED ABOVE HAS BEEN PROVIDED BY DTC. NO REPRESENTATION IS MADE BY THE AUTHORITY, THE CORPORATION OR THE UNDERWRITER AS TO THE ACCURACY OR ADEQUACY OF SUCH INFORMATION PROVIDED BY DTC OR AS TO THE ABSENCE OF MATERIAL ADVERSE CHANGES IN SUCH INFORMATION SUBSEQUENT TO THE DATE HEREOF.

For so long as the Bonds are registered in the name of DTC or its nominee, Cede & Co., the Authority and the Bond Trustee will recognize only DTC or its nominee, Cede & Co., as the registered owner of the Bonds for all purposes, including payments, notices and voting.

Under the Bond Indenture, payments made by the Bond Trustee to DTC or its nominee will satisfy the Authority's obligations under the Bond Indenture and the Corporation's obligations under the Loan Agreement, to the extent of the payments so made.

None of the Authority, the Underwriter, the Corporation or the Bond Trustee will have any responsibility or obligation with respect to (i) the accuracy of the records of DTC, its nominee or any Direct Participant or Indirect Participant with respect to any beneficial ownership interest in any Bond, (ii) the delivery to any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any notice with respect to any Bond including, without limitation, any notice of redemption, tender, purchase or any event which would or could give rise to a tender or purchase right or option with respect to any Bond, (iii) the payment of any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any amount with respect to the principal of, premium, if any, or interest on, or the purchase price of, any Bond or (iv) any consent given by DTC as registered owner.

Prior to any discontinuation of the book-entry only system described above, the Authority and the Bond Trustee may treat DTC as, and deem DTC to be, the absolute owner of the Bonds for all purposes whatsoever, including, without limitation, (i) the payment of principal of, premium, if any, and interest on the Bonds, (ii) giving notices of redemption and other matters with respect to the Bonds, (iii) registering transfers with respect to the Bonds and (iv) the selection of Bonds for redemption.

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APPENDIX H

FINANCIAL FEASIBILITY REPORT

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HENDRICKSON CONSULTING

6 Beach Road – #494, Tiburon, California 94920 - (415) 889-5035 – Bill1Hendrickson@gmail.com

FINAL REPORT

CONGREGATIONAL HOMES, INC.

dba MT. SAN ANTONIO GARDENS

FINANCIAL FEASIBILITY REPORT

JANUARY 18, 2022

HENDRICKSON CONSULTING

6 Beach Road, #494, Tiburon, CA 94920 – (415) 889-5035 – BillHendrickson@gmail.com

January 18, 2022

Maureen Beith
President and Chief Executive Officer
Mt. San Antonio Gardens
900 East Harrison Avenue
Pomona, CA 91767

Dear Ms. Beith:

We are pleased to submit this feasibility study for Congregational Homes, Inc. dba Mt. San Antonio Gardens (MSAG), a 501(c)(3) corporation that owns and operates a continuing care retirement community (CCRC) in Pomona, California. MSAG currently consists of 248 independent living (IL) units, 81 assisted living and memory care units/beds, and a 58-bed licensed skilled nursing facility. MSAG began operations in 1961. The proceeds of the \$46.1 million Series 2022 Bonds (par plus premium) will be used to construct a 53-IL unit replacement project referred to as “The Cedars”.

The 2022 Bonds are anticipated to be issued in February and are expected to have a 2056 term and maximum coupon rates of 4.50%. Interest payments to bondholders begin on May 15, 2022. Short-term principal is expected to be fully paid on November 15, 2024 from Founders fee proceeds. Long-term principal payments begin on November 15, 2026.

To evaluate the financial feasibility of the transaction we have reviewed critical information sources, including the following:

- the key revenue sources for MSAG;
- the key expenses for MSAG;
- the estimated costs and timing of the improvements, and
- the terms and structure of the proposed bond issue.

The information obtained through this process has been used to forecast MSAG financial statements for the fiscal years ending September 30, 2022 to 2027. Based on our evaluation, the debt coverage ratio is expected to equal or exceed 2.60x maximum annual debt service in all forecast years after FY 2024 when The Cedars reaches full stability. In addition, the sources of funds will be adequate to meet operating expenses, working capital, and other capital requirements.

The forecasts contained in this report are based on several assumptions. To the extent that these assumptions are not realized, the actual results may vary accordingly. Implementation of policies and procedures to attain the forecast results is the responsibility of MSAG and its management. Since forecasts of future events are subject to uncertainty, we cannot guarantee these forecasts as specific results that will be achieved.

We appreciate the assistance provided by MSAG management during the preparation of this study.

Sincerely,

William D. Hendrickson

William D. Hendrickson
Hendrickson Consulting

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SECTION A
MT. SAN ANTONIO GARDENS
STATEMENTS OF OPERATIONS
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027
<u>REVENUE</u>							
Care and Service Fees	\$19,608	\$19,832	\$20,625	\$23,947	\$26,041	\$26,936	\$27,862
Non-Contract Revenue	2,355	2,115	2,178	2,243	2,311	2,380	2,451
Clinic/Other	588	642	618	703	757	781	806
Advance Fees Amortization	4,264	4,323	4,520	5,470	6,363	6,480	6,610
Investment Income/Gains	1,806	1,750	1,740	1,811	2,077	2,144	2,274
Contributions/Grants/PPP Forgiveness	3,646	500	500	500	500	500	500
Net Released Assets - Capital	90	120	100	100	100	100	100
Net Released Assets - Operations	1,374	1,370	1,442	1,496	1,552	1,610	1,670
Total Revenue	\$33,731	\$30,651	\$31,723	\$36,271	\$39,700	\$40,930	\$42,273
<u>EXPENSES</u>							
Salaries and Benefits	\$17,841	\$17,850	\$18,525	\$19,973	\$20,672	\$21,396	\$22,145
Contract Services	4,451	4,840	5,059	5,336	5,523	5,717	5,917
Other Expenses	4,267	3,850	3,985	4,224	4,372	4,525	4,683
Depreciation/Amort./Write-Off	4,774	4,654	4,562	6,135	6,132	6,139	5,956
Interest	661	1,487	1,465	1,660	2,715	2,664	2,635
Total Expenses	\$31,994	\$32,681	\$33,596	\$37,329	\$39,415	\$40,441	\$41,336
Change Net Assets w/o Donor Restr.	\$1,737	(\$2,030)	(\$1,873)	(\$1,058)	\$285	\$489	\$938
Change Net Assets w/ Donor Restr.	\$1,542	\$0	\$0	\$0	\$0	\$0	\$0
Change in Net Assets	\$3,279	(\$2,030)	(\$1,873)	(\$1,058)	\$285	\$489	\$938

SECTION A
MT. SAN ANTONIO GARDENS
STATEMENTS OF FINANCIAL POSITION
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027
<u>ASSETS</u>							
Cash & Equivalents	\$8,363	\$8,041	\$8,399	\$13,274	\$11,497	\$11,845	\$12,395
Accounts Receivable	648	743	770	884	957	989	1,023
Other Current Assets	980	1,009	1,040	1,071	1,103	1,136	1,170
Total Current Assets	\$9,991	\$9,793	\$10,209	\$15,229	\$13,557	\$13,971	\$14,588
Net Property, Plant, Equip.	\$55,896	\$81,187	\$103,504	\$99,369	\$96,237	\$93,098	\$90,142
Bond Funds - 2019/2022	6,139	24,880	0	0	0	0	0
Investments	22,935	22,935	23,935	25,935	27,935	29,935	31,935
Investments - Board Designated	27,031	27,031	28,031	30,031	32,031	34,031	36,031
TOTAL ASSETS	\$121,992	\$165,826	\$165,679	\$170,564	\$169,760	\$171,034	\$172,696
<u>LIABILITIES</u>							
Accts. Payable/Accr. Exp.	\$3,790	\$3,455	\$3,580	\$3,846	\$4,103	\$4,229	\$4,362
Refundable Deposits	180	180	180	180	180	180	180
LTD - Current Portion	540	560	585	605	630	655	685
Total Current Liabilities	\$4,510	\$4,195	\$4,345	\$4,631	\$4,913	\$5,064	\$5,227
Unamortized Entrance Fees	\$37,272	\$37,924	\$40,087	\$59,214	\$60,357	\$61,646	\$63,077
Long-term Debt w/Premium	33,845	79,371	78,786	65,316	62,801	62,146	61,276
Split Interest Agreement	405	405	405	405	405	405	405
Other	494	494	494	494	494	494	494
TOTAL LIABILITIES	\$76,526	\$122,390	\$124,116	\$130,059	\$128,970	\$129,755	\$130,478
Net Assets - w/o Donor Restr.	\$30,403	\$28,373	\$26,500	\$25,442	\$25,727	\$26,217	\$27,154
Net Assets - w/ Donor Restr.	15,063	15,063	15,063	15,063	15,063	15,063	15,063
NET ASSETS	\$45,466	\$43,436	\$41,563	\$40,505	\$40,790	\$41,280	\$42,217
TOTAL LIAB. & NET ASSETS	\$121,992	\$165,826	\$165,679	\$170,564	\$169,760	\$171,034	\$172,696

SECTION A
MT. SAN ANTONIO GARDENS
STATEMENTS OF CASH FLOWS
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027
<u>OPERATING ACTIVITIES</u>							
Change in Net Assets	\$3,279	(\$2,030)	(\$1,873)	(\$1,058)	\$285	\$489	\$938
Depreciation and Amortization	4,774	4,654	4,562	6,135	6,132	6,139	5,956
Amortized Entrance Fees	(4,264)	(4,323)	(4,520)	(5,470)	(6,363)	(6,480)	(6,610)
Changes in Assets/Liabilities	(3,333)	(459)	66	121	153	60	65
Cash From Operating Act.	\$456	(\$2,158)	(\$1,764)	(\$272)	\$207	\$209	\$349
<u>INVESTING ACTIVITIES</u>							
The Cedars - 2022 Bonds	\$0	(\$21,496)	(\$24,880)	\$0	\$0	\$0	\$0
The Cedars - 2019 Bonds	(1,700)	(609)	0	0	0	0	0
Wellness/Other - 2019 Bonds	(6,006)	(5,530)	0	0	0	0	0
Cedars/Ongoing - Reserves	(1,955)	(2,310)	(2,000)	(2,000)	(3,000)	(3,000)	(3,000)
Cash From Investing Act.	(\$9,661)	(\$29,945)	(\$26,880)	(\$2,000)	(\$3,000)	(\$3,000)	(\$3,000)
<u>FINANCING ACTIVITIES</u>							
Net Entrance Fees - Resales	\$4,419	\$4,976	\$6,682	\$7,252	\$7,506	\$7,769	\$8,041
Net Entrance Fees - Initial Sales	0	0	0	\$17,345	0	0	0
Debt Proceeds	0	46,086	0	0	0	0	0
Debt Principal Payments	(520)	(540)	(560)	(13,450)	(2,490)	(630)	(840)
Cash From Financing Act.	\$3,899	\$50,522	\$6,122	\$11,147	\$5,016	\$7,139	\$7,201
Net Change in Cash/Equiv.	(\$5,306)	\$18,419	(\$22,522)	\$8,875	\$2,223	\$4,348	\$4,550
End Of Year Cash & Invest.	\$64,468	\$82,887	\$60,365	\$69,240	\$71,463	\$75,811	\$80,361
Unrestricted/Bd. Designated	42,861	42,539	44,897	53,772	55,995	60,343	64,893
Restricted - Donor	15,063	15,063	15,063	15,063	15,063	15,063	15,063
Restricted - 2019/2022 Bonds	6,139	24,880	0	0	0	0	0
Restricted - Split Interest Agreement	405	405	405	405	405	405	405

B. BACKGROUND

Congregational Homes, Inc., doing business as (dba) Mt. San Antonio Gardens (MSAG), is a 501(c)(3) non-profit corporation which owns and operates a continuing care retirement community (CCRC) on a 31-acre site located in the Cities of Claremont and Pomona, approximately 30 miles east of downtown Los Angeles. MSAG opened in 1961, and currently consists of 248 independent living (IL) units, 71 assisted living (AL) and 10 memory care (MC) units/beds, and a 58-bed skilled nursing facility (SNF).

PROJECT SUMMARY

The project consists of the construction of a single three-story building containing 53 IL apartments known as “The Cedars”. The building site was the former location for a four-story 62-IL unit structure, referred to as “Building D”. The building was in need of substantial seismic work and consisted of less marketable studio and small one-bedroom units. Building D demolition is in process and is expected to be completed in February 2022. Construction on The Cedars is expected to begin immediately after and end in September 2023. Current Building D residents have been primarily relocated within the MSAG campus and are expected to occupy approximately 10 of The Cedars units. A total of 35 10% deposits (85%) have been received for the estimated 43 Cedars units to be occupied by outside admissions. After completion of the Cedars MSAG will have 301 IL units (248 current plus 53 new). No changes are being made to the AL, MC and SNF units/beds.

THE LEGAL STRUCTURE/PROGRAM

MSAG is a “Type A” Lifecare CCRC. Entrants pay a one-time “Founders” fee (entrance fee) with a 72-month declining refundability (MSAG does not offer refundable fee options). MSAG also offers a continuing care “Type B” option which has been selected by about 13% of its residents. The amount of the Founders fee varies by unit type and age of entrant and is charged per resident. For example, the Founders fee paid by a single 75-year-old entrant is about 50% more than that paid by a single 85-year-old entrant. A couple on average will pay about \$35,000 more than a single occupant of a comparable IL unit.

For both contract options, the IL monthly fee does not directly vary by unit type, but by one of three unit-classifications; suitable for single, for couple (twice the current “Tier 2” new entrant \$3,954 single rate or \$7,908), and for either single or couple (1.5x the single rate or \$5,931). IL services include weekly housekeeping and three meals per day for all contract options. Medical deductibles and co-payments not covered by Medicare or a Medicare supplemental insurance policy are generally covered by MSAG for Type A contracts. Type B contract residents who transfer to higher levels of care pay the Type A rate for the first 120 days, the full market rate for the next 730 days (two years), and the Type A rate thereafter.

THE BOARD OF DIRECTORS

MSAG is governed by a 29-member Board of Directors. Non-resident directors are eligible to serve a maximum of two consecutive 3-year terms, and after a one-year break, are eligible for additional terms. Current Board members have served an average of two years. Members also participate in a series of committees including Finance, Investment, Audit, Strategic Planning, Marketing and Health Services.

C. PROJECT AND FINANCING ASSUMPTIONS

A summary of the sources and uses of funds for The Cedars is shown in **Table 1**. The total project cost is estimated at \$45.0 million including soft costs and contingencies. The Cedars' building is approximately 65,000 square feet of wood-frame construction on three stories, and an approximate 20,000 square foot underground parking structure.

PROJECT COSTS AND SCHEDULE

MSAG has entered into a design/build agreement with its construction company (KAR Construction, Inc.) and architects (BRB and Drisko Studio Architects). Construction drawings are complete and have been submitted to the City of Pomona, which is expected to issue a building permit by February 2022. Demolition of Building D is estimated to be completed in February 2022. Construction of The Cedars building is estimated to begin in February 2022 and end 19 months later in September 2023. Additional time for City and State licensing is estimated at one month, resulting in an estimated opening in October 2023.

The construction costs are set by guaranteed maximum price (GMP) contract at \$35.0 million, with soft costs (e.g. furnishings and equipment, design, permits) estimated at \$7.6 million, and a project contingency of \$2.4 million (9.0% of the hard and soft costs). Approximately \$5.6 million of this total is estimated to be expended by the February 2022 closing date; \$3.2 million funded from 2019 Bond proceeds and \$2.4 million from MSAG cash reserves. A total of \$2.6 million was spent through the end of FY 2021. The majority of expenditures have been for design and project management costs.

FINANCING ASSUMPTIONS

The Series 2022 Bonds financing assumptions reflected in **Table 1** have been provided by Ziegler, MSAG's investment banker. The 2022 bonds are estimated to have a maximum 2.50% and 3.50% coupon rate for TEMPS 50 and TEMPS 85 short-term debt and 4.50% for permanent debt. All short-term (temporary) principal is expected to be paid in full on November 15, 2024 from approximately \$17.4 million in Founders Fee proceeds from The Cedars. Annual permanent debt is estimated at \$1.45 million through FY 2057 (35 years). Permanent principal payments are due on November 15, beginning in 2026 (FY 2027). Interest payments are funded from 2022 Bond proceeds through April 2024 (26 months).

TABLE 1
MT. SAN ANTONIO GARDENS
SOURCES/USES OF FUNDS
(\$000s)

Sources/Uses	Total
<u>SOURCES</u>	
Series 2022A Bonds - Permanent	\$28,240
Series 2022B Bonds - Temporary	\$14,750
Bonds - Premium	\$3,096
2019 Bond Proceeds	\$3,219
Cash Equity	\$290
TOTAL SOURCES	\$49,595
<u>USES</u>	
Construction - GMP	\$34,980
Architectural/Engineering	\$3,790
Permits/Fees	\$1,950
Fixtures/Furnishings/Equip.	\$1,050
Other	\$830
Contingencies	\$2,400
Subtotal	\$45,000
Funded Interest	\$3,378
Issuance/Discount	\$1,217
Subtotal - Other Costs	\$4,595
TOTAL USES	\$49,595

As shown in **Table 2**, MSAG's other debt includes \$31.07 million remaining on the Series 2019 Bonds. The 2019 Bonds were issued in July 2019 for purposes of refinancing Series 2010 Bonds, funding initial costs for The Cedars, funding the construction of the Wellness Center (scheduled for completion by April 2022), and funding miscellaneous capital projects. MSAG estimates that approximately \$3.2 million of the 2019 Bond proceeds will be applied to The Cedars, reducing the amount required from the 2022 Bonds. As shown, annual debt on the 2019 Bonds is \$2.04 million, and combined payments on the 2019 and 2022 Bonds is estimated at \$3.47 million. The debt schedule is adjusted from the November 15 Bond year to MSAG's FY ending September 30.

TABLE 2
MT. SAN ANTONIO GARDENS
DEBT PAYMENT SCHEDULE
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027
<u>2022 BONDS</u>							
Net Interest				\$218	\$1,297	\$1,271	\$1,267
Principal				<u>\$12,865</u>	<u>\$1,885</u>	<u>\$0</u>	<u>\$185</u>
Total Payments				\$13,083	\$3,182	\$1,271	\$1,452
Par Balance		\$42,990	\$42,990	\$30,125	\$28,240	\$28,240	\$28,055
<u>2019 BONDS</u>							
Net Interest	\$995	\$1,487	\$1,465	\$1,442	\$1,418	\$1,393	\$1,368
Principal	<u>\$520</u>	<u>\$540</u>	<u>\$560</u>	<u>\$585</u>	<u>\$605</u>	<u>\$630</u>	<u>\$655</u>
Total Payments	\$1,515	\$2,027	\$2,025	\$2,027	\$2,023	\$2,023	\$2,023
Par Balance	\$31,090	\$30,550	\$29,990	\$29,405	\$28,800	\$28,170	\$27,515
<u>COMBINED DEBT</u>							
Net Interest	\$995	\$1,487	\$1,465	\$1,660	\$2,715	\$2,664	\$2,635
Principal	<u>\$520</u>	<u>\$540</u>	<u>\$560</u>	<u>\$13,450</u>	<u>\$2,490</u>	<u>\$630</u>	<u>\$840</u>
Total Payments	\$1,515	\$2,027	\$2,025	\$15,110	\$5,205	\$3,294	\$3,475
Par Balance	\$31,090	\$73,540	\$72,980	\$59,530	\$57,040	\$56,410	\$55,570

D. OPERATING ASSUMPTIONS

The following is a discussion of key utilization, revenue, and expense assumptions for the fill-up period and for the period after effective full occupancy is achieved. Fiscal year (FY) ending September 30, 2021 is based on internal financial statements and the audit. FY 2022 estimates are based on the budget and internal financials through November 2021.

KEY REVENUE ASSUMPTIONS

Cash revenues consist of entrance fee sales and turnover (resale) proceeds, ongoing monthly fees for contract residents, non-resident revenues in AL/MC and SNF, interest earnings, and other service charges. A summary of fees for the new IL units is shown in **Table 3**. Founders fees are shown in FY 2024 move-in dollars and monthly fees in FY 2022 dollars.

Relocations of Existing Residents, Pre-Sale Deposit, and Move-in Estimates

MSAG began accepting 10% entrance fee deposits for The Cedars in April 2021 and had a total of 35 deposits from non-transfers by the end of December 2021. This represents 85% of the 43 Cedars apartments set aside for outside admits. The majority of the remaining 10 units have been reserved by internal transfer residents, including six from former residents of Building D. These transfers will pay a lower Founders fee representing the actuarially and inflation adjusted difference between the current rate and the Founders fee paid by the resident at their initial move-in. Opening of The Cedars is estimated on October 1, 2023, with fill-up requiring 12 months (**Table 4**), an average move-in rate of 4.2 units per month (3.4 for the 43 non-transfers).

Monthly Fees

Existing unit monthly fees were increased by 4.0% on October 1, 2021. Monthly fees for existing units are estimated to increase at a weighted average of 4.0%; 3.5% for inflation and 0.5% for the weighted increase in residents paying a higher “Tier 2” rate. This higher rate was effective October 1, 2019 at 10% over the rate paid by pre-Tier 2 residents. Currently about 20 of the total 400+ residents are paying the Tier 2 rate, and that total is expected to increase by an average of 25 residents per year through the forecast period, exceeding 150 by the end of FY 2027. All non-transfer residents in The Cedars will pay the higher Tier 2 rate, which is increased by 3.5% per year.

Table 5 shows a summary of IL, AL/MC, and SNF revenues. Occupancy for existing IL units is held at current levels, with some improvement in the AL/MC/SNF census as the impacts of Covid-19 lessen. Medicare SNF rates are estimated to increase by 2.5% per year, and private AL, MC, and SNF rates are increased by 3.5% per year. For forecasting purposes, none of The Cedars occupants are expected to transfer to AL, MC, or SNF levels of care during the forecast period.

TABLE 3
MT. SAN ANTONIO GARDENS
THE CEDARS TYPE A PRICES (1)
FY 2022 DOLLARS

Unit Description	Number Units	Square Feet	Founders Fee (2)	Monthly Fee
One-Bedroom - Cypress	11	670	\$299,000	\$3,954
One-Bedroom - Juniper	12	800	312,000	\$5,931
One-Bedroom - Deodar	20	930	381,000	\$5,931
Two- Bedroom - Atlantica	10	1,100	442,000	\$5,931
AVERAGE/TOTAL	53	879	\$359,900	\$5,520
Second Person	20		\$35,000	\$1,977
WEIGHTED AVERAGE TYPE A			\$373,100	\$6,270

(1) Founders Fee in FY 2024 move-in dollars. Monthly fee in FY 2022 dollars.

(2) Founders Fee for Type B contract option averages 80% of Type A prices.

TABLE 4
MT. SAN ANTONIO GARDENS
THE CEDARS NET MOVE-INS

FY 2024 Month	Net Move-Ins	Cumul. Move-Ins	Percent Occupancy
October	10.0	10.0	18.9%
November	10.0	20.0	37.7%
December	10.0	30.0	56.6%
January	4.0	34.0	64.2%
February	3.0	37.0	69.8%
March	2.0	39.0	73.6%
April	2.0	41.0	77.4%
May	2.0	43.0	81.1%
June	2.0	45.0	84.9%
July	2.0	47.0	88.7%
August	2.0	49.0	92.5%
September	2.0	51.0	96.2%
Wtd. Average Occupancy		37.2	70.1%

TABLE 5
MT. SAN ANTONIO GARDENS
REVENUE ASSUMPTIONS
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027
Independent Living - The Cedars	0.0	0.0	0.0	51.0	70.0	68.0	66.0
Independent Living - Other MSAG	350.0	330.0	330.0	320.0	320.0	320.0	320.0
Assisted Living/Memory Care	60.0	72.0	72.0	72.0	72.0	72.0	72.0
Skilled Nursing - Permanent	<u>37.0</u>	<u>40.0</u>	<u>40.0</u>	<u>40.0</u>	<u>40.0</u>	<u>40.0</u>	<u>40.0</u>
Member Residents	447.0	442.0	442.0	483.0	502.0	500.0	498.0
Mo. Fee/Member - The Cedars		\$4,550	\$4,709	\$4,874	\$5,045	\$5,221	\$5,404
Mo. Fee - Other MSAG w/Tier 2	\$3,656	\$3,739	\$3,889	\$4,044	\$4,206	\$4,374	\$4,549
Revenues - The Cedars	\$0	\$0	\$0	\$2,983	\$4,237	\$4,260	\$4,280
Revenues - Other MSAG	<u>\$19,608</u>	<u>\$19,832</u>	<u>\$20,625</u>	<u>\$20,965</u>	<u>\$21,803</u>	<u>\$22,675</u>	<u>\$23,582</u>
CARE AND SERVICE FEES	\$19,608	\$19,832	\$20,625	\$23,947	\$26,041	\$26,936	\$27,862
Assisted Living/Memory Care	3.1	4.0	4.0	4.0	4.0	4.0	4.0
Skilled Nursing - Medicare/Private	<u>15.0</u>	<u>13.0</u>	<u>13.0</u>	<u>13.0</u>	<u>13.0</u>	<u>13.0</u>	<u>13.0</u>
Non-Member Residents	18.1	17.0	17.0	17.0	17.0	17.0	17.0
Average Monthly Fee - AL/MC	\$7,100	\$7,100	\$7,313	\$7,532	\$7,758	\$7,991	\$8,231
Average Monthly Fee - SNF	\$11,617	\$11,370	\$11,711	\$12,062	\$12,424	\$12,797	\$13,181
Revenues - AL/MC	\$264	\$341	\$351	\$362	\$372	\$384	\$395
Revenues - SNF	<u>\$2,091</u>	<u>\$1,774</u>	<u>\$1,827</u>	<u>\$1,882</u>	<u>\$1,938</u>	<u>\$1,996</u>	<u>\$2,056</u>
NON MEMBER REVENUE	\$2,355	\$2,115	\$2,178	\$2,243	\$2,311	\$2,380	\$2,451

OCCUPANCY SUMMARY

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027
<u>Available Units/Beds</u>							
Independent Living	272.0	248.0	248.0	301.0	301.0	301.0	301.0
Assisted Living/Memory Care	72.0	82.0	82.0	82.0	82.0	82.0	82.0
Skilled Nursing	<u>68.0</u>	<u>58.0</u>	<u>58.0</u>	<u>58.0</u>	<u>58.0</u>	<u>58.0</u>	<u>58.0</u>
Total	412.0	388.0	388.0	441.0	441.0	441.0	441.0
<u>Occupied Units/Beds</u>							
Independent Living	267.8	246.0	246.0	272.0	286.0	286.0	286.0
Assisted Living/Memory Care	63.1	76.0	76.0	76.0	76.0	76.0	76.0
Skilled Nursing	<u>52.0</u>	<u>53.0</u>	<u>53.0</u>	<u>53.0</u>	<u>53.0</u>	<u>53.0</u>	<u>53.0</u>
Total	382.9	375.0	375.0	401.0	415.0	415.0	415.0
<u>Percent Average Occupancy</u>							
Independent Living	98.5%	99.2%	99.2%	90.4%	95.0%	95.0%	95.0%
Assisted Living/Memory Care	87.6%	92.7%	92.7%	92.7%	92.7%	92.7%	92.7%
Skilled Nursing	76.5%	91.4%	91.4%	91.4%	91.4%	91.4%	91.4%
Total	92.9%	96.6%	96.6%	90.9%	94.1%	94.1%	94.1%

Other Revenues

Other revenues include Clinic fees, extra meal fees, and cable/internet fees. Total other revenues are estimated at \$600,000 in FY 2022 and estimated to average 2.5% of total revenues thereafter.

Founders Fees

Founders fee revenues are summarized in **Table 6**. Existing unit Founder fee rates are forecast to increase by 3.5% per year after FY 2022 and turnovers are estimated at 20 per year. The initial Cedars Founders fees are received in FY 2024 and are estimated to consist of 39 Type A and 4 Type B continuing care entrants. The continuing care Founders fee is estimated to average 80% of the Lifecare fee, or approximately \$300,000. The 10 resident transfers are estimated to pay an average of \$160,000 per unit. The forecasts reflect no re-sale revenues from The Cedars through FY 2027.

Contributions, Grants, and Net Assets Released for Operations

MSAG has received an average of \$660,000 in non-Covid related contributions and grants in the last two years, and an average of \$1.3 million in net assets released from donor restriction and used for operations. MSAG has received \$550,000 in contributions in FY 2022 and is budgeting another \$1.37 million in released assets. These sources are projected to increase by an average of 3.5% per year after FY 2022. In FY 2021 MSAG had their Paycheck Protection Payment (PPP) loan of \$3.04 million forgiven.

Investment Earnings

Interest earnings are estimated at 3.0% per year on prior year cash balances. Unrealized gains have historically comprised approximately 50% of MSAG's total annual investment earnings and are expected to continue at this level over the forecast period.

TABLE 6
MT. SAN ANTONIO GARDENS
REVENUE ASSUMPTIONS - FOUNDERS FEES
(000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027
<u>NUMBER OF SALES/RESALES</u>							
New Entrants - The Cedars				43.0	-	-	-
Existing Transfers - The Cedars				10.0	-	-	-
Existing IL Units - Other MSAG	5.0	13.0	19.0	20.0	20.0	20.0	20.0
Internal Moves - Other MSAG	<u>21.0</u>	<u>9.0</u>	<u>5.0</u>	<u>5.0</u>	<u>5.0</u>	<u>5.0</u>	<u>5.0</u>
Total Sales/Resales/Moves	26.0	22.0	24.0	78.0	25.0	25.0	25.0
<u>SALE/RESALE PRICE</u>							
New Entrants - The Cedars				\$366	\$379	\$392	\$406
Existing Transfers - The Cedars				\$160	\$0	\$0	\$0
Existing IL Units - Other MSAG	\$565	\$330	\$342	\$354	\$366	\$379	\$392
Internal Moves - Other MSAG	\$88	\$100	\$104	\$107	\$111	\$115	\$119
<u>SALE/RESALE GROSS REVENUES</u>							
New Entrants - The Cedars	\$0	\$0	\$0	\$15,745	\$0	\$0	\$0
Existing Transfers - The Cedars				\$1,600	\$0	\$0	\$0
Existing IL Units - Other MSAG	\$2,825	\$4,290	\$6,489	\$7,070	\$7,318	\$7,574	\$7,839
Internal Moves - Other MSAG	<u>\$1,841</u>	<u>\$900</u>	<u>\$518</u>	<u>\$536</u>	<u>\$554</u>	<u>\$574</u>	<u>\$594</u>
Total Revenues	\$4,666	\$5,190	\$7,007	\$24,951	\$7,872	\$8,147	\$8,433
Total Refunds/Repayments	(\$247)	(\$215)	(\$324)	(\$354)	(\$366)	(\$379)	(\$392)
NET SALE/RESALE PROCEEDS	\$4,419	\$4,976	\$6,682	\$24,597	\$7,506	\$7,769	\$8,041

KEY EXPENSE ASSUMPTIONS

MSAG's departmental expenses are projected at \$26.7 million in FY 2022 with a total of 237 full-time equivalent (FTE) employees (**Table 7**). MSAG estimates that its operating expenses, aside from The Cedars and an added \$100,000 in FY 2023 for the Wellness Center, will increase by 3.5% per year. The Cedars' additional salary and non-salary operating expenses in FY 2024 are estimated at \$1.0 million and staffing is estimated to increase by 9.0 FTEs. The relatively low \$1.0 million increase for The Cedars largely results from MSAG's decision to partially retain staff after the closure of Building D at the end of FY 2021. All operating expenses after FY 2024 are increased by 3.5% per year. Benefits average 35% of salaries and include payroll taxes, retirement benefits, health insurance, and workers compensation (holiday, sick leave, and vacation is included with salaries).

TABLE 7
MT. SAN ANTONIO GARDENS
SUMMARY OF PRODUCTIVE FTEs

Department	Current	Cedars	Total
Skilled Nursing	67.0	-	67.0
Assisted Living/Memory Care	40.0	-	40.0
Dining	52.0	5.0	57.0
Maintenance/Grounds/Security	26.0	-	26.0
Housekeeping/Laundry	20.0	3.0	23.0
Clinic/Wellness Center/Other	12.0	1.0	13.0
Administration/Marketing	20.0	-	20.0
Total Productive FTEs	237.0	9.0	246.0

E. FINANCIAL STATEMENT FORECASTS

Section A shows financial forecast statements for MSAG reflecting all current operations as well as the impact of The Cedars project.

STATEMENTS OF ACTIVITIES

In addition to the cash revenue and expense assumptions discussed above, there are two accrual categories. Depreciation estimates are based on an average useful life of 30 years for The Cedars project and an average useful life of 15 years for future ongoing capital improvements. Amortized entrance fees are projected by decreasing prior year totals after FY 2020 by 10% and amortizing new entrance fees over a 12-year period.

STATEMENTS OF FINANCIAL POSITION

Accounts receivable is estimated at 14 days of monthly fees and other income. Other current assets are increased by 3.0% per year. Accounts payable and accrued expenses are projected at 45 days of annual expenses less depreciation.

STATEMENTS OF CASH FLOWS

Capital expenditures from reserves average approximately \$2.0 million per year through FY 2024. Thereafter expenditures are estimated at \$3.0 million per year. Proceeds of 2019 Bonds are expended by the end of FY 2022.

F. KEY FINANCIAL RATIOS

Table 8 shows a summary of key financial ratios for MSAG. Debt coverage is projected to exceed 2.60x maximum annual debt service (MADS) in all years after The Cedars opens in FY 2024. MSAG's unrestricted and board designated reserves currently exceed 550 days and are expected to increase after The Cedars opens and Founder's fees are received.

TABLE 8
MT. SAN ANTONIO GARDENS
DEBT COVERAGE AND OTHER KEY RATIOS
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027
<u>CASH AVAILABLE FOR DEBT SERVICE</u>							
Change in Unrestr. Net Assets	\$1,737	(\$2,030)	(\$1,873)	(\$1,058)	\$285	\$489	\$938
Net Released Assets - Capital	(90)	(120)	(100)	(100)	(100)	(100)	(100)
Unrealized Losses (Gains)	(1,024)	(875)	(870)	(905)	(1,039)	(1,072)	(1,137)
Depreciation and Amortization	4,774	4,654	4,562	6,135	6,132	6,139	5,956
Amortized Entrance Fees	(4,264)	(4,323)	(4,520)	(5,470)	(6,363)	(6,480)	(6,610)
Entrance Fees - Resale	4,419	4,976	6,682	7,252	7,506	7,769	8,041
Interest Expensed	661	1,487	1,465	1,660	2,715	2,664	2,635
Net Cash for Debt Service	\$6,213	\$3,769	\$5,347	\$7,514	\$9,137	\$9,410	\$9,722
<u>DEBT SERVICE</u>							
Interest - Paid	\$1,508	\$1,487	\$1,465	\$1,660	\$2,715	\$2,664	\$2,635
Principal - Long-term	520	540	560	585	605	630	840
Total Debt Service	\$2,028	\$2,027	\$2,025	\$2,245	\$3,320	\$3,294	\$3,475
<u>KEY FINANCIALS</u>							
Unrestricted Cash/Investments	\$42,861	\$42,539	\$44,897	\$53,772	\$55,995	\$60,343	\$64,893
Long-term Debt w/Premium	\$33,845	\$79,371	\$78,786	\$65,316	\$62,801	\$62,146	\$61,276
Operating Expenses	\$27,220	\$28,027	\$29,034	\$31,194	\$33,282	\$34,301	\$35,380
Maximum Annual Debt Service	\$2,028	\$2,027	\$2,027	\$2,869	\$3,490	\$3,490	\$3,490
<u>KEY RATIOS</u>							
Debt Coverage Ratio - Actual	3.06	1.86	2.64	3.35	2.75	2.86	2.80
Debt Coverage Ratio - MADS	3.06	1.86	2.64	2.62	2.62	2.70	2.79
Days Cash on Hand	575	554	564	629	614	642	669
Cash to Long-term Debt	126.6%	53.6%	57.0%	82.3%	89.2%	97.1%	105.9%

G. SENSITIVITY FORECASTS

The base case ratio forecasts are shown in **Section A**. The following are MADS debt coverage and days cash calculations under alternative scenarios (**Table 9**).

In **Scenario 1** turnovers decrease from the projected 20 per year to 15 per year, and the IL occupancy declines from an estimated 286 occupied units (95.0%) in the base case to 266 units (88.4%) by FY 2027.

In **Scenario 2** there are no move-ins or occupancy for The Cedars. This scenario is included to demonstrate that MSAG's cash flows from existing operations are sufficient to meet 2022 Bond payments. The ability to meet future debt payments without any new revenue from The Cedars results from MSAG's historical and projected debt capacity. Cash available for debt service in FY 2021 exceeded future MADS. Additionally, in the two years prior to Covid-19 (FY 2018 and FY 2019) MSAG averaged \$6.8 million per year cash available for debt service, sufficient to exceed 1.90x the future MADS. Cash reserves are also sufficient to meet the \$14.8 million in short-term debt payments, with unrestricted cash balances remaining above a low of \$34 million in FY 2025.

In **Scenario 3** project costs are increased by \$9.0 million (20%) over the \$45.0 million estimate. The current estimate includes \$35.0 million covered by the GMP. Under this scenario unrestricted cash reserves decline to a low of \$45.2 million in FY 2024.

TABLE 9
MT. SAN ANTONIO GARDENS
SENSITIVITY SCENARIOS
(\$000s)

Fiscal Year Ending 9/30	2023	2024	2025	2026	2027
<u>Scenario 1 - Low MSAG Occupancy</u>					
Debt Coverage Ratio - MADS	2.63	1.92	1.91	1.84	1.78
Days Cash on Hand	565	605	564	561	553
<u>Scenario 2 - No Cedars Move-ins</u>					
Debt Coverage Ratio - MADS	2.63	2.08	1.74	1.82	1.90
Days Cash on Hand	565	421	381	380	380
<u>Scenario 3 - Project Cost Overruns</u>					
Debt Coverage Ratio - MADS	2.63	2.62	2.59	2.66	2.75
Days Cash on Hand	565	524	512	540	568

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